Karur Vysya Bank Ltd. (KARURVYSYA)

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The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor,
Plot No. C/ 1, 'G ' Block,
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Bandra (East), Mumbai - 400051The Manager,
Bombay Stock Exchange Ltd,
Phiroze Jeejeebhoy Towers,
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Mumbai -- 400001
Scrip Code: KARIJRVYSYA Scrip Code: 590003
Dear Sir/Madam,
Sub Regulation 30(6) of DEBI (Listing Obligations and Disclosure Requirementsl
Regulations, 20 15 - Transcript of the Conference Call held with respect to
the Un-audited Financial Results of the Bank for the Quarter and Half Year
ended September 30, 2022
Pursuant to Regulation 30(6) of DEBI IListing Obligations and Disclosure
Requirementsl Regulations, 2015, we have enclosed herewith the Transcript of
Conference Call held on October 21, 2022 at 5:30 p.m. (IST), in connection with
the Un-audited Financial Results of the Bank for the Quarter and Half Year ended
September 30, 2022.
The same is also made available on the website of the Bank and can be accessed
on the following link:
https:// www.kvb . co. in/ docs/investor-con-call-tran scriot-fv2 3 -2 .ndf
Kindly take the same on record
Yours faithfully,
Srinivasa Rao M
Company Secretary &
Deputy General Manager
THE KARUR \NSYA BANK LIMITED
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“Karur Vysya Bank
Q2 FY202 2-FY2023 Earnings Conference Call ”

October 2 1, 202 2

MANAGEMENT : MR. RAMESH BABU – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICE - KARUR VYSYA BANK
MR. NATARAJAN - PRESIDENT AND CHIEF
OPERATING OFFICER - KARUR VYSYA BANK
MR. RAM SHANKAR– CHIEF FINANCIAL OFFICER -
KARUR VYSYA BANK
MR. SRINIVASA RAO - COMPANY SECRETARY AND
COMPLIANCE OFFICER - KARUR VYSYA BANK

 Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY202 2-2023 Earnings Conference Call of the Karur Vysya Bank . We have with us today, the management team of KVB represented by
Mr. Ramesh Babu -MD and CEO , Mr. Natarajan – President and Chief Operating Officer , Mr.
Mr. Ram Shankar – CFO and Mr. Srinivasa Rao – Company Secretary and Compliance Officer .
As a reminder, all participant lines will be in the listen -only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. B. Ramesh Babu – MD and CEO to take us through the highlights of the quarter gone by , after which we will open the floor for questions . Thank you and over to you Sir!

Ramesh Babu : Thank you, Aman. Good evening to all of you. Welcome to our bank's earnings call for quarter 2 of the financial year 2023. I trust that you, your colleagues and family members are keeping well and in good healt h. My Diwali greetings and wishes to each and every one of you.

All of you would have gone through our presentation, reflecting our performance during quarter 2. I am pleased to share that our performance in terms of growth, profitability and asset qualit y are on the right trajectory and higher than the indications given during our previous interaction. I am delighted to share some of the key highlights of our performance during quarter 2, which is reflected in the business numbers -

We have indicated an e stimated loan book growth of 15% for the current year. We have achieved a year -on-year growth of 16% during quarter 2 and the fact that growth is inclusive across all business verticals, which augurs well for the bank. We expect the trend to continue in th e current quarter considering the busy season, fairly good monsoon and structural changes implemented over a period of time, which have now started yielding favorable results.

Our total deposits grew a tad lower at 13% year -on-year, as against expected gr owth of 15% . In tune with the policy rate hikes and the need to mobilize stable term deposits, we have increased term deposit rates by 70 basis points on 16th August and 1st September for 1 -year maturity. The rates are competitive and comparable with other players , thereby enabling us to achieve a 13% growth in this segment, which was 4% for the first quarter. So the liability business team is in place and are active in the market to source stable term deposits. Going ahead, we will focus on this segment to improve our stable deposit base.

Demand deposits continued to grow by 15% over last year. Savings bank segment grew at 11%, while customer on-boarding continues to grow , there was some outflow too , as few high -value customers appear to have taken advantag e of the spike in yields in other investment segments. We are monitoring this segment very closely and targeting to achieve 15% growth. Savings bank account interest rates remained unchanged during the quarter.

 We continue to keep our NIM over 3.75% levels and for quarter 2 it was 4.07%. Our cost of deposits remains flat at 4.08% over last quarter in spite of hike in time deposit rates during quarter 1 of the current financial year, and

the increase in cost is compensated by growth in low - cost demand deposi ts. The effect of two interest rate hikes on term deposits, which I spoke about earlier, will have an impact in the coming quarters. I reiterate that we continue to focus on low - cost deposits so as to offset the impact of hike in term deposit rates and aim to keep the increase in funding costs at a minimum level. Considering positive yield movements in advances, which I will explain next, and investments, we are confident of maintaining a NIM north of 3.8%.

Yield on advances have moved up from 8.27% to 8.55 % sequentially ; during quarter 2 MCLR rate went up by 15 basis points and EBRR by 50 basis points, followed by another 55 basis points which will be effective 1st October. On account of these hikes, yield on advances will continue to move upwards in the co ming quarters. As indicated earlier, 85% of our loan book is under variable interest rates of which 52% is linked to MCLR and 33% is linked to EBRR. Remaining 15% loan book constitutes fixed interest loans, covering deposit loans, auto loans, staff loans, etc.

Non-interest income has increased by 48% over September 2021 , mainly due to increase in fee income as well as the write -back of MTM depreciation on investments to the extent of INR 13 Crores .

Employee expenses remained flat, both sequentially as well as previous year , due to lower AS -15 provisions. We expect that it will move up by 10% in the coming quarters considering the DA increase and increase in number of employees besides AS -15 cost, if any. Employee count stood at 7,393 as of September 30, as against 7,262 at the end of first quarter. During the quarter, we have added 295 officers exclusively in the sales.

Operating expenses have gone up by 17% over September 2021, mainly on account of increased scale of operations , however, it is within our bu dgeted levels.

Increase in net revenue by 26% and operating expenses by 4%, aided the reduction in the cost -to-income ratio at 46%, lower than 56% last year and 50% for the last quarter. We have been indicating that our cost -to-income ratio would be kept at reasonable levels , and now this is made possible because of our conscious efforts in keeping the denominator growing and the numerator at the required level. We will continue to focus on this ratio and maintain it around 50% level,

Operating profit as a bank has been consistently increasing over the past 5 quarters and increased by 56% over last year and 19% over last quarter and this is on account of combined effect of higher growth, enhanced profitability and lower slippages. Our annualized gross prof it to assets now works out to 2.64%, and we will continue to improve or maintain this upward trend.

We have made a provision of INR 206 Crores towards our delinquent loan book, mainly for ageing of underlying assets and also to further improve our coverage ratio. Credit cost for the

 quarter works out to 0.33%, and for the half year, it is around 0.56%. We have given a guidance of 1% credit cost on our estimated loan book for the current year , and during quarter 2, we have front loaded our provision requirem ent for balance sheet management and also for better tax planning.

Net profit of the bank has risen to INR 250 Crores , which is the highest ever number achieved in a quarter, registering an increase of 52% over last year and 11% sequentially. We expect th at this uptrend will continue during the next 2 quarters.

Return on assets has been consistently growing during the 7 quarters and for the current quarter; it is at 1.16% and as against 1.09% during the previous quarter and 0.86% during the corresponding previous period. We have indicated an ROA of 1.2% for the exit quarter of the current year, and we expect that we would comfortably surpass this number for the March quarter of the current year.

Our CRA

R continues to be at a comfortable level and is at 18 .31%, and liquidity coverage ratio is maintained at a prudent level of about 200%.

Gross slippages were at INR 131 Crores during this quarter, which works out to less than 1% of our loan book on an annualized basis, whi ch is in line with our guidance .

Our recoveries upgrades or surpassed slippages during the quarter, resulting in negative net slippages to the tune of INR 74 Crores during the quarter , and this is the fifth quarter in succession, wherein we were able to maintain this trend of negative net sl ippages.

Technical write -off of INR 576 Crores has been undertaken during the quarter, which was done for balance sheet management, recoveries from this segment are showing an uptick, and we hope to improve on this front during the remaining part of the y ear. There was no sale to ARCs during the quarter.

SMA 30+ balances at the end of the quarter continued to be below 1%, INR 411 Crores , which includes Jewel loan balance of INR 41 Crores also.

Due to lower slippages, recoveries and technical write -off, g ross NPA has come down to 3.97%. Our plan is to reduce it to below 3% level by March 2023 .

Our net NPA level has further reduced to 1.36%, and it is our endeavor to bring it to below 1% level by March 2023 .

The overall standard restructured book is at IN R 1,231 Crores as of 30th September 2022 as against INR 1,640 Crores at the end of March 2022 . There has been a reduction of INR 409 Crores , which is by way of closures, repayment, upgradation and movement to NPA. 5% of the restructured book as of 31st Mar ch 2022, moved to NPA up to September 2022 . We hold a

 provision of INR 114 Crores towards standard restructured book. Further details are available on Slide 29 of our presentation.

We continue to improve our digital offering to customers for better custom er satisfaction and on-boarding . We have successfully implemented digital on-boarding of customers for opening of current accounts across the bank and are in the process of implementing the same for savings bank.

Our digital lending system is working well and enables us to scale up our operations, enhances efficiency besides quality on-boarding of customers.

We have enabled payment of customs duty to ICEGATE portal, GST and income tax and other direct taxes through digital channel by interfacing with respe ctive government authorities and the Reserve Bank of India.

Our Co -Lending Business with 2 leading NBFCs is doing well, and we are in the process of rolling out this service to two more NBFCs this quarter.

We are tied up with a couple of fintechs for cus tomer on-boarding and we are working with 3 more fintechs , likely to be rolled out in this financial year.

Our performance in business growth, profitability and asset quality has been consistently improving over the 7 quarters. There are certain challenge s we foresee, and we have taken steps to ensure that this growth trend continues, sans interruptions through the following measures.

Firstly, with the need to strengthen our liability business, particularly to take CASA mix of 40% of our total deposits , and to increase our stable term deposits, we have created a consumer banking department by merging the personal banking liability and personal banking assets business of the bank. For effective management, we have recruited separate sales heads for the verticals and also regional level sales heads in the market and the team has started functioning from Chennai. The team is led by Head Consumer Banking, who has vast experience in this line of activity. The team will oversee retail acquisition, assets retail a cquisition of liability, institutional and government business, TASC and third -party products. We have opened an exclusive retail branch in Hyderabad, which will mainly cater to consumer banking segment with focu

s on retail loans and retail deposits as no commercial banking activity will be undertaken there.
We plan to open 18 more branches during the current year predominantly to source retail liabilities and assets and one digital banking unit.
Bank always considers MSME sector as a core focus sector of the bank. In the past, the lending business was exclusively managed at branches, and the bank has established 15 business banking units across the country to manage commercial lending business, that is a ticket size of INR 5

 Crores and up to INR 25 Crores , and 9 corporate banking units to manage commercial business, ticket size of INR 25 Crores and above. Business up to INR 5 Crores is managed in the branches.
Further, bank has set up a non-branch distribution unit, NEO in Mumbai , and this unit has 14 cente rs across the country, covering 40 locations and managing MSME business focusing on commercial mortgages, lease rental discount and drop line overdraft . Business is sourced through channel partners, connectors and DSTs. With these changes, bank has started achieving a double - digit growth , and during quarter 2, bank has achieved an inclusive growth of 15% in the loan book.
We are now in the process of creating emerging small business centers under small business group to exclusively focus on MSME business t hat is for less than INR 5 Crores exposure. We have recruited a senior executive who has vast experience in this line of activity. This team will source business through Direct Sales Channels, Aggregators and Partnership besides DSAs and DSTS and scale up the business using bank's Digital Lending Platform. We are planning to establish new centres in few potential locations during the current financial year.
Let me conclude by reiterating that we did well during quarter 2, and our performance is in line with expectations, business plans and guidance. We have demonstrated a consistent satisfactory performance during the past 7 quarters in different challenging environments, and this is well reflected in ROA moving gradually from 0.19% in third quarter of Dece mber 2020 to 1.16% in quarter 2 of the current year.
We are confident and hopeful of maintaining, rather improving our performance during the next 2 quarters. Once again, I thank you all for taking time to join this call.
I will be glad to respond to any q uestions which you may have. Yes. Over to Mr. Aman.
Moderator : Thank you very much. Ladies and gentlemen, we will now begin the question -and-answer session . First question is from the line of Renish Bua from ICICI Securities . Please go ahead.
Renish Bua : Sir, congratulations on the set of numbers. Sir, my question is around our deposit franchise, okay? So in our PPT, we do share the ticket size -wise deposit breakup, and when we look at the deposit base above INR 5 Crores of ticket size, so that bucket has a ctually doubled in last 4 quarters. So it used to be 5% of the total deposit, which has been increased to 10% of total deposits now, which essentially are hinting at incremental deposit s, is largely coming from the above INR 5 Crores ticket size. So can yo u throw some more light on this? I mean, this is the strategic move. Or how one should look at this trend?
Ramesh Babu : Yes. One thing I just tell you, suppose, if you look at last 2 years, when the credit growth was not that much was there and all. So eve n if you take these deposits also, the bulk deposits of our customers, I am talking about all these bulk deposits, they are all our customers for decades,. So we were discouraging them saying that we are not interested in these deposits. In the process,

 they all have gone to other banks. So now what we thought is even if at the time, we will take it also, we will have to place so which will be counterproductive. now that

the deposit franchise is
required, the credit growth has picked up. So we have reconnec ted our sales with our customers and told them in the process, what our maturities are happening with other banks and all, they are bringing back to us because earlier they were dealing with us only. We only told them, but we cannot accept at this stage an d all we do not want to pile up the deposit. So that way, the deposits of our customers we are getting it back. It is literally homecoming for them.
Renish Bua : Okay, got it. So, this is a bit of balance management drive ?
Ramesh Babu : Correct , and not only that the relationship has ended when the deposit market has heated up and all, then there will be a few more bankers and all, they will be going in the process either total

customer over a period of time. So now if I get them back also, at least they will be by fold forever that is the point.
Renish Bua : Got it. Got it. Sir, secondly, on the margin side, of course, so this quarter, it is 4%, and then as you rightly mentioned in your opening remarks that second half, the pace of increase in cost of deposit will be slightly higher than the Ascential expansion. So how one should look at the second half of 2023 NIM trajectory? I mean, should it be a downward trajectory or it should sustain where it is currently?
Ramesh Babu : No, Renish , you would have heard th at what all the guidance we have given, we said that 3.8% plus we will maintain because something will be transitory. But for the sake of clarity, I will give you the full picture. Now when we talked about our MCLR book, MCLR book comprises of the working capital loans. So working capital will be over a period of 1 year, they get repri ced. So this is the peak period next 6 months and all this working capital accounts gets repri ced. At that time, the new MCLR rate will be passed on to them. Currently, all th is portion is passing to the old rates. Whereas EBRR is concerned, straight away, we are able to pass at 33%, but 52% is the process going on now. So that way, there is a possibility of the yields going up on the advance s front also so that these deposits also if the cost goes up , If the yields what all are going up as well as the deposit cost going up, we will be able to maintain. But whatever it is, is transitory. So we still mentally have a feeling saying that we need to maintain 3.8% and above.
Renish B ua: Because first half we are already higher than that?
Ramesh Babu : Absolutely. That is right. That is why we want to be frank. So as long as we could get the benefit of it, we will take it, not an issue so this cannot be a permanent feature. So we need t o look at it. That is it.
Renish Bua : Got it , and I mean, is it fair to assume that let us say, if we want to compromise at 10, 20 basis points of margin to chase higher growth. Are we open to that?
 Ramesh Babu : Yes. We are open to that, but the only issue I understand. So I suppose you are currently at 16%.
Suppose if you are growing at 20%, simultaneously, you need to grow deposits also at 20% - 22%. Suppose that systemic liquidity is not there at that level. If you press the accelerator button on the Adva nces engine, at one point, you are unable to discuss that sort of trade and all it will be embracing in the market. So that way, we need to go in a calibrated way, how much you can mobilize the deposits, how much you need to go and all. So now all vertical s earlier, a particular vertical was doing and all others are piggy riding on that. Now the question is every vertical you are able to find a double -digit growth. So that way pressing them and taking it forward should not be a much issue. So that is why we will look at both how is the liquidity position, how is the growth and all accordingly, we will take it forward.
Ranish Bua : Got it. That is it. That you Sir and all the b

est.
Moderator : Thank you. The next question is from the line of Jai Mundra from B&K Securities . Please go ahead.
Jai Mundra: Congratulations on a great set of numbers, Sir. I have a few questions. So first is, Sir, you had said that we have started adding branches, and we have started adding manpower also , and of course, there is a picku p in the business volume. So just wanted to check , how should one look at the Opex growth in the, let us say, coming quarters and coming years.
Ramesh Babu : Yes. Jai, in fact, we need to see because Opex at all we have factored the budgeting and all. So that will be within that because if we do not open the branches and these things at this stage, particularly for the liabilities, we want to recruit the people. So this is an investment we need to make. So we may be reaping the benefit with a lag of 6 months or so, but that investment is very much needed , but when we are doing this ROA tree and calculations and all, so we have factored all these things into our account. So correspondingly, the increase in the income also has to be there so that the ratios are not vitiated and overall, what all we have committed on the ROE front also will come up and all. So both the organic growth will have to happen and ratios were committed also will have to be there. That is what we are planning.
Jai Mundra : Right. So Sir, the Opex growth for the, let us say, should be lesser than loan growth, right? Is that what is implied?
Ramesh Babu : Agreed, but the question is supposed loan growth will happen currently Opex growth something which is the capital expenditure, if you do no t do it now. So you may have to branches all these things and expenses and all current and rent and all. So you will not be able to get a benefit after 6 months. So that way, there can be an overlap in the Opex to some extent. Likewise, you are recruiting many people for the liabilities now so from day one, they may not be able to do it and even if they mobilize the deposits also that need to be deployed. So this will take some time and all. That is why we thought that an overlap of 6 months now that the po sition is relatively better. We can think of spending on this for the future.

 Jai Mundra : Right. No, no, so I do not doubt that Sir. I was just asking that would Opex growth be similar to loan growth or it could be, let us say, lower than loan growth of, let us say, 15%.
J. Natarajan : Whatever currently the 6 months of this Opex growth is as per our estimated lines and again, 18 branches, which we are proposed to open this are all not in the metro centers, but all Tier II and Tier III centers , and we do not think any substantial cost will be added in the operating cost. But in our working while budgeting for this year, profitability and profit, we have already taken this 18 branches and well within the budget, whatever we have planned. So coming back to your question, about whether it is equivalent to 15% or 16%, we are also expecting on the same lines.
Jai Mundra : Second question is, Sir, on your savings account rate, right? So I think now we are probably the lowest in the lower bucket at 2.25%, and our high est is 3.25%. For the last few months, other banks have raised the savings account rate. We have also done on term deposit side, but any thoughts on revising the SAAR rate upward?
Ramesh Babu : Yes, Jai, in fact, many times, 2 to 3 times, we did a home work on either the reduction or increase in the savings bank, increase is giving huge inflows or reduction outflows are happening. So 2 to 3 times when we saw it is not that elastic that way is not straightaway linked to the rate and all , the marginally here a nd there, there are changes there but if you change the rate on the whole portfolio, it undergoes change, that is why we are tracking continuously ALM level. We are looking at it and now as and when it is required and all, we will change the rate.
J. Natar ajan : In addition to that, Jai, we have a specific product called rainbow where there is a sweep in facility is available. So are directly linked to the deposit rates. In case the customer demands, probably we can link that account to that. So that in that way, we do not think that it is essential for us to review these savings bank.
Ramesh Babu : Auto sweep is there. Overnight, the money will go into the time deposits.
Jai Mundra : Right, right. Sure. Understood, Sir, and Sir, you also mentioned on the asset quality side that now we intend to bring GNPA below 3% and net NPA below 1% by March , and we continue to have slippages, net slippages as negative level, right? So I mean, it looks like that trend should continue , and hence, even if you were to reduce your GNPA from current 4% to below 3%, which is like 1% reduction, this will be aided by negligible net slippages, right and hence, there will not be too much pressure on the credit cost. Is that what is being implied?
Ramesh Babu : Yes, yes. Absolutely, you ar e right. So agreed, our endeavor is to keep the net slippages negative but so it may happen here and there some quarter. But whatever it is, overall, what you said is correct in the sense that this net slippages, they will not have much bearing on the prov isioning because the recoveries, what are having so the provision, what will be released there, a majority will take care of the gross slippages what are coming. Because the miner slippages, old slippages are there, it can be in substandard or doubtful 1, 2, 3. So that was a provision total gets failure there. If an account has become a slip NPA now subs tandard to 15%, it will be able to take care

 of that. But whatever it is, we are trying to have a tighter control even in the slippages. That is why if you can see it, our corporate SMA 30+ as at the end of September is 0, 30+ 0. So likewise, if you look at it, we are trying to have a control on the slippages and focus is more happening on the recoveries. Thanks the post -COVID environment. The courts are work ing and all the auctions are happening and all that way we are able to do that. But as you said, overall, the position is like that only so for this balance sheet management, once we complete this provisioning and all, later, it may be on a self -sustained basis, the recoveries as well as the slippages.
Jai Mundra : Excellent, Sir, and last question, Sir, from my side is if you can share a few details of the lateral hires that we have done in the last few quarters, I think you had mentioned that we have hired a new person, who is setting up his team, in which area? And we had hired, I think, national CASA head and if you can highlight a few of the lateral hires that we have done?
Ramesh Babu : Fine, fine. Yes. Because what we thought was in the month of March i tself, so we were foreseeing that demand, what it comes up for the deposits , and then onwards, we started scouting and one of the big private banks, whoever is there and on. From there, we have got on CASA National Head and he will be stationed in Chennai , and along with him, the regional sales h eads also and others also, we are recruiting them and all. These people, they will have a feet on street. Literally, the feet on street, what all the mobilization that the business development associates all these p eople who look after the liabilities team this team will separately handle. Currently, some here and there what the branches are doing, the focus is not that there. So that way this national head CASA, who has come from the private bank. He will be holding this responsibility and all he will take it forward. In addition to that, we have taken another national head for the government business as well as TASC also. So she is also havi

ng a good experience in all we
have taken from an another private bank there also, and that we know that we are well equipped

to handle the government business integration, these things are over now and all. So there can be many opportunities for us, both for the government accounts as well as the customers who have these payments and all are dealing with other banks and all. So they will handle not only the government business what are there also a separate strategy is being worked out. So that way, these two wing s separately will work. In addition to that, one more person also f rom another bank, we have recruited, he is head of the third party. That is a cross -sell. So he will be in -charge of taking care of all our products, how methodically, we need to do it. He has an earlier experience, working in an insurance company, in a ba nk also. So with the blended exposure, what he has, so being able to bring out some sort of practical solutions for us , and there also we are creating the structure for doing this one so all these things will go under the liabilities, consumer banking wing . So Jai, as I said, these things initially when we are spending, it may involve some costs and taking the people. But 6 months of period, over a period of time once we start getting our raw material engine, they will be continuously pumping , and if you ar e going on the advances front, we should not actually stay at darkness. That is the intention. So we are making all these adjustments and also that once this news set up what we have created so mainly to focus on the liabilities acquisition. The branches w ill be focusing on the term deposit with the connections, what are there and all. Likewise, the new acquisitions, what have happened and all

 deepening also will be taken care of. That way total focus we are giving on this vertical, how to take it forward, we will see that.

One more Jai, please one more thing. One more thing just another initiative also what we are taking we will tell you, though it is not connected to the liabilities, bank is focused on the MSME because you would have seen that our percent age of the total advance is 30%, 33% that runs. That is one of the areas which will give a yield of 10% for us, and the book is totally secured by the entire collaterals are there. So what we thought is that the branches, where the locations are there wer e we doing, there are many locations where we do not have a presence, but still position is there. Likewise, a few market -related products are required. So that is the reason. We have again recruited some another private sector bank and SME head in my inau gural speech I was mentioning, emerging small business group. What they will do more are less on lines with NEO. So they will have their own feet on street relationship managers, underwriting team and the connectors as well as DSAs. So these people, they w ill be mobilizing from the market below INR 5 Crores business. Because below We are now currently above INR 5 Crores , we have a relationship banking through business banking, now we are bringing it down to the below INR 5 Crores also. There is a lot of sco pe available. That way, the branch channel, what all is that they be mobilizing, but this channel also we need to grow and mobilize good business. In that process, initially, we want to start with somewhere in Coimbatore , Chennai and Hyderabad and Bangalor e. These 4 centers we have in mind. Most probably next month, the team will start coming. Once they start coming and all, we will start working on this may be by the end of the financial year, we will be able to open a few centers for the emerging business . So that way, we want to give some more flip to the commercial wing also.

Jai Mundra : Sir, just on this, so this is like would not there be an overlap between the business that branch will solicit an

d this team will solicit right because branches are also doing below INR 5 Crores business. This team will also do INR 5 Crores business , and the centers that you mentioned, you have a decent presence there, right? So would not there be an overlap kind of a thing?

Ramesh Babu : The same thing, we thought, Jai, w hen we were starting NEO. Then now the question is the market and pie is so big, even if both are working also, there is enough scope. Now if you look at it, NEO on an average INR 125 Crores to INR 150 Crores on their own they are growing and never branche s and these people, they sell them as a competitor. Suppose if we are not getting some other bank will get the business and all. So that way that sort of a synergy has come in NEO. The same we want to replicate here also , and one more also, NEO, we are doi ng the LAP business there is a lot of opportunity for providing working capital for them. Their working capital is with some other banks that we are yet to acquire. So for this sort of team comes up and all, they can work in hand -in-hand with the NEO team and all. The working capital accounts of those banks also, we can target that.

Jai Mundra : Right. Great Sir. Thank you.

Moderator : Thank you. The next question is from the line of M B Mahesh from Kotak . Please go ahead.

 M B Mahesh : Congratulations on a go od result. just keep the questions short because there is a noise still in my background. The situation with respect to export slowdown in the area of Tirupur, Coimbatore what is your sense going to them? And how are you reading into it? That is it.

Ramesh Babu : Thanks, Mr. Mahesh. Thanks for the compliment. Now I agree, we have an exposure of 8% in the textile , and that has different levels are there came home textiles, there is yarn spinning, all these things. So we are continuously gauging what the posit ion of that. So now agreed and currently, the demand is low in Tirupur and all. So over a period of time, it may pick up and all. But a few points if you look at it, last 2 years that people are saying that these machinery manufacturers for the textile, th eir order books were pretty full and all. We were also expecting there will be good demand from our textile customers for the expansion. But incidentally, there are only 2 to 3 customers of ours who have come for the expansion. They did not go for expansio n. So second thing is even if someone has gone for the Cap ex also, they have come only for the solar and these sort of things only and not for expansion. That way, if you look at it, many of the exposures, what we have the customer, they are seasoned , they are in the business for a long time and all, and they know these sort of ups and downs how to manage , and they do not want to over leverage themselves also. That is the reason when the position was good also, they did not expand well. So that we look at i t currently also, the corporate, including textiles, when we talk about no account is under that SMA 30+. But we are closely gauging the position here and all, how we need to take it forward, and we will see that.

M B Mahesh : Just one clarification on anot her point of range. You started indicating that there will be higher Opex on salary from next quarter pertaining to DA. Can you also clarify on that?

Ramesh Babu : Yes, I agree. If you look at our model, we have budgeted for the staff expenses, we have init ially indicated it can be around INR 1,071 Crores to INR 1,100 Crores . We feel so even if some sort of spike is there in the DA on the other side, what the benefit we get in the pension and all gratuity these sort of incremental contribution, what we need to do. Both of them may get offset at all that way there cannot be the re may not be much spike in the staff cost is concerned. But even if INR 10 Crores , INR 20 Crores , here and there is there , but the gr

owth in the income side is much, much more than the growth in the expenses. So that way the ratios will not alter on account of this.

M B Mahesh : Got it, Sir. Thanks a lot and best of luck and congratulations for what you have done.

Moderator : Thank you. The next question is from the line of Anand from Emka y Global. Please go ahead.

Anand : Congratulations on good set of numbers. So firstly, on your savings deposit, you said that the person has come on the CASA front somewhere in March, but if you look at current for the quarter seems to be down quarter -on-quarter. So how is it will be playing because the numbers certainly are not talking what basically we have done on the ground, number one. Number 2 is that you talked about the fintech partnerships. So what are these fintech partnerships doing, basically, wh ich field are they operating? Are they into SME business, business banking or

 primarily in to retail? And what is the overall contribution of the fintech partnerships on the asset side? And any plans to onboard any of these fintechs also on the liability s ide. These are my questions.

Ramesh Babu : Thanks for the compliment. No, no, there is a small communication gap, what is understood. We started thinking and identified the problem from March onwards. But when we started scouting in the market for a good he ad, it took some time. It took some time. So finally, more or less in the month of June, July we are able to finalize and the new head has come and reported in the last week of September. So that way, he has just reported here and all and forming the team and all, so it works that way. Now coming to the reduction in the CASA , these are our balances, what you mentioned is. So if you look at our YTD numbers are there, first quarter of this year, so we have got sizable inflows, which are chunky and bulky amoun ts have com e. So it was there for some time and all , and a few of them which have gone out, that way, overall, if you look at it, though the new acquisition was there and the average ticket size was going up also because those lumpy accounts who are there balanced and are included in the government accounts for the payments and the schemes and all when it has gone out, so that we are able to find a marginal difference there. Otherwise, the inflow new accounts opening, acquisition, all these things are going on as it is , and now the new CASA head has just reported end of September. So the activity will start working in 1 or 2 quarters that you can find that. So coming to fintech question what you asked, our President will respond.

J. Natarajan : Yes. See, with regard to the whatever, the fintech tie -up currently, we have, it is not a big business level, but it is all completely tested and going on well. So what we are planning to do is now out of the 3 fintechs, one is on the liability side and the initial work ing everything we are doing it, basically, we will be concentrating on the Gen Z. So it will start up, and we like the product, and we like their vision, and we are working together with them to create a suitable infrastructure and process for that , and the second fintech is for the agri -related product. So where we felt that these fintechs are doing very well there , and whatever gaps we have in our capability, I think they are in a position to offset that. So that is why we are working with them for this p roduct. Prima facie, we are not planning for any unsecured loan products and whatever

we are doing it is by and large either in liabilities or secured product.
Anand : Okay. Now Sir, what is the skin in the game for this fintech basically barring sourcing l oans for you? Are they into collections as well? Do you have kind of FLDG arrangements with the fintech or no?
J. Natarajan : So currently, as per the regulatory guideline, whatever existing also, we have discontinued the

FLDG thing, and we have realigned o ur commercial within the compliance within the guidelines of the RBI , and going forward also, we will go by that. But what we are currently looking for is on the liability side, it is on-boarding for new customers and also the good customer experience that we believe that the fintechs will be in a position to deliver so based on that that will be a good value for the bank. Over a period of time, we will be in a position to add more number of

customers. As regard to the Agri -related business, definitely, the re will be the value in terms of a loan.
Ramesh Babu : Yes. Anand Ji, just to add, I want to add 1 point. You were touching about a point on the collections. So what we did is the last 6 months, so I can actually say 3 months. So actually from within the ba nk, we have identified a senior executive, who has the well experienced in the collections as we made him as a collections head , and we brought the call center also under him as well as the feet on street, what we are engaging the agencies also and the bra nches under them. Now we are in a dialogue with one of the fintechs, who have a sophisticated model for the collections also digitally. So our wing is our recovery wing is working with them and all. if it suits well and if we find some value, we will be able to get it and all, we will partner with them.
Anand : Sure, and Sir, third, if you look at the kind of profits that we are now running , and I think, Mahesh Bhai was also talking about some problems that we have in Tirupur and secondly, if you look at th e way the SME business could get dislocated with the macros going bad, is it not prudent on our part basically to make some prudent additional provisions rather run on going down on the overall provisions, writing off loans and showing higher profit number s. So any thoughts about that?
Ramesh Babu : A point well taken. The question is, we are looking at the SMA 30+. So 30+ suppose if any signs of the sort of weakness are there, we thought of doing it. So that way, when we look at including the MSME portfolio , the overall SMA 30+ is INR 411 Crores , which includes INR 40 Crores of agriculture also. So hardly, it is coming to around INR 360 Crores , INR 370 Crores of SMA on a book of INR 62,000 Crores . So we look at this one. But first of all, for the balance she et purpose, what all we are doing , and after that, there may not be much need for the provisioning also. We can think of doing all these things also not an issue at all. So point is taken.
Anand : But I mean the signs will really not show up now, particular ly when the markets are buoyant. I think that will happen maybe 6 months down the line, 7 months down the line , and the way basically you said on CASA and to some extent, right? I think that on that side, also the sense will come later, but I think what to provide from now right?
Ramesh Babu : Fine, fine. Okay. I will note the point and I will examine that one, Anand Ji. Yes.
Anand : Yes. Yes. Because what happens is that we are running a higher profit number, showing good numbers , and if we do not provide we ll, possibly at a later point of time, we might not be touching a 1% ROA rate because this is what we are seeing across the cycle, what happens 1 or 2 good years …
Ramesh Babu : No, no, agree d. Anand Ji, but just one point, what I want to say , now I suppose even if ROA of 0.1, 0.16, 0.12% comes up also. If you look at our current net NPA is around INR 800 Crores . Suppose if by the end of this year, if it comes to around below INR 500 Crores or INR 400 Crores , whatever it is, I am saying that and all, if the r equirement for the additional provisioning

is not there. Then the question is many of the accounts which are in advanced stage of recovery, they will be relea

sing the provision , and not only that because additional provision requirement in the normal cours e is not required from the profit, what we are generating also that plus this will be able to manage, if at all, the additional stress comes. But whatever it is, what you said is correct, along with our risk management department, we will work on that and all, what we need to see, we will have working on that.
Anand : Sure, Sir. Thanks a lot.
Moderator : Thank you. The next question is from the line of Sharad Jutur from Zen Wealth Management . Please go ahead.
Sharad Jutur : Congratulations on good set up numbe rs. So can you just please elaborate more on the write -offs during this quarter? That is one question , and second question was about the moratorium portion

of the restructured book , and can you also please give some color on the stress over there. That is certain , and yes, my question on MSME was well covered, but I would like to get more insights into the future and steps being taken by the management to assess that would be more helpful to me. Thank you.

Ramesh Babu : Yes. I suppose if write -off, if you lo ok at it, so this quarter, we have written off INR 576 Crores . So that we have given in the presentation also, if you can look at it that way, this amount any how fully provided, that is the reason we are able to manage the balance sheet. We have done that, but it is only a technical written off. That does not mean that the focus will not be there. As far as the recovery department is concerned, it is as good as a normal NPA only. Only for the balance sheet management, it has gone out and all. The same amou nt of attention it will get what we are doing for a normal NPA account. So this is the first part , and second part what it was? Restructuring.

J. Natarajan : Yes. So with regard to I think you are asking about the moratorium on the restructured accounts, right? Okay. So for example, in terms of account, the 97% of our accounts, all repayment started. For example, we have a restructured book of INR 1,231 Crores as of 30th September, and it was INR 1,640 Crores as of 31st March , and in terms of value, 87% of our restructured loan book, already the repayment started and whatever stuff, everything is included in the SMAs 30+ that is one of the lowest in the bank. So in that way, we are not now the entire restructured book is less than 2% and we are not that much concern on the recent book , but having said that, we have a complete track on these accounts, and there will be a complete follow -up system is put in place, and we are continuously monitoring th ese account s.

Ramesh Babu : Yes. Sharad, one more point just I want to add here. You see out of our restructured book, 68%, that is 837% of the accounts, there are no previous record of SMA because of the COVID at this time, they wanted them. Otherwise, before that it is not even an SMA. So that way the quality of the accounts that all have come are good. If you look at it also from March onwards, the delinquency slippage is around 5%, so in addition to that normal provisioning, we have provided

 something more also for the restructuring , and that way, it is INR 1,200 Crores , which comes to around 1.9% should not be a major issue for the bank , and second point also I will share with you. All these portfolio what all is majority, majority is backed by 100% collateral. So if at all something happens also in the position o f time of 1 year or 2 years and on, but you will be able to get back your money.

Sharad Jutur : Thank you very much . My other question was on SME - MSME book and stress over there. What are the steps being taken by the management to... ?

Ramesh Babu : That is what we were telling. Suppose SME is concerned so which is 32%, if you look at it, the SMA 30+ what we are disclosing, it includes SM E also. MSME also,

including that it is 0.66%
and all, so which comes to around INR 370 Crores out of INR 411 Crores , INR 4 0 Crores agriculture gold loan if you exclude it. So INR 370 Crores on a book of INR 62,000 Crores ,

Sharad Jutur : Okay, fine. Thank you very much.

Moderator : Ladies and gentlemen, that would be our last question for today. I now have a conference over to Mr. B. Ramesh Babu, MD and CEO, for closing comments. Thank you, and over to You, Sir!

Ramesh Babu : Thank you all, gentlemen, for taking out time. A long weekend is there. But despite that, how much of interest you have towards the bank is very well known. The intricate questions what you have asked and suggestions what you have given and all. So we will continue and strive our effort to take it forward that way in every point what we have guided and all. So once again, a Happy Diwali to you and your family members. Take care. Good day to all of you. Thank you.

Moderator : Thank you very much . Ladies and gentlemen, o n behalf of The Karur Vysya Bank that concludes this conference. Thank you all for joining us and y ou may now disconnect your lines.

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Regulations, 2015 - Transcript of the Conference Call held with respect to
the Un-audited Financial Results of the Bank for the Quarter and Nine
Months ended December 31, 2022
Pursuant to Regulation 30(61 of DEBI (Listing Obligations and Disclosure
Requirements) Regulations, 2015, we have enclosed herewith the Transcript of
Conference Call held on January 23, 2023 at 5:30 p.m. (IST), in connection with
the Un-audited Financial Results of the Bank for the Quarter and Nine Months
ended December 31, 2022.
The same is also made available on the website of the Bank and can be accessed
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“Karur Vysya Bank Limited
Q3 FY '22 -'23 Earnings Conference Call”
January 23, 202 3

MANAGEMENT : MR. RAMESH BABU – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – KARUR VYSYA BANK
LIMITED
MR. NATARAJAN – PRESIDENT AND CHIEF OPERATING
OFFICER – KARUR VYSYA BANK LIMITED
MR. RAMSHANKAR – CHIEF FINANCIAL OFFICER –
KARUR VYSYA BANK LIMITED
MR. SRINIVASA RAO – COMPANY SECRETARY AND

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '22/'23 Earnings Conference Call of the Karur Vysya Bank . We have with us today the management team of KVB, represented by Mr. Ramesh Babu, MD and CEO; Mr. Natarajan, President and Chief Operating Officer; Mr. Ramshankar, CFO; and Mr. Srinivasa Rao, Company Secretary and Compliance Officer.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference c all, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, to take us through the highlights of the quarter go ne by, after which we will open the floor for questions. Over to you, sir.
Ramesh Babu: Thank you, ma'am. Good evening to all of you. Welcome to our Bank 's earnings call for the quarter 3 of the financial year 2023. I trust that you, your colleagues and fa mily members are keeping well and in good health. My heartiest New Year greetings and wishes to each and every one of you. I also would like to thank you all for ta king time in joining this call.
I am pleased to share that , for the third consecutive quart er, our performance in terms of growth, profitability and asset quality are in line with the indications given during our previous interactions. In fact, we have crossed the indicated numbers under some parameters, much ahead of the time lines earlier envi saged.
While I am sure that all of you have gone through our quarter / period end numbers in our presentation. I would like to brief you on the highlights of our performance.
Our ROA continues to improve consistently over the eight quarters, it has mov ed upwards by 39 basis points from 0.93% in quarter 3 of the previous financial year to 1.32% in the current quarter as against our guidance of 1.2% in the exit quarter of 2023. Our concerted efforts in stimulating the various levers of ROA have yielded po sitive results and enabled us to achieve this parameter well ahead of timelines. We are now confident of reaching ROA of 1.35% in the exit quarter and continue the growth trajectory in the coming years.
Operating margins further increased to 4.32% for th e quarter and sequentially expanded by 25 basis points. Going forward, our normalized NIM after adjusting lag effect of assets and liability pricing , would be in the North of 4%, considering our business model and subject to normal market conditions.
Fee and other income continues to grow in tune with the business growth ; higher number reported during the current quarter includes an amount of INR 85 crores accruing from the recoveries made in technically written -off accounts.
Operating expenses are unde r effective control and are in tune with our guidance.

Thus, improved margins, higher fee -based income, recoveries and written -off accounts and containment of expenses aided the increase in profitability ; PPOP has increased by 72% to INR 689 crores over last year and sequentially by 20%.
During Q3, a provision of INR 250 crores was made towards NPA book on account of ag eing as well as to improve our coverage ratio. We have front -loaded some provisions with an aim on optimized balance sheet and tax plann ing. Hence, even though the credit cost appears slightly elevated at 1.02% during the nine months of the current year, our credit cost commencing from quarter 1 of the next year will be considerably lower.
A provision of INR 102 crores was made towards SR s, as per latest RBI guidelines on valuation of SR. With this, the entire outst

anding SR book under investment s portfolio of INR 491 crores is fully provided.
Our net profit has been consistently growing for the past eight quarters and for the current quarter, it has grown by 56% over last year and 67% for the 9 -month period and sequentially by 16%, and the trend will continue to improve on account of increased PPOP and lower credit

costs.
Our gross slippages during the quarter continued to be under cont rol at INR 162 crores and for the nine months at INR 345 crores, which is 0.55% of our loan book. Our digital underwriting, eyeballing the proposals by Risk team, better valuation methods by technical team, collection setup and credit monitoring have helpe d us to keep control on the slippages.
During the quarter, we have recovered a sum of INR 190 crores from NPA book , besides INR 85 crores from the technically written -off accounts. This is the sixth quarter where our recoveries and upgradation other than write -offs are higher than gross slippages .
Due to lower slippages, better recoveries and technical write -off, our gross NPA is now below 3% and stands at 2.66%. Consequently and also as a result of our optimization measures, our net NPA is now down to 0. 89%. Going forward, we intend to keep our gross NPA at below 2% and net NPA at less than 1%. With this, we now confidently say that the asset quality issues faced by us in the past have been successfully surmounted and consigned to history.
Incidentally, I would like to recall late Shri Rakesh Jhunjhunwala, always asking us, when would the Bank reach less than 1% net NPA. Our heartfelt respect to his thoughts and insights. Bank would endeavor to keep this number below 1% of our loan book. We will continue t o focus our efforts in early recovery of technically written -off accounts.
Our SMA 30+ loan book including Jewel loan continues to be less than 1% of our loan book. Again, we are confident of keeping this book at below 1%, considering our improved monito ring and collection systems .
In tune with our guidance, Loan book without considering technical write -off continues to be inclusive and grew at 16% Y -o-Y and sequentially by 3%. As indicated earlier, Bank has

strategized to grow inclusively at the existi ng loan mix. Accordingly, we have initiated various measures in the past to reach best possible growth in line with the industry. Unlike in the past, where branches were the only source for growing the loan book. We have now created Business Bank ing Units, Corporate Bank ing unit, Transaction Bank ing Unit, NEO, Precious Metal Division, co -lending with NBFCs etc., besides a smart Bank ing group, which will be operational from first quarter of the next financial year and Fin-tech tie -ups. It is a mix of our own team supported by outsourced sales force. The smart Bank ing, what I mentioned is it is a mix of our own team supported by outsourced sales force for the SME business, particularly the CBG business. Now we are translating these initiatives into business a nd going forward, we will be in a position to derive value by scaling up our numbers with better management control.
Yield on Advances is at 9.04% and has increased by 49 basis points sequentially, and we expect that there will be a further increase of 2 0 basis points in the fourth quarter. As indicated earlier about 86% of our loan book is linked to MCLR / EBLR and we expect that about 38% of our loan book will be repriced on the respective reset period in the coming quarters.
Considering the need to gr ow term deposits, we have activated our operating teams for aggressive marketing efforts supported by increase in deposit rates, campaigns and publicity. We have grown by 18% year -on-year and 6% sequentially .
Demand deposits growth continues to be a chall enge under the rising interest rate scenario and

grown by 6% year -on-year and muted growth sequentially. As indicated earlier, we have recruited resources from the market having expertise to support our operating team and strengthened our sales force for b etter sourcing and a deepening of liability products. The team has started working with bran ch channel on CASA acquisition, particularly, customer engagement and deepening besides focusing on Institutions, Government business and TASC and will be fully ope rational from Q1 of 2024. With these changes, we are focusing to take our CASA mix to 40% in the years to come.
Cost of deposits increased to 4.26% for the quarter and sequentially increased by 18 basis points, we expect that there will be a further incr ease of 30 basis points in the fourth quarter.
Our co -lending business, with three leading NBFCs is doing well and we are in the process of rolling out this service to one more NBFCs during this quarter.
During the quarter, we have implemented micro fin ance tie -up with a leading fintech in 16 locations covering two states. We have also tied up with one more fintech for microfinance in Tamil Nadu and will operationalize from the first quarter of next year.
Our CRAR continues to be comfortable at 17.86%. This 9 -month profit has not been included yet. And the liquidity coverage ratio is maintained at a prudent level of about 200%.

To conclude, the business numbers indicate that our asset quality issues are an item of the past. Slippages are under control and earnings are improving. Our focus is now oriented towards inclusive growth and recovery from written -off accounts. I am sure the Bank is on the right path to maximize value to our investors.
Once again, I thank you all for participating in the call. The forum is now open for the questions. Over to you, ma'am.
Moderator: We have our first question from the line of Renish Bhuva from ICICI Securities.
Renish Bhuva : Congrats o n a great set of numbers. Just two questions from my side. One is on the commerc ial Bank ing division. So if you look at the pie chart, which we show in the PPT, the share of loans between INR 10 crores to INR 25 crores has gone up pretty sharply in the last four quarters. So sir, what is happening there? I mean, what kind of a custome r we are acquiring from where we are acquiring this customer? And maybe if you can give us the ROA profile of this customer will be helpful, sir.
Ramesh Babu: Thanks, Renish. One thing is, if you can recollect 2 years to 2.5 years back, we have started an initiative called Business Bank ing Unit. So it used to be a part of the CBG. So now what we did is, so we have strengthened that, provided them the service RMs and business RMs, likewise analysts, all these what all are required, we have provided them. Tha t's the first thing. And that way, that unit is stabilized.
Second thing, what we did earlier up to last year March, the limit what we have given them is up to INR 15 crores. So INR 15 crores and above, we were asking the CIG that is corporate, INR 15 cr ores to INR 25 crores, we were calling it as an EMCG, emerging market and we were doing. So now that the BBU has matured and stabilized from April 1st of this year onwards, what we did, we have shifted that emerging market group to BBU. So that way now BBU s can book business up to INR 25 crores. So that way these people once they make sure they started growing and all. So that growth has come into BBU. That is the reason for the shift.
Renish Bhuva : Got it, sir.
Ramesh Babu: And this across the country 15 l ocations, these BBU outlets are there. And each one, they've their relationship manager, sales, service, all of them, they are moving around and this has become one of the active units for the Bank to mobilize the business in that particular segment.
Renis h Bhuva : Got it

. Sir, my next question is on the rating profile of the corporate book. So sir, when we look at the rating profile as on December, the BB and below book is still at 30% of the total corporate book. So sir, what sort of confidence we have tha t whatever guidance we are giving in terms of for slippage and credit cost, we'll be able to deliver as per the guidance and there will be no negative surprise from this 30% corporate book which is because being below.

Ramesh Babu: Good question, Renish. I f you see the same table, you start looking at their December '21, where 37% plus 8% comes to 45%. But even if a 45% is BB and below. And now it has come down to 30%. When it is 45% for the last six quarters, we are able to maintain negative slippages. Whe n we have come to 30, don't you feel that we are better off compared to earlier position.
Renish Bhuva : Yes, yes. No, definitely sir, definitely.
Ramesh Babu: I mean that way if you look at our SMA also, not to say rating profile is one part. But if you look at our SMA also, in general also, otherwise, we have not been able to put it in control because one more thing what we did is we have strengthened the 6 months back, our collections team and we have a senior executive under collection and call center we have got under him, feet on street we have created their bran ch channel. Otherwise, earlier on a distributed way, everyone were doing the collections and all. Now we have got a focus here and analytics also extensively, we are using for a predictive model ing, what can go wrong, all these things and all. With this, we are able to bring some sort of a control.
And one more thing what we did is, so last two years, we have done enough efforts in weeding out where weaker accounts are there. Suppose there was a lot of competition pressure is there, whenever this weaker accounts are there when someone was trying to do it and all jolly well

we were giving it. So that way, we could clean up our balance sheet also to some extent at the cost of top line, but we are a ble to protect our portfolio.
Renish Bhuva: And just sir, last question from my side. Sir, on the ROA thing, what we have said is that our exit ROA will be 1.35% in Q4. But in full year FY '24, considering there will be some NIM compression happening in FY '24, would one should consider this is 1.35% as a new normal? Or there will be some, let's say, downward trajectory, maybe 5-10 basis points in '24?
Ramesh Babu: I feel we'll be able to maintain that 1.35% actually, Renish. Though, in fact, we are yet to do your homework, our home work because you are asking. So with the confidence, what we have gained over a period of time with these things, we'll be able to maintain that, not an issue.
Moderator: We have our next question from the line of Anand Dama from Emkay Global Financial Services.
Anand Dama: Sir, one is that you talked about your yields to go up by about 20 basis points that you will benefit from the MCLR migration. So what is the outlook on the cost front? And similarly, what will be the impact on the margin that we see for quarter -to-quarter?
Ramesh Babu: Yes. In fact I mentioned that point before, 20 basis points when we are expecting cost side also because you know the time deposits, what all we are booking because if we do not book the time depo sit there can be a slight of our CASA to other Bank s also. So that is the reason we are actually mobilizing and marketing the time deposits. In the process, the cost is going up.

What we feel is maybe during this quarter, there can be a spike of around 30 basis points can be there up to for the deposit and the 20 basis points in the yield. But whatever it is, we feel that with the yields, the NIM, what all

we have. So overall, we will be able to maintain a NIM of 4% plus, cost of 4% during this quarter, an d we'll be able to manage that one, that should not be an issue.
Anand Dama: Sir, secondly, if the micro finance book that you've talked about now. So you have tied up with some micro finance institutions. One, what is the thought process over there ? and if you can talk about this, is there any running institution that you have tied up with? And so whether it will be more of a tie up I mean, why not going for a BC arrangement rather than going for a lending institutions ?
Ramesh Babu: I'll tell you, if you l ook at our overall unsecured book, it is pretty small actually. If you look at it hardly INR 500 crores, INR 550 crores, something like that. We never ventured into this one. But what we understand is Tamil N■du offers a huge scope for microfinance and many Bank s who now come from other states, they are doing very good business here.
And we made our own homework also regarding the delinquencies, stress levels and all. We found it to be quite reasonable and all its a matured microfinance market compared to many other states. So instead of we entering directly into that one, we have entered into a partnership with one of the agencies. So it's a BC more or less like a BC only. As you said, there's a BC arrangement. And what they will do, they will have the setup and combined with KVB, they will have the staff. But finally, when the sanction will be through us only.
Finally, the end -to-end digital will be working. Once they're keen and all, it will come to us . And once we accept the norms what all we have. It passes through then only it will be accepted and we will have a surveillance of these locations. The intent is not to go aggressively in this microfinance to make a beginning through an established partne r who has a better understanding in the area of operation where we are or even around our other states that way, so that at least we'll be knowing where we are and what we can do and progress ively we look to take it forward. Otherwise, it will not be a tru st area for the Bank . So it's the beginning, what we are making with a decent partner who has an experience in this.
Anand Dama: But sir, what are the internal capabilities, let's say, in a hiring somebody in SME and actually who know the current business ?
Ramesh Babu: Absolutely. In our agriculture department, we are taking the people to monitor this one. But the other side, the partner whom we have on -boarded, they are already dealing with similar arrangement s with more than 10 Bank s for the last 10 yea rs.
Anand Dama: Sir, how do you rely on them , basically our partners will always want to dump some bad portfolio from other Bank s expect I think you , what are the internal capabilities that you have? I mean you said that agricultural department, you have , these are the old people who have never done microfinance or you have hired somebody from outside of the Bank ?

Ramesh Babu: No. Actually, currently, the expertise, what are in the agriculture, so these people are doing, and we will be taking people also from the market. But what we did is when we looked at it, the portfolio of the other Bank s, this partner who is handling, we have seen that. And the question is not the question of any dumping because it's not a pool purchase from any Bank . So afresh, we a re going to start. when we are going to start also the districts where we are going to start in those locations we have seen what the delinquency level of the other Bank s, what all is there , we have chosen those receipts where it is relatively much, much b etter and we spoke to the state government also because state government has a very good setup for the micro finance with these things, a baby steps we are taking to see how it's going

to work.
Anand Dama: So sir you're spreading lots of things like you ar e entering into multiply new businesses altogether. And without hiring people internally, if you get into these businesses based on the partnership?
Ramesh Babu: Other than -- particular this thing, which other thing we have moved...
Anand Dama: On vehi cle loan business is also what we are seeing...
Ramesh Babu: Vehicle loan, I never told also in my inaugural remarks. Vehicle loan, when we are talking the vehicle loan is a normal 4 -wheeler, what in the retail segment we do, not the commercial vehicle.
Anand Dama: But I think we need to b uild but I think particularly in microfinance is a bit of risky business , we believe that we have seen what is microfinance with many other companies, and that is where we need some internal capabilities is must?
Natara jan: Anand, actually, I agree with your point. See, what we are trying to do is we are not going to scale it in a 3 -digit number and all. So what we are trying to do is because of our digital capabilities and these two partners, they are also having a very good digital capability. Through AP I we have connected and we have created a good digital underwriting model, specifically for this.
And then we are trying to test it. So initially we will test it. And then based on our review, probably will scale it fu rther. So we understand that in Tamil Nadu the delinquencies are low and the yields are also better. So some sort of a cream layer is available here. So why not we test it? That is the intention.
Anand Dama: Great Sir. .
Ramesh Babu: It would be rest assu red, we will not go overboard on that. And second point, we are also on the job to internally equip ourselves with the capabilities by taking people from the market. And this absolutely as I said, it will be only a baby step. We will test the waters and al l, then only we will take a call on this. Okay ?

Anand Dama: Sir, third you talked about recovery from some written -off accounts. I believe about 4 accounts were recovered this quarter? Is it possible to give some color as to like , Are these loans which have been talked about and making in the A RB Group or somewhere where you have done some recovery in the current quarter. And is there any pipeline? Is there any pipeline for more recovery in quarters?
Natarajan: Anand, you would have noticed during the past 4- 5 quarters, we did some a lot of technical prudential technical write -off. So today, the inverse, the portfolio has become slightly larger. And then we expect the consistent recoveries will be coming from this portfolio. In fact, we have created a separ ate team exclusively for this and to see that we are maximizing the value at the earliest possible time. But if you ask specifically accounts, many accounts are in the final stage.
So something matured last quarter. And this quarter also something is defi nitely it is coming. So like that many cases, particularly NCLT cases also, it is in the final stages. But we are not able to give any specific numbers and commitment. But going forward, there will be a some numbers in this recovery from the technical writ e-off Anand.
Moderator: We have our next question from the line of Rohan Mandora from Equirus Securities.
Rohan Mandora: Sir, I just want to understand, in the opening remarks, you mentioned that you recruited dedicated resources for sourcing liability pr oducts. So just wanted to understand how will you operate differently from what the Bank was already doing up till now?
Ramesh Babu: Yes. Currently, the majority of the focus for the liability mobilization is from the branches.

The branches, they will be m obilizing the liabilities, while making from the existing and known are these sort of things. Now the current revised model what we are doing i

t is
absolutely through sales and marketing and to feet on street . The entire structure we are creating, wherein the feet on street will be there, and they'll be mobilizing it can be a state level or territory level that way , they will be focusing more on the CASA acquisition as well as the third -party distribution, everything 360 -degree what we can do. So that's wh at is going to happen. Once they mobilize and bring it and nurturing the account for few months or few quarters. After that, the branches will take over those accounts and all, they will do the deepening, then it becomes an ETB existing to Bank customers and all branches will depend. In the process, the branches can focus on the existing customers, how the service and how to engage with them rather than doing both the jobs of going out and mobilizing and bringing them and within the Bank servicing them. S o we are bifurcating this so that way good resources who have the expertise we started recruiting them and all.
By the end of March, most probably we'll be able to complete a major part of that one. So first week of August onwards, if these 2 sets in tande m, they'll be working, one for the sourcing and nurturing and keeping and second one, deepening. So we can think of having a good traction on the liabilities.

Rohan Mandora: Just want to understand, this team we will have the tariff primary on liability or igination and will not have any asset target?
Ramesh Babu: No, asset targets will be incidental to this, asset as well as the cross -sellings we will be doing. So overall, the main focus will be the hook will be asset sorry, liability. CASA will be the main for our focus and all. Along with that, the related assets as well as the third party also they'll be doing, but the main product will be CASA , marketing r etail asset.
Rohan Mandora: How much the deligination happened for this? Wouldn't it be coming fro m the existing customers or how would the deligination work for them?
Ramesh Babu: Yes. That is for the existing customers as well as some other sources. That is the reason we are taking this team, the feet on street, including everything from the market. Those who are already in the market who are established who knows this methodology and all, those sort of things we are taking. So that way, so they need to hit and run .
Rohan Mandora: And sir, second is, in terms of the incremental spread that we will be making on new assets originated and new liabilities originated if you can share some color on how is that incremental spread right now? If you could know the back book pricing, which is happening on the asset side?
Ramesh Babu: Now , if you look at the rep ricing of the assets, if you look at it, EBRR, a major part of the EBRR hikes where it to pass on. In every segment, more or less, we are able to pass on except in few accounts where we'll have the pricing pressure and the competition will be there because other things what we are getting from the customer and the relationship also we need to see. So that way, if we look at it, so pricing decrease , Currently, our EBRR book is around 49%is MCLR.
Rohan Mandora: Sir, sorry to interrupt. What I was saying to un derstand is the existing book is repricing because of the EBLR. But what I want to understand is the new loans that we are originating , - are we able to get a similar yields as what is on book yield or that lower or higher than the existing book yields on the newer loans that we are originating. So just want to get some sense on that.
Natarajan: So see, new origination , for example, if you take agriculture predominantly is jewel loan something around 8.9%. And if it is a commercial, it's more than 10%, 10.1 0%, 10.15%. And again, the corporate around 9%. So the consumer, it is 9.74%. So like that it is more or les

s the
matching with current yields.
Rohan Mandora: And sir, lastly, if you look at and there is slight uptick in the SMA number sequentially. So what's driving that? And also, we have seen an 8% sequential increase in the textile portfolio. So what is driving this growth in the textile sector with working capital utilization of such expansions?

Ramesh Babu: No, textile is concerned. For the last 2 qua rters, majority of the exposures what we have taken is for the renewables -- renewable energy because a few of them, they now have gone for solar or the sort of wind power so that they can save the cost on the power and depreciation benefit also will be t here. Otherwise, if you look at it, the majority of them, they didn't go for any expansion, our customers I'm talking, they didn't go for any expansion. That's why term loan book has not grown well under the expansion because they have not gone further.
Second thing also, we need not worry much on the working capital also because many of them the cotton prices, oscillation these things are there, the working capital utilization is also relatively low. So it may be 8% is there. The book these people, they h ave seen ups and downs over a period of time. So they are reasonably matured in this business. We don't see any much issues out of that.
Coming to the SMA book what you are saying here and there, these sort of things will be happening because a few account s, what all are there in either in the corporate, commercial, these sort of things. So we are suppose if you are going to flow into that one, we are allowing it to flow. The reason is instead of keeping it and tomorrow, having this burden. It is better we do it and all. And over a period of time, if you can recover sooner the better, we'll be able to recover that.
So that's why we have allowed few of the accounts to flow into SMA so that should not become an issue. Even if something is there, we'll be able to start the resolution process much faster, and it is not a major issue. That's what I feel.
Rohan Mandora: If I can explain one more question. If you look at the last 3 quarters on annual slippage roughly taking around 1%. So would it be fair closing fo r FY '24, we can have slippages below that number? Because the GNPA has also come down and the SMAs are under control relatively?
Ramesh Babu: Agreed, but '24 along with the March numbers, once we take stock of whole thing and all will come back. But idea lly, what you said is correct. We'll also aim on those lines having got this sort of a maturity, both on the collections as well as the quality of the portfolio, we will also aim for those sort of numbers only.
Moderator: We have a next question from the line of M.B. Mahesh from Kotak Securities.
M.B. Mahesh: Just one question. When you are now speaking to your borrowers. If you can just kind of give us a little bit of color on -- are the skill looking to take more loans? Are they looking to slow down a b it? Just trying to understand what is the general feedback of conversation that you are having with your commercial?
Ramesh Babu: Mahesh, it's a good question. But this question, it depends on the industry. Suppose few industries where actually the demand is slightly slowed down, so the utilization levels are low. But there are a few sectors where actually the demand is there, it can be real estate or

construction or these sort of a contractors and infrastructure. These sort of things are there, the demand is still there.
So that is the reason these people are approaching. So it shifted from maybe textile. Textile, it used to have a lot of demand, now from textile it moves to other sectors. So once the textile normalcy restores, there and on,

again, the tex tiles utilization will start. So that way, the requests are there and some requests are coming from the renewable area also because Tamil Nadu , as you know, it is a hub for this renewables and solar as well as wind mills. So those reports are also coming. But trading in these things are concerned. So the demand is there and all and absolutely, we are able to go ahead on those wholesale and retail trading.
M.B. Mahesh: Sir, in your understanding would you be able to accelerate growth from here? Or do you thi nk that the growth is more was going to be around like 15% kind of a market?
Ramesh Babu: What we feel is let us see because these current growth rates, whether it'll sustain or not for the Bank ing system also. In fact, I have my own thing and all. So that 's the reason this year, we thought that let us see 15%, once budget is out, we'll have other indications also then we will take a call on the growth path for the next year. But you must be knowing earlier when single - digit growth was going on for the Bank for 7%, 8% and all.
So we could scale it up to 15%, 16% now. So that's where the opportunities are plenty. So we'll be able to increase it further, and we will not miss any opportunity, but it will be too early now to commit for any number beyond 15%, but this March, we'll be able to do it 15% plus.
And once budget and these things are out, we will size up our thinking and on, and we'll be

able to come back.
Moderator: We have our next question from the line of Renish Bhuva from ICICI Securities.
Renish B huva: Sir, my question is on the written -off pool for this quarter. So INR 600 crores, what we written -off during the quarter in the corporate segment. I mean is there any couple of big accounts or let's say, these are 10, 15 small accounts put together, w e have written -off?
Natarajan: Not any big account -- there is not a big account, Renish. It's all a number of accounts because it's all prudential provision. And if you notice our net NPA or corporate drastically come down, it's only INR 20 crores
Ramesh Babu: No, not only that even gross NPA corporate, Renish, if you see the slide, it is INR 102 crores. So that was not a big account. All big accounts have earlier itself gone. Here other small accounts, what all are there, it is a optimization and all clea n-up process we have completed, not any big accounts are having issued those sort of things are not there.
Renish Bhuva: And sir, I missed that number from the recovery from the written -off account for this quarter?
Natarajan: INR 85 crores.

Ramesh Babu: INR 85 crores.
Moderator: We have our next question from the line of Jai Mundhra from Batlivala & Karani Securities.
Jai Mundhra: Congratulations on a great set of numbers. First question is, sir, on your SA growth. So while we appreciate that you inten d to raise CASA to 40%. But at the same time, the SA growth has been very muted in the last one, two quarters. Your card rate has also been one of the lowest. So when you aspire for 40% CASA growth, is there any risk on the pricings also?
Ramesh Babu: I agree, Jai, if you can understand, thanks for those compliments. SA, if you look at it, during the COVID a lot of build -up was there for the SA. And once the things started relaxing and all people started using either for their business or for the real estat e or for investments in the capital market, something like that people are there for personal consumption. So that way SA has come down. Now consciously, we also took a call internally, if we leave the SA like that when the interest rates in general in the market have gone up, there can be a tendency to move this SA towards the time deposits of other Bank s also. So that is the reason many of our Bank s also who are susceptible for moving this to other Bank s

, so we have moved them to time deposits also so tha t we can lock in.
So this is a transitory phase which can come up. But if you look at our acquisition, what all is happening new accounts, these things and all that process is on. Agreed, what you said that 40%, it may look at astronomical number at this s tage when the things are pretty difficult now. But with the new set of what we are planning to do with the feet on street and a full fledge channel going on that and not. And we feel that we need to aim for that sort of a number, maybe pricing here and th ere, it can be there. But overall, we will look at our NIM, whether we are making money out of this and RoA, all these factors will be kept in mind.
Suppose, there can be a case Jai, if pricing here and there if you are not paying and if you are not even able to get a resource at all, if you are unable to l end, that it will be much more detrimental than not getting a higher pricing. So that way, we will see a commercial call will be taken. How much we need to pay, how much we are earning. Overall, it makes a commercial sense or not. Based on that only, we will take a call.
Coming to the CA also. Agreed, so CA first quarter, we had a good buildup and all over a period of time, it has come down because started using and all. So now with the setup we have created for the TASC that also will be fully functional from first of April of next year. So we focus in on this TASC. . And that way, with the government also, we have got the permission. So we are hopeful that we need to intensify our efforts under the TASC segment for the CA. So that way, both engines if they start firing, surely, we need to move up. And because 40% when we say, the time deposits are also growing, it will be a challenge, but we wish to have the purpose and aim so that progressively we will m ove forward. The main hope for us is the new setup what we have created.

Jai Mundhra: And sir, what would be your deposit growth targets when you target a 15% -plus loan growth,

because your LDR ratio is now 50% -plus, 81%. So how should we look at the depos it growth?
Ramesh Babu: You are right because when this is more or less the CD ratio is running. So we need to grow hand -in-hand both deposits and advances together. So that way, so suppose 15% we are planning more or less deposits also 15%, 16% we need pl an, then only well then only we'll be able to move forward here and there, except SLR, lot of SLR is where we'll be able to get out of that. But over a period of time, these two will have to move in tandem deposits cannot be much lower than the advances growth rates.
Jai Mundhra: So in continuation, sir, business is growing at more or less 15% -plus. But on opex side, so far, the opex growth has been very calibrated, 10% to 15% Y -o-Y growth. And in this quarter, I think you would have started providing for b ipartite also and still the staff cost is single -digit kind of a growth Y -o-Y. And even the other opex growth has been some barely 10%. So would you -- I mean, does this kind of current opex growth or current investment would help you to gain because your business growth in is around 15%, but opex growth is still behind. So I mean, what kind of an opex growth one should assume going forward in '24 to help sustain 15% business growth?
Ramesh Babu: Opex growth, there is one more thing you need to keep in mind , last year, because of the family pension when Reserve Bank of India wanted the Bank s to provide, they have given a dispensation for three to four years or five years, we took a call in providing that in the three quarters. So that will reach per quarter 27 crores additional provision we have made it that it is not there this year. So that way, if you take it out, opex growth will be normalized. That is first thing.
And second thing,

I fully agree with you. When the operations are growing and our business estimations are also much higher and all. And that to the teams, what we are going to have by the liabilities and all, opex costs will be going up. But we are planning in such a way. There can be a lag of six months. And initially, we may have to spend th e teams will have to come, stabilize and they start mobilizing the liability.
The liabilities, what we mobilize will start earning also. So that way the cost, what we are going to incur will be offset by the earnings what we are going to have. That is the reason, overall, the cost -to-income ratio also we are planning to have around 45% to 47%, which used to be 54% something so that way, this quarter, it will be an average and it has come to 42% odd. Otherwise, we will try to maintain between 45% to 47%.
And there can be a small lag Investment, if you do not make on these sort of initiatives, what we are mentioning. Over a period of time, we will not be able to reap the benefit. So we are not shortsighted as far as the investment and cost is concern ed for the next six months, but we are looking at the long term, where we are going to yield the benefit of it.

Jai Mundhra: Just to understand that, sir, what would be a branch expansion and headcount because both these things are more or less stagnant? So would yo u be doing this 15% business growth without adding too much of branches or headcounts? Or there should be -- one should start seeing some traction on the headcount in the branches?
Ramesh Babu: Now you see branches, we were opening around 15 branches per a nnum. So next year, we plan to open around 25 branches. And we will go with that particularly. And then over a period of time, we will see how to scale it up. Second thing, what we are planning is the branches basically they need to mobilize the resources. So the new setup what we have created here. So we are going to have tie ups with the business correspondence. Currently, our business correspondents are around less than 150. So with these tie -ups, if we set up our own business correspondents there, so th ey will start testing the water first.
And if the business and liability business is coming up, and they'll also be mobilizing and marketing the retail assets. If these things are coming up, so they can think of opening a branch in that particular location . The cost of operations of the business correspondence is relatively much -much lower compared to a branch, because there is no fixed cost there. It will be an operational cost, variable cost, that transaction we had to pay. So we are planning to go for number of business correspondents in 25 branches and three sets of people will be going up.
One, on the liability side, as I said, feet on street will go up.
Second side for the home loans as well as LAP also, the feet on street, we are going to mobilize and those marketing teams are going to come into place. And the third thing, the KVB's smart initiative, we have given a name recently. On the SME portion, that is CBG. So we have created a setup under the sub vertical under the CBG wherein we are creating th e relationship managers, feet on street for the for the SME business.

All these will be in addition to the branch channel. There also, we will be taking some people. Definitely, the staff costs will go up on account of all these three. Three, verticals lia bilities and retail assets what we are going to create under the SME. These three are going to have some sort of cost, as I said, it can have a lag effect also of six months, but we will try to even it out during the next year it self by earnings. But what ever it is, we -- our intention is to maintain between 45% to 47% with the cost -to-income ratio also.
Jai Mundhra: And last question on opex, sir. What would be the wage

revision in an absolute amount that we would have done for the two months this quarter ?
Natarajan : We have done INR 15 crores, Jai.
Jai Mundhra: For two months, right?
Natarajan : For two months, yes.
Jai Mundhra: Secondly, sir, on your -- you have given a guidance assuming normalized environment going ahead. On your net slippages, sir, s o for the last six quarters, we have been seeing the negative

net slippages. And you have utilized the entire thing on bringing down net NPA. How should one look at the net slippages numbers going forward? Maybe 1 quarter is still -- I think you can still manage. But how should one look at from a, four, five quarter perspective, how should one look at the net slippage in the net of recovery?
Ramesh Babu: Yes. Jai, in fact, the perspective from now onwards, we may have to change. Because earlier, the recover ies, what all are there from the NPAs, and we were looking at the slippages because a part has now moved, majority has moved to the write -off bucket in future, we need to look at the normal recovery from the NPAs as well as the write -off together what all is coming. And the actual slippages, our intention is still to maintain net negative slippages as far as possible. That is our intention, and we are proceeding on those lines only.
Jai Mundhra: Good to have those intentions sir, but I'm saying, do you have the visibility for the next two, three quarters, that including PWO recovery?
Ramesh Babu: Yes. We have a visibility.
Jai Mundhra: Sure. And just last small accounting thing, sir, the tax rate for this quarter looks very low. Is this because of the write -off and it should not matter for a full year perspective, or how should one look at it? I mean the way we calculate tax rate is around 10% only.
Natarajan : No, you are right, Jai. Actually, because of the write -off, some changes happened. Otherwise, if we take the 9 months period and the entire year, it will be normalized.
Ramshankar: For 9 months, this come to 23%. If we see first quarter, almost we had 28%, 29% as our effective tax rate, and 28% in Q2. So on an overall basis, the same 2 5% will be maintai ned.
Moderator: We have a question from the line of Pranav Tendulkar from Rare Enterprises.
Pranav Tendulkar: Congratulations on a great operating metrics. Sir, I just have one question. About that, there is one provision on the slide number 29 or 30, wel l, there is NPI provision of INR 102 crores. So what does this exactly is for?
Ramesh Babu: Yes. Thank you, Pranav. This is simple Pranav that is SR, what all balance is there, we had to provide as per the RBI dispensation.
Pranav Tend ulkar: So that is the same thing that you alluded in the opening remarks?
Ramesh Babu: Yes, in the inaugural, yes, correct. You are right.
Pranav Tend ulkar: Also, can you just explain , , what all balance is there we spend 1 minute on what is driving the credit growth current ly for you? And will the credit growth continue?
Ramesh Babu: Credit growth, I feel that for this quarter, it should not become a problem. Basically, the commercial, if you look at it, so demand is these, actually, many of these smaller units, business Banking as well as up to INR 25 crores, they are able to get a good traction that is not

a problem at all. And retail is the only one thing where the acquisitions are there. The disbursements are concerned, quarter -on-quarter more or less happened in the same way. But a few prepayments these things and a few people, those who have money and all those prepayments have come. And third thing is last quarter, we didn't go for any pool buyout because the pricing what all has come up in the market are the repo and all. Few of them are not will

ing to take it and all. We didn't take it. Otherwise, the inorganic growth also would
have been there. So that way this quarter is concerned, that trend will continue, and we will be
able to meet the guidance what we have given .
Moderator: We have our next question from the line of Rishikesh Oza from RoboCapital.
Rishikesh Oza: Could you please indicate on credit costs for the coming quarter Q4 and also for FY '24?
Ramesh Babu: Yes. FY '24, it is too early for me. As I said ea rlier, Let's the budget be over and all. In the meanwhile, we'll mull over and all. We will have a clarity on that. Otherwise, Rishikesh, you would have known that for this year, we have given a guidance of around 15%. The growth will be there for the cred it. And we will stick to that and all, maybe 15% plus we will be able to grow. That way, the gap, what all is there, so we'll be able to do it and slightly shared above that, we'll be able to do for the quarter for.
The credit cost you are talking. I thoug ht credit growth. Credit cost is concerned, so 1% we have told, but if I look at it 1.0% to what all is there. So that is majority. It has come from the prudential provisioning what we have made. When last six quarters, our slippages are negative, net slip pages are there.
The need for providing has literally pretty -pretty small, maybe for the aging provision we had to make. So that way we feel that nothing much will be there. Organic credit cost, nothing much will be there. If at all, for the purpose of ba lance sheet, we had to make because the funds are there. So we may have to do. Otherwise, credit cost is not a worrying factor for this quarter also.
Rishikesh Oza: And for FY '24 sir, any indication?
Ramesh Babu: So '24, we will try to maintain between 1 %, 0.75%, 1% and all we'll have to work on that once this year is over. So we'll work on that. We will try to be lower than this year.
Moderator: We have our next question from the line of Rohan Mandora from Equirus Securities.
Rohan Mandora: Just to unde rstand on the provisioning side, we have accelerated and have been provided for most of the NPAs and we have healthy PCR, because of incremental slippages and incrementally, the aging provisioning component on the overall provision will be lower. So for the incremental slippages, will we look to go as per RBI regulations or will we look to accelerate some provisioning on the incremental slippages, just want to understand that?

Natarajan : We go with only the IRAC provision norms. Only thing is the prudential provision instead of making 15%, we will provide 40% or 100%. In that way only, it will be underlying accounts will be there for each and every provision we make.
Ramesh Babu: But Rohan, if you look at the slide for the NPA. The net NPA of the Bank is jus t INR 550 crores. So that way, so even if here and there something made also, it doesn't make any difference that way because if it is INR 5,500 crores. Then the question of all these things will come up. The net NPA has come down drastically to INR 550 cr ores. So incremental, even if some INR 50 crores is provided also it's not going to have much bearing on the bottom line.
Rohan Mandora: I agree. It was the total net I was having but in case you incrementally provide as per the RBI guidelines probably we could see some drawdown on the PCR reducing and the better profitability in RoA expansion. And if you probably choose to maintain a PCR of 65% to 70% even on the incremental slippages to be ready for the Ind AS things that may come up. Then probably the cr edit cost could be higher. And then it would be a balance sheet strength that is there on that. So if you can, I just wanted to understand how it will play out?
Ramesh Babu: I agree that in call, we cannot take it at this stage because RBI guidelines what all hav

e come
draft paper, they have given time up to 28th of February to study and go ahead. Till such time, we have a clarity, we'll be going ahead with IRAC norms only once we have some sort of clarity, what we need to build up and all, a call will be t aken at that stage. Otherwise, we'll go with the IRAC norms.
Moderator: We have our last question from the line of Prakhar Agarwal from Elara Capital.
Prakhar Agarwal: Just one question and follow -up towards the last participant asked. We will be submitti ng our Ind AS proforma to RBI. Any deviation that you probably see based on the numbers that we have been reporting to RBI if we have to make a transition today?
Natarajan : It's all negligible, not much any big difference we see. A couple of items where th ere is a gap between our Ind AS and the GAAP. But it's all negligible. It's not any big numbers.
Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, for closing c omments. Over to you, sir.

Ramesh Babu: Thank you, I thank you, one and all for the interest what you have shown in the Bank and all, and I wish you all the best in your endeavour. Thank you very much.
Ramshankar: Thanks a lot.
Moderator: Thank you. On behalf of the Karur Vysya Bank , that concludes this conference. Thank you for joining us, and you may now disconnect your lines

Call: May 2023

Classification | REGULATORS
IRC:F48:104:247:2023 20.05.2023

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor,
Plot No. C -1, 'G' Block,
Bandra - Kurla Complex,
Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Audited Financial Results of the Bank for the Quarter and Year ended March 31, 2023
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Pursuant to Regulation 30(6) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transcript of Conference Call held on May 15, 2023 at 05:30 p.m. (IST), in connection with the Audited Financial Results of the B ank for the Quarter and Year ended March 31, 2023.

The same is also made available on the website of the Bank and can be accessed on the following link:

https://www.kvb.c o.in/docs/investor -con-call-transcript -fy23-4.pdf

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager

Encl: As above

"Karur Vysya Bank "
Q4 FY20 22-2023 Earnings Conference Call

May 15, 2023

MANAGEMENT : MR. B. RAMESH BABU – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER - KARUR VYSYA BANK
MR. J NATARAJAN - PRESIDENT & CHIEF OPERATING
OFFICER - KARUR VYSYA BANK
MR. RAMSHANKAR – CHIEF FINANCIAL OFFICER -
KARUR VYSYA BANK
MR. SRINIVASA RAO - COMPANY SECRETARY &
COMPLIANCE OFFICER - KARUR VYSYA BANK

Moderator: Ladies and gentlemen, good day and welcome to the Q4 F Y 2022-2023 Earnings Conference Call of the Karur Vysya Bank . We have with us today the management team of KVB represented by Mr. Ramesh Babu , MD and CEO , Mr. Natarajan , President and Chief Operating Officer , Mr. Ram shankar , CFO and Mr. Srinivasa Rao , Company Secretary and Compliance Officer . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you nee d assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now ha nd the conference over to Mr. B. Ramesh Babu, MD & CEO to take us through the highlights of the quarter gone by after which we will open the floor for questions. Thank you and over to Sir!

B. Ramesh Babu : Thank you very much . Good evening to all of you. On behalf of Karur Vysya Bank, I welcome you all to our Bank' s Earning s Call for Q4 of FY 2023.

I am pleased to mention that bank has been consistently performing well during the four quarters of year 2023 and the outcome numbers in terms of growth, profitability and asset quality are in tune with our guidance. You will be g lad to no te that bank has in the exit quarter achieved 1.5% ROA, 16% ROE, 4.37% NIM, less than 45% cost -to-income with overall business growth of 16% and four digit net profit for the year and for the first time. We have declared three digit dividend subject to shareholder approval. I am sure you will not disagree if I say that the outcome was on account of our conscious efforts which we are explaining to you in our earlier calls.

All of you would have gone through our detailed presentation on our Q4 and full year of performance. I would like to share some of my thoughts on the performance of the bank during the quarter and our guidance for FY2024.

Net interest margin increased marginally by one basis point on sequential basis during the quarter at 4.37%. Based on our historical pattern of renewal of deposits and fresh deposit acquisition , we expect that there will be a further increase in the cost of deposits to the extent of 40 to 50basis points in the next two quarters assuming no change in our de posit rates. As we already passed on interest rate hike to majority of the loan book under EBLR and MCLR , there may not be an equivalent increase in the yield on advances. Yield on investments have gone up by 39 basis points during the year and it is estimated to go up by 25 basis points in the next two quarters. Considering all these factors and without tak ing into any policy rate changes , we expect a compression in our NIM in the next two quarters

and accordingly we estimate that our NIM will be in t he range of 4% in the next two quarters.

We have achieved ROA of 1.5% in the exit quarter and we expect that we will continue to maintain this during the year 2024. In spite of estimated lower margin , our estimated business growth , fee income, lower cred it cost and recover ies in written -off accounts will support us to keep ROA at 1.5% levels.

Our adjusted growth in advances for the year 2023 was at 16% and it could be noted that there was an inclusive growth across business segments led by MSME and agric ulture. On

account of various initiatives bank has under taken , we expect to continue this trend in these segments supported by retail and corporate and we expect a growth of 14% for the year 2024.
Our deposit growth was at 12% during the year and term deposits and CASA deposits were grown by 15% and 6% respectively. We expect 14% growth in deposits with higher growth share in CASA segment. As indi

cated earlier , bank has created consumer banking depa rtment by merging personal banking liabilities and personal banking assets. A set of senior and experienced officers have already joined to h ead the CASA acquisition , corporate salary accounts , government business, third party products, etc. The structure is in line with large private sector banks having sizable CASA book . We are in the process of recruiting down the level sales team and feet on street . In the first phase , we have plan ned for 1300 resources and of which 480 resources have already joined and another 820 resource s are expected to join before September 2023. In view of this , we will be incurr ing an additional expenditure of about Rs.61 Crores which is a full year cost. Though the cost -to-income ratio will go up marginally this year and we expect that it will be helpful for the bank to scale up the CASA book to 40% over a period of three years and better growth in third party product business.
Our cost -to-income ratio for the quarter continues to be below 45 and considering our business expansion plans , we expect that the ratio will be in the range of 45 to 50 for the year 2024. Our slippages are under control and our gross slippages for the year it was at 75 basis points and n et slippage ratio for quarter is at 0.06% and for the year it was negative. Our estimated slippages during the year 2024 will be in the range of 1% of our loan book and we are confident that we will continue to keep the ratio below 1% in view of our better underwriting, customer engagement, monitoring and collection process. During the year , we have recovered a sum of Rs.208 Crores from t he technically written -off book.

For the quarter under review , we have provided a sum of Rs.287 Crores towards NPA migr ation s, restructured accounts and standard assets. For balance sheet management and tax benefits , we have made certain prudential provisions and on account of this the credit cost is at an elevated level of 146 basis points. Our net NPA book now is at Rs.4 68 Crores and expected lower slippages and better collection system will support us to keep credit cost at 75 basis points for the year 2024.
We continue to maintain net NPA at less than 1% of our loan book and gross NPA will be less than 2% at the end o f year 2024. Our standard restructured loan book is further reduced to 1.5% of our loan book and we hold a provision of 21% for the standard restructured book.
Our CRAR continues to be robust and is at 18.56% providing us comfortable headroom for growth. Our liquidity is well managed and our CD ratio is at 85% .
Our digital systems are helping us to scale up our business volume with ease and better control . We c ontinue to add many new features in our DLite app which is our customer onboarding application . We have recruited Chief Digital O fficer from the market and exploring other digital solutions which shall support our growth and enhance customer experience.
During the year we opened 10 branches and we propose to open around 35 to 40 branches in the coming year besides opening couple of digital banking units during the year 2024.
Bank has recommended a dividend of 100% subject to the approval of the sharehol ders.
Other business performance highlight s are given in our presentation.
Let me conclude by saying that our performance has been consistently improving over a period of eight quarters and repeat that the numbers are as per our guidance. A set of experience executives are managing the business , support and control functions of the bank and the details are furnished in our presentation. We continue to outperform our past performance and I am grateful to all the investor s, analyst s and stakeholder s for the confidence and continuous support which we will reciprocate through our better perform

ance in the days to come.
Now I will be glad to respon d to your questions. Thank you.
Moderator : Thank you very much. We will now begin the question and answer s ession. The first question is from the line of Mayank Gulgulia from SBI Life . Please go ahead.

Mayank Gulgulia : Congratulations on good set of numbers. We have 50% of our loan book in MCLR can we share breakup of reset period in terms of three months, six months, one year ?
Natarajan : As already indicated 47% of our book is in MCLR and the EBLR book is 37% and in the case of the MCLR last time we have made the changes in the month of March, by March we have changed the MCLR and out of that next six months completely recycle will happen.
B. Ramesh Babu : Majority of the working capital loans which are linked to MCLR on an ongoing basis depending upon the renewal when it comes it will be happening, so that we cannot talk about a fixed bucket that way because the cost of deposits what all are there we are passing down to them, so still some headroom is available for the MCLR loans to be re -priced whereas EBLR has already been passed on so that way we will take care of that next three, four months at least I can say because last year some more or less October onwards the MCLR spike started so next three, four months the renewals of one year what all will happen we will be getting the benefit for the next three, four months.
Mayank Gulgulia : Next two quarters prob ably deposit re -pricing will happen faster than the loan side and probably net interest margin will be 4% plus, so going forward we will be able to maintain net interest margin of 4% plus even after two quarters as well?
B. Ramesh Babu : The visibility firs t of all Mayank if you look at it absolutely it is a dynamic world. Now the deposit which percent it comes and what rate it comes you will not be knowing now. So based on the past trend you cannot say that the deposit will go into a particular bucket, so depending upon its scheme what all is there they will be going, so that is why what we thought is the visibility is there for the next two quarters we thought wherever some loses are there in respect of the loan re -pricing likewise MCLR and other EBR R wherever some concessions are there where we can withdraw, this sort of homework we can do for improving the yield likewise on the cost of deposits where we have no control because the renewals will be happening fresh deposits also will be happening, so conservatively we thought that our endeavor is to maintain that 4% may be once second quarter is over we will have better clarity and visibility then we will guide you.
Mayank Gulgulia : Sure Sir and in terms of like growth, just trying to understand like whether in Tamil Nadu market competitive intensity have increased much higher than the rest of India, the market becoming more competitive because it is more liquidated?
B. Ramesh Babu : I agree but you understand we have been here for the 107 years so that way our footprint and base is here and not only Tamil Nadu our footprint is there in other states also. Currently what all is there , the customer connect what we have and how our people are able

to attract the business and all, so more or less every segment we are able to do that. One more thing what I found is last year was also more or less a competitive year, in any of the verticals if I see the disbursements have gone up by 40% to 50% over the previous year. So last year w as also competitive so in that way we are fine tuning our products, other things also so we feel that we will be able to continue our tempo and that is the reason the indication what all we have given th e 14% loan growth, so not only Tamil Nadu other areas what all we have, so we will be able to grow th

at's what we feel.
Mayank Gulgulia : Thanks a lot. I will come back in queue.
Moderator : Thank you. The next question is from the line of M B Mahesh from Kotak Securities . Please go ahead.
M B Mahesh : Good evening Sir. Great numbers. Just three questions from my side one is what w ould be the income from written -off account s for the quarter Sir?
B. Ramesh Babu : The total year is Rs.208 Crores and Rs.100 Crores orders coming during this quarter.
M B Mahesh : What would be th e outstan ding stock of technical written -off?
B. Ramesh Babu : My point is technical written -off per se if you look at it may not be a good indicator the reason is it may look like Rs.3500 Crores or something like that, but the problem is ma jority of the old corporate accounts were under consortium which are there with NCLT we are getting 5%, 10%, so that is still uncertain how much we will be getting there. So that is why if you look at it , overall the realizable portfolio we can think of it is ar ound Rs.1500 Crores portfolio where we can do some s ort of an exercise and we will push it , rest of them, so depend ing upon various other factors and all because corporate is there. Many of them may not be able to get that, so we will focus on that in the next two years also on all these things, but one thing I will assure you for last two years we have given enough effort on wherever we have security , enforcement security, SARFASI, all these things, so majority of them in a

different stages and people are coming forward for the OTS also, so that way this year also we feel that this progress what all we made will continue under the write -off for this 2024 also.

M B Mahesh : Sir, just to clarify this Rs.1500 Crores of possible recovery pool that is sitting the re you could say that you could hit a number closer to Rs.200 Crores again for next year?

B. Ramesh Babu : Yes, definitely.

M B Mahesh : My last question is Rs.110 Crores for provisions for restructured accounts , any specif ic reasons for it?

B. Ramesh Babu : Nothing like that. Earlier when we were looking at our past on an average 15% to 20% actually delinquency was there, so what we thought it is a good year in that way so it is better we make up that way so that if at all unforeseen eventuality we take a hit also so we need not worry about that because now the restructured book has become a minuscule portion of our total book at 1.5%, out of this portion also we keep it aside we should not bother at all with that intention only we kept it.

M B Mahesh : Perfect and in this Rs.976 Crores of outstanding restructured what is the outstanding provision sitting now including this Rs.110 Crores during this quarter?

B. Ramesh Babu : 21% we have provided out of this.

M B Mahesh : So about approximately Rs.200 Crores right?

B. Ramesh Babu : Correct.

M B Mahesh : Thanks a lot.

Moderator : Thank you. The next question is from the line of Jay Mun dra from ICICI Securities. Please go ahead.

Jay Mundra : Congratulations Sir, just to clari fy this Rs.200 Crores restructuring provision is Rs.1976 Crores right, so net of f provision the number is even lesser right?

B. Ramesh Babu : Very correct.

Jay Mundra : Secondly Sir on your 14% loan growth do you envisage any subsector to grow at a slightly faster face or do you think the loan mix will more or less be similar?

B. Ramesh Babu : If you can look at our past performance where our corporate used to be 30%, 35% and all, finally in this quarter it has come down to 21%, earlier it used to be 22% so that way first of all the first focus would be on the MSME commercial banking group because where our yields are better , in many places 9.5%, 10% also will get the yields and all, so after that we are focusing another retail segment because retail mortga ges are doing well, jewel loans also we are going to

focus and third thing is agriculture because there are two advantages.
One is the gold loan and agri also we are focusing on that. Last year was a bad year as far as PSLC is concerned, otherwise we were making some money out of the PSLC also in

addition to taking care of our own PSLC, so in the order of preference if you look at it commercial followed by retail and agriculture and then corporate.

Jay Mundra : Your opex growth right, so you have staff cost for FY2023 at around Rs.1000 Crores, you said that we are adding few people, 1300 people in the staff and hence you would have an extra Rs.60 Crores, Rs.61 Crores opex number for next year , but how should one look at the opex growth for next year, one part is of course slightly higher because of the proposed staff addition, but in general as loan growth is let us say 14% how should one look at the opex growth?

B. Ramesh Babu : In fact generally our opex assets is in the range of 2.3 to 2.4 , so here may be it will be in that range slightly elevated here and there, but we had to see a bigger picture. What we are planning is the feet on street we are going to engage they are going to work on the CASA as well as the third party also, so what al l we are going to spend more or less to the extent what all we are spending we will be getting income side also, so it may look opex is on a higher side, but our focus is on fee to income also, fee to assets also how to grow, so overall after doing all the se adjustments we thought that 1.5 ROA we will be able to manage with this increased cost also .

Jay Mundra : Lastly Sir on your credit cost guidance of 75 basis points , you already have net NPA which is let us say 75 basis points and you have 20% coverage o n restructured and even hit this quarter you have seen almost negative or negligible slippages or negative slippages including TWO recovery so your credit cost guidance is it more conservative or you think

basis look at the portfolio, the increm ental credit cost can be much lower than what you are suggesting?
B. Ramesh Babu : I agree we are in the first quarter then during the whole year what will happen at least we will not be able to estimate at this stage, though our endeavor you see our 0.56 is our SMA we would like to have a tighter control on that, but still you may have to provide for some standard assets, migration assets, these sort of things will be there and with these we thought that at the most it may go up to 0.75 it may not go also, so that is why we took it saying that, may be after six months we will have a bett er clarity, we may give a revised guidance for this, but this is what for the whole year, many unknown if at all comes up also we want to factor them , that there is a reason we have given 0.75.
Jay Mundra : Related to this you must be doing parallel run to the ECL framework every six monthly , what would be the proforma provisioning under Ind -AS versus the IRAC is there any meaningful difference?

B. Ramesh Babu : CFO will respond.
Ram shankar : Not a major difference we find half yearly from what we are submitting to RBI, we will be able to manage with what are all provision s what we make we do not see any big change in the new system comes in .
Jay Mundra : There is not material one time transition provisioning needed right is that what you are saying ?
B. Ramesh Babu : My point is th e guidelines itself they are not out on what basis you need to do, back of the envelope w hen the risk management and those people they have done that they found saying that the existing provisioning what all has been made could be relatively sufficient there will not be any big s hock which bank will not be able to absorb , so that was the understanding we ha ve, so now unfolds as and when some

sort of guidelines come up and all we will be able to know that, but currently that is not a major issue which is going to impact the bank.
Jay Mundra : Sure Sir and the SMA number that we disclose as a total loans right?
B. Ramesh Babu : Yes absolutely.
Jay Mundra : Thanks a lot.
Moderator : Thank you. The next question is from the line of Pranav Tendulkar from Rare Enterprises . Please go ahead.
Pranav Tendulkar : I just have two questions. One is that you have actually highlighted that you are investing more in the people for cross -selling and feet on street , so also can you just highlight what are the targets to cross -sell various products that we have in our bo uquet and how are we tracking how many branches are actually enable to sell all the products in our bo uquet ? Thank s a lot Sir.
B. Ramesh Babu : I agree. Feet on street when we are taking the different sets of people are coming may be for the trade and forex, corporate salary, other account s that way each one depending upon the profile of a customer whom they are going to market particularly the CASA, the feet on street wh at we are acquiring is for the CASA and the real focus will be majority on that. The product s which we are going to focus are the life insurance, general insurance and the mutual fund; these three would be the major products . Now , currently enablement is concerned we have already partnership with many of the partners in each of the life , general insurance everywhere partnerships are there, so recently we have entered into arrangement

with SBI Life also to add bouquet to our t otal portfolio, so now every branch of the bank is equipped to handle that not that a particular branch can do it. We are going to utilize our analytics also in this process what can be done, the next best product what can be offered and this feet on street also will be on the job together we want to give a focus on this, but one thing I will tell you the feet on street actually they will be coming into the fi eld and most probably from up to September in the process, the recruitment process is going on, but those w hoever have already come there o r converted from the existing lot they are on the job and we will be monitoring on the third party income.
Pranav Ten dulkar : Right Sir, last question from my side . Two years ago there was a competition increasing in our core competence market which is SME, MSME in south, so how is competition panning out right now? Thanks a lot.

B. Ramesh Babu : I agree. At that time the position was relatively different because th e COVID was there; other banks a re unable to grow. There w ere no other opportunities at that time people who are approaching on to those accounts now that the market is opened and everyone has other opportunities that sort of a competition we were facing at that time because at that time particularly we are facing on three accounts. One is on the pricing, rock bottom pricing, quoting and taking and second thing is lowest security coverage and third thing is undue enhancement. So we w ere looking at the quality of the portfolio if by doing this one if we do it and all we will be having a problem tomorrow we were leaving t he accounts, but all those issues have come out, but even today if that sort of a undue enhanceme nt where someone do not require we are still not allowing that because today, tomorrow it will be a problem, so that sort of a cut-throat competition going on the pr icing all these things have come down to major extent because other banks also they are facing the heat on the enhanced cost of deposits, so that way rock bottom pricing and all that issues have come down now.

Pranav Tendulkar : Superb Sir. Thanks a lot.

Moderator : Thank you. The next question is from the line of Prakhar Agarwal from Elara Capital . Please go ahead.

Prakhar Agarwal : Most of my questions have answered, just couple of things I missed out in between, so what is the growth guidance that we have set for FY2024 which is one and second is in terms of I do not know whether you have answered this earlier, any impact of ECL that you probably would have seen?

B. Ramesh Babu : Yes, in fact both we have answered, but it is good I will repeat once again. Advan ces what we thought is 14% plus we wanted to g row, the same is the case with deposit so that we will be able to maintain the CD ratio of around 85%. As far as ECL is concerned our CFO has clarified the working what our risk department does it, they found o ut with the current framework what all have been spelt out , so our provisioning currently what all is there we will be able to take care of this one and there may not be many major shocks for us to absorb that ECL provisioning but as and when these guideli nes unfold from Reserve Bank of India, so we will be looking at that, but one good thing Prakhar what I can say, the transformational journey what we have performed with this the total clean -up has happened now, we have sufficient muscle to take ca re of these shocks if at all comes up also, has it been two years back our position would have been shattered totally, so now we are relatively much, much better to absorb this sort of a shock comfortably.

Prakhar Agarwal : Just two more questions. In terms of margins when I look at Q4 the reported number is 4.37% and i t increased one basis point sequentially when I look at last presentation it was 4.32% is that because of the basic adjustment that we have seen during the quarter?

Ram shankar : Correct. Let me clarify, based on the RBI master circular on the financial statement presentation and disclosure, interest accrued but not due on advances and deposits have to be reclassified and we undertook that in the March quarter that is why there is a small difference in the numbers what we reported in December on the revised number.

Prakhar Agarwal : On the revised number that margins would have been 4.36% last quarter?

B. Ramesh Babu : Correct.

Prakhar Agarwal : If I look at your presentation slide #15, so again on advances we have given that Rs.66000 Crores odd and after write -off Rs.64000 Crores odd is there similar number we have given Rs.64000 Crores?

B. Ramesh Babu : Correct.

Prakhar Agarwal : What exactly is the difference between the two, is that previous classification and new classification that I missed that number?

Rams hankar : Whatever technical write-off which we have done in the current year that we have added back to show the exact growth , whatever growth we have done this year because of technical write -off of 1800 Crores it appear s at a lower side, just to ensure show the current growth what we have done in this year we have added back and shown it as advance s.

Prakhar Agarwal : That number is Rs.66000 Crores, but if I look at Rs.64420 Crores what exactly that number is?

B. Ramesh Babu : It is only the technical write -off.

Prakhar Agarwal : After technical write -off it says Rs.64168 Crores which is similar, if I look at two columns which is there in slide #15 one is Rs.66031 Crores and other is Rs.64420 Crores, just wanted to understand the difference between the two?
B. Ramesh Babu : You are right. We will come back Prakhar on this number. CFO will have a communication to you. Otherwise, what is ou r intention is that Rs.1893 C rores what all has been written -off had been not done our growth is 16% actually because one year is the good year we are sort of clearing up , intention is to convey the message, but anyhow CFO will clarify that point separatel y to you.
Prakhar Agarwal : Sure Sir I will take it. Thank you so much.

Moderator : Thank you. The next question is from the line of Rakesh Kuma r from B&K Securities . Please go ahead.
Rakesh Kumar : Thanks for the opportunity Sir. First question was related to the SA deposit blended cost, so what is the SA deposit blended cost now for this quarter?
B. Ramesh Babu : SA deposit s avings bank is at 2.5%, current account is not there, because savings bank our average rate is 2.5% and current account we do not pay anything.
Rakesh Kumar : No, only for SA balance because there are different rates we pay for the different balances, so what is the blended cost that we have ?
Natarajan : Our average cost for this 2 .57.
Rakesh Kumar : For the SA deposit ?
Natarajan : For the SA product, the cost is 2.57 for the Q4.
Rakesh Kumar : How much it was paid during the previous quarter Sir?
Natarajan : It is in the same range because we have not changed anything during this entire one year, for example Q1 it was 2.55, now in Q4 it is 2.57.

Rakesh Kumar : The last I think w e change in January sometime, continued to have January or sometime?
Natarajan : That is we have added only one bucket , for example more than Rs.100 Crores we have created a separate bucket, otherwise we have not changed anything in the lower categories.
B. Ramesh Babu: Our CFO has to clarify. Ram shankar : Before that previous ly Prakhar had asked for what is the difference on the fourth column. There is a 252 Crores of technical write -off what we done in Q4 that we have shown separately. The last column talk s about the growth in quarter -on-quarter growth. The first column talks about the year -on-year growth that is the difference.
Rakesh Kumar : Thank you Sir. Secondly s ir wanted to understand the capital consumption pace like because of the return ratio number s we were adding capital every year, so this year we have seen some depletion in the capital, core capital number, so is that due to kind of a selection of credit that we are doing so what is the reason that we have seen pretty sharp rise in credit risk nu mbers so if you can help us understand?
B. Ramesh Babu: Rakesh you see we have shown in the table the risk weighted asse ts movement, 53% has become 54%, that 1% cannot be considered as construed as a sharp rise , okay. Earlier when the COVID and subsequent period the focus was majority on the gold loans whereas the capital risk weight was not there, so tha t was the reason the share has come down straightaway in the graph. Now that across the board all verticals we are growing so naturally there is a slight g rowth in the credit risk weighted assets but one thing also we need to understand if it is too low the risk reward ratio also will be low, you will not be able to make money, so we need to strike a balance between the risk and what sort of pricing where we can manage, so that you can optimize your yields and you can protect your name. With that intention, keeping in view how to maintain the asset quality, the yields and the topline growth all together we are growing ahead but we need not think there is shar p spike in the risk weighted assets, it is just 1%.
Rakesh Kumar : No, no sir. I was referring only to the credit risk rate sir. So if you look at
B. Ramesh Babu: Under that you find a table there, you find a table we have shown that credit risk weighted assets how it has moved , it has moved from 53% to 54% that is a 1%.
Rakesh Kumar : No. I am saying only about the credit risk weight sir, which has increased from 34 000 to 41000?

Natarajan : I understand. Generally that the 100% weigh tage for the general credit. For example, whatever the MSME loan we are doing it, so that the increase there, 7000 Crores is reflecting our growth in the MSME sector and corporate and the other re

tail.
Rakesh Kumar : Okay. Thank you.
Moderator : Thank you. The next question is from the line of Madhu Chanda Dey from MC Pro . Please go ahead.
Madhu Chanda : Congratulations on a good performance.
B. Ramesh Babu: Thank you very much.
Madhu Chanda : I just had couple of question s. One is FY2023 has seen an exceptional year for the banking industry in terms of high margin, low credit cost, would you think at FY2024 although you have given specific guidance of what are the niggling worries that you see going ahead which was pretty much not there in FY2023, that is my first question and the second question is deposit s has been a challenge for the system and it has seen a challenge for you also. We have seen organization adding feet on street but do this answer to the deposit challenge and how confident are you about your reported guidance of 14%. These are my two question s?
B. Ramesh Babu: Fine. Thank you madam. In fact one thing I just need to say for the banking industry 2022 to 2023 ma ybe an exceptional year but for us is all the more exceptional, the reason is the baggage what we were carrying in the earlier years so last two to three years the journey what we have to perform, lot of clean up has to happen in addition to other things al so, so the baggage also we could clear and we are in a decent position now so the worries if you look at it as it is if you look 3 broad parameters if you look at it, business growth, profitability and asset quality, so I will talk about asset quality, so we have formed collections team, and centralized and a vertical head has come last year, so from then onwards we started seeing lot of improvement in our SMA one and two. So then we started focusing on SMA 0 which flows into SME 30 plus. So that way we hav e got a fair control on what the asset quality because these only will flow into this one and next thing is corporate used to a big pain for us at a point of time so under the, now the corporate SMA has come down to the miniscule. So that way the bigger wo rry what we used to have has gone out. Now what all we are acquiring now so what we did in the year 2019 we have gone for a loan origination system with checks and balances, with tie up with many other agencies with surrogate data to check what we are doin g is correct or wrong, so what we do on an ongoing basis, we will do an analysis of pre 2019 what all accounts have been

underwritten and post 2019, so when we see particularly the commercial banking and the retail if you look at it, pre 2019 the stress ma y go up to 4% to 5% odd and subsequently what all we have book with all che cks and balances so this is more or less around 0.5, 0.6. At these levels, it is there. Maybe in the process we may not have grown so well because we are not open the flood gates, b ut what are we have acquired we are reasonably confident that has only helped us during the COVID period without having much of a stress under that, so with all these things in mind, so the asset quality should not be a major problem for the bank. Now comi ng to business growth so we thought that having brought the momentum vertical wise for each vertical contributing , we thought that each vertical will be able to contribute 14% that should not be an issue , but provided if the market and economy also support s. Then the question comes the worry part is the cost of deposits where absolutely some sort of a visibility we can have for the next six month and beyond that we do not know how it pans out whether the rate, how it moves out and all. So now there is a limit also beyond that you may not be able to pass on the yield to the advances on the pricing, so how much you will be able to pass on, how you are going to maintain the NIMS at this 4%. This is one of the worry, which we need to keep in mind but we are look ing at other factors like

fee to assets and how to improve the NII also by improving the yield.
These things we started working on. To address the particular issue of cost deposits and NIM. Now coming to deposit I agree with you there is fierce competition in the market and last year also though we were trying our level best for a CASA so many of our customers other branch were wooing the m for shifting them into the time deposited higher rate, then after 3 months, we ourselves realize just of losing the relationship, it is better we only convert them into time deposit though it involves additional cost for us, but we tried to do that. Now the people the feet on street everything what we have told them these are the people actually in the field so currently what all is not there even if they add a gain of gain to the gain overall it will be a gain and that audio cut 42:34 as well as the CASA which is what our intention so currently first set of people what have come, i f you look at their

performance is reasonably okay, but we need to test the water for another six month s so we are hopeful that so with the initiative what we have done that the deposit growth what all we plan ned will work.
Madhu Chanda : No sir , I mean if you just part of the sentence which not audible fully, but I could make a sense of what you are trying to convey so if I understood you correctly from all the initiatives that you have taken, deposit growth and at what cost remains the key worries as we enter FY2024. Is that what you wanted to convey?
B. Ramesh Babu: No I just want to clarify here. Deposit cost at what cost suppose i f you are acquiring the CASA and if you add th is cost for the acquisition also if you add, it may be slightly costlier that is the reason what we are working is those people whom we are acquired now, they will

be focuses on a third party also that income also they will be generating and there also be in the some other business, so we want to make that vertical what all we are creating self - sustaining, and profitable on its own, within a one year, so that way initially one year, there can be lead lag otherwise from subsequent years onwards, it will be working on its own.
Madhu Chanda : Okay sir , just one last question. The unionized employees and the cost etc ., had been kind of an issue with all the private sector bank s like yours , so if you could just clarify going forward in the next couple of y ears what is your take on the employee cost increase, what kind of increase should we factor in?
B. Ramesh Babu: Mam in fact for the last four years, if you look the three to four years, whomever we are taking, we are taking them on a CTC basis, so we are not taking them on the IBA basis and all, so those who are coming they are absolutely linked to the ir performance and all. So not only that the existing team also we need not think like unionized and all because the productivity of the people have gone up like anything. If you can look at our presentation the last page , the business per employee and the profit per employee how it has moved. The same set of people it has moved. If you can look at it 2017, our total staff strength was 8000, now it is 7700 aft er five to six years it is 300 down, the productivity has gone up by many fold. So if you look at the costing also more or less you will be able to manage this establishment cost what all is there for them and that itself if we feel that 1.5 ROA what we have convey so we will be able to achieve that.
Madhu Chanda : Just one small housekeeping here. Of this 7700, what percentage is IB A and what percentage is normal CTC as you mentioned?
Natarajan : Madam 90% is I BA, mam .
Madhu Chanda : 90% is still IBA right. Okay and given the retirement profile of this people, what it would be maybe in the next three to four years' time?
B. Ramesh Babu : That all we have

to say in regards we also thinking of that. We will have to see that mam because our current focus i s how to get the productivity from the existing team rather than meddling this and all, so if you can get the best productivity from them and we are able to maintain our ROA, ROE all these things and all, so we will try to see that, then we can think of addressing the rest of the issues.
Madhu Chanda : Okay. Thank you sir. Thanks and all the best for the next year.

Moderator : Thank you. The next question is from the line of Krishnan Asv from HDFC Securities . Please go ahead.
Krishnan Asv : Thanks. My question is more to do with cost of deposits on one hand and just in terms of our current MCLR what is the pricing that we have an M CLR and where is the current when blended book on your M CLR portfolio which is 47% of your portfolio?
B. Ramesh Babu: So what is that you want in about cost of deposit?
Krishnan Asv : Just in terms of for a 14% kind of growth that you are building in given your CD ratio 85%, where is that you expect your cost of deposits to settle over the next year. The reason I am asking th at is obviously we are in an environment where there is a scramble for deposits. For some bank it is showing up disproportionately higher so just wanted to understand in terms what you are seeing in the market , where you are looking for the deposit?
B. Ram esh Babu: First question I will respond and second one our president will respond. First one is on the cost of deposit . If you can recollect our guidance what initially I have mentioned there so we were thinking and saying that with the back of the envelop work when we did it the current renewal pattern for the existing deposit renewal and the fresh inflows what all are

coming, which will land into which bucket, so we thought on an average around 40 to 50 basis points growth may come up in the cost of depos it, but simultaneously I was also mentioning the l 0osers, what are all there in the pricing of the loans that also we are going to tighten up so that is the reason we are indicating a NIM of 4% but with the existing rates on deposits you can expect around 40 to 50 basis points going up in the next six months to eight months.
Krishnan Asv : Understood that is helpful, about MCLR?
B. Ramesh Babu: MCLR yes. Our president is going to respond.
Natarajan : See as indicated earlier, so our MCLR book are something around 47% so based on the reset plus whatever we have arrived, and out of this Rs.30000 Crores almost 15, I mean I can say 25% will re -priced within the next six months period that is up to September that is what the MCLR working we have done. So currently we are charging the MCLR is 9.35% and then if you take the blended rate, it will be something around 9 to 9.2%.
Krishnan Asv : Understood. Just the other thing I think this kind of resonate with one of your earlier question as well as in terms of credit cost with technical write offs you have a coverage of about 90% plus , 92%. The 75 basis points again for FY2024 seems to be over shooting, so

is that excessive at your end or is there is any uncertainty in the MSME, I am just trying to understand …
B. Ramesh Babu: No absolutely all of you be very clear, absolutely there is no uncertainty. We also do not have an iota of doubt about the quality of the credit, if it is there, it will have reflected comfortably in the SMA 30 plus so that apprehension none of you need to have, it is more or less on a conservative basis we have given. We do not have any sort of apprehension on our portfolio.
Natarajan : Krishnan in addition to that there are certain tax benefits are available if it is a rural advances so mething like that we need to provide the minimum quantum and secondly if you see they h

ave indicated 1% slippages for the entire year. So wherever the new slippages are coming, we need to provide for that, but recoveries whatever it is coming, it will go t o the technical written off account, so in that way only we have just estimated the number, not because of any specific stress we are seeing.
B. Ramesh Babu: Absolutely correct. So that apprehension no one need to have because we ourselves we do not have a ny apprehension about that.
Natarajan : There are certain migration provisions we need to make, so all these things put together only they are doing it.
Krishnan Asv : Got it. If I could just squeeze in one more question?
B. Ramesh Babu: Please.
Krishnan Asv: This is to do with how you read the environment for MSMEs right now given the kind of steep hike in pricing that MSME have seen, how are MSME doing in terms of their own health, today vis-a-vis what we might have seen three year back.
B. Ramesh Bab u: Krishnan one thing we need to understand. The banks pricing is one of the factor for the MSME in the whole scheme of things. Now suppose if he is going to get the business and he is able to make money out of this, this pricing of 1% here and there does not make any sense. Whenever we deal with few of the MSME they are dealing with NBFC paying a 13%, 14% 15% also with that they are making money. So that way if it is 1% on account of that MSME is going to collapse that is a myth, so this is not going to ha ve. There are few sectors which are doing well and we focus on that where their margins are better, and they are established so that way this pricing higher pricing on account of delinquency till date because last six month one year we have been passing on , so on account of this particularly

coming sort of weakness and delinquency which we did not find because provided if you are profitable and making money this 1% does not make any difference for them.
Krishnan Asv : And you are saying that the current econ omic environment allows them to absorb that.
B. Ramesh Babu: Correct, provided that is what the economy what all is there, it runs well and all, few of the sectors that are doing well. If it runs well they will be able to absorb and many of them when we ta lk to them this 1% here and there is not a matter of big concern for them.
Krishnan Asv : Understood that is helpful. Thank you.
Moderator : Thank you. The next question is from the line of Anand Dama from Emkay Global . Please

go ahead.
Anand Dama : Congratulations for a good set of numbers.
B. Ramesh Babu: Thank you.
Anand Dama : Sir, I have a question on the cost. I think you said that this year basically the cost income ratio actually would go up primarily because you are expanding people on the gro und and trying to get more business. Is there a deviation or basically a reset that you are having for this year where you want to expand business and where you are basically investing more in the people and if yes , how do we look at the cost income ratio or cost to tax ratio going forward after I thin k you done the reset in FY2024.
B. Ramesh Babu: Yes I agree, so you are perfectly right because of fewer initiatives what we have taken, so those things initially the investment we have to make for the future, so in the process also but earlier you have seen that our cost to income ratio used to be 52% to 54% and all but even then we have given a cautious guidance that our cost to income ratio will be in the range of 45% to 50%, it will not cross because rest o f the levers on the income side also we are working continuously. So going forward we feel after the 2024 these investment what all we make and they start yielding the result. The cost to income ratio can be in the range of around 45. Our intention is to m aintain that in the range 45 that range.
Anand Dama : Secondly is it possible for you to giv

e the SMA book number including the low value accounts below 5 Crores?
B. Ramesh Babu: Everything , SMA what all we have given that number it includes even Rs.1 loan also.
Anand Dama : Okay clear sir.

B. Ramesh Babu: So you would have seen that this SMA number, actual number is lower than March 2022 through book has grown , because our current SMA now it is 360 Crores, last year it was 470, the advances have grown to 56000 but even then the SMA has come down to 360 which includes every loan account every vertical.
Anand Dama : Sure sir. Thank you.
B. Ramesh Babu: Thank you.
Moderator : Thank you. The next question is from the line of Chintan Shah from ICICI Securities . Please go ahead.
Chintan Shah : Congratulations on good set of numbers.
B. Ramesh Babu: Thank you.
Chintan Shah : Thank you for the opportunity. Sir just one question actually I joined the call a bit late. I am not sure if I have made this number. Have you given any guidance for RO A guidance for FY2024?
B. Ramesh Babu: Yes absolutely. So what we did you see the cumulative for the whole year RO A has come to 1.27. For the exit quarter it is 1.5. So last year also the exit quarter what al l was there we have given guidance we will try to maintain during the rest of the year and that way we finally landed 1.5, so for the next year the guidance given by us 1.5 plus that is what we want to maintain for the whole year up to next year.
Chintan S hah: Secondly , I just wanted to understand what would be total provision on our entire book, can you break it up into the specific provision restructured the provisions or any other provision.
Ramshankar: On the standard assets on overall book we would be having around 1% of the advances as provision.
Chintan Shah : Okay that is the standard asset .
Ramshankar : Yes.
Chintan Shah : I mean sir on absolute terms if you could just quantify total provision standard specific toward restructured any other contingent provisions, what will be the total pool of provisions on the book. Any number on that on our Rs.65000 Crores book.

Ramshankar: It will be around Rs. 620 Crores yes.
B. Ramesh Babu: 620 Crores, no it cannot be .
Ramshankar: Standa rd advances alone 330, other …
B. Ramesh Babu: Total provision is only 6 20 Crores.
Ramshankar: Other than NPA, only standard.
B. Ramesh Babu: Other than NPA what he is saying is Rs.620 Crores is because NPA anyhow separately if I

give you 92% is the provisional c overage we have given. So that way what he is saying
around 1% of the standard assets we are maintaining as a provision.
Chintan Shah : This includes Rs.200 Crores of restructuring as well.
B. Ramesh Babu: Restructured also is a restructure standard.
Chinta n Shah : Last question on the retail portfolio, so our retail portfolio has grown roughly 16% for the year and if you look under that the loans which is roughly 1/6 of the retail portfolio that has grown 34% and while housing loan has only grown 12%, so any color on what the loan comprises and where is the growth coming from.
B. Ramesh Babu: There are few loans as in as time deposit. Few of them they wanted a loan and all, they took it, so that was the reason that growth has come up and it includes some staff loans. They are comprised of small portion but other loans comprised of majority loans against time deposits.
Chintan Shah : Loan taken is time deposits.
Natarajan : Correct. We have multiple products running account product and fixed product and all. It is a combination of all.
Chintan Shah : That is it from mine. Thank you sir.
B. Ramesh Babu: Thank you Chintan .
Moderator : Thank you. The next question is from the line of Sushil Choksey from Indus Equity Advisors . Please go ahead.

Sushil Choksey : Congra tulation on a stable result sir.
B. Ramesh Babu: Thank you Mr. Sushil.
Sushil Choksey : First sir, what is your likely estimate digital spends for transformation journey?
Natarajan : For digital you know that we have started the initiative in the year 2018, so most of the capital expenditure at that time we already spent. So currently whatever we are doing is to just to maint ain the operating expenditure only we are doing it. Currently we are not planning for any major capital investment except for trade finance, now recently we have tied up with a company and then we are in the process implementation. Otherwise there is not much cost involved other than the operating.
B. Ramesh Babu : Another one also thi s corporate internet banking also we are working on that, these two and one thing I tell you Sushil we have that is the reason to have more focus on this particular area so we have taken from the market a chief digital office r who will be focusing on what are the investments we are making, what value we are going to get out of that, what is the expectation of the customer, what others are doing to look at the whole gamut we are reported a month two months back and once he works we will come back with a plan , based on that what all investments are required we will do, but somehow we fe lt that the investment what all we have made, we need to get some more value out of that, that is the reason the first task what we have given to CDO is you get some value and s imultaneously look at what investment we need to make. May be it will be another three months and all we will crystallize on the count.
Natarajan : For your specific reference. For example year 2021 we have invested around Rs.50 Crores which includes all other IT. In the year 2022, we have invested 43 Crores. Last year we have invested 53 Crores so roughly 40 to 50 Crores is our total IT spent.
Sushil Choksey : Standard average is 50. Second thing is the rate, internationally or domestically you have peaked based on MPC or fed or whatever norms you want to take , what is your outlook on treasury specifically for based on our current book, based on our CD ratio.
Natarajan : We have noticed our investment book all along we are maintaining very low duration during the past two years and now we are trying to replace our low yielding security which at the time maturity with the higher yielding security. That is why if you notice last year there is a substantial increase in the yield from 5.1% to 5.80%, so what we have guided is based on our initial estimate in the next two quarters another 23 basis points yield will go up based on our current book, so we have around Rs.2000 Crores s urplus SLR and the

duration we are keeping it very low. For example if you take our AFS is only less than 1. Only in case of HTM it is 3.2.
Sushil Choksey : Okay in view of the election coming up next year and global and domestic environment specifically textile, auto and ancillary value added farm produce, and the MSME sector which we are supporting are it in domestic or manufacturing. Would you front end because

the rates are high and expectation will be lower in the second half accessibility of credit goes more in the first half or you would not to get it back to it?

B. Ramesh Babu: It is not like that actually. So we are actually planning. We need to see that by July ending we are more or less at Rs.141000 Crores business level at the end of March. So we thought saying that by end of July or just middle of August whether we can cross at 1.5 that is Rs.150000 Crores that is what actually we are internally planning so once we plan and get that so as you said it gets front ended because the advance s are growing correspondingly we need the deposits also for the 85% C

D ratio, so we are on the job to front he ad front loaded, but the question we want to balance it in a such a way that there is no dilution, the quality of the acquisition and simultaneously to grow and before August we are t rying to do this exercise.

Sushil Choksey : Thank you for answering all my question and all the best for the years to come.

B. Ramesh Babu: Thank you Mr. Sushil.

Moderator : Thank you. The next question is from the line of Aravind R . from Sundaram Intranet . Please go ahead.

Aravind R : Hi. Thank you for the opportunity. I just wan ted to get a better color on the SME book, what kind of industries are we lending to and which will be like a top three or four industries or sectors we will be looking and I wanted to understand the other loans have actually grown faster rate year -on-year in comparison to all other books like are they predominantly credit cards like what kind of loans that is represent and on cost of funding part so I was able to see lot of banks actually was trying to focus on time deposits. I understand that you have spoken about this throughout call, but I still want to understand what kind of thought process went into this like 40 to 50 basis point increase in cost of deposits. S o basically like if all other banks focusing on term deposits because the rates are high and the competition is high for CASA so how confident are you for 40 to 50 basis point, I thought it could be even higher.

B. Ramesh Babu: Agreed, agreed. Underst ood. I will just respond and president will add also. The first point what you mentioned the commercial , majority the way the MSME is growing so actually the majority is coming from trade that is wholesale and retail trade, transport operators, commercial real estate and under manufacturing the textile, food processing, construction, basic metal and metal products. These are the main sectors actually we are growing there, so these things are good because we are reasonably confident and we have some sort of expertise in the trade so that b asis lot of business we are getting it. In food processing also lot of scope is there, we are growing in that. Now coming to the unsecured, if you look at it I can say that the personal loan in the retail sheet what you are seeing there is a row called personal loans which is around Rs.337 Crores that is the clean portion of the book and rest is the other loans and all. Other loans comprised of two portions. One is the loan given to the staff members and second thing is time deposits and these two are the main. Otherwise there is no much unsecured sitting there and if you look at another slide where we have showed the security and unsecured portion, also another slide is there, you can find how much is the minuscule portion of our unsecured portfolio, so that way the other loans need not be a factor to be worried because it is backed by either security or time deposit. Now coming to the cost of funds what you are mentioning, 40 to 50. As I was mentioning earlier, so our ALM department where we did some sort of a homework based on the past renewals what were happening and when the renewal is happening in which bucket they are growing and the current inflow of deposit what all are coming, they are coming into which buckets and wha t is the rate of interest. Looking at all these things, we thought seeing that there can be a spike in 40 to 50 basis point in the cost of deposit that was the working we have done.

Natarajan : See Aravi nd if you notice during this year, our yield on advanc es has gone up by 120 basis point whereas our deposit cost has increased only 52 point because of lag effect , it is the industry scenario. So what we are trying to workout is based on our historical data maybe the renewal pattern and all these things, we e stimate that in the next two quarters there will be increa

se in the cost to the extent of 50 basis point based on the lag effect and there will be some corresponding yield also because of the MCLR entire thing is still we are not passed on, still I can say some 40% to 45% of our MCLR book on the respective due dates we will be passing it on, but conservatively we estimate that 50% may not be possible for us to completely pass on to the MCLR, but of course we have other factors also. For example, I was mentioning about yield on investments. So yield on investment will support us by

another 20 to 2 5 basis point, so overall we are just for conservatively we are estimating it
and then we are trying to work out how to minimize this lag effect.
Aravind R : Thank you. Just one more question. The numbers you have mentioned, so 16 % is roughly fixed book , so all of that fixed book is re-priced by now or like there is it will be re-priced in the next subsequent quarters?

B. Ramesh Babu : Then MCLR, EBLR, fixed percen tage were fixed book.
Natarajan : So fixed pricing mostly for example, if you take retail loan, vehicle loan, you take a fixed rate. So we do not change during the tenure of the loan.
B. Ramesh Babu: Likewise and the staff loan, time deposit loans also, that are fixed, so you cannot change during the current year of the loan because the underlying time deposit what all is there over and above, there is a markup we will give a loan then, so it will not undergo change even if there are agnostic to MCLR and EBLR changes.
Aravind R : No I understand that. I was trying to understand that in the subsequent quarters there would be some maturities right in the fixed book also, like is there any schedule.
B. Ramesh Babu: Maturities are there. The fresh acquisition w hat are we are going to do will be at the current rates only.
Aravind R : Yes. I was trying to understand what would be the impact of that that is what I was trying to understand?
B. Ramesh Babu: Do not worry. There is small book of that one and all. Our ALM working, they are going on, but keeping all these things in mind only, we thou ght that 40 to 50 and NIM of 4% that is what we were indicating.
Aravind R : Okay. Thank you sir.
B. Ramesh Babu: Thank you very much.
Moderator : As there are no further questions from the participants, I now hand the conference over to Mr. B. Ramesh Babu, M D and CEO, for closing comments.
Ramesh Babu : Thank you very much and first of all a profound thank to each one of you for taking out time and showing interest in our bank. So just to conclude I just want to reassure that the transformation journey plan has been showing promising results. The loan book is improving towards SME and retail, granular the corporate book with better access quality and with all these things and benign asset quality, granular deposit, structural changes, what all we have brought out for a revamped business model and strong capital base, wi th all these things bank is well poised to go forward and we will continue the journey the same way and what all we have been guiding we will go ahead on the same line and we will try to deliver that. Thank you once again to all of you .

Moderator : Thank yo u very much. On behalf of The Karur Vysya Bank that concludes this conference. Thank you for joining us and y ou may now disconnect your lines.

Call: Oct 2023

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IRC:F48:209:473 :2023 October 21 , 2023

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor,
Plot No. C -1, ‘G’ Block,
Bandra - Kurla Complex,
Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Una udited Financial Results of the Bank for the Quarter and Half Year ended September 30, 2023
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Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transcript of Conference Call held on October 16 , 2023 at 05:30 p.m. (IST), in connection with the Unaudited Financial Results of the Bank for the Quarter and Half Y ear ended September 30, 2023 .

The same is also made available on the website of the Bank and can be accessed on the following link:

https://www.kvb.co.in/docs/investor -con-call-transcript -fy24-2.pdf

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager

Encl: As above

“Karur Vysya Bank Limited
Q2 FY '23 -'24 Earnings Conference Call”
October 16, 202 3

MANAGEMENT : MR. RAMESH BABU – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER

MR. NATARAJAN – PRESIDENT AND CHIEF OPERATING OFFICER

MR. RAMSHANKAR – CHIEF FINANCIAL OFFICER

MR. DOLPHY JOSE – GROUP HEAD – CONSUMER BANKING

Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY '23 -'24 Earnings Conference Call of Th e Karur Vysya Bank. We have with us today the management team of KVB, represented by Mr. Ramesh Babu, MD and CEO; Mr. Natarajan, President and Chief Operating Officer; Mr. Ramshankar, CFO; and Mr. Dolphy Jose, Group Head - Consumer Banking.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, to take us through the highlights of the quarter gone by, after which we will open the floor for questions. Over to you, sir.
Ramesh Babu: Thank you very much. Yes. Good evening to all, and welcome to The Karur Vysya Bank's Earning Call to discuss the results of quarter 2 of financial year 2024. I am pleased to mention that our bank continues to demonstrate its consistent performance in the second quarter of the year in terms of growth, profitability and asset quality. I am very happy to say that the bank has crossed historical milestone of total business of INR1.5 trillion, that is INR150,000 crores. You would appreciate t hat we had crossed INR1,25,000 crores in March '22, and the next INR25,000 crores has been crossed within a short span of 18 months.
You will be glad to note that our performance in terms of credit growth, margin, ROA and delinquency is in line with our g uidance. I am sure you will not differ, if I say that, the outcome is on account of our continued focus on various initiatives we were implementing over the last few quarters. All of you would have gone through our detailed presentation on our quarter 2 nu mbers.
I would like to share some of my thoughts on the performance of the bank during the quarter and our guidance for quarter 3. We were able to sustain the growth momentum during the second quarter as our total business grew by 4% and reached a level o f INR153,516 crores. We have been guiding in our earlier calls about our focus on inclusive growth from all verticals with respect to advances.
I am pleased to share that during the current quarter, we continue to maintain this, while commercial and corpo rate clocking 6% quarter -on-quarter each. Agriculture and retail segments have grown by 4% each. Our continued focus on MSME in metro, urban and semi - urban locations supported the growth under commercial segment. Corporate book, which has muted growth in l ast quarter improved during this quarter on account of higher disbursements. Retail growth is similar to last quarter, and the majority of the growth has come from mortgages, both residential and non -residential. Our focused effort on the distribution and benchmarking of our products to market -supported operating team to garner more business under these segments. The overall growth is a touch above on our annual guided growth of 14%, and we expect that the trend will continue.

Our deposit growth was at 3% during the quarter, and the term deposits and CASA deposits were grown by 4% and 1%, respectively. We had highlighted about our liabilities acquisition team. Out of the planned resources of 1,300, we continue to build our retail acquisition team by onboar ding 367 resources during the second quarter, aggregating to 1,272 resources. Seamless integration with the original structure is being pursued, first to achieve the synergies of the branch and sales channel for augmenting larger business growth. Our YTD g rowth during the year so far is at 13%, and

we plan to maintain the growth trend in tune with our
trade expansion.
We had indicated in the last two calls about expected compression in NIMs in the first half year and would be in the range of 4%. Net intere st margin reduced by 12 basis points on sequential basis during the quarter and is now at 4.07%. For the first half year, we are able to maintain NIM at 4.13% in spite of the NIM compression. Our net interest income has grown by 2% during the quarter and 16% year -on-year thanks to our consistent efforts in bringing the desired asset growth.
While cost of deposits have gone up by 20 basis points, yield on advances increased by 7 basis points during the quarter, resulting in a compression of 12 basis points . Based on our historical pattern of renewal of deposits and fresh deposit acquisition, we expect that there will be a further increase in the cost of deposits to the extent of 20 basis points in third quarter, assuming no change in our deposit rates. Yiel d on investments has gone up by 13 basis points during the quarter, and it is estimated to go up by 10 basis points in the next quarter.
We have increased our MCLR by 25 basis points during the quarter and initiated many efforts in maximizing returns from the credit book and we expect 10 to 15 basis points increase in the yield on advances maybe in the next two quarters. Considering all these factors and without taking into any policy rate changes, we expect that NIM will stabilize at 3.8% at the exit quarter of the current year. We have achieved ROA of 1.57% in this quarter in spite of reduced margin, our business growth, fee income, lower credit cost and recoveries in written -off accounts continue to support us to keep the ROA above 1.5% levels.
Our slip pages continue to be under control, and our gross slippages for the quarter is less than 1%, which is as per our guidance. We continue to have negative net slippages taking into account recoveries from the written -off accounts this quarter also. Our SMA 30 + for the entire loan book at the end of the quarter continues to be at less than 1%. We are confident that we will continue to keep the ratio below 1% as guided in our earlier calls.
Our efforts on recovery of technically written -off accounts are continuing to yield results as we have recovered a sum of INR86 crores during the quarter. Total recoveries till first half of the year are INR144 crores. Due to lower slippages, recoveries and write -offs, our gross NPA has come down to 1.73%, and we expec t that we will continue to maintain at below 2% levels. For the quarter under review, we have provided a sum of INR102 crores towards NPA migrations, standard assets and prudential provisions. We estimate that credit costs for the current year would be in the range of 75 basis points as guided.

As done in last quarter, we have provided a sum of INR25 crores more towards floating provision to meet any contingency, including ECL and provision available now under this head is INR50 crores. Our net NPA has com e down to 0.47%, and we will continue to maintain net NPA at less than 1% of our loan book. Our standard restructured book is further reduced to 1.2% of our loan book , and we hold a provision of 25% of a standard restructured book.
Our cost -to-income ratio is at 49.14% for the current quarter, which is sequentially higher over previous quarter. This is mainly due to additional provision made towards superannuation benefits on account of wage revision of employees. Bank has been providing 15% of our eligible wage bill from November '22 onwards on the estimated wage bill increase.
Now it is estimated a sum of INR100 crores is required towards superannuation benefits on account of wage revision. And we have provided a sum of INR33 crores during the current quarter and the balance amount will be pr

ovided in the next two quarters. So far, we have
provided INR117 crores. So if you see that including the current quarter additional provision, the additional cost is a onetime expense, and our normalized staff cost wou ld be in the range of INR290 crores to INR300 crores per quarter.
As indicated earlier, our cost -to-income ratio would be in the range of 45% to 50%, and this is our endeavor. Our CRAR continues to be robust and is at 16.84%, providing us comfortable headr oom for growth. Our liquidity is well managed and the CD ratio is around 84%.
During the quarter, we opened 16 branches predominantly in semi -urban and total branches opened during the first half of the year is 25 branches and opened one digital banking un it at Chennai. Our new initiatives of KVB Smart under the Commercial Banking business is progressing with a portfolio of INR49 crores. It added Madurai center during the quarter in addition to Coimbatore, Chennai, Hyderabad locations with a team size of 48 members. It is in a formative stage. It will take some time for delivering what we thought.
Business under NEO, co -lending business, and transaction banking and the precious metal

continue to perform well. Other business performance highlights are given i n our presentation.
We have been consistently improving our performance over a period of last two years, and the trend is continued in the half year also.
I would like to conclude with the quote of Napoleon Hill, strength and growth come only through conti nuous effort and struggle. Our effort would be to focus on sustaining our growth momentum to ensure that our ROA is above 1.5% levels going forward. I am grateful to all our investors, analysts and stakeholders for their confidence and continued support, w hich we will reciprocate through our better performance in the days to come. Now I'll be glad to respond to your questions. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar: Thank you, sir. So . Sir, just one question, firstly, on this cost of term deposit. So how much increase would have happened, sir, in this quarter on a sequential basis, cost of term deposit s, sir?
Ramesh Babu: Term -- it's 20, cost of term deposits.
Rakesh Kumar: Yes, sir.
Ramesh Babu: The cost of overall deposits, term deposits, I think CFO.
Ramshankar: Because we don't have any cost for CA -- it will be same...
Ramesh Babu: Same cost. Yes so during the quarter, the term deposits the same trend is being maintained, and no additional costs have gone up because the rates of interest, they have not changed. The same rates are being continued.
Rakesh Kumar: And cost of deposits, sir, how muc h increase was there, sir, cost of deposit like -- and how much it is expected in the Q3 and Q4, sir?
Ramesh Babu: Q3, we conveyed in the original listing, around 20 basis points, we can expect that way. And cost, if you can look at this 5.16% is the cost of deposits now.
Rakesh Kumar: Okay. And the similar kind of increase or would be there in Q4, sir, Q4?
Ramesh Babu: Q4, we'll not be able to tell at this stage because the flow is what we look at it because -- how it unfolds, we'll have to see. Suppose i f the liquidity becomes an issue and other banks are increasing the rates and all, we will have to do it. Otherwise, we will be continuing more or less at the same rate and the same trend will continue. So that's why what we thought is once the third quart er results are there, we'll have a better clarity about the fourth quarter. At that time will give you an indication.
So that way, if you look at it, our cost of deposits for the June is 4.96%. Now it is 5.16%, 20 basis points, it has gone up there.
M

oderator: Thank you. The next call is -- the next question is from the line of Jai Mundhra with ICICI Securities. Please go ahead.
Jai Mundhra: Congratulations, sir, on a great set of numbers. Sir, first, on credit growth? So as you mentioned in your open ing remarks, we have done much better than the guidance that we had given at the beginning of the year of 14%. Any thoughts on, sir, revising that guidance approach?
Ramesh Babu: No, Jai, in fact, it's a bigger question why I tell you. So because this quar ter, if you look at it, CIG has contributed where the growth was muted relatively last quarter. But if otherwise also if you look at it around the sector, each one of them, they have grown very well. So what we feel is still we want to maintain this 14%, 1 5% what we are saying. The reason is simple.

Now the deposit cost what all is coming up. So suppose, if this continuous majority is coming up in time deposits, it may not be worthwhile to take the lower yielding many of the assets. So in the process, we ma y, in fact, during this quarter also, we are planning to come out of a few of the low -yielding assets at least so that the margins can be protected.
So instead of taking the deposit at that rate and all and with a thin margin of 0.5% and 1% working on that , instead of that low -yielding top line will come down, and we will increase this sort of yield if I'm replacing an account with an 8.25% to 9.25% or 9.85%, I will be

straight getting on the same amount of 1% and 1.5%. So that way at this stage rather than focusing on the top line, we're trying to focus on the bottom line when the deposits normalcy restores and all, these sort of a fight comes down, then we can think of the top line also aggressively how we can grow.
Jai Mundhra: Right. Okay. And sir, simil arly, you also mentioned that the deposits have been continued. I mean, the deposit growth has mainly come on term deposit side. At the same time, we had -- we were running this initiative on CASA.
Ramesh Babu: Correct.
Jai Mundhra: So if there is any upda te, I think the -- maybe the growth Y -o-Y and Q -o-Q for CASA has now been in -- is very low single digit 1%, 3% only, is there any -- I mean, how are you accessing the CASA growth initiative?
Ramesh Babu: Yes, absolutely. Our Dolphy Jose, who is the Head o f Consumer Banking is on the call. Dolphy, so please take this question and all. Go ahead. Dolphy are you there?
Dolphy Jose: Repeat the question because I got disconnected in between. Can somebody...
Ramesh Babu: The CASA initiative what we have taken, h ow is it going forward? And what are the expectations and guidance that's what the Mr. Jai Mundhra is asking. You can respond on that.
Dolphy Jose: Yes. So our] growth is 13% is what our CASA growth is no our overall deposit growth is. And our overall depo sit where the maximum growth has come from the TD and RTD deposit mobilization. CASA has been comparatively slower. But for ensuring that going forward that we are beefed up to do the incremental top line on CASA and continue to garner the low -cost deposit is in track. As I'd mentioned last time that we were -- also MD sir just mentioned about recruiting around close to 1,227 people already on board, which are --- a pure sales team, who is into acquisition of CASA primarily.
And also to augment that we also have a team is the frontline branch team, which is called branch sales and service executives, which is again a lateral recruitment of about close to 1,000 -odd people who are trained for engaging with customers for further deepening and improving the PPC of -- Product Per Customer.

So these are the two large activities which we are doing, and it's in place. And I'm expecting good traction, and we should be able to continue the chase of CASA as per the guidance of the bank.
Ramesh Babu: Yes. Jai, in fact, I would like to add a few more points on what Dolphy has mentioned. I think Dolphy, I think you have to mute, that echo is coming. Yes. So just I would like to add, Jai, are you there?
Jai Mundhra: Yes sir.
Ramesh Babu: Few things I just want to add in addition to what he has mentioned. Now you see then these 1,300 people have come, they have come from different banks. So the technology what they were using and the products what they were using were altogether different. Initially, there was a lot of bra instorming is there and what is good for the bank because the bank has their own products and all, every year we were pushing the product.
Now the question is when these boys have come, they are demanding saying that this is what market wants, we need to m odify our product on these lines then only the product will be to through. Likewise, the technological intervention what all are required also, they have been demanding that is good for the bank. So that way, these things are in the process, process change s, technology changes and product changes. So in the process, all these people, they are on the job into the market.
Now coming to the point you are asking, saying that suppose if the CASA vertical started functioning, why it is not getting reflected in th e CASA numbers ? It's like this, the flow is coming, but the problem is that existing accounts majority of the balance what all is there, is majority is moving into time deposits. Because people are in a hurry, how long these rates will be there and all the y want to lock the rates, So that is the reason money is flowing into from the CASA into the time deposit.
Now initially, we were also hesitant not to move and to encourage them to retain with CASA. We had a bitter experience of few other customers straig htaway the time deposits that moved to some other banks. Initially, it may go as the time deposit, but later total relationship may go out. So that is the reason we are encouraging them to be with us only by shifting it to time deposits. So this is a proce ss, it may take some more time. But in the meanwhile, you also understand the money may be going for these real estate, gold and stock market , these things also are there in general for the banking industry. That is the reason the new initiative of

CASA wh at we have taken , The new acquisition comes and we deepen, in course of time, we will be getting good numbers there in that. Otherwise, earlier, only branch channel was doing all these things that may not be sufficient enough to take care of the growth wha t we are having in the assets.
Jai Mundhra: Right. Understood. And sir, before I move to this loan growth, if you have the number for the treasury gains during the quarter, how much was that? And in this a part of other of 142?

Natarajan : So the treasury g ain I think this in the presentation Slide number 11 to INR11 crores increase for this quarter.
Jai Mundhra: Okay. Understood. And now sir, a question on your retail growth strategy, right? So in the retail loan book that you have given product -wise housing LAP, personal loan. So there is a very sharp healthy growth in LAP and there is a renewed growth in the per sonal loan, right? So we were doing a separate channel for LAP, I think NEO and Smart -- KVB Smart. So any, If you can update that, a) how big has been the NEO now? And, b) how is the other alternate channel of Smart playing out? Number two...
Ramesh Babu: Jai, in fact, there is a small difference in what the KVB Smart and NEO are doing. NEO's focus was earlier on the LAP. But later, when we have given them the task of the home loan also, they opened a branch in Hyderabad exclusively for the home

loans and CRE. And later, one more branch of Bangalore also has been converted for the NEO. And these branches are focusing on the home loans and NEO focus on the LAP continues, So NEO is growing very well. Absolutely, there's no issue.
So overall, the per year, ou r expectation is around INR2,200 crores. And this quarter also, the growth is around INR600 crores, INR700 crores.
Ramshankar: INR945 crores we have grown.
Ramesh Babu: Six months their growth is INR945 crores. Whereas coming to Smart, the different is, S mart focus is not on the LAP, their focus is on the working capital. So that way, they started the centers in the inaugural address I told that. Now Madurai center also recently just people have been onboarded in the sense that recruitment has been happene d. So their outstanding is around currently INR49 crores, something like that. So they are settling down with the existing bank practices, what all are there, they are able to settle down and they start giving the numbers.
But if you look at originally whe n the NEO started, NEO's numbers also were like this only. But over a period of time, NEO started contributing around INR2,000 crores or INR2,500 crores per year. So over a period of time Smart also will do that. But both of them are on track and Smart is also because what all centers they wanted they did it. So now maybe next three months, four months, we will start seeing the numbers.
Jai Mundhra: Right. And sir, what is the outstanding number for NEO? I mean, INR2,200 crores is the run rate for disbursem ent...
Ramshankar: INR4,800 crores.
Ramesh Babu: INR4,800 crores, yes.
Jai Mundhra: Sure. And lastly, sir…
Ramshankar: INR5,055 crores. Yes.

Jai Mundhra: Okay. And sir, has anything changed on your outlook on personal loans? Because earlier, we were, t he book was not growing. And now there seems change in that direction personal loan.
Ramesh Babu: No, Jai in fact, I'll tell you, our outlook on the personal continues as it is. There are a two - pronged approach. One is, out of our existing accounts, what all we have filters with that pre - approved personal loan, we have identified which has come to around INR450 crores to INR500 crores, out of that INR50 crores to INR60 crores we could book.
But we earlier also, we have told, the Axio partnership what all i s there, where under BNPL so many customers have been created, along with our Axio partners. So we thought that depending upon -- after looking at their repayment capacity and the CIBIL score of the last two years, how we have identified -- Axio has identi fied with the analytics team a set of people

who are good for the personal loans. And we asked them to fund those personal loans initially, and six months to nine months, they did it and all the repayments were good. And after that, we bought a small pool from them.
Now we are in the process of working with them for a co -lending arrangement with 80:20. So that way, what all pool -- small pool we have taken. But this pool, what we have taken is also the customers of ours because they are a part of the BNPL. So we have gone in a different stages. One is the total BNPL, out of that we made Axio to do that. Once we tested that model and all, third, we started going for the co -lending and the pool purchase. So our focus would be two-pronged. One is on the existin g book what all ours are there out of that.
But let me be frank with you, you cannot expect huge numbers from the existing book because the corporate salary package accounts in our book are relatively few compared to other banks. So if those sort of accoun ts are not there, is self -employed and now if you go for personal loans and all, COVID time what experience we had, similar experience we may have to encounter. That is the reason we are going slow on our own book pe

rsonal loan, but whereas
that Axio book what BNPL we have done, there absolutely we have a good scope. We will take it forward.
But whatever it is, we will not go aggressively under the personal loans because if we grow there and all the growth will gone aggressively. But Reserve Bank of India, whatever guidance they are giving, in that way, we will go in a measured as for as personal loans are concerned. But we have a good window opened through the BNPL customers for funding these personal loans.
Jai Mundhra: Right. Understood. And last question , sir, what would be your -- I mean, target for branch opening this fiscal year?
Ramesh Babu: 40 branches we planned, out of the 25 branches have been opened because they wanted to front -load this thing so that once they come, you may be incurring the cost , I agree but they will -- progressively, they will be delivering something. 25 have been opened, and next another 15 branches also. We will try to do open majority of branches in this quarter, leaving very few for the last quarter.

Moderator: Thank you. The next question is from the line of Prabal Gandhi with AMBIT Capital. Please go ahead.
Prabal Gandhi: Congratulations, Mr. Babu, and entire Karur team for the good quarter. So just continuing from the last participant's question, where you highlighted th at bank does not want to compromise on margins and that is why bank is conservative on guidance of growth. But we also have 250% -plus LCR, Liquidity Coverage Ratio. So can you utilize this LCR and fund loan book?
Ramesh Babu: Yes, yes, we can do it. You have to look at it in two ways. One is LCR is there. Second side is the CD ratio. So all along, we have been maintaining a CD ratio of 85. Currently, also, if you look at it, just 84 -plus, we are there. So that way, we have some room. If you look at a few banks that there 90, 100, 110 also is there. But we do not want to go with that majority of our funding credit we want to do it through our capital or the deposit.
So that way what you said is correct, that room is available there. We can take it out. We can do that. That also, we are working on that. So second, because they have INR2,200 crores more than the SLR required, what all that cushion is there. So we kept it other side. But to the extent possible, we want to raise the deposits here and then to fund the assets. Otherwise, what you said is correct, that also the room is available for us.
Prabal Gandhi: Okay. And in the deposit as well, we are focusing more on the CASA franchise and the…
Ramesh Babu: Correct. As we said, because last year itself, we started the process, but it took some time to augment these people. And now our team has come in place, and I was telling that initial hiccups what all are there, maybe in the process, product, technology, these things the process is going on. Once they ar e through, so they will be on the job and all, they will be firing the gun. And then those customers deepening the branches will be doing. So this is the plan.
Prabal Gandhi: Okay. And sir, so since they're focusing on CASA franchise and now in we have als o built the team for a CASA -- with CASA people, should we not increase our SAR rate because our saving rate is 2.25% which is one of the lowest, so instead of getting term deposit at 7% and above, we can simply raise SA rate maybe 4% or 5%. And you can get [inaudible 0:30:42] that as well.
Ramesh Babu: I agreed. Prabal that is a good point what you have mentioned. But what you do empirically when we saw it earlier, the interest rate change has not brought much money. Let us assume in

our case, also above I NR100 crores, we said that we'll give a higher percent of 4%. We did find any terrific growth into the particular INR100 crore segment at all. Next thing also, you need to look at it. Suppose if

we are going to change the rate and if you are going to revis e, the uncertainty that I may or may not get fresh accruals that is uncertain. But certainty is existing portfolio gets repriced immediately, and I will have to pay on this -- at this ratio to all of them. And tomorrow for any reason, if I reduce this rate , there will be a big heartburn. So that is the reason what we thought, which has been discussed many times in our ALCO meetings and with the liabilities team also. So what we thought instead of spoiling the existing

setup the customers and paying higher, so why can't we try, and we had a discussion with the field team also whom we have taken whether we need to do? What they also said is, let us test the waters currently with the current rate. And if we reach a Chinese wall where we cannot beyond that at t hat stage, we can do it rather than an overnight increase in the cost for the CASA now itself.

Prabal Gandhi: Perfect. Sir, second question is just to clarify also, you said in your opening remarks that we are expecting 20 basis points jump in cost of depo sits for the next two quarters and 10 basis points jump in...

Ramesh Babu: I didn't said two quarters, I told about third quarter.

Prabal Gandhi: Okay. Only third quarter, and an increase of 10 basis points in yield on advances.

Ramesh Babu: No, no. That 's also what I mentioned was is like this. 20 basis points spike in the cost of deposits and a 10 basis points to 15 basis points spike in the yield on advances in the coming two quarters. Because if you look at the third -- second quarter also, the yield is up by 7 basis points. So that's why what we thought is if the same trend continues for the next two quarters. The yield will go up by another 15 basis points. That's what we thought.

Prabal Gandhi: Okay. But by the end of third quarter, at least the dep osit so that fully repriced. So the maximum of that deposit can get reprised up by 20 basis points.

Ramesh Babu: That is what our intention because it's quite opaque now how it works if we do not know if the credit growth grows every other bank also raises their deposit. You may have to raise. Otherwise, if it is not required, you may continue the same way or RBI may do something. It all these still let us see on this quarter and all then we'll take a call for the next quarter.

Natarajan : See Prabal, repric ing on that aspect and NEO upon onboarding, whatever we are onboarding, we have to pay a higher cost so that is issue now.

Prabal Gandhi: Okay. Yes, understood. Sir, the third question is on growth in the commercial and the small and medium segment. The co mpetition is relatively on the higher side but we are still able to clock on the rate of 19% growth. So what is our strategy here? And how are we able to do much better than what our competitor is doing?

Ramesh Babu: Yes. In fact, the team there, they did a homework of what are the changes required in the process and the knowledge gap in the people who are unable to deliver, with all these things and those who are well performing, how did they do it? All these things, they have studied. And the same thing i s getting replicated to see more -and-more branches contribute. That is the reason. So if you can look at it, the disbursements quarter -on-quarter are going up by 10% to 15%. So likewise, which are the sectors where we are strong. If we focus on those secto rs, this clinching the deal will be much faster. And that is the reason the food processing, the wholesale, the retail trade and these sort of things have been given focused rather than the textile. At the point of time we were doing only textile. Now text ile

slowdown is there. So the team started focusing on rest of the

things. There is buoyancy in the market in the ground. So this requirement of the credit is there. So we are able to do. So that way, if you look at it earlier, a few divisions were contrib uting. Now many divisions started contributing. And any sort of hitches here and there in whole process of onboarding that we started fixing. So that way, it has more than the process and the team who are

operating, they become more comfortable in pushing the SM E.
Prabal Gandhi: Understood. And sir, how are you seeing your loan mix evolve over a period of time because now our corporate loan book share already at 21%. It used to be around 40% earlier. How you see the projection...
Ramesh Babu: You would have seen that. So if the commercial book grows, nothing like that for us. The reason is it's a granular book, highest yielding and where we have strength. And that way, our aim is to maintain the 33, 35 what all is their progressively to take it. And rest of the two verticals of the agriculture as well as the personal banking those sort of things. And the balancing number will be the corporate. And corporate also, you would have seen that our focus has moved from a big corporate like INR200 crores, INR300 cror es, it has come down to below INR100 crores and majority of exposures are below INR75 crores. That is a reason our average ticket size also has come down to INR39.41 crores.
So corporate also, though it is a normal case talks about corporate, we started granularing the portfolio for better yield and for the risk management. So our focus will be on the commercial, followed by the retail, agriculture and then CIG. Agriculture is really helping us in maintaining our the priority sector. Otherwise, for this g rowth, what we are getting in the priority sector is not growing, we need to buy the PSLC subsequent, which again is a cost for us.
Prabal Gandhi: Understood. And sir, last question. So what would be our technical write -off pool? And what kind of recovery are you expecting in terms of pool over next 2 to 3 years?
Ramesh Babu: In fact, we have indicated saying that it can be around -- last call, one of the analysts were asking whether we'll be able to more or less reach the number of last year like INR208 cr ores. So we are more or less on track for the INR250 crores, something like that we'll be able to do that. INR200 crores, INR250 crores we'll plan for this one. And for the whole year, we will see how we can take it forward.
Prabal Gandhi: Understood. And you have the number ready for technical write -off pool?
Ramesh Babu: Ready -- What is that?
Ramshankar R: Write -off of pool number.
Ramesh Babu: Pool, is -- I'll tell you, Prabal, it is deceptive. The reason is suppose pool, if I talk about, let us say, 400, I'm just saying that, there are many accounts of the old infrastructure, which were booked in 2012 and all where -- actually, when they want to consult NCLT, what you get is

3%, 4%, and many other consortium accounts are there. Those accounts where the chances of recovery is pretty low.
But where if you look at what is actually retail, MSME and the corporate with some sort of security, which comes to around INR1,500 crores, INR1,600 crores will be there. So our focus is majority on them. But as you k now very well, so every time we try to do it and all, the borrowers are much more smarter, we will use all legal means to stall the process.
And we are also tuned for this comment on how to overcome that's why we started getting this money which was not th ere earlier. So our team is now geared up to push the technical write - off amounts also to the extent possible. So that really to expect around INR1,500 crores to INR1,600 crores is a pool where you can put your hands on that.
Moderator: Thank you. The next question is from the line of Madhu Dey fr

om Altavista Capital Partners.
Please go ahead.
Madhu Dey : Congratulations on continued strong performance. So I have this question on your unsecured book, which is very small. So I wanted to understand your strate gy on this piece because while it is extremely important to focus on the liability which you are doing, but this is something which is -- although you have a large share, higher ending MSME portfolio. But this is also one segment which a lot of competitors are going very aggressive on. So given that you still have a very low risk -weighted asset density. What is going to be your strategy on the unsecured piece?
Ramesh Babu: Yes, yes. Ma'am, in fact, if you can look at it earlier when they were asking I was n arrating, actually earlier, actually, the personal loan was not a focus area at all for the bank because our focus was majority on the secure. Even if you look at it majority of our personal segment as well as SME segment, they are backed by security.
Now that outlook, we have changed over a period of time, pre -COVID, maybe it was a wrong time, I do not know. So we have actually analyzed our total portfolio. We brought out some -- our own existing customers who are eligible for the pre -approval personal loa ns, and we have gone for around INR500 crores to INR600 crores of portfolio.
So we were growing at that time suddenly COVID has come and the first default started in the

personal loans , because there is no security, no stake, no skin in the game. So they defaulted on that. And we had to bear the brunt at the particular point of time. And subsequently, we were lying low. Then little we thought when everyone is growing. So the point what we sort of thought was, this is a cycle when things move well. Personal segments, personal loans will go well. If there is a small issue here and there and all, again, you will be having this sort of thing. We have come out of the bigger issues at the corporate earlier we do not want to actually repeat those sort of issues ag ain in the retail. That was a precise reason we were a bit conservative. But then found out different opportunities in that. As I was mentioning, our existing customer base, if you look at it, majority of them are not salaried.

Now that the liability teams what we have created we have a sub -sector and the team will be doing for the salaried also. Over a period of time, we also will be along with other personal loan. But in the meanwhile, what we thought is you must be knowing we have an arrangement with Ama zon through our partner Axio and we have created a big pool, and more or less the outstanding range is between INR350 crores to INR400 crores.

But this is not a question outstanding, the number of customers whom we have created out of that. It ran into 30, 35 lakh customers are there. Out of them, many of them out of their past record and performance they have proved with their CIBIL score also, they are good for the personal loans,

So what we did is our Axio team has a very good analytics team is there. S o we work with them and found out and filter who are the people who are good for the personal loans, And for that, what we did is we asked Axio to finance these people initially. And Axio started financing them from the last year January.

And up to 1 year , more or less they have financed and the recovery was going on very well as planned by them. That is the reason this year we bought a small pool out of that because these are com bined customers of both of us. And now we are actively engaging with Axio , for the co-lending because it's a tested customer, where the chances of failures are, I'm not saying failures will be there, but the loss given default, if you look at it, that is bearable from the yield what we are getting.

So our focus is our two -pronged o n these customers.

One is you fix a personal loan limit against them. We have activating our credit card team also by taking people from the market. So we have other things are there. So once that team is in place, these customers many of them have low cre dit card, the personal loan limit what we are giving a part of that we can give them as a credit card debt, let's say, INR5,000. So that it will help them to create their credit history. And for us, the credit card business also will go up where MDR will b e able to get and on the other side, personal loan also we can give. So this is a broader plan what we have, and we are actively working on that.

Madhu Dey : So what's the -- I mean, is it that only a personal loan is the only unsecured piece in your entire book? Or is that...

Ramesh Babu: Absolutely. Personal is unsecured. Otherwise, the rest of the data if you have seen. So home loans, mortgages, jewel loan, vehicle loans, all of them, they are more less secured by something or other. Education loan is als o, to some extent, backed by some sort of collateral. And other loans, what we talk, it includes the staff loans what we have as well as the loan second is a time deposits. So personal loans in our connotation is they are literally unsecured loans.

Madhu D ey: Okay. So any target for the unsecured loan in the next two years? And any new products that you are planning to add here?

Ramesh Babu: all in all what I have explained to you, this is what is the plan, but I tell you, if we did not go aggressively in the particular segment, it can be maybe a 5%, 10% of our portfolio that way, and not -- cannot be beyond that.

Madhu Dey: Got it. And any new products that you're thinking about?

Ramesh Babu: Yes, product is a blended product, what I said. Suppose if you give a

personal loan to them, a part will be financed this way, and second one if you give a credit card limit to them. So then it is the blended product going to them credit card limit, and on that, you have a dual benefit. So on the interest portion, MDR , what you are getting that way. So that will be helping us. Let us say the interest will come. So now once we start doing this one, we will be finding many more opportunities from this customer. Our Axio who is very well entrenched into these sort of thin gs, they are working on them. So we will bring out some of our products for the people once we start testing with the personal loans.
Madhu Dey: You are not -- a lot of your competitors are eyeing this micro finance segment also?
Ramesh Babu: Yes, that's all I tell you. In fact, in one of the calls last time, we have mentioned it, that also I need to brief you. What happens there is a lot of opportunity is there because there also is absolutely unsecured bank was not going. Last one year, we did a homework on that. Rather than we're directly embarking on the journey and do this one because when you do not have an internal expertise, later you may burn your finger.
What we did is we partnered with 1 other BC who is already doing with around 12 other banks and all for the last 7, 8 years, and they have majority presence in the South, and we have partnered with them by looking at their track record and all.
So now we -- they started opening the branches of ours as well as their together, and we have common unde rwriting norms are there. With that, the portfolio is more or less reaching around INR100 crores last 3, 4 months when we started. And we are in the process of entering into a tie-up with 2 more such partners. And once this two place -- also will come into place. So progressively will be going under the MFI space also.
Madhu Dey: This is coming under which heads in your...
Ramesh Babu: Agriculture. Under agriculture, it will come there.
Madhu Dey: Okay. So there's a small piece of unsecured in ag

riculture also.
Ramesh Babu: Yes, yes, yes. Absolutely, absolutely. My point is we started taking the baby steps because we are looking at what are the various pros and cons. And once we have comfort and all the firm footing what we have, we'll scale it to the next level.
Madhu Dey: Okay. And my very last question is you indicated that you wish to maintain this 1.5% ROA that you have already achieved. It seems that there's going to be some kind of stagnancy in ROA before the deposit engine starts firing. Am I correct in this understanding?

Ramesh Babu: So it's not the question of stagnancy. If you look at it, we have many pockets are there. If you look at our NPA, the total NPA of the net NPA of the bank is INR324 crores Out of that, if you can just look at the same slide, INR155 crores is the slippages of this quarter. If you de duct that INR155 crores of this quarter seepages, the net NPA comes to INR169 crores. Out of that, if you look at restructured book 25%, we have a provision there. Out of INR900 c rores, 25% is INR200 crores is there. If I appropriate the INR200 crores restructuring book my net NPA will be come on zero.
Over a period of time, then a need for providing for the credit cost comes down and automatically by book growth the top line, both on the income side as well as the credit cost comes down, in between the cost we are incurring for these new projects. May be there, but they are going to yield results over a period of time.
So we need not to worry about the ROA because if you can look at it, when the things are good, INR25 crores, we have provided for the contingency reserve last quarter and this quarter. Maybe after two to three quarters, there may not be any need to provide that one once we get a clarity that what all we have provided w ould be sufficient enough to take care of the ECL.
So all these cushions what we have, we are not yet exhausted. So that way, if you look at it, we are more or less getting a feeling saying that in this quarter, we will be more or less at about 1.6% as far as the ROA is concerned. So the trajectory, what we have, and you would have also seen our SMA 30+, which has to forward flow into the NPA. Th eir also when it is under control, the chances of NPA and in turn the credit cost, all these things, that's why w e wanted to show transparency to the market.
So there, we have enough cushion in the credit cost because of INR324 crores, after two months or two quarters, there may not be much need to provide INR102 crores what we have provided here. If you had to provi de INR25 crores to INR30 crores, there itself we will have an additional cushion of INR75 crores there.
Madhu Dey: Okay. You see upside in the credit cost in the near term, in the next two quarters?
Ramesh Babu: No, no, we are not looking at it. That's wha t I'm saying. Credit cost, what we have given an indication is 75 basis points, we will be well within that, well within that. Credit cost will not

go up there. That's what I'm telling. The reason is then your SMA 30+ is 0.68%, something like that. Then ev en if you assume 50% goes towards NPA also, it may not be 0.34%. So that way, there may not be much need for the credit cost there. So you will have some sort of a freedom from the credit cost, which will help you in your ROA. Am I clear or not. If you are not clear, I can repeat.
Madhu Dey: No, no. I understood it. What you're trying to suggest is, there could be some pleasant surprise in terms of your need to provide in the coming quarters?
Ramesh Babu: No, no. There is no question of any pleasant surpris e. If you look at it, numbers are very clear. When my net NPA is INR324 crores, how much I will provide. I cannot provide INR400 crores for that. Okay? As simple as that.

Madhu Dey: And a very last question since -- because of the need to garner -- improve the quality of deposits you're having to beef up your field force, et cetera. What is a realistic time line to get to that aspirational cost -to-income ratio?
Ramesh Babu: Aspirational cost -to-income ratio, you would have seen that we were at 54 55, okay? I deally had we not taken the initiatives like liabilities, 1,300 people taking in a branch level, 1,000 lower -level team we are taking. Smart -- KVB Smart for the commercial banking what we are taking. And all these things, if we have not done, ideally our cost to income would be at 45 only, no problem. But we will be doing industries to the bank if we do not take these initiatives, the future o f the bank will be very gloomy.
That is the reason, as an investment we are making, which should not be considere d as a cost at this stage. If you do not incur these costs at this stage, tomorrow is our top line and income will not grow. Otherwise, our intention is to be in the range of 45 to 50 only. So you could see that they are on March ending also how is our cos t-to-income ratio.
Moderator: Thank you. The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.
Lalit Deo: Sir congratulations on a good set of numbers, congratulation. Sir just one question on clarification maybe. So li ke you mentioned that on the employee side, the expenses maybe broadly in the range of about INR290 crores to INR300 crores after adjusting for this superannuation benefits. So like from FY'25 onwards, like we can see a annual employee structure in the range of over INR1,200 crores to INR1,250 crores. Is that right?
Ramesh Babu: Yes, yes. We estimate that only. I'll tell you Lalit, what we are doing because IBA what all has come up and all. So last time when we did it and all, there was a shortfall in on e quarter we had to make. So we do not want those sort of surprises and shocks to any one of them. That is the reason sufficiently we are making provisions for these sort of cushioning. So tomorrow, if this much of requirement is not there, we will be reve rsing these things, sir.
So agreed, what all we can perceive d and visualize d what is required, everything we are providing because when the good times are there if you do not provide at this stage, tomorrow, you may have to repent. Once these are through a nd as we said, that one time INR100 crores for three quarters if you provide, this will be out. So then onwards, it will be a normalized cost and all, what you said is pretty correct, we may be in that range only.
Moderator: We'll have to take that as the last question. I would now like to hand the conference back to Mr. V. Ramesh Babu, MD and CEO, for closing comments.
Ramesh Babu: Yes. Thank you all for the patience and the interest what you have shown in our bank . And for the good word and the good wishe s what you have conveyed and we'll continue our journey the same way and we will take it forward, keeping the interest of all the stakeholders. Good day to all of you, and thank you once again.

Moderator: Thank you very much. On behalf of The Karur Vysya B ank, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Nov 2023

Classification | REGULATORS
IRC:F48:209:473 :2023 October 21 , 2023

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor,
Plot No. C -1, ‘G’ Block,
Bandra - Kurla Complex,
Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Una udited Financial Results of the Bank for the Quarter and Half Year ended September 30, 2023
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Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transcript of Conference Call held on October 16 , 2023 at 05:30 p.m. (IST), in connection with the Unaudited Financial Results of the Bank for the Quarter and Half Y ear ended September 30, 2023 .

The same is also made available on the website of the Bank and can be accessed on the following link:

https://www.kvb.co.in/docs/investor -con-call-transcript -fy24-2.pdf

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager

Encl: As above

“Karur Vysya Bank Limited
Q2 FY '23 -'24 Earnings Conference Call”
October 16, 202 3

MANAGEMENT : MR. RAMESH BABU – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER

MR. NATARAJAN – PRESIDENT AND CHIEF OPERATING OFFICER

MR. RAMSHANKAR – CHIEF FINANCIAL OFFICER

MR. DOLPHY JOSE – GROUP HEAD – CONSUMER BANKING

Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY '23 -'24 Earnings Conference Call of Th e Karur Vysya Bank. We have with us today the management team of KVB, represented by Mr. Ramesh Babu, MD and CEO; Mr. Natarajan, President and Chief Operating Officer; Mr. Ramshankar, CFO; and Mr. Dolphy Jose, Group Head - Consumer Banking.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, to take us through the highlights of the quarter gone by, after which we will open the floor for questions. Over to you, sir.
Ramesh Babu: Thank you very much. Yes. Good evening to all, and welcome to The Karur Vysya Bank's Earning Call to discuss the results of quarter 2 of financial year 2024. I am pleased to mention that our bank continues to demonstrate its consistent performance in the second quarter of the year in terms of growth, profitability and asset quality. I am very happy to say that the bank has crossed historical milestone of total business of INR1.5 trillion, that is INR150,000 crores. You would appreciate t hat we had crossed INR1,25,000 crores in March '22, and the next INR25,000 crores has been crossed within a short span of 18 months.
You will be glad to note that our performance in terms of credit growth, margin, ROA and delinquency is in line with our g uidance. I am sure you will not differ, if I say that, the outcome is on account of our continued focus on various initiatives we were implementing over the last few quarters. All of you would have gone through our detailed presentation on our quarter 2 nu mbers.
I would like to share some of my thoughts on the performance of the bank during the quarter and our guidance for quarter 3. We were able to sustain the growth momentum during the second quarter as our total business grew by 4% and reached a level o f INR153,516 crores. We have been guiding in our earlier calls about our focus on inclusive growth from all verticals with respect to advances.
I am pleased to share that during the current quarter, we continue to maintain this, while commercial and corpo rate clocking 6% quarter -on-quarter each. Agriculture and retail segments have grown by 4% each. Our continued focus on MSME in metro, urban and semi - urban locations supported the growth under commercial segment. Corporate book, which has muted growth in l ast quarter improved during this quarter on account of higher disbursements. Retail growth is similar to last quarter, and the majority of the growth has come from mortgages, both residential and non -residential. Our focused effort on the distribution and benchmarking of our products to market -supported operating team to garner more business under these segments. The overall growth is a touch above on our annual guided growth of 14%, and we expect that the trend will continue.

Our deposit growth was at 3% during the quarter, and the term deposits and CASA deposits were grown by 4% and 1%, respectively. We had highlighted about our liabilities acquisition team. Out of the planned resources of 1,300, we continue to build our retail acquisition team by onboar ding 367 resources during the second quarter, aggregating to 1,272 resources. Seamless integration with the original structure is being pursued, first to achieve the synergies of the branch and sales channel for augmenting larger business growth. Our YTD g rowth during the year so far is at 13%, and

we plan to maintain the growth trend in tune with our
trade expansion.
We had indicated in the last two calls about expected compression in NIMs in the first half year and would be in the range of 4%. Net intere st margin reduced by 12 basis points on sequential basis during the quarter and is now at 4.07%. For the first half year, we are able to maintain NIM at 4.13% in spite of the NIM compression. Our net interest income has grown by 2% during the quarter and 16% year -on-year thanks to our consistent efforts in bringing the desired asset growth.
While cost of deposits have gone up by 20 basis points, yield on advances increased by 7 basis points during the quarter, resulting in a compression of 12 basis points . Based on our historical pattern of renewal of deposits and fresh deposit acquisition, we expect that there will be a further increase in the cost of deposits to the extent of 20 basis points in third quarter, assuming no change in our deposit rates. Yiel d on investments has gone up by 13 basis points during the quarter, and it is estimated to go up by 10 basis points in the next quarter.
We have increased our MCLR by 25 basis points during the quarter and initiated many efforts in maximizing returns from the credit book and we expect 10 to 15 basis points increase in the yield on advances maybe in the next two quarters. Considering all these factors and without taking into any policy rate changes, we expect that NIM will stabilize at 3.8% at the exit quarter of the current year. We have achieved ROA of 1.57% in this quarter in spite of reduced margin, our business growth, fee income, lower credit cost and recoveries in written -off accounts continue to support us to keep the ROA above 1.5% levels.
Our slip pages continue to be under control, and our gross slippages for the quarter is less than 1%, which is as per our guidance. We continue to have negative net slippages taking into account recoveries from the written -off accounts this quarter also. Our SMA 30 + for the entire loan book at the end of the quarter continues to be at less than 1%. We are confident that we will continue to keep the ratio below 1% as guided in our earlier calls.
Our efforts on recovery of technically written -off accounts are continuing to yield results as we have recovered a sum of INR86 crores during the quarter. Total recoveries till first half of the year are INR144 crores. Due to lower slippages, recoveries and write -offs, our gross NPA has come down to 1.73%, and we expec t that we will continue to maintain at below 2% levels. For the quarter under review, we have provided a sum of INR102 crores towards NPA migrations, standard assets and prudential provisions. We estimate that credit costs for the current year would be in the range of 75 basis points as guided.

As done in last quarter, we have provided a sum of INR25 crores more towards floating provision to meet any contingency, including ECL and provision available now under this head is INR50 crores. Our net NPA has com e down to 0.47%, and we will continue to maintain net NPA at less than 1% of our loan book. Our standard restructured book is further reduced to 1.2% of our loan book , and we hold a provision of 25% of a standard restructured book.
Our cost -to-income ratio is at 49.14% for the current quarter, which is sequentially higher over previous quarter. This is mainly due to additional provision made towards superannuation benefits on account of wage revision of employees. Bank has been providing 15% of our eligible wage bill from November '22 onwards on the estimated wage bill increase.
Now it is estimated a sum of INR100 crores is required towards superannuation benefits on account of wage revision. And we have provided a sum of INR33 crores during the current quarter and the balance amount will be pr

ovided in the next two quarters. So far, we have
provided INR117 crores. So if you see that including the current quarter additional provision, the additional cost is a onetime expense, and our normalized staff cost wou ld be in the range of INR290 crores to INR300 crores per quarter.
As indicated earlier, our cost -to-income ratio would be in the range of 45% to 50%, and this is our endeavor. Our CRAR continues to be robust and is at 16.84%, providing us comfortable headr oom for growth. Our liquidity is well managed and the CD ratio is around 84%.
During the quarter, we opened 16 branches predominantly in semi -urban and total branches opened during the first half of the year is 25 branches and opened one digital banking un it at Chennai. Our new initiatives of KVB Smart under the Commercial Banking business is progressing with a portfolio of INR49 crores. It added Madurai center during the quarter in addition to Coimbatore, Chennai, Hyderabad locations with a team size of 48 members. It is in a formative stage. It will take some time for delivering what we thought.
Business under NEO, co -lending business, and transaction banking and the precious metal

continue to perform well. Other business performance highlights are given i n our presentation. We have been consistently improving our performance over a period of last two years, and the trend is continued in the half year also.
I would like to conclude with the quote of Napoleon Hill, strength and growth come only through conti nuous effort and struggle. Our effort would be to focus on sustaining our growth momentum to ensure that our ROA is above 1.5% levels going forward. I am grateful to all our investors, analysts and stakeholders for their confidence and continued support, w hich we will reciprocate through our better performance in the days to come. Now I'll be glad to respond to your questions. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rakesh Kumar from B&K Securities. Please go ahead.

Rakesh Kumar: Thank you, sir. So . Sir, just one question, firstly, on this cost of term deposit. So how much increase would have happened, sir, in this quarter on a sequential basis, cost of term deposit s, sir?
Ramesh Babu: Term -- it's 20, cost of term deposits.
Rakesh Kumar: Yes, sir.
Ramesh Babu: The cost of overall deposits, term deposits, I think CFO.
Ramshankar: Because we don't have any cost for CA -- it will be same...
Ramesh Babu: Same cost. Yes so during the quarter, the term deposits the same trend is being maintained, and no additional costs have gone up because the rates of interest, they have not changed. The same rates are being continued.
Rakesh Kumar: And cost of deposits, sir, how muc h increase was there, sir, cost of deposit like -- and how much it is expected in the Q3 and Q4, sir?
Ramesh Babu: Q3, we conveyed in the original listing, around 20 basis points, we can expect that way. And cost, if you can look at this 5.16% is the cost of deposits now.
Rakesh Kumar: Okay. And the similar kind of increase or would be there in Q4, sir, Q4?
Ramesh Babu: Q4, we'll not be able to tell at this stage because the flow is what we look at it because -- how it unfolds, we'll have to see. Suppose i f the liquidity becomes an issue and other banks are increasing the rates and all, we will have to do it. Otherwise, we will be continuing more or less at the same rate and the same trend will continue. So that's why what we thought is once the third quart er results are there, we'll have a better clarity about the fourth quarter. At that time will give you an indication.
So that way, if you look at it, our cost of deposits for the June is 4.96%. Now it is 5.16%, 20 basis points, it has gone up there.
M

oderator: Thank you. The next call is -- the next question is from the line of Jai Mundhra with ICICI Securities. Please go ahead.
Jai Mundhra: Congratulations, sir, on a great set of numbers. Sir, first, on credit growth? So as you mentioned in your open ing remarks, we have done much better than the guidance that we had given at the beginning of the year of 14%. Any thoughts on, sir, revising that guidance approach?
Ramesh Babu: No, Jai, in fact, it's a bigger question why I tell you. So because this quar ter, if you look at it, CIG has contributed where the growth was muted relatively last quarter. But if otherwise also if you look at it around the sector, each one of them, they have grown very well. So what we feel is still we want to maintain this 14%, 1 5% what we are saying. The reason is simple.

Now the deposit cost what all is coming up. So suppose, if this continuous majority is coming up in time deposits, it may not be worthwhile to take the lower yielding many of the assets. So in the process, we ma y, in fact, during this quarter also, we are planning to come out of a few of the low -yielding assets at least so that the margins can be protected.
So instead of taking the deposit at that rate and all and with a thin margin of 0.5% and 1% working on that , instead of that low -yielding top line will come down, and we will increase this sort of yield if I'm replacing an account with an 8.25% to 9.25% or 9.85%, I will be

straight getting on the same amount of 1% and 1.5%. So that way at this stage rather than focusing on the top line, we're trying to focus on the bottom line when the deposits normalcy restores and all, these sort of a fight comes down, then we can think of the top line also aggressively how we can grow.
Jai Mundhra: Right. Okay. And sir, simil arly, you also mentioned that the deposits have been continued. I mean, the deposit growth has mainly come on term deposit side. At the same time, we had -- we were running this initiative on CASA.
Ramesh Babu: Correct.
Jai Mundhra: So if there is any upda te, I think the -- maybe the growth Y -o-Y and Q -o-Q for CASA has now been in -- is very low single digit 1%, 3% only, is there any -- I mean, how are you accessing the CASA growth initiative?
Ramesh Babu: Yes, absolutely. Our Dolphy Jose, who is the Head o f Consumer Banking is on the call. Dolphy, so please take this question and all. Go ahead. Dolphy are you there?
Dolphy Jose: Repeat the question because I got disconnected in between. Can somebody...
Ramesh Babu: The CASA initiative what we have taken, h ow is it going forward? And what are the expectations and guidance that's what the Mr. Jai Mundhra is asking. You can respond on that.
Dolphy Jose: Yes. So our] growth is 13% is what our CASA growth is no our overall deposit growth is. And our overall depo sit where the maximum growth has come from the TD and RTD deposit mobilization. CASA has been comparatively slower. But for ensuring that going forward that we are beefed up to do the incremental top line on CASA and continue to garner the low -cost deposit is in track. As I'd mentioned last time that we were -- also MD sir just mentioned about recruiting around close to 1,227 people already on board, which are --- a pure sales team, who is into acquisition of CASA primarily.
And also to augment that we also have a team is the frontline branch team, which is called branch sales and service executives, which is again a lateral recruitment of about close to 1,000 -odd people who are trained for engaging with customers for further deepening and improving the PPC of -- Product Per Customer.

So these are the two large activities which we are doing, and it's in place. And I'm expecting

good traction, and we should be able to continue the chase of CASA as per the guidance of the bank.
Ramesh Babu: Yes. Jai, in fact, I would like to add a few more points on what Dolphy has mentioned. I think Dolphy, I think you have to mute, that echo is coming. Yes. So just I would like to add, Jai, are you there?
Jai Mundhra: Yes sir.
Ramesh Babu: Few things I just want to add in addition to what he has mentioned. Now you see then these 1,300 people have come, they have come from different banks. So the technology what they were using and the products what they were using were altogether different. Initially, there was a lot of bra instorming is there and what is good for the bank because the bank has their own products and all, every year we were pushing the product.
Now the question is when these boys have come, they are demanding saying that this is what market wants, we need to m odify our product on these lines then only the product will be to through. Likewise, the technological intervention what all are required also, they have been demanding that is good for the bank. So that way, these things are in the process, process change s, technology changes and product changes. So in the process, all these people, they are on the job into the market.
Now coming to the point you are asking, saying that suppose if the CASA vertical started functioning, why it is not getting reflected in th e CASA numbers ? It's like this, the flow is coming, but the problem is that existing accounts majority of the balance what all is there, is majority is moving into time deposits. Because people are in a hurry, how long these rates will be there and all the y want to lock the rates, So that is the reason money is flowing into from the CASA into the time deposit.
Now initially, we were also hesitant not to move and to encourage them to retain with CASA. We had a bitter experience of few other customers straig htaway the time deposits that moved to some other banks. Initially, it may go as the time deposit, but later total relationship may go out. So that is the reason we are encouraging them to be with us only by shifting it to time deposits. So this is a proce ss, it may take some more time. But in the meanwhile, you also understand the money may be going for these real estate, gold and stock market , these things also are there in general for the banking industry. That is the reason the new initiative of

CASA wh at we have taken , The new acquisition comes and we deepen, in course of time, we will be getting good numbers there in that. Otherwise, earlier, only branch channel was doing all these things that may not be sufficient enough to take care of the growth wha t we are having in the assets.
Jai Mundhra: Right. Understood. And sir, before I move to this loan growth, if you have the number for the treasury gains during the quarter, how much was that? And in this a part of other of 142?

Natarajan : So the treasury g ain I think this in the presentation Slide number 11 to INR11 crores increase for this quarter.
Jai Mundhra: Okay. Understood. And now sir, a question on your retail growth strategy, right? So in the retail loan book that you have given product -wise housing LAP, personal loan. So there is a very sharp healthy growth in LAP and there is a renewed growth in the per sonal loan, right? So we were doing a separate channel for LAP, I think NEO and Smart -- KVB Smart. So any, If you can update that, a) how big has been the NEO now? And, b) how is the other alternate channel of Smart playing out? Number two...
Ramesh Babu: Jai, in fact, there is a small difference in what the KVB Smart and NEO are doing. NEO's focus was earlier on the LAP. But later, when we have given them the task of the home loan also, they opened a branch in Hyderabad exclusively for the home

loans and CRE. And later,
one more branch of Bangalore also has been converted for the NEO. And these branches are focusing on the home loans and NEO focus on the LAP continues, So NEO is growing very well. Absolutely, there's no issue.
So overall, the per year, ou r expectation is around INR2,200 crores. And this quarter also, the growth is around INR600 crores, INR700 crores.
Ramshankar: INR945 crores we have grown.
Ramesh Babu: Six months their growth is INR945 crores. Whereas coming to Smart, the different is, S mart focus is not on the LAP, their focus is on the working capital. So that way, they started the centers in the inaugural address I told that. Now Madurai center also recently just people have been onboarded in the sense that recruitment has been happene d. So their outstanding is around currently INR49 crores, something like that. So they are settling down with the existing bank practices, what all are there, they are able to settle down and they start giving the numbers.
But if you look at originally whe n the NEO started, NEO's numbers also were like this only. But over a period of time, NEO started contributing around INR2,000 crores or INR2,500 crores per year. So over a period of time Smart also will do that. But both of them are on track and Smart is also because what all centers they wanted they did it. So now maybe next three months, four months, we will start seeing the numbers.
Jai Mundhra: Right. And sir, what is the outstanding number for NEO? I mean, INR2,200 crores is the run rate for disbursem ent...
Ramshankar: INR4,800 crores.
Ramesh Babu: INR4,800 crores, yes.
Jai Mundhra: Sure. And lastly, sir…
Ramshankar: INR5,055 crores. Yes.

Jai Mundhra: Okay. And sir, has anything changed on your outlook on personal loans? Because earlier, we were, t he book was not growing. And now there seems change in that direction personal loan.
Ramesh Babu: No, Jai in fact, I'll tell you, our outlook on the personal continues as it is. There are a two - pronged approach. One is, out of our existing accounts, what all we have filters with that pre - approved personal loan, we have identified which has come to around INR450 crores to INR500 crores, out of that INR50 crores to INR60 crores we could book.
But we earlier also, we have told, the Axio partnership what all i s there, where under BNPL so many customers have been created, along with our Axio partners. So we thought that depending upon -- after looking at their repayment capacity and the CIBIL score of the last two years, how we have identified -- Axio has identi fied with the analytics team a set of people

who are good for the personal loans. And we asked them to fund those personal loans initially, and six months to nine months, they did it and all the repayments were good. And after that, we bought a small pool from them.

Now we are in the process of working with them for a co -lending arrangement with 80:20. So that way, what all pool -- small pool we have taken. But this pool, what we have taken is also the customers of ours because they are a part of the BNPL. So we have gone in a different stages. One is the total BNPL, out of that we made Axio to do that. Once we tested that model and all, third, we started going for the co -lending and the pool purchase. So our focus would be two-pronged. One is on the existin g book what all ours are there out of that.

But let me be frank with you, you cannot expect huge numbers from the existing book because the corporate salary package accounts in our book are relatively few compared to other banks. So if those sort of accoun ts are not there, is self -employed and now if you go for personal loans and all, COVID time what experience we had, similar experience we may have to encounter. That is the reason we are going slow on our own book pe

rsonal loan, but whereas
that Axio book what BNPL we have done, there absolutely we have a good scope. We will take it forward.

But whatever it is, we will not go aggressively under the personal loans because if we grow there and all the growth will gone aggressively. But Reserve Bank of India, whatever guidance they are giving, in that way, we will go in a measured as for as personal loans are concerned. But we have a good window opened through the BNPL customers for funding these personal loans.

Jai Mundhra: Right. Understood. And last question , sir, what would be your -- I mean, target for branch opening this fiscal year?

Ramesh Babu: 40 branches we planned, out of the 25 branches have been opened because they wanted to front -load this thing so that once they come, you may be incurring the cost , I agree but they will -- progressively, they will be delivering something. 25 have been opened, and next another 15 branches also. We will try to do open majority of branches in this quarter, leaving very few for the last quarter.

Moderator: Thank you. The next question is from the line of Prabal Gandhi with AMBIT Capital. Please go ahead.

Prabal Gandhi: Congratulations, Mr. Babu, and entire Karur team for the good quarter. So just continuing from the last participant's question, where you highlighted th at bank does not want to compromise on margins and that is why bank is conservative on guidance of growth. But we also have 250% -plus LCR, Liquidity Coverage Ratio. So can you utilize this LCR and fund loan book?

Ramesh Babu: Yes, yes, we can do it. You have to look at it in two ways. One is LCR is there. Second side is the CD ratio. So all along, we have been maintaining a CD ratio of 85. Currently, also, if you look at it, just 84 -plus, we are there. So that way, we have some room. If you look at a few banks that there 90, 100, 110 also is there. But we do not want to go with that majority of our funding credit we want to do it through our capital or the deposit.

So that way what you said is correct, that room is available there. We can take it out. We can do that. That also, we are working on that. So second, because they have INR2,200 crores more than the SLR required, what all that cushion is there. So we kept it other side. But to the extent possible, we want to raise the deposits here and then to fund the assets. Otherwise, what you said is correct, that also the room is available for us.

Prabal Gandhi: Okay. And in the deposit as well, we are focusing more on the CASA franchise and the…

Ramesh Babu: Correct. As we said, because last year itself, we started the process, but it took some time to augment these people. And now our team has come in place, and I was telling that initial hiccups what all are there, maybe in the process, product, technology, these things the process is going on. Once they ar e through, so they will be on the job and all, they will be firing the gun. And then those customers deepening the branches will be doing. So this is the plan.

Prabal Gandhi: Okay. And sir, so since they're focusing on CASA franchise and now in we have als o built the team for a CASA -- with CASA people, should we not increase our SAR rate because our saving rate is 2.25% which is one of the lowest, so instead of getting term deposit at 7% and above, we can simply raise SA rate maybe 4% or 5%. And you can get [inaudible 0:30:42] that as well.

Ramesh Babu: I agreed. Prabal that is a good point what you have mentioned. But what you do empirically when we saw it earlier, the interest rate change has not brought much money. Let us assume in our case, also above I NR100 crores, we said that we'll give a higher percent of 4%. We did find any terrific growth into the particular INR100 crore segment at all. Next thing also, you need to look at it. Suppose if

we are going to change the rate and if you are going to revis e, the uncertainty that I may or may not get fresh accruals that is uncertain. But certainty is existing portfolio gets repriced immediately, and I will have to pay on this -- at this ratio to all of them. And tomorrow for any reason, if I reduce this rate , there will be a big heartburn. So that is the reason what we thought, which has been discussed many times in our ALCO meetings and with the liabilities team also. So what we thought instead of spoiling the existing

setup the customers and paying higher, so why can't we try, and we had a discussion with the field team also whom we have taken whether we need to do? What they also said is, let us test the waters currently with the current rate. And if we reach a Chinese wall where we cannot beyond that at t hat stage, we can do it rather than an overnight increase in the cost for the CASA now itself.

Prabal Gandhi: Perfect. Sir, second question is just to clarify also, you said in your opening remarks that we are expecting 20 basis points jump in cost of depo sits for the next two quarters and 10 basis points jump in...

Ramesh Babu: I didn’t said two quarters, I told about third quarter.

Prabal Gandhi: Okay. Only third quarter, and an increase of 10 basis points in yield on advances.

Ramesh Babu: No, no. That 's also what I mentioned was is like this. 20 basis points spike in the cost of deposits and a 10 basis points to 15 basis points spike in the yield on advances in the coming two quarters. Because if you look at the third -- second quarter also, the yield is up by 7 basis points. So that's why what we thought is if the same trend continues for the next two quarters. The yield will go up by another 15 basis points. That's what we thought.

Prabal Gandhi: Okay. But by the end of third quarter, at least the dep osit so that fully repriced. So the maximum of that deposit can get reprised up by 20 basis points.

Ramesh Babu: That is what our intention because it's quite opaque now how it works if we do not know if the credit growth grows every other bank also raises their deposit. You may have to raise. Otherwise, if it is not required, you may continue the same way or RBI may do something. It all these still let us see on this quarter and all then we'll take a call for the next quarter.

Natarajan : See Prabal, repric ing on that aspect and NEO upon onboarding, whatever we are onboarding, we have to pay a higher cost so that is issue now.

Prabal Gandhi: Okay. Yes, understood. Sir, the third question is on growth in the commercial and the small and medium segment. The co mpetition is relatively on the higher side but we are still able to clock on the rate of 19% growth. So what is our strategy here? And how are we able to do much better than what our competitor is doing?

Ramesh Babu: Yes. In fact, the team there, they did a homework of what are the changes required in the process and the knowledge gap in the people who are unable to deliver, with all these things and those who are well performing, how did they do it? All these things, they have studied. And the same thing i s getting replicated to see more -and-more branches contribute. That is the reason. So if you can look at it, the disbursements quarter -on-quarter are going up by 10% to 15%. So likewise, which are the sectors where we are strong. If we focus on those secto rs, this clinching the deal will be much faster. And that is the reason the food processing, the wholesale, the retail trade and these sort of things have been given focused rather than the textile. At the point of time we were doing only textile. Now text ile

slowdown is there. So the team started focusing on rest of the

things. There is buoyancy in the market in the ground. So this requirement of the credit is there. So we are able to do. So that way, if you look at it earlier, a few divisions were contrib uting. Now many divisions started contributing. And any sort of hitches here and there in whole process of onboarding that we started fixing. So that way, it has more than the process and the team who are

operating, they become more comfortable in pushing the SM E.
Prabal Gandhi: Understood. And sir, how are you seeing your loan mix evolve over a period of time because now our corporate loan book share already at 21%. It used to be around 40% earlier. How you see the projection...
Ramesh Babu: You would have seen that. So if the commercial book grows, nothing like that for us. The reason is it's a granular book, highest yielding and where we have strength. And that way, our aim is to maintain the 33, 35 what all is their progressively to take it. And rest of the two verticals of the agriculture as well as the personal banking those sort of things. And the balancing number will be the corporate. And corporate also, you would have seen that our focus has moved from a big corporate like INR200 crores, INR300 cror es, it has come down to below INR100 crores and majority of exposures are below INR75 crores. That is a reason our average ticket size also has come down to INR39.41 crores.
So corporate also, though it is a normal case talks about corporate, we started granularing the portfolio for better yield and for the risk management. So our focus will be on the commercial, followed by the retail, agriculture and then CIG. Agriculture is really helping us in maintaining our the priority sector. Otherwise, for this g rowth, what we are getting in the priority sector is not growing, we need to buy the PSLC subsequent, which again is a cost for us.
Prabal Gandhi: Understood. And sir, last question. So what would be our technical write -off pool? And what kind of recovery are you expecting in terms of pool over next 2 to 3 years?
Ramesh Babu: In fact, we have indicated saying that it can be around -- last call, one of the analysts were asking whether we'll be able to more or less reach the number of last year like INR208 cr ores. So we are more or less on track for the INR250 crores, something like that we'll be able to do that. INR200 crores, INR250 crores we'll plan for this one. And for the whole year, we will see how we can take it forward.
Prabal Gandhi: Understood. And you have the number ready for technical write -off pool?
Ramesh Babu: Ready -- What is that?
Ramshankar R: Write -off of pool number.
Ramesh Babu: Pool, is -- I'll tell you, Prabal, it is deceptive. The reason is suppose pool, if I talk about, let us say, 400, I'm just saying that, there are many accounts of the old infrastructure, which were booked in 2012 and all where -- actually, when they want to consult NCLT, what you get is

3%, 4%, and many other consortium accounts are there. Those accounts where the chances of recovery is pretty low.
But where if you look at what is actually retail, MSME and the corporate with some sort of security, which comes to around INR1,500 crores, INR1,600 crores will be there. So our focus is majority on them. But as you k now very well, so every time we try to do it and all, the borrowers are much more smarter, we will use all legal means to stall the process.
And we are also tuned for this comment on how to overcome that's why we started getting this money which was not th ere earlier. So our team is now geared up to push the technical write - off amounts also to the extent possible. So that really to expect around INR1,500 crores to INR1,600 crores is a pool where you can put your hands on that.
Moderator: Thank you. The next question is from the line of Madhu Dey fr

om Altavista Capital Partners.
Please go ahead.
Madhu Dey : Congratulations on continued strong performance. So I have this question on your unsecured book, which is very small. So I wanted to understand your strate gy on this piece because while it is extremely important to focus on the liability which you are doing, but this is something which is -- although you have a large share, higher ending MSME portfolio. But this is also one segment which a lot of competitors are going very aggressive on. So given that you still have a very low risk -weighted asset density. What is going to be your strategy on the unsecured piece?
Ramesh Babu: Yes, yes. Ma'am, in fact, if you can look at it earlier when they were asking I was n arrating, actually earlier, actually, the personal loan was not a focus area at all for the bank because our focus was majority on the secure. Even if you look at it majority of our personal segment as well as SME segment, they are backed by security.
Now that outlook, we have changed over a period of time, pre -COVID, maybe it was a wrong time, I do not know. So we have actually analyzed our total portfolio. We brought out some -- our own existing customers who are eligible for the pre -approval personal loa ns, and we have gone for around INR500 crores to INR600 crores of portfolio.
So we were growing at that time suddenly COVID has come and the first default started in the

personal loans , because there is no security, no stake, no skin in the game. So they defaulted on that. And we had to bear the brunt at the particular point of time. And subsequently, we were lying low. Then little we thought when everyone is growing. So the point what we sort of thought was, this is a cycle when things move well. Personal segments, personal loans will go well. If there is a small issue here and there and all, again, you will be having this sort of thing. We have come out of the bigger issues at the corporate earlier we do not want to actually repeat those sort of issues ag ain in the retail. That was a precise reason we were a bit conservative. But then found out different opportunities in that. As I was mentioning, our existing customer base, if you look at it, majority of them are not salaried.

Now that the liability teams what we have created we have a sub -sector and the team will be doing for the salaried also. Over a period of time, we also will be along with other personal loan. But in the meanwhile, what we thought is you must be knowing we have an arrangement with Ama zon through our partner Axio and we have created a big pool, and more or less the outstanding range is between INR350 crores to INR400 crores.
But this is not a question outstanding, the number of customers whom we have created out of that. It ran into 30, 35 lakh customers are there. Out of them, many of them out of their past record and performance they have proved with their CIBIL score also, they are good for the personal loans,
So what we did is our Axio team has a very good analytics team is there. S o we work with them and found out and filter who are the people who are good for the personal loans, And for that, what we did is we asked Axio to finance these people initially. And Axio started financing them from the last year January.
And up to 1 year , more or less they have financed and the recovery was going on very well as planned by them. That is the reason this year we bought a small pool out of that because these are com bined customers of both of us. And now we are actively engaging with Axio , for the co-lending because it's a tested customer, where the chances of failures are, I'm not saying failures will be there, but the loss given default, if you look at it, that is bearable from the yield what we are getting.
So our focus is our two -pronged o n these customers.

One is you fix a personal loan limit
against them. We have activating our credit card team also by taking people from the market. So we have other things are there. So once that team is in place, these customers many of them have low cre dit card, the personal loan limit what we are giving a part of that we can give them as a credit card debt, let's say, INR5,000. So that it will help them to create their credit history. And for us, the credit card business also will go up where MDR will b e able to get and on the other side, personal loan also we can give. So this is a broader plan what we have, and we are actively working on that.
Madhu Dey : So what's the -- I mean, is it that only a personal loan is the only unsecured piece in your entire book? Or is that...
Ramesh Babu: Absolutely. Personal is unsecured. Otherwise, the rest of the data if you have seen. So home loans, mortgages, jewel loan, vehicle loans, all of them, they are more less secured by something or other. Education loan is als o, to some extent, backed by some sort of collateral. And other loans, what we talk, it includes the staff loans what we have as well as the loan second is a time deposits. So personal loans in our connotation is they are literally unsecured loans.
Madhu D ey: Okay. So any target for the unsecured loan in the next two years? And any new products that you are planning to add here?

Ramesh Babu: all in all what I have explained to you, this is what is the plan, but I tell you, if we did not go aggressively in the particular segment, it can be maybe a 5%, 10% of our portfolio that way, and not -- cannot be beyond that.
Madhu Dey: Got it. And any new products that you're thinking about?
Ramesh Babu: Yes, product is a blended product, what I said. Suppose if you give a

personal loan to them, a part will be financed this way, and second one if you give a credit card limit to them. So then it is the blended product going to them credit card limit, and on that, you have a dual benefit. So on the interest portion, MDR , what you are getting that way. So that will be helping us. Let us say the interest will come. So now once we start doing this one, we will be finding many more opportunities from this customer. Our Axio who is very well entrenched into these sort of thin gs, they are working on them. So we will bring out some of our products for the people once we start testing with the personal loans.
Madhu Dey: You are not -- a lot of your competitors are eyeing this micro finance segment also?
Ramesh Babu: Yes, that's all I tell you. In fact, in one of the calls last time, we have mentioned it, that also I need to brief you. What happens there is a lot of opportunity is there because there also is absolutely unsecured bank was not going. Last one year, we did a homework on that. Rather than we're directly embarking on the journey and do this one because when you do not have an internal expertise, later you may burn your finger.
What we did is we partnered with 1 other BC who is already doing with around 12 other banks and all for the last 7, 8 years, and they have majority presence in the South, and we have partnered with them by looking at their track record and all.
So now we -- they started opening the branches of ours as well as their together, and we have common unde rwriting norms are there. With that, the portfolio is more or less reaching around INR100 crores last 3, 4 months when we started. And we are in the process of entering into a tie-up with 2 more such partners. And once this two place -- also will come into place. So progressively will be going under the MFI space also.
Madhu Dey: This is coming under which heads in your...
Ramesh Babu: Agriculture. Under agriculture, it will come there.
Madhu Dey: Okay. So there's a small piece of unsecured in ag

riculture also.
Ramesh Babu: Yes, yes, yes. Absolutely, absolutely. My point is we started taking the baby steps because we are looking at what are the various pros and cons. And once we have comfort and all the firm footing what we have, we'll scale it to the next level.
Madhu Dey: Okay. And my very last question is you indicated that you wish to maintain this 1.5% ROA that you have already achieved. It seems that there's going to be some kind of stagnancy in ROA before the deposit engine starts firing. Am I correct in this understanding?

Ramesh Babu: So it's not the question of stagnancy. If you look at it, we have many pockets are there. If you look at our NPA, the total NPA of the net NPA of the bank is INR324 crores Out of that, if you can just look at the same slide, INR155 crores is the slippages of this quarter. If you de duct that INR155 crores of this quarter seepages, the net NPA comes to INR169 crores. Out of that, if you look at restructured book 25%, we have a provision there. Out of INR900 c rores, 25% is INR200 crores is there. If I appropriate the INR200 crores restructuring book my net NPA will be come on zero.
Over a period of time, then a need for providing for the credit cost comes down and automatically by book growth the top line, both on the income side as well as the credit cost comes down, in between the cost we are incurring for these new projects. May be there, but they are going to yield results over a period of time.
So we need not to worry about the ROA because if you can look at it, when the things are good, INR25 crores, we have provided for the contingency reserve last quarter and this quarter. Maybe after two to three quarters, there may not be any need to provide that one once we get a clarity that what all we have provided w ould be sufficient enough to take care of the ECL.
So all these cushions what we have, we are not yet exhausted. So that way, if you look at it, we are more or less getting a feeling saying that in this quarter, we will be more or less at about 1.6% as far as the ROA is concerned. So the trajectory, what we have, and you would have also seen our SMA 30+, which has to forward flow into the NPA. Th eir also when it is under control, the chances of NPA and in turn the credit cost, all these things, that's why w e wanted to show transparency to the market.
So there, we have enough cushion in the credit cost because of INR324 crores, after two months or two quarters, there may not be much need to provide INR102 crores what we have provided here. If you had to provi de INR25 crores to INR30 crores, there itself we will have an additional cushion of INR75 crores there.
Madhu Dey: Okay. You see upside in the credit cost in the near term, in the next two quarters?
Ramesh Babu: No, no, we are not looking at it. That's wha t I'm saying. Credit cost, what we have given an indication is 75 basis points, we will be well within that, well within that. Credit cost will not

go up there. That's what I'm telling. The reason is then your SMA 30+ is 0.68%, something like that. Then ev en if you assume 50% goes towards NPA also, it may not be 0.34%. So that way, there may not be much need for the credit cost there. So you will have some sort of a freedom from the credit cost, which will help you in your ROA. Am I clear or not. If you are not clear, I can repeat.
Madhu Dey: No, no. I understood it. What you're trying to suggest is, there could be some pleasant surprise in terms of your need to provide in the coming quarters?
Ramesh Babu: No, no. There is no question of any pleasant surpris e. If you look at it, numbers are very clear. When my net NPA is INR324 crores, how much I will provide. I cannot provide INR400 crores for that. Okay? As simple as that.

Madhu Dey: And a very last question since -- because of the need to garner -- improve the quality of deposits you're having to beef up your field force, et cetera. What is a realistic time line to get to that aspirational cost -to-income ratio?
Ramesh Babu: Aspirational cost -to-income ratio, you would have seen that we were at 54 55, okay? I deally had we not taken the initiatives like liabilities, 1,300 people taking in a branch level, 1,000 lower -level team we are taking. Smart -- KVB Smart for the commercial banking what we are taking. And all these things, if we have not done, ideally our cost to income would be at 45 only, no problem. But we will be doing industries to the bank if we do not take these initiatives, the future o f the bank will be very gloomy.
That is the reason, as an investment we are making, which should not be considere d as a cost at this stage. If you do not incur these costs at this stage, tomorrow is our top line and income will not grow. Otherwise, our intention is to be in the range of 45 to 50 only. So you could see that they are on March ending also how is our cos t-to-income ratio.
Moderator: Thank you. The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.
Lalit Deo: Sir congratulations on a good set of numbers, congratulation. Sir just one question on clarification maybe. So li ke you mentioned that on the employee side, the expenses maybe broadly in the range of about INR290 crores to INR300 crores after adjusting for this superannuation benefits. So like from FY'25 onwards, like we can see a annual employee structure in the range of over INR1,200 crores to INR1,250 crores. Is that right?
Ramesh Babu: Yes, yes. We estimate that only. I'll tell you Lalit, what we are doing because IBA what all has come up and all. So last time when we did it and all, there was a shortfall in on e quarter we had to make. So we do not want those sort of surprises and shocks to any one of them. That is the reason sufficiently we are making provisions for these sort of cushioning. So tomorrow, if this much of requirement is not there, we will be reve rsing these things, sir.
So agreed, what all we can perceive d and visualize d what is required, everything we are providing because when the good times are there if you do not provide at this stage, tomorrow, you may have to repent. Once these are through a nd as we said, that one time INR100 crores for three quarters if you provide, this will be out. So then onwards, it will be a normalized cost and all, what you said is pretty correct, we may be in that range only.
Moderator: We'll have to take that as the last question. I would now like to hand the conference back to Mr. V. Ramesh Babu, MD and CEO, for closing comments.
Ramesh Babu: Yes. Thank you all for the patience and the interest what you have shown in our bank . And for the good word and the good wishe s what you have conveyed and we'll continue our journey the same way and we will take it forward, keeping the interest of all the stakeholders. Good day to all of you, and thank you once again.

Moderator: Thank you very much. On behalf of The Karur Vysya B ank, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Jan 2024

Classification | REGULATORS
IRC:F48:22 :50:2024 January 29 , 2024

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor,
Plot No. C -1, ‘G’ Block,
Bandra - Kurla Complex,
Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Una udited Financial Results of the Bank for the Quarter and Nine Months ended December 31 , 2023
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Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transc ript of Conference Call held on January 22, 2024 at 5:30 p.m. (IST), in connection with the Unaudited Financial Results of the Bank for the Quarter and Nine Months ended December 31, 2023 .

The same is also made available on the website of the Bank and ca n be accessed on the following link:

https://www.kvb.co.in/docs/investor -con-call-transcript -fy24-3.pdf

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager

Encl: As above

“Karur Vysya Bank Limited
Q3 FY 23-24 Earnings Conference Call”
January 22, 202 4

MANAGEMENT : MR. B. RAMESH BABU – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – KARUR VYSYA BANK LIMITED

MR. NATARAJAN – PRESIDENT – KARUR VYSYA BANK LIMITED
MR. CHANDRASEKARAN – CHIEF OPERATING OFFICER – KARUR VYSYA BANK LIMITED
MR. RAMSHANKAR – CHIEF FINANCIAL OFFICER – KARUR VYSYA BANK LIMITED
MR. DOLPHY JOSE – GROUP HEAD – CONSUMER BANKING – KARUR VYSYA BANK LIMITED

Moderator: Ladies and gentlem en, good day, and welcome to the Q3 FY '23 -'24 Earnings Conference Call of the Karur Vysya Bank. We have with us today the management team of KVB represented by Mr. Ramesh Babu, MD and CEO; Mr. Natarajan, President; Mr. Chandrasekaran, Chief Operating Offi cer; Mr. Ramshankar, CFO; and Mr. Dolphy Jose, Group Head, Consumer Banking.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, to take us through t he highlights of the quarter gone by, after which we will open the floor for questions. Over to you, sir.

B. Ramesh Babu : Thank you, Yashashri. Good evening to all of you. Welcome to Karur Vysya Bank's earnings call for quarter 3 financial year '24. I trus t that you, your colleagues and family members are keeping well and are in good health. My heartiest new year greetings and wishes to each and everyone of you. I also would like to thank you all for taking out time in joining the call.

I am pleased to sha re that performance of the bank in terms of growth, profitability and asset quality have been consistently improving over the last 13 quarters, and our Q3 performance numbers are in line with the guidance given during our previous interactions.

You will b e happy to note that branch has achieved 4 -digit profit of INR1,149 crores in 9 months, and our asset sales have passed INR1 lakh crores mark. Besides numbers, the qualitative changes that we have brought in gives us the confidence of sustained improvement in our performance in the days to come. All of you would have gone through our detailed presentation on our quar

ter 3 numbers. I would like to share some of my thoughts on the performance of the bank during the quarter and our guidance for quarter 4.

The business model transformation that we had embarked is progressing well. We continue d to execute on a strategy which is aimed at granularizing the book, and we were able to sustain the growth momentum during the third quarter as our total business growth was at 3% and reached a level of INR1,58,357 crore .

We have been guiding in our earlier calls about our focus on inclusive growth from all verticals with respect to advances. I am pleased to share that steady momentum was observed in RAM verticals with 4% quarter -on-quarter loan growth and 20% Y -o-Y growth. We expect this to sustain in the future. Retail advances grew faster at 5% Q -o-Q driven by growth in mortgage and personal loans category , Commercial advances clocked 4% growth and agriculture advances achieved a growth of 3% during the quarter. As we were focusing mainly on keeping margins intact, we shed away low -yielding advances, which comes to around 0.75% of the advances in our corporate book resulting in degrowth in corporat e vertical . This is a conscious decision taken wherever the yields were low, we tried to pass on these higher yields where there is a resistance from them, we politely requested them to that extent, a big

account few of them, we got it prepaid. This is the main result for the degrowth. So YTD growth is 13% for our entire loan book which is in line with our guidance for the full year

growth of 14% -plus.
Deposit growth remains one of the key focus areas for the bank, and you ar e aware that the bank had initiated various strategies for deposits, including establishment of sales acquisition channel for both term deposits and CASA growth. Our deposit growth was at 3% during the quarter, and term deposits and CASA deposits grown b y 4% and 1%, respectively. While our CASA acquisition numbers are progressing well in line with the target s, there is a depletion in the existing book on account of other opportunities available for the depositors, which we are trying to overcome by bette r engagement strategies with our customers. Our YTD growth of the year so far is at 12% and we plan to maintain the growth trend in tune with our credit expansion.
Our CD ratio is within the range of 85% and we will continue to maintain at these leve ls.
We had indicated in the last call that NIM would stabilize at 3.8% at the exit quarter of the current year. NIM improved to 4.32% sequentially by 25 basis points which include 19 basis points on account of interest recovery from 1 NPA account. If we exclude the one off item, NIM was at 4.13% for the quarter. We consciously shed away low -yielding corporate advances, as I said earlier, on one side and focused more on better yielding granular secured advances, that too in RAM vertical during the qua rter. This has helped us to maintain the margins above 4% levels. We are hopeful to continue our efforts in maintaining our NIM around 4% for the exit quarter.
We decided to focus primarily on margins with a decent growth till cost of deposits normaliz es rather than growth only without giving due cognizance to the yields.
The cost of deposits increased by 9 basis points sequentially. Based on our historical pattern of renewal of deposits and fresh deposit acquisition, we expect moderated raise in t he cost of deposits by 15 basis points in the fourth quarter, assuming no change in our deposit rates.
Yield on advances increased by 22 basis points during the quarter (excluding the one off item). We expect a growth of 10 basis points increase in the next quarter as we had increased our MCLR rates twice during last quarter.
Yield on investment has increased by 5 basis points during the quarter, and it is exp

ected to go
up in a similar range in the next quarter. Considering all these factors and w ithout taking into any policy rate changes, we expect that NIM will stabilize at 4% at the exit quarter of the current year.
We have achieved ROA of 1.65% in this quarter. It could be noticed that our ROA has been consistently improved from 0.93% in De cember '21, which is the result of our concerted efforts in stimulating the various leve rs of ROA and enabled us to achieve this parameter well ahead of the timelines. YTD ROA is 1.58% and we are confident of maintaining ROA of above 1.6% for financia l year '24.

Our gross slippages during the quarter continued to be under control at INR197 crores and for the 9 months at INR369 crores, which is 0.5 1% . On an annualized basis of the 9 -month slippages, if you look at it, it comes to 0.68% of our book. Our digital underwriting, eyeballing proposals by risk team, better valuation methods by technical team, collection set up what we have created and credit monitoring all have helped us to keep a better control on the slippages . Also, we are confident t hat we will continue to keep the ratio below 1% as guided in our earlier calls.
Our efforts on recovery of technically written off book is continuing to yield results as we have recovered a sum of INR65 crore during the quarter. Total recoveries till 9 m onths of the year are INR208 crore , which is equivalent to last full year recovery. Due to lower slippages, recoveries, upgrades and write -off, our gross NPA has come down to 1.58%, and we expect that we will continue to maintain GNPA at below 2% l evels.
For the quarter under review, we have provided a sum of INR107 crores towards NPA migrations, standard assets and prudential provisions. We estimate that the credit cost for the current year would be in the range of 75 basis points as guided. As do ne in last 2 quarters, we have provided a sum of INR25 crores towards floating provision to meet any contingency, including ECL and cumulative provision available under this head is INR75 crores, which we have provided INR25 crores each in last 3 quarters.
Our net NPA has come down to 0.42%, and we would continue to maintain net NPA at less than 1% of our loan book.
Our standard restructured loan book is further reduced to 1.09% of our loan book and we hold a provision of 28% of the standard restructured book.

You are aware that wage revision impact as per bipartite settlement has been arrived at 17%, and we had already provided for wage revision at 15% from November '22 onwards. We have provided additional amount of INR7 crores for the balance 2 % during the quarter. With respect to pension obligations, out of the estimated amount of INR114 crores, we have already provided INR33 crores in quarter 2 and during current quarter, we have provided INR41 crores and the balance amount of INR40 crores will be provided in Q4 for the current financial year. Our normalized wage bill for the first quarter of the next year would be in the range of INR325 crores.
The additional provision for pension obligations has slightly increased our cost -to-income rat io to 50.27% for this quarter. However, YTD cost -to-income ratio is 48.95% which is within our guidance range of 50%. As indicated earlier, the bank would strive to maintain CIR in the range of 45% to 50% for the year.
Our CRAR, as per the Basel III, continues to be healthy and is at 15.39% providing comfortable headroom for growth.
So as all of you know, the profit for the 9 months has not been included in that and without that, it is 15.39%.

With regard to RBI's notification on invest ments in alternate funds, our investments as at the end of 31st December comes to IN

R10.86 crores only, and we do not have any credit exposure
for the companies where they have made downstream investments.
Bank has added 7 branches in Q3, totalling 32 br anches during the current year up to December, aggregating 831 branches and 8 more branches will be opened during the fourth quarter.
Our new initiative, KVB Smart and our Commercial Banking business is progressing with a portfolio of INR92 crores . It is currently operating at Coimbatore, Chennai, Hyderabad, Madurai and Bangalore with a total team size of 48. Many of these staff numbers they have reported recently. So , that way, the real potential of this initiative we will be able to see from the next fin ancial year.
Business under NEO, co -lending, transaction banking and precious metals continue to perform well. Few more experiments what we did like opening a home loan branch in Hyderabad and subsequently one more branch similarly converted another branc h in Bangalore, these 2 are doing well. So based on that few more branches, we are planning to do that. So that is an experiment we have done, which has succeeded well.
So, striking a balance between maintaining healthy margins and pursuing strategic grow th opportunities is a challenge that every one of us has to navigate in the current dynamic banking landscape. Our effort would be to focus on sustaining our growth momentum with healthy margins to ensure that our ROA is above 1.5% level at all times.
I am grateful to all the investors, analysts and stakeholders for their confidence and continued support, which we will reciprocate through our better performance in the days to come.
Now I'll be glad to respond to your questions. Thank you.
Mod erator : Thank you very much. We have a first question from the line of Chintan Shah from ICICI Securities. Please go ahead.
Chintan Shah : First of all, sir, congratulations on a good set of numbers, strong margins, so led by one -offs. So but first, I had a question on the personal loans. So sir, our personal loans portfolio, sir, now stands around INR13 billion. So it has kind of more than doubled in the last 1 year and almost 60%, 70% has jumped Q -o-Q.
And I think I remember, I think we had told in the previous cal l that we don't have strong corporate salary accounts, and so growing personal loans could be a bit challenging. So -- but we were resorting to co -lending for growing the personal loan book. So just want to understand the strategy so how has this is workin g? So is there any reason for such stupendous growth there? And any thoughts -- means, would that be able to sustain or not? And how are the yields we are compared to the other products? Yes, that would be the first question.

B. Ramesh Babu : Thank you. Tha nk you, Chintan. No, what you said is very correct. Even today, what we say is the corporate salary book is not that strong. But all of you know, we have an existing arrangement for the Amazon BNPL. So that has been going on for three years with a pretty decent margin as well as a very low stress there and all.
Under that, because this time, both the festivals are there during quarter, Dussehra as well as Diwali, the spike has come on account of that. In all these cases, this has been absolutely curated lo t. First of all, at the Amazon level from the millions of accounts what they have, they'll identify and they'll bring out and filter the customers.
And after that, it passes through our partner and us. And if both of us are satisfied with the criteria, th en only we'll give that. So the same process, which we have been following for the three years has been followed. And the spike is on account of the festivals. I'm not saying that the spike is going to continue in the months to come, because the festival s pike has come. Maybe on account of the Republic Day, somethin

g else may come up.
But in the meanwhile, the rundown will be there by end of March. So that way, this tempo may not continue. It is a one -off. Coming to the yields, if you look at it, it comes to around 12% something like that. But we have an FLDG also, where the cohort loss is around 1.2%, our FLDG is around 5%. So that way, we are sufficiently insulated as far as the losses are concerned. So this is regarding that. That's why it's not a normal personal loans what all are given. It is everything has come through BNPL only.
Chintan Shah: sir. So just one follow -up on that. So I understand, so the tenure for these loans would be less than six months. As you told, there would be a rundown in March.
B. Ramesh Babu: Very true. Less than six months. Yes.
Chintan Shah: Okay. Sure, sir. That is the first one. Sir, secondly, on this margin. So first of all, this 19 bps recovery which we have seen, so that firstly, for that NPA account, we would have recovered the entire princip al. So that amount would be for set up against the princip al and then we have set it up against the interest. Is that understanding correct?
B. Ramesh Babu: Very true.
Chintan Shah: Okay. And sir, this would be a large cor porate account in my opinion, right?
B. Ramesh Babu: Last corporate account? What is the...
Ramshankar: Large corporate.
Chintan Shah: Large corporate.
B. Ramesh Babu: Correct. You're right.
Chintan Shah: Okay. And so sir, any other means, accounts on whic h we are working for similar, where we could have a similar bump up in margins because of this?

B. Ramesh Babu: It can come up, but nothing is in our hands because many of the large corporate accounts either NCLT legally somewhere stuck. When suddenly it w ill be released, we do not know. So that is the reason we cannot give any assumption or a guidance on these things. Whenever something once in a while comes up and all, it may bump up once in a way.
Chintan Shah: Sure. And sir, this account was written -off or present in the books? Was this a written -off account?
Natar ajan: No. So whatever the interest account we have shown, it was the principle was in the books. So that's why the -- it has gone to the interest. Otherwise it would have gone to the recovery from technically written -off account…
Chintan Shah: Exactly. Okay. Sure. Got it. And so sir, just one last thing on the wage bipartite settlement. Sir, there the incremental hit to us because of an additional 2% is INR7 crores. So that is until December. So now we have provided up to 17%?
B. Ramesh Babu : Up till December we have provided, but one more quarter also, we have split into two parts.
Ramshankar: So there are two things in this. One is the normal wage revision. Anothe r thing is pension obligations which we need to -- acturial valuation to be done, okay? That's was done at 17% for this quarter. Last quarter, if you remember, we had mentioned 101 cr for the full year and Rs 33 cr for the quarter …
Chintan Shah: You have already mentioned.
Ramshankar: Yes, 33. Now since revised to 17%, it should be revised actuarial valuation, which came to INR113 crores -- INR114 crores. So the 33 has become 40, 40 for this quarter and next quarter.
Chinta n Shah: Sure, sir. And so sir, you mentioned the normalized base would be INR125 crores, that would be per month from Q1 FY'25? INR325 crores quarterly, sorry. Okay.
B. Ramesh Babu: Correct. Yes.

Chintan Shah: Sure, sir. This is actually very helpful sir. Thank you for patiently answering all my questions and all the very best. Thank you, sir.
B. Ramesh Babu: Thank you, Chintan.
Moderator: Thank you. We'll take our next question from the line of M.B. Mahesh from Kotak Securities. Please go ahead.
M.B. Mahe sh: Good evening, sir. Congratulations.
B. Ramesh Babu: Good evening, Mahesh.

Thank you.
M.B. Mahesh: Sir, just on this -- on the previous question, you mentioned about your 20 basis points positive impact. How much is it in rupees, sir?

Ramshankar: That w ill -- it should be around INR30 crores, yes, INR30 crores.
M.B. Mahesh: INR30 crores, is it? Okay. And sorry, I missed one comment which you made. You indicated that cost of deposits would grow by how much by 4Q?
B. Ramesh Babu: 15 basis points.
M.B. Mahe sh: 15. And what would be the current term -- cost of your term deposit book, sir?
B. Ramesh Babu: Term deposit book, let us check, one second. Mahesh, in fact, during the course, we'll just come back to you, okay? We'll just take that number and all we'll let you know.
M.B. Mahesh: And if you were to just kind of add this 15 basis points for 4Q, you would say that the -- your repricing has been completed on the cost of deposit side?
B. Ramesh Babu: No. How can it be? Because accounts -- deposits which are getting matured, when they get repriced, automatically they'll place it at this one, no? So that way, we cannot say the total repricing has been completed.
M.B. Mahesh: So it will still continue into 1Q as well, is it?
B. Ramesh Babu: And one more thing, t he fresh deposit what all are coming also they'll be coming at this rate only.
M.B. Mahesh: Sir, the idea is that if your book carries a duration of about a year or slightly above that...
B. Ramesh Babu: Not one year, it carries two years also because earl ier, we used to have 555 days these sort of deposits also. So that way, it is 1.5 years to 2 years.
M.B. Mahesh: Okay.
Ramshankar: 6.74% cost of...
B. Ramesh Babu: Cost of time deposit is 6.74% average.
M.B. Mahesh: 6.74%. Okay. Perfect, sir. So you would say that next year margins will also still be under pressure unless there is a mix in the loan -- on the loan side?
B. Ramesh Babu: No, the sense that margins can be like this, but still, whatever it is, we are more or less reasonably feeling saying tha t 4% NIM we'll be able to maintain for the exit quarter. Earlier, we were telling 3.8%. So many cases, we are engaged with the borrowers for the repricing and particularly, where bigger borrowers who are not willing, so we have come out of those exposur es.
So those things, actually, they are helping us actually because there is no point in taking a deposit at 6.5% and adding the PSL cost, capital cost, term cost all these things. So that way we told them, which is low yielding and all to get out of that. That money if you are deploying in 9.5, 9.75 those sort of assets and all, overall, our yields are going up. So that way, the cost of

deposits also we are selective in raising the deposit also where we are not warranted. First of all, we are rebal ancing the portfolio. With that what all money is coming, we are lending it. And beyond that, what is required, we are going for the deposits.
M.B. Mahesh: Perfect, sir. Thanks a lot for this. And just one clarification. I assume that you seem to have a pretty good demand on the mid corporate loans because you've grown that book quite well, and you're seeing pretty good demand there.
B. Ramesh Babu: So the demand is there, actually, in fact, because of the good onboarding, what we have done and as we were m entioning in the initial discussion, the monitoring and collection with these things, the stress also is more or less under control. Mahesh, if you look at it, the mid corporate, the disbursements are going up more or less 20%, 22% quarter -on-quarter. So l ast

year compared to December '22, if I look at it, it has gone up by more than 40%.
M.B. Mahesh: Perfect sir. Very useful. Thanks a lot for this.
B. Ramesh Babu: Thank you.
Moderator: Thank you.

We have a next question from the line of Rakesh Kumar from B &K Securities.
Please go ahead.
Rakesh Kumar: Yes, hi. Can you hear me, ma'am?
B. Ramesh Babu: Yes, please. We are able to hear you.
Rakesh Kumar: Yes. Good evening, sir. Quite a strong set of numbers. So congrats for that. Sir, one question was pertaining to this NBFC exposure that we have, so this is like around INR3,000 crores and we have slightly sh redede the exposure I think in this quarter. So what is the strategy plan that we have to increase the exposure in the NBFC further or we would keep on t rimming this number.
B. Ramesh Babu: No, it is not the question of trimming. I just hear earlier, so what we were having, AAA, AA, all those things were there with a very low yielding. When RBI guidelines have come up for additional capital provision also for that. And the cost on the other side is growing the cost of deposits. A few of them, they are not willing to take the additional cost at the time of repricing. So that's why we told them saying that it may not be possible for us to fund. And we told t hem to prepay at the time of repricing, few of them have prepaid. It made sense for us as well as for them because they might be having alternate source of raising the money. But why we did also because many of these relationships, they are price -sensitive and not agnostic.
So for tomorrow, actually, we are able to normalize the deposit rates and all, and we are able to raise the money at a normal rate. And actually we go back to them, again they'll come to us. So that is not the question of relationship, it is all related to the pricing. So those cases, what we have found out and all, we have actually got out of that. Our NBFC exposure used to be above 7.5% something like that, now it has come down to below 7%, so it doesn't mean saying that we'll be at 7 %. It can come down also, it can go up also. Continuously, we are gauging. The

yields what we are getting and the low -yielding accounts what all are there on the top, continuously we're engaging. If you find a better revenue in other verticals with bett er pricing or yields are there, we do not mind getting out of those exposures also and to rebalance the portfolio.
Rakesh Kumar: Understood, sir. Very good. Sir, can you tell on this SA deposit due to an industry -wide phenomenon, but we are also like getting slightly volatile number that we have seen on this SA deposit side. So any strategy or what plans you might have to augment this SA deposit number?
B. Ramesh Babu: Yes. Rakesh, in fact, I'll tell you. So I'll make a statement and then I'l l hand over to our Head Consumer Banking also. But if you look at it, so I was mentioning in my opening remarks, our new to -- suppose new accounts, what we are getting, at least that is strong, we are going on. Now the existing book what all is there, a p art of that is going into time deposits. If we resist them not to go to a time deposit, the chances are it may go to some other bank initially. And finally, the relationship also may go out. So it makes sense for us instead of going out and taking a deposi t, it is better to get from them. And likewise, if I look at my numbers also, the cost of raising time deposit between the retail and bulk is different.
Bulk, I may have to pay 20 to 25 basis points more. If many of our customers instead of going elsewher e, if they are placing the money with us, I'll be getting the retail time deposits at a cheaper rate and the relationship also I'm able to maintain. So what we are trying to do for the deepening and all these things, Dolphy, Head Consumer Banking, will exp lain. Yes, Dolphy, over to you.
Dolphy Jose: Yes. Good evening, Rakesh. Dolphy here.
Rakesh Kumar: Good evening, sir.
Dolphy Jose: On the SA side, Rakesh, I mean, this is an industry phen

omenon. There -- almost all banks are
facing this SA erosion p rimarily, which we all understand is because the consumer -- customer itself has shifted from savings to consumption and some consumption to investment, and that's the trend. So the ideal way to hold on to your balances extra is to make sure tha t your hooks are in the right place, and we need certain product hooks and why we are critically focusing is on the third -party products.
So in third -party products where our primary focus is, of course, insurance and then mutual

funds where we are again focusing on SIP, both on shares as well as mutual funds. These are our two primary hooks, which we are aggressively marketing. And that would give us some decent hooks to hold on to the balances and have some incremental balances.
On the organization par t on the bank per se, on the liability franchisee, we have again segregated the overall franchisee into one on the ETB deepening channel and the new acquisition channel. So we have a separate acquisition channel, which is a sales team of about 1,200, 1,300 -odd people who are purely LTV going out to the market and acquiring new -to-bank customers on CASA , TD.

And we have further sub -verticals for corporate salary and for now lately, we have developed a team of about close to 200 -odd PRMs or priority RMs, as we say, who will be catering to those customers whose balances are from INR10 lakhs and above. So that's for further deepening. And we have a product bouquet, which can keep these customers engaged to make sure that the deepening is in place.
So these are things which we are doing on the organization level. And focus will continue on RTD, as MD sir mentioned that, yes, a part of our SA depletion is because of the transfer of SA to TD for higher rates, etcetera. So these are the multiple things which we are doing. We are also parallelly developing a BC channel where we intend to, again, new -to-bank customers, but they will also get into other retail asset products. So overall, this is how the deepening focus -- for deepening in the b ranch.
So going forward, our deepening activity or where we focus on the ETB, the existing to bank customer, and we have a decent customer base of about close to 9 million customers, it will be primarily managed and enhanced by our branch banking team. An d we have a granular structure in the branch where we're trying to have a hybrid model in the branch where we have 2 separate goals which we have introduced lately, which is one is the BSSE, which is the bank sales and service executive and PRMs, so both p ut together today, as of today, we should see around close to around 1,200 -odd people already in and rolling.
And they're already in the last quarter, all these channels have given us significant incremental on the new -to-bank acquisition. The ETB also ha s started tracking and we have -- they are started giving us incremental volumes in the last quarter. So that's the whole idea, and that's how we are proceeding in the CASA segment.
Rakesh Kumar: Got it. Thanks for very elaborate answer sir. Thank you and all the best for the future performance sir.
B. Ramesh Babu: Thank you.
Moderator: Thank you. We have a next question from the line of Prabal Gandhi from Ambit Capital. Please go ahead. Mr. Gandhi your line is unmuted. Please go ahead with your question.
Prabal Gandhi: Yes. Am I audible?
B. Ramesh Babu: Audible Prabal. Please go ahead.
Prabal Gandhi: Congratulation, sir. My first question is on MSME side. So we are growing at 20%. In the morning, another Tamil Nadu based lender reported MSME growing just 2% on a Y -o-Y basis. So just wanted to understand how are we able to capture demand and grow at 20% when our same geography peer is struggling on the growth?
B. Ramesh Babu: I cannot compare ou

r selves with anyone, because ours is a journey not started today . So you must be seeing last 3 years continuously, we have been focusing on the MSME. If you can

look at it, our percentage of the total book has moved now to 33% -odd now. So progressively, we have been moving. Now the various engines what all are there, s o we have activated them. Many other branches, which they were unable to absolutely source them, so we have provided necessary inputs like training and process -related many issues, hiccups are there, we started fixing them. And that way, the confidence le vels for the people have gone up.
And above all, the tag with which what we are giving and the confidence the other side borrowers they have got it that also is helping us. So all these things have supported us so in onboarding. And above all, our risk te am, continuously, they monitors what is good, what is

bad they are telling.
So right from the sourcing, we are selective in what we need to do, where we can do, where we cannot do. All these things have helped us. In addition to that, new initiatives like -- so our KVB Smart, what we have created, those things also will be helping. So it's an ongoing journey, so the journey has slowly started working and many more people are joining the band wagon.
So that is the reason we are able to do. So we are findin g good amount of -- absolutely, if you can look at it, our approval rate is around between 40% to 45%, which implies out of sourcing 55%, we're declining it, which is not meeting our standards.
If we can dilute and relax our norms, it can go up to 70%, wh ich we do not want to do it. Once we do it, there later, we have to face about the SMAs and NPA. So that we are finding some set of opportunities there we are doing despite issues coming up and demand in the textile has not picked up yet. So maybe after 6 months, the textile picks up well, the downstream industries related to textiles, that also will give us some more scope for us to grow further.
Prabal, are you there?
Prabal Gandhi: Yes, yes. Perfect. So just an extension to that will be, so the growth in MSME is coming, say, disproportionately from the new customers or the old customers utilizing their limit, which is just...
B. Ramesh Babu: No, the utilization levels are more or less at the 70% only. It has not crossed. So we thought saying that even any other industries, if we look at it, hovering between 70% to 75%, so new customers, majority is coming from the acquisition and though enhancements are there, but major growth is from the acquisition.
Prabal Gandhi: Perfect. Sir, second question will be on operating expenses. So even if I have to adjust for the wage revision and the pension obligation, even then this seems to be running high obviously, we are investing in the bank. So that could be the reason. How do you see the productivity pan out? And an y targets on the opex to asset or cost to income that you envisage for 2 to 3 years?
B. Ramesh Babu: And I fully agree with you. So though we were also abreast of this one. But the point is until and unless the capacity and infrastructure what all are required the manpower if we do not take

it. If you have a big plans to grow and all of them, they go, haywire that is the reason the manpower we are investing on that.
And not only that, we are having a mechanism also to continuously gauge the pro ductivity and performance of these people wherever comes sort of the people who are unable to deliver, either we are counselling them and otherwise, providing some separate support to grow. If something is not there, a few of them, they are leaving also an ongoing process, but new initiatives, what we are taking in the process, we are

supposed to incur some costs.
That's why earlier I used to say, so rather than treating them as a cost, we need to treat as an investment, which will be yielding results in d ue course. But at this stage, if we do not invest, the future will be bleak. But in addition to that, you need to appreciate one point, with all these math still we are able to deliver the ROA what we have guided.
So that way, we are trying to work out wi thin the broad parameters what we have committed, including a cost -to-income ratio, ROA, NIM with these things, what we need to devote for the infrastructure and future growth, we are trying to spend on that. But anyhow, we are also in the process of revie wing wherever some sort of an unwarranted expenses is there, how to get out of that, we are looking at it, and we are on the job.
Prabal Gandhi: Okay. Sir, and just last point. So I did notice that we made INR25 crores of floating provision this quarter as well and we have been making that from last 3 consecutive quarters. But just a request that in a quarter like these in a bump up quarter like these when we get sort of one -off recoveries and things like that instead of having 17%, 18% ROE?
If we can ju st increase the quantum of floating provisions that will sort of give more confidence on the sustainability of the earnings for next 2 to 3 years rather than having one quarter of very good numbers. So just a request from my side...
B. Ramesh Babu: No, no, no. Absolutely. Your point is well noted. But just one more point, you need to keep, Prabal. So you see somewhere some bumping up is there in the income side. But other side, expenses side also some bumping up is there because the 15% to 17%, some sort of a pension, these sort of things we need to do.
So keeping all these points in view, we thought that let us do it, but your point is well noted, next time to insulate these sort of turbulence. So what we need to do, we will do that. So that continuity and sustained performance will be there. We'll do that.

Prabal Gandhi: Great sir. Thank you and all the best for the future.
B. Ramesh Babu: Thank you.
Moderator: Thank you. We'll take our next question from the line of Arvind R from Sundaram Alternates. Please go ahead.
Arvind R: Hello sir. Thank you so much for the opportunity and congratulations.

B. Ramesh Babu: Yes. Thank you, Mr. Sundaram.
Arvind R: Great set of numbers. Sir, I just have two questions. Sir, 1 is, so our non -core fee income like close to INR400 crores in the third quarter. I guess like that would predominantly include the technically written -off -- recovery of technical written -off or other written -off accounts.
B. Ramesh Babu: True, true.
Arvind R: Yes. So what I would like to understand is like, for example, if I see the annual report of FY '23, like we have like on book like INR4,500 crores worth of you know technically written -off of accounts. I mean like is that the base, I mean, like where we can see this kind of recoveries for the ne xt 1 or 2 years, either from that book? Like is my understanding, right?
B. Ramesh Babu: I agree with you, Sundaram, but the point is there are many unknown, unknowns involved in this because many of those big corporate accounts are with NCLT. So finally, how much percentage of that comes out, we do not know.
So sometimes, it may come out well, sometimes it may not come out well. So that way, a credible guidance I may not be able to give. But every effort is on both on the retail as well as the corporate a ccounts. So to the extent what all is getting and all, we'll be trying to do that. So this is what actually is, the pool is there, but entire pool cannot be prima facie looked at saying that this can be recovered.
So out of the few of them would have been already evaporated and many of them are cons

ortium accounts are there, where due to delay also something may not be there. But we are on the job, how much -- as much as possible to salvage and to get out of that, that is the reason if you can look at it l ast year, the whole year's written -off recovery, we are able to get that recovery in 9 months.
So the same is the case. Last year, whole year's profit we have crossed this year in 9 months. So we are on the job to extent possible. Sometimes it may be poss ible, may not be possible. But we will focus on our routine, what we need to operate. And these things once in a while come up, it may be a bonus for us.
Arvind R: Sure, sir. And just to understand like in INR4,500 crores, like as per annual report or like in the what we have in the income statement, if I can get a texture of what kind of accounts? Is it predominantly corporate accounts or does it also include...
B. Ramesh Babu: Yes, yes. Majority -- more than INR2,500 crores or INR2,800 crores is just corp orate account, that too big corporate accounts are there. So that way getting that will become difficult.
Arvind R: Yes. Okay. So the recoveries also came from the big corporate accounts?
B. Ramesh Babu: Once in a way, just this quarter, how it has come, o therwise, continuously, we'll be getting we do not know that particular point. So we are focusing on the smaller accounts where we have collaterals, where we can dispose off and we are approaching the court , those things we are focusing, which is withi n our means. Bigger things stuck at different locations and different

stages that we need to get it from the corporate INR2,800 crores. As and when we get, we need to book that.
Arvind R: Sure, sir. So the interest income, you said like which included this one-off. So basically, whatever is recovered in this quarter, the principal amount on that, like we just calculate interest on that and that -- okay, is that the way to understand?
B. Ramesh Babu: No, no. You're understanding is perfect.
Arvind R: Okay, s ir. Just one more thing. You said that 10 basis points increase in yields, we can see. So when I see -- when you say that, like I have to exclude this effect and basically and then add 10 basis points to...
B. Ramesh Babu: Yes, yes. True, true. And that's also -- in my original guidance, when I was reading, I have told

you saying that if you exclude this one, this comes to this rate and on the 10 basis points, you can expect that.
Arvind R: Okay. Okay. And just one more thing, sir, on fee income, like you a re seeing some healthy growth in like fee income, especially the core fee income in 20% this quarter to the last year, the same quarter. I mean, like may I understand like what kind of activities or what kind of you know activities helping this fee income?
B. Ramesh Babu: Yes, yes, absolutely. I'll tell you basically because the disbursements have gone up, naturally, the processing fee has gone up on that. Second one, if you look at our cross -sell income compared to last year, more or less, more or less 75% more than that we are able to do that because the awareness of the people have gone up in that and our people, more or less, they are getting that one.
And third thing, if you look at the non-fund based also, while LC business is not in line, actually, n ot happening because the exports may not be there a verity of reasons international business is down overall. That too, we are predominantly dependent on the textile with the 7%, 7.5%.
So there is some sort of lull is there, but we have diversified into i nfrastructure like smaller contractors where we require some sort of a guarantee. That is also helping us to get some sort of income out of that.
So likewise, the good contractors whoever are there a lot of roads, these sort of projects are coming up. So those non -fund-bas

ed business also, we are focusing, and a culmination of all these things is helping us to grow in the core income.
Arvind R: Okay. Okay. So like one can assume that like whatever credit growth in line or slightly above that, we can act ually expect that fee income...
B. Ramesh Babu: Yes, yes. It is in line with the credit growth, what all credit growth is coming accordingly the other side also commensurate non -fund-based income also will be there.

Arvind R: Okay. Thank you, sir. Thank yo u so much,
B. Ramesh Babu: Thank you.
Moderator: Thank you. We have our next question from the line of Sushil Choksey from Indus Equity Advisors. Please go ahead.
Sushil Choksey: Sir, congratulations for great set of results.
B. Ramesh Babu: Sushil ji, tha nk you, thank you, very much.
Sushil Choksey: Sir, my first question is, you had an outlook on deposit. You have looked at your NIM and everything. Sir, one question I have. How much of your business is from your existing customers, which is growing at 15% , 20% or 30%, specifically that INR5 crores to INR25 crores bracket?
B. Ramesh Babu: You're talking about the advances or deposits?
Sushil Choksey: Advances?
B. Ramesh Babu: Advances, that's what I say. Suppose, if you look at it INR5 crores to INR25 crore s, more than 60% is coming from the new to business. Existing, the enhancement, these things are there, we are not relying majority on that. If an existing customer requires enhancement on its own he comes, so we need not worry on the particular account . We need to maintain the relationship. Our main focus is on the fresh acquisition. So that's what we are working on that. Majority growth is coming from that only.
Sushil Choksey: Does it mean that your existing product enhancement that is if you add five products, you needed to 10 cross -selling...
B. Ramesh Babu: No, no, I'll tell you, it is not the question of products. Products can -- because we have a plethora of product, 20 products are there, Doctor Plus, this plus and all. But the solution what we a re supposed to provide to the customer based on his requirement, that is making sense actually.
So many of our people, at least they could know how to source this sort of thing that is helping. And majority of our business comes from the wholesale and ret ail traders because traders business a lot of scope offers in Tamil Nadu and South. So that is helping us a lot.
Sushil Choksey: Okay. Any sectors which you find are getting more vibrant like construction in infrastructure...?
B. Ramesh Babu: Yes, yes. So infrastructure under the construction if a look at it, maybe the roads these sort of things and commercial real estate also is working to some extent, paper is also doing well and all so chemicals and these activities are coming up, but major portion is co ming still from the wholesale and retail trade.

Sushil Choksey: Your textile base as well as auto ancillary?
B. Ramesh Babu: Auto ancillary to some extent, it is coming up, but many of them usually, they go for the vendor financing with the original banker s, but whereas textile is concerned, nowadays, again, we are able to see some green shoots. And now the stocks at abroad have been exhausted. Few markets which are export -dependent, they started getting some sort of an order at a low case. But all of them are confident that in the next 6 months, the position will be improved compared to earlier.
But one good thing what we look at it is though the utilizations have not gone up, the quality of our textile customers is good. That is quite heartening to see. S o with 7.5%, the stress what all we are getting every quarter is nothing much from the textile sector. So that's why we are pretty ha

ppy with this one.
Even if they are not utilizing the limits, if the business is not there in the utilized that is a cause of concern for us. So for the time being, the utilization not there is good for us. Once they get the order, automatically, they'll utilize because the relationship with us.
Sushil Choksey: Sir, second thing is, what kind of initiatives are we because we have been very profitable, our market cap has done well, all parameters every stakeholder is happy with you. Now if I have to take a journey for the next 3 years, 5 years for long -term shareholders, what initiatives have you enabled and what initiatives yo u are targeting in the next 3 years, so the bank gets to the next level?
B. Ramesh Babu: Yes. Currently, what we are doing, we were totally dependent on the branch sourcing model. So the branches, they have a limitation. So that is the reason we are trying to take -- differentiate this one. Now if you look at it, sector -wise, if you look at it vertical -wise, the retail segment.
So we have last year started some sort of a few branches with home loans, only Hyderabad, Vizag -- sorry, Hyderabad, Bangalore, th ose are working well and now we are going to increase the number of those branches where this home loan intensive and real estate, commercial real estate, so that works well.
In addition to the branch sourcing what we are doing now is the direct sales age nt, DSA feet on street, further retail assets, we are working on that. For that, the centralized, how these credit sanction, processing underwriting has to be there that we are working. With that, we can have a different set of numbers for the retail.
Com ing to the commercial is concerned, the process -related issues, what we have removed and all, and now we have created a new vertical called KVB Smart, which used to work on the lines of our NEO, which was working for the LAP, now KVB Smart is for the worki ng capital, where our branches, they are busy with their routine and the existing customers leads they are getting.

For the new to be bank, these sort of customers are getting -- we have created a setup. These five centers with 48 staff members, what we s aid, it is going to work that way. And now coming to the agriculture also, all along, you would have seen that majority 95% of our agriculture portfolio used to be on the jewel loans. So we started diversifying that. That has come to around 15% other than jewel loan has come up now because you cannot continuously depend on the jewel loan.
Jewel also we are actively working to create a setup wherein a feet of street will be there for getting the jewel loan business to the bank and already 2 branches which a re exclusive jewel loan branches are there. Based on that experience, how can we create a few more branches we will look at that.
And coming to that agriculture, we are diversifying into other than the jewel loan, like poultry, these sort of things, where ver goods are there with partners we are doing. And a few months back, 6 months back, we started a partnership with another agency for MFI. We are not there in the MFI business at all.
So we started doing with them. Already slowly, the portfolio has reach ed INR100 crores. We

do not want to grow aggressively there. We are now entering into a tie -up with two more partners on that so that we will diversify your risk amongst all of them. And these people progressively they'll be getting that.
Agriculture also few more agriculture offices we are taking it for taking care of this direct agriculture business. So that way, each of the vertical, if you look at it, we have a separate plan for ramping up. The current growth model is there after some time, it may not sustain and stop. So the engines we are introducing, which will work in the years to come.
Sushil Choksey: Sir

, you -- your plan is more for tie -ups and distribution capabilities, but you might be ready at digital end, but human resource within the bank, w e need to do something or that is already --
B. Ramesh Babu: That Is the precise reason you see one of the participants they asked, the employee cost has gone up, so that is the reason to front run this one and all, so we are already recruiting the people in the branches or rest of the locations where we require. And we are keeping that sort of a setup ready. Technology -wise, we are ready. Manpower also, we are getting it. On the other side, process and products also we are preparing. Together, we need to t ake it forward.
Sushil Choksey: Sir, the previous participant had asked you about technically written -off accounts. I'm not asking you from a particular number what you will recover next year. But if I take a historical data and your experience, what perce ntage of your written -off accounts you will feel that would be recovered, 30%, 40%, 50%?
B. Ramesh Babu: It's a very, very difficult and impossible question I can answer because each half is a different animal and a different treatment. So if you ask me fr om the retail segment, what you can do, at least some sort of a ballpark number I can give you. But out of the total write -off account majority when it is coming from the corporate, so I will not be able to give that number at all.

That too, suppose even i f I give a number, in this particular year, how much it has come up and all, so I may not be able to tell you.
Sushil Choksey: Okay. Sir, second thing, my last question is on treasury outlook for your bank, looking at the current G -Sec in India and the lim ited volatility in US. Everybody estimates that 2024 maybe second half or the third, fourth quarter, there would be tapered off. We are likely to be included in some bonding access, one and two, both is more or less indicative. Now based on this, where do you see our treasury positioned for betterment or will be stable from that because of our CD ratio?
Natarajan : Yes. Sushil, up to three months before, we had a very low duration. If you have noticed our AFS portfolio is all less than 2% only. Now we are slightly confident that going forward, the interest rates will not be going further high. So we started picking up some of the investment. That is why if you notice, our AFS and durations in other sectors is slightly moving up. And in that way, we are not very aggressive, but within the limited band, so we are trying to play around.
Sushil Choksey: Sir, one more last question on co -lending and assignments. Are we fully technology -enabled?
Natarajan : Yes, yes. See, the basic requirement for co-lending is you should have a very robust technology. So without that, it's very difficult, particularly for the Amazon BNPL platform and all -- these are all 24/7, particularly in the festival and the holidays -- heavy activities would be there. S o the manager -- all the active co -lending business today, everything is technology oriented and the end -to-end seamless process.
B. Ramesh Babu: Other partners also with whom we have entered, it is absolutely end -to-end and seamlessly working.
Moderator: Thank you. We have a next question from the line of Prakhar Agarwal from Elara Capital.
Prakhar Agarwal: Couple of things. One is on, sir, lending rate, so you have highlighted that you took a couple of MCLR rate hikes. Have you been able to pass through a nything in retail and commercial banking side?
B. Ramesh Babu: No. Suppose if our jewel loans, if you look at it more or less -- one-month MCLR. So automatically, majority of them at rig price is not a problem at all. So in respect of other retail, so the process is on. So that's the reason conservatively, we have estimated a hike of around 10 basis points in

the next quarter.
Natarajan : So during the last quarter, we increased our MCLR two times. So that we are gradually -- when that renewal happ ens, we'll be passing on that whatever increase to the accounts.
Prakhar Agarwal: Okay. And sir, moving on to FY '25, if you were to take that there are no systemic rate changes by RBI. How do you foresee your margins moving on and in that context growth t hat you're

envisaging, because you said in a passing comment that you probably are choosing margins over growth at this point in time. So, if you were to just --

B. Ramesh Babu: Prakhar in fact, it is a dynamic position now. Once we look at our March posit ion, then we'll be able to give you guidance for the next year. So for the time being, I wish to confine to our guidance to next quarter only.

Prakhar Agarwal: Sure. And just last bit on sir, this personal loans. So who is a partner who is running you through in terms of this buyout that you had to do for BNPL Amazon?

Natarajan: That's Axio, a company called Axio.

B. Ramesh Babu: Former name was Capital Float; later, it has been renamed as Axio, based out of Bangalore.

Prakhar Agarwal: Okay. And this partnership has been for how long, sir?

B. Ramesh Babu: More than three years.

Prakhar Agarwal: Okay. sir, how suddenly then probably if we were to look at past trends, how suddenly that during this festive season, we have seen this sort of growth while in earlier years, we have not seen any sort of this pamper?

B. Ramesh Babu: No, what happens, a few more variants also we have brought. But because based on the experience, what we have with few other customers, and going on well. Instead earlier, suppose if we are giving one month, now we can give for two months or three months, something is required. So that few of the customers instead of rotating in one month, it has become three months that also got elongated repayments that way.

So that way, overall, if you look at it has gone up. But this time, there's a robust demand on account of this. Even Amazon also what they have released the list also from their side. A good number of fresh -- that is not fresh to the Amazon. Amazon, there must b e there for three years also. The list what all has come also has come up. So that way, the demand is pretty good this time.

Prakhar Agarwal: Sir, what will be your rejection rate in this for us in this product?

B. Ramesh Babu: It is, I think, miniscule be cause the reason is after so many checks and balances, Amazon is releasing. And after that, we -- our partner has checks and balances and we have many gating conditions. With all these things, someone passes through, they will be able to go through. So the same process has been going on for the last three years.

With all these things, the cohort loss is around 1.2%. So that's the reason what we thought. So the model what all is following the same model is getting followed that way. There's no deviation or dilution in the model what we are following.

Prakhar Agarwal: Okay. Sure, sir. That is it from my side. Thank you so much.

B. Ramesh Babu: Thank you. Thank you.

Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I n ow hand the conference over to Mr. B Ramesh Babu, MD and CEO, for closing comments. Over to you, sir.

B. Ramesh Babu: Yes. So once again, I thank you, one and all, for taking out time and for very curiously asking many questions and detailed question, so w hich shows the interest of what each one of you have in our bank. I profusely thank once again and all the best. And a good day to all of you. Thank you all.

Moderator: Thank you, sir. On behalf of the Karur Vysya Bank, that concludes this conference. Than k you for joining us. And you may now disconnect your lines.

Call: Jan 2024

Classification | REGULATORS
IRC:F48:22 :50:2024 January 29 , 2024

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor,
Plot No. C -1, ‘G’ Block,
Bandra - Kurla Complex,
Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Una udited Financial Results of the Bank for the Quarter and Nine Months ended December 31 , 2023
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Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transc ript of Conference Call held on January 22, 2024 at 5:30 p.m. (IST), in connection with the Unaudited Financial Results of the Bank for the Quarter and Nine Months ended December 31, 2023 .

The same is also made available on the website of the Bank and ca n be accessed on the following link:

https://www.kvb.co.in/docs/investor -con-call-transcript -fy24-3.pdf

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager

Encl: As above

“Karur Vysya Bank Limited
Q3 FY 23-24 Earnings Conference Call”
January 22, 202 4

MANAGEMENT : MR. B. RAMESH BABU – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – KARUR VYSYA BANK LIMITED

MR. NATARAJAN – PRESIDENT – KARUR VYSYA BANK LIMITED
MR. CHANDRASEKARAN – CHIEF OPERATING OFFICER – KARUR VYSYA BANK LIMITED
MR. RAMSHANKAR – CHIEF FINANCIAL OFFICER – KARUR VYSYA BANK LIMITED
MR. DOLPHY JOSE – GROUP HEAD – CONSUMER BANKING – KARUR VYSYA BANK LIMITED

Moderator: Ladies and gentlem en, good day, and welcome to the Q3 FY '23 -'24 Earnings Conference Call of the Karur Vysya Bank. We have with us today the management team of KVB represented by Mr. Ramesh Babu, MD and CEO; Mr. Natarajan, President; Mr. Chandrasekaran, Chief Operating Offi cer; Mr. Ramshankar, CFO; and Mr. Dolphy Jose, Group Head, Consumer Banking.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, to take us through t he highlights of the quarter gone by, after which we will open the floor for questions. Over to you, sir.

B. Ramesh Babu : Thank you, Yashashri. Good evening to all of you. Welcome to Karur Vysya Bank's earnings call for quarter 3 financial year '24. I trus t that you, your colleagues and family members are keeping well and are in good health. My heartiest new year greetings and wishes to each and everyone of you. I also would like to thank you all for taking out time in joining the call.

I am pleased to sha re that performance of the bank in terms of growth, profitability and asset quality have been consistently improving over the last 13 quarters, and our Q3 performance numbers are in line with the guidance given during our previous interactions.

You will b e happy to note that branch has achieved 4 -digit profit of INR1,149 crores in 9 months, and our asset sales have passed INR1 lakh crores mark. Besides numbers, the qualitative changes that we have brought in gives us the confidence of sustained improvement in our performance in the days to come. All of you would have gone through our detailed presentation on our quar

ter 3 numbers. I would like to share some of my thoughts on the performance of the bank during the quarter and our guidance for quarter 4.

The business model transformation that we had embarked is progressing well. We continue d to execute on a strategy which is aimed at granularizing the book, and we were able to sustain the growth momentum during the third quarter as our total business growth was at 3% and reached a level of INR1,58,357 crore .

We have been guiding in our earlier calls about our focus on inclusive growth from all verticals with respect to advances. I am pleased to share that steady momentum was observed in RAM verticals with 4% quarter -on-quarter loan growth and 20% Y -o-Y growth. We expect this to sustain in the future. Retail advances grew faster at 5% Q -o-Q driven by growth in mortgage and personal loans category , Commercial advances clocked 4% growth and agriculture advances achieved a growth of 3% during the quarter. As we were focusing mainly on keeping margins intact, we shed away low -yielding advances, which comes to around 0.75% of the advances in our corporate book resulting in degrowth in corporat e vertical . This is a conscious decision taken wherever the yields were low, we tried to pass on these higher yields where there is a resistance from them, we politely requested them to that extent, a big

account few of them, we got it prepaid. This is the main result for the degrowth. So YTD growth is 13% for our entire loan book which is in line with our guidance for the full year

growth of 14% -plus.
Deposit growth remains one of the key focus areas for the bank, and you ar e aware that the bank had initiated various strategies for deposits, including establishment of sales acquisition channel for both term deposits and CASA growth. Our deposit growth was at 3% during the quarter, and term deposits and CASA deposits grown b y 4% and 1%, respectively. While our CASA acquisition numbers are progressing well in line with the target s, there is a depletion in the existing book on account of other opportunities available for the depositors, which we are trying to overcome by bette r engagement strategies with our customers. Our YTD growth of the year so far is at 12% and we plan to maintain the growth trend in tune with our credit expansion.
Our CD ratio is within the range of 85% and we will continue to maintain at these leve ls.
We had indicated in the last call that NIM would stabilize at 3.8% at the exit quarter of the current year. NIM improved to 4.32% sequentially by 25 basis points which include 19 basis points on account of interest recovery from 1 NPA account. If we exclude the one off item, NIM was at 4.13% for the quarter. We consciously shed away low -yielding corporate advances, as I said earlier, on one side and focused more on better yielding granular secured advances, that too in RAM vertical during the qua rter. This has helped us to maintain the margins above 4% levels. We are hopeful to continue our efforts in maintaining our NIM around 4% for the exit quarter.
We decided to focus primarily on margins with a decent growth till cost of deposits normaliz es rather than growth only without giving due cognizance to the yields.
The cost of deposits increased by 9 basis points sequentially. Based on our historical pattern of renewal of deposits and fresh deposit acquisition, we expect moderated raise in t he cost of deposits by 15 basis points in the fourth quarter, assuming no change in our deposit rates.
Yield on advances increased by 22 basis points during the quarter (excluding the one off item).
We expect a growth of 10 basis points increase in the next quarter as we had increased our MCLR rates twice during last quarter.
Yield on investment has increased by 5 basis points during the quarter, and it is exp

ected to go
up in a similar range in the next quarter. Considering all these factors and w ithout taking into any policy rate changes, we expect that NIM will stabilize at 4% at the exit quarter of the current year.
We have achieved ROA of 1.65% in this quarter. It could be noticed that our ROA has been consistently improved from 0.93% in De cember '21, which is the result of our concerted efforts in stimulating the various leve rs of ROA and enabled us to achieve this parameter well ahead of the timelines. YTD ROA is 1.58% and we are confident of maintaining ROA of above 1.6% for financia l year '24.

Our gross slippages during the quarter continued to be under control at INR197 crores and for the 9 months at INR369 crores, which is 0.5 1% . On an annualized basis of the 9 -month slippages, if you look at it, it comes to 0.68% of our book. Our digital underwriting, eyeballing proposals by risk team, better valuation methods by technical team, collection set up what we have created and credit monitoring all have helped us to keep a better control on the slippages . Also, we are confident t hat we will continue to keep the ratio below 1% as guided in our earlier calls.
Our efforts on recovery of technically written off book is continuing to yield results as we have recovered a sum of INR65 crore during the quarter. Total recoveries till 9 m onths of the year are INR208 crore , which is equivalent to last full year recovery. Due to lower slippages, recoveries, upgrades and write -off, our gross NPA has come down to 1.58%, and we expect that we will continue to maintain GNPA at below 2% l evels.
For the quarter under review, we have provided a sum of INR107 crores towards NPA migrations, standard assets and prudential provisions. We estimate that the credit cost for the current year would be in the range of 75 basis points as guided. As do ne in last 2 quarters, we have provided a sum of INR25 crores towards floating provision to meet any contingency, including ECL and cumulative provision available under this head is INR75 crores, which we have provided INR25 crores each in last 3 quarters.
Our net NPA has come down to 0.42%, and we would continue to maintain net NPA at less than 1% of our loan book.
Our standard restructured loan book is further reduced to 1.09% of our loan book and we hold a provision of 28% of the standard restructured book.

You are aware that wage revision impact as per bipartite settlement has been arrived at 17%, and we had already provided for wage revision at 15% from November '22 onwards. We have provided additional amount of INR7 crores for the balance 2 % during the quarter. With respect to pension obligations, out of the estimated amount of INR114 crores, we have already provided INR33 crores in quarter 2 and during current quarter, we have provided INR41 crores and the balance amount of INR40 crores will be provided in Q4 for the current financial year. Our normalized wage bill for the first quarter of the next year would be in the range of INR325 crores.
The additional provision for pension obligations has slightly increased our cost -to-income rat io to 50.27% for this quarter. However, YTD cost -to-income ratio is 48.95% which is within our guidance range of 50%. As indicated earlier, the bank would strive to maintain CIR in the range of 45% to 50% for the year.
Our CRAR, as per the Basel III, continues to be healthy and is at 15.39% providing comfortable headroom for growth.
So as all of you know, the profit for the 9 months has not been included in that and without that, it is 15.39%.

With regard to RBI's notification on invest ments in alternate funds, our investments as at the end of 31st December comes to IN

R10.86 crores only, and we do not have any credit exposure for the companies where they have made downstream investments.
Bank has added 7 branches in Q3, totalling 32 br anches during the current year up to December, aggregating 831 branches and 8 more branches will be opened during the fourth quarter.
Our new initiative, KVB Smart and our Commercial Banking business is progressing with a portfolio of INR92 crores . It is currently operating at Coimbatore, Chennai, Hyderabad, Madurai and Bangalore with a total team size of 48. Many of these staff numbers they have reported recently. So , that way, the real potential of this initiative we will be able to see from the next fin ancial year.
Business under NEO, co -lending, transaction banking and precious metals continue to perform well. Few more experiments what we did like opening a home loan branch in Hyderabad and subsequently one more branch similarly converted another branc h in Bangalore, these 2 are doing well. So based on that few more branches, we are planning to do that. So that is an experiment we have done, which has succeeded well.
So, striking a balance between maintaining healthy margins and pursuing strategic grow th opportunities is a challenge that every one of us has to navigate in the current dynamic banking landspace. Our effort would be to focus on sustaining our growth momentum with healthy margins to ensure that our ROA is above 1.5% level at all times.
I am grateful to all the investors, analysts and stakeholders for their confidence and continued support, which we will reciprocate through our better performance in the days to come.
Now I'll be glad to respond to your questions. Thank you.
Mod erator : Thank you very much. We have a first question from the line of Chintan Shah from ICICI Securities. Please go ahead.
Chintan Shah : First of all, sir, congratulations on a good set of numbers, strong margins, so led by one -offs. So but first, I had a question on the personal loans. So sir, our personal loans portfolio, sir, now stands around INR13 billion. So it has kind of more than doubled in the last 1 year and almost 60%, 70% has jumped Q -o-Q.
And I think I remember, I think we had told in the previous cal l that we don't have strong corporate salary accounts, and so growing personal loans could be a bit challenging. So -- but we were resorting to co -lending for growing the personal loan book. So just want to understand the strategy so how has this is workin g? So is there any reason for such stupendous growth there? And any thoughts -- means, would that be able to sustain or not? And how are the yields we are compared to the other products? Yes, that would be the first question.

B. Ramesh Babu : Thank you. Tha nk you, Chintan. No, what you said is very correct. Even today, what we say is the corporate salary book is not that strong. But all of you know, we have an existing arrangement for the Amazon BNPL. So that has been going on for three years with a pretty decent margin as well as a very low stress there and all.
Under that, because this time, both the festivals are there during quarter, Dussehra as well as Diwali, the spike has come on account of that. In all these cases, this has been absolutely curated lo t. First of all, at the Amazon level from the millions of accounts what they have, they'll identify and they'll bring out and filter the customers.
And after that, it passes through our partner and us. And if both of us are satisfied with the criteria, th en only we'll give that. So the same process, which we have been following for the three years has been followed. And the spike is on account of the festivals. I'm not saying that the spike is going to continue in the months to come, because the festival s pike has come. Maybe on account of the Republic Day, somethin

g else may come up.
But in the meanwhile, the rundown will be there by end of March. So that way, this tempo may not continue. It is a one -off. Coming to the yields, if you look at it, it comes to around 12% something like that. But we have an FLDG also, where the cohort loss is around 1.2%, our FLDG is around 5%. So that way, we are sufficiently insulated as far as the losses are concerned. So this is regarding that. That's why it's not a normal personal loans what all are given. It is everything has come through BNPL only.
Chintan Shah: sir. So just one follow -up on that. So I understand, so the tenure for these loans would be less than six months. As you told, there would be a rundown in March.
B. Ramesh Babu: Very true. Less than six months. Yes.
Chintan Shah: Okay. Sure, sir. That is the first one. Sir, secondly, on this margin. So first of all, this 19 bps recovery which we have seen, so that firstly, for that NPA account, we would have recovered the entire princip al. So that amount would be for set up against the princip al and then we have set it up against the interest. Is that understanding correct?
B. Ramesh Babu: Very true.
Chintan Shah: Okay. And sir, this would be a large cor porate account in my opinion, right?
B. Ramesh Babu: Last corporate account? What is the...
Ramshankar: Large corporate.
Chintan Shah: Large corporate.
B. Ramesh Babu: Correct. You're right.
Chintan Shah: Okay. And so sir, any other means, accounts on whic h we are working for similar, where we could have a similar bump up in margins because of this?

B. Ramesh Babu: It can come up, but nothing is in our hands because many of the large corporate accounts either NCLT legally somewhere stuck. When suddenly it w ill be released, we do not know. So that is the reason we cannot give any assumption or a guidance on these things. Whenever something once in a while comes up and all, it may bump up once in a way.
Chintan Shah: Sure. And sir, this account was written -off or present in the books? Was this a written -off account?
Natar ajan: No. So whatever the interest account we have shown, it was the principle was in the books. So that's why the -- it has gone to the interest. Otherwise it would have gone to the recovery from technically written -off account…
Chintan Shah: Exactly. Okay. Sure. Got it. And so sir, just one last thing on the wage bipartite settlement. Sir, there the incremental hit to us because of an additional 2% is INR7 crores. So that is until December. So now we have provided up to 17%?
B. Ramesh Babu : Up till December we have provided, but one more quarter also, we have split into two parts.
Ramshankar: So there are two things in this. One is the normal wage revision. Anothe r thing is pension obligations which we need to -- acturial valuation to be done, okay? That's was done at 17% for this quarter. Last quarter, if you remember, we had mentioned 101 cr for the full year and Rs 33 cr for the quarter …
Chintan Shah: You have already mentioned.
Ramshankar: Yes, 33. Now since revised to 17%, it should be revised actuarial valuation, which came to INR113 crores -- INR114 crores. So the 33 has become 40, 40 for this quarter and next quarter.
Chinta n Shah: Sure, sir. And so sir, you mentioned the normalized base would be INR125 crores, that would be per month from Q1 FY'25? INR325 crores quarterly, sorry. Okay.
B. Ramesh Babu: Correct. Yes.

Chintan Shah: Sure, sir. This is actually very helpful sir. Thank you for patiently answering all my questions and all the very best. Thank you, sir.
B. Ramesh Babu: Thank you, Chintan.
Moderator: Thank you. We'll take our next question from the line of M.B. Mahesh from Kotak Securities. Please go ahead.
M.B. Mahe sh: Good evening, sir. Congratulations.
B. Ramesh Babu: Good evening, Mahesh.

Thank you.
M.B. Mahesh: Sir, just on this -- on the previous question, you mentioned about your 20 basis points positive impact. How much is it in rupees, sir?

Ramshankar: That w ill -- it should be around INR30 crores, yes, INR30 crores.
M.B. Mahesh: INR30 crores, is it? Okay. And sorry, I missed one comment which you made. You indicated that cost of deposits would grow by how much by 4Q?
B. Ramesh Babu: 15 basis points.
M.B. Mahe sh: 15. And what would be the current term -- cost of your term deposit book, sir?
B. Ramesh Babu: Term deposit book, let us check, one second. Mahesh, in fact, during the course, we'll just come back to you, okay? We'll just take that number and all we'll let you know.
M.B. Mahesh: And if you were to just kind of add this 15 basis points for 4Q, you would say that the -- your repricing has been completed on the cost of deposit side?
B. Ramesh Babu: No. How can it be? Because accounts -- deposits which are getting matured, when they get repriced, automatically they'll place it at this one, no? So that way, we cannot say the total repricing has been completed.
M.B. Mahesh: So it will still continue into 1Q as well, is it?
B. Ramesh Babu: And one more thing, t he fresh deposit what all are coming also they'll be coming at this rate only.
M.B. Mahesh: Sir, the idea is that if your book carries a duration of about a year or slightly above that...
B. Ramesh Babu: Not one year, it carries two years also because earl ier, we used to have 555 days these sort of deposits also. So that way, it is 1.5 years to 2 years.
M.B. Mahesh: Okay.
Ramshankar: 6.74% cost of...
B. Ramesh Babu: Cost of time deposit is 6.74% average.
M.B. Mahesh: 6.74%. Okay. Perfect, sir. So you would say that next year margins will also still be under pressure unless there is a mix in the loan -- on the loan side?
B. Ramesh Babu: No, the sense that margins can be like this, but still, whatever it is, we are more or less reasonably feeling saying tha t 4% NIM we'll be able to maintain for the exit quarter. Earlier, we were telling 3.8%. So many cases, we are engaged with the borrowers for the repricing and particularly, where bigger borrowers who are not willing, so we have come out of those exposur es.
So those things, actually, they are helping us actually because there is no point in taking a deposit at 6.5% and adding the PSL cost, capital cost, term cost all these things. So that way we told them, which is low yielding and all to get out of that. That money if you are deploying in 9.5, 9.75 those sort of assets and all, overall, our yields are going up. So that way, the cost of

deposits also we are selective in raising the deposit also where we are not warranted. First of all, we are rebal ancing the portfolio. With that what all money is coming, we are lending it. And beyond that, what is required, we are going for the deposits.
M.B. Mahesh: Perfect, sir. Thanks a lot for this. And just one clarification. I assume that you seem to have a pretty good demand on the mid corporate loans because you've grown that book quite well, and you're seeing pretty good demand there.
B. Ramesh Babu: So the demand is there, actually, in fact, because of the good onboarding, what we have done and as we were m entioning in the initial discussion, the monitoring and collection with these things, the stress also is more or less under control. Mahesh, if you look at it, the mid corporate, the disbursements are going up more or less 20%, 22% quarter -on-quarter. So l ast

year compared to December '22, if I look at it, it has gone up by more than 40%.
M.B. Mahesh: Perfect sir. Very useful. Thanks a lot for this.
B. Ramesh Babu: Thank you.
Moderator: Thank you.

We have a next question from the line of Rakesh Kumar from B &K Securities.
Please go ahead.
Rakesh Kumar: Yes, hi. Can you hear me, ma'am?
B. Ramesh Babu: Yes, please. We are able to hear you.
Rakesh Kumar: Yes. Good evening, sir. Quite a strong set of numbers. So congrats for that. Sir, one question was pertaining to this NBFC exposure that we have, so this is like around INR3,000 crores and we have slightly sh redede the exposure I think in this quarter. So what is the strategy plan that we have to increase the exposure in the NBFC further or we would keep on t rimming this number.
B. Ramesh Babu: No, it is not the question of trimming. I just hear earlier, so what we were having, AAA, AA, all those things were there with a very low yielding. When RBI guidelines have come up for additional capital provision also for that. And the cost on the other side is growing the cost of deposits. A few of them, they are not willing to take the additional cost at the time of repricing. So that's why we told them saying that it may not be possible for us to fund. And we told t hem to prepay at the time of repricing, few of them have prepaid. It made sense for us as well as for them because they might be having alternate source of raising the money. But why we did also because many of these relationships, they are price -sensitive and not agnostic.
So for tomorrow, actually, we are able to normalize the deposit rates and all, and we are able to raise the money at a normal rate. And actually we go back to them, again they'll come to us. So that is not the question of relationship, it is all related to the pricing. So those cases, what we have found out and all, we have actually got out of that. Our NBFC exposure used to be above 7.5% something like that, now it has come down to below 7%, so it doesn't mean saying that we'll be at 7 %. It can come down also, it can go up also. Continuously, we are gauging. The

yields what we are getting and the low -yielding accounts what all are there on the top, continuously we're engaging. If you find a better revenue in other verticals with bett er pricing or yields are there, we do not mind getting out of those exposures also and to rebalance the portfolio.
Rakesh Kumar: Understood, sir. Very good. Sir, can you tell on this SA deposit due to an industry -wide phenomenon, but we are also like getting slightly volatile number that we have seen on this SA deposit side. So any strategy or what plans you might have to augment this SA deposit number?
B. Ramesh Babu: Yes. Rakesh, in fact, I'll tell you. So I'll make a statement and then I'l l hand over to our Head Consumer Banking also. But if you look at it, so I was mentioning in my opening remarks, our new to -- suppose new accounts, what we are getting, at least that is strong, we are going on. Now the existing book what all is there, a p art of that is going into time deposits. If we resist them not to go to a time deposit, the chances are it may go to some other bank initially. And finally, the relationship also may go out. So it makes sense for us instead of going out and taking a deposi t, it is better to get from them. And likewise, if I look at my numbers also, the cost of raising time deposit between the retail and bulk is different.
Bulk, I may have to pay 20 to 25 basis points more. If many of our customers instead of going elsewher e, if they are placing the money with us, I'll be getting the retail time deposits at a cheaper rate and the relationship also I'm able to maintain. So what we are trying to do for the deepening and all these things, Dolphy, Head Consumer Banking, will exp lain. Yes, Dolphy, over to you.
Dolphy Jose: Yes. Good evening, Rakesh. Dolphy here.
Rakesh Kumar: Good evening, sir.
Dolphy Jose: On the SA side, Rakesh, I mean, this is an industry phen

omenon. There -- almost all banks are facing this SA erosion p rimarily, which we all understand is because the consumer -- customer itself has shifted from savings to consumption and some consumption to investment, and that's the trend. So the ideal way to hold on to your balances extra is to make sure tha t your hooks are in the right place, and we need certain product hooks and why we are critically focusing is on the third -party products.
So in third -party products where our primary focus is, of course, insurance and then mutual

funds where we are again focusing on SIP, both on shares as well as mutual funds. These are our two primary hooks, which we are aggressively marketing. And that would give us some decent hooks to hold on to the balances and have some incremental balances.
On the organization par t on the bank per se, on the liability franchisee, we have again segregated the overall franchisee into one on the ETB deepening channel and the new acquisition channel. So we have a separate acquisition channel, which is a sales team of about 1,200, 1,300 -odd people who are purely LTV going out to the market and acquiring new -to-bank customers on CASA , TD.

And we have further sub -verticals for corporate salary and for now lately, we have developed a team of about close to 200 -odd PRMs or priority RMs, as we say, who will be catering to those customers whose balances are from INR10 lakhs and above. So that's for further deepening. And we have a product bouquet, which can keep these customers engaged to make sure that the deepening is in place.
So these are things which we are doing on the organization level. And focus will continue on RTD, as MD sir mentioned that, yes, a part of our SA depletion is because of the transfer of SA to TD for higher rates, etcetera. So these are the multiple things which we are doing. We are also parallelly developing a BC channel where we intend to, again, new -to-bank customers, but they will also get into other retail asset products. So overall, this is how the deepening focus -- for deepening in the b ranch.
So going forward, our deepening activity or where we focus on the ETB, the existing to bank customer, and we have a decent customer base of about close to 9 million customers, it will be primarily managed and enhanced by our branch banking team. An d we have a granular structure in the branch where we're trying to have a hybrid model in the branch where we have 2 separate goals which we have introduced lately, which is one is the BSSE, which is the bank sales and service executive and PRMs, so both p ut together today, as of today, we should see around close to around 1,200 -odd people already in and rolling.
And they're already in the last quarter, all these channels have given us significant incremental on the new -to-bank acquisition. The ETB also ha s started tracking and we have -- they are started giving us incremental volumes in the last quarter. So that's the whole idea, and that's how we are proceeding in the CASA segment.
Rakesh Kumar: Got it. Thanks for very elaborate answer sir. Thank you and all the best for the future performance sir.
B. Ramesh Babu: Thank you.
Moderator: Thank you. We have a next question from the line of Prabal Gandhi from Ambit Capital. Please go ahead. Mr. Gandhi your line is unmuted. Please go ahead with your question.
Prabal Gandhi: Yes. Am I audible?
B. Ramesh Babu: Audible Prabal. Please go ahead.
Prabal Gandhi: Congratulation, sir. My first question is on MSME side. So we are growing at 20%. In the morning, another Tamil Nadu based lender reported MSME growing just 2% on a Y -o-Y basis. So just wanted to understand how are we able to capture demand and grow at 20% when our same geography peer is struggling on the growth?
B. Ramesh Babu: I cannot compare ou

r selves with anyone, because ours is a journey not started today . So you must be seeing last 3 years continuously, we have been focusing on the MSME. If you can

look at it, our percentage of the total book has moved now to 33% -odd now. So progressively, we have been moving. Now the various engines what all are there, s o we have activated them. Many other branches, which they were unable to absolutely source them, so we have provided necessary inputs like training and process -related many issues, hiccups are there, we started fixing them. And that way, the confidence le vels for the people have gone up.
And above all, the tag with which what we are giving and the confidence the other side borrowers they have got it that also is helping us. So all these things have supported us so in onboarding. And above all, our risk te am, continuously, they monitors what is good, what is

bad they are telling.
So right from the sourcing, we are selective in what we need to do, where we can do, where we cannot do. All these things have helped us. In addition to that, new initiatives like -- so our KVB Smart, what we have created, those things also will be helping. So it's an ongoing journey, so the journey has slowly started working and many more people are joining the band wagon.
So that is the reason we are able to do. So we are findin g good amount of -- absolutely, if you can look at it, our approval rate is around between 40% to 45%, which implies out of sourcing 55%, we're declining it, which is not meeting our standards.
If we can dilute and relax our norms, it can go up to 70%, wh ich we do not want to do it. Once we do it, there later, we have to face about the SMAs and NPA. So that we are finding some set of opportunities there we are doing despite issues coming up and demand in the textile has not picked up yet. So maybe after 6 months, the textile picks up well, the downstream industries related to textiles, that also will give us some more scope for us to grow further.
Prabal, are you there?
Prabal Gandhi: Yes, yes. Perfect. So just an extension to that will be, so the growth in MSME is coming, say, disproportionately from the new customers or the old customers utilizing their limit, which is just...
B. Ramesh Babu: No, the utilization levels are more or less at the 70% only. It has not crossed. So we thought saying that even any other industries, if we look at it, hovering between 70% to 75%, so new customers, majority is coming from the acquisition and though enhancements are there, but major growth is from the acquisition.
Prabal Gandhi: Perfect. Sir, second question will be on operating expenses. So even if I have to adjust for the wage revision and the pension obligation, even then this seems to be running high obviously, we are investing in the bank. So that could be the reason. How do you see the productivity pan out? And an y targets on the opex to asset or cost to income that you envisage for 2 to 3 years?
B. Ramesh Babu: And I fully agree with you. So though we were also abreast of this one. But the point is until and unless the capacity and infrastructure what all are required the manpower if we do not take

it. If you have a big plans to grow and all of them, they go, haywire that is the reason the manpower we are investing on that.
And not only that, we are having a mechanism also to continuously gauge the pro ductivity and performance of these people wherever comes sort of the people who are unable to deliver, either we are counselling them and otherwise, providing some separate support to grow. If something is not there, a few of them, they are leaving also an ongoing process, but new initiatives, what we are taking in the process, we are

supposed to incur some costs.
That's why earlier I used to say, so rather than treating them as a cost, we need to treat as an investment, which will be yielding results in d ue course. But at this stage, if we do not invest, the future will be bleak. But in addition to that, you need to appreciate one point, with all these math still we are able to deliver the ROA what we have guided.
So that way, we are trying to work out wi thin the broad parameters what we have committed, including a cost -to-income ratio, ROA, NIM with these things, what we need to devote for the infrastructure and future growth, we are trying to spend on that. But anyhow, we are also in the process of revie wing wherever some sort of an unwarranted expenses is there, how to get out of that, we are looking at it, and we are on the job.
Prabal Gandhi: Okay. Sir, and just last point. So I did notice that we made INR25 crores of floating provision this quarter as well and we have been making that from last 3 consecutive quarters. But just a request that in a quarter like these in a bump up quarter like these when we get sort of one -off recoveries and things like that instead of having 17%, 18% ROE?
If we can ju st increase the quantum of floating provisions that will sort of give more confidence on the sustainability of the earnings for next 2 to 3 years rather than having one quarter of very good numbers. So just a request from my side...
B. Ramesh Babu: No, no, no. Absolutely. Your point is well noted. But just one more point, you need to keep, Prabal. So you see somewhere some bumping up is there in the income side. But other side, expenses side also some bumping up is there because the 15% to 17%, some sort of a pension, these sort of things we need to do.
So keeping all these points in view, we thought that let us do it, but your point is well noted, next time to insulate these sort of turbulence. So what we need to do, we will do that. So that continuity and sustained performance will be there. We'll do that.

Prabal Gandhi: Great sir. Thank you and all the best for the future.
B. Ramesh Babu: Thank you.
Moderator: Thank you. We'll take our next question from the line of Arvind R from Sundaram Alternates. Please go ahead.
Arvind R: Hello sir. Thank you so much for the opportunity and congratulations.

B. Ramesh Babu: Yes. Thank you, Mr. Sundaram.
Arvind R: Great set of numbers. Sir, I just have two questions. Sir, 1 is, so our non -core fee income like close to INR400 crores in the third quarter. I guess like that would predominantly include the technically written -off -- recovery of technical written -off or other written -off accounts.
B. Ramesh Babu: True, true.
Arvind R: Yes. So what I would like to understand is like, for example, if I see the annual report of FY '23, like we have like on book like INR4,500 crores worth of you know technically written -off of accounts. I mean like is that the base, I mean, like where we can see this kind of recoveries for the ne xt 1 or 2 years, either from that book? Like is my understanding, right?
B. Ramesh Babu: I agree with you, Sundaram, but the point is there are many unknown, unknowns involved in this because many of those big corporate accounts are with NCLT. So finally, how much percentage of that comes out, we do not know.
So sometimes, it may come out well, sometimes it may not come out well. So that way, a credible guidance I may not be able to give. But every effort is on both on the retail as well as the corporate a ccounts. So to the extent what all is getting and all, we'll be trying to do that. So this is what actually is, the pool is there, but entire pool cannot be prima facie looked at saying that this can be recovered.
So out of the few of them would have been already evaporated and many of them are cons

ortium accounts are there, where due to delay also something may not be there. But we are on the job, how much -- as much as possible to salvage and to get out of that, that is the reason if you can look at it l ast year, the whole year's written -off recovery, we are able to get that recovery in 9 months.
So the same is the case. Last year, whole year's profit we have crossed this year in 9 months. So we are on the job to extent possible. Sometimes it may be poss ible, may not be possible. But we will focus on our routine, what we need to operate. And these things once in a while come up, it may be a bonus for us.
Arvind R: Sure, sir. And just to understand like in INR4,500 crores, like as per annual report or like in the what we have in the income statement, if I can get a texture of what kind of accounts? Is it predominantly corporate accounts or does it also include...
B. Ramesh Babu: Yes, yes. Majority -- more than INR2,500 crores or INR2,800 crores is just corp orate account, that too big corporate accounts are there. So that way getting that will become difficult.
Arvind R: Yes. Okay. So the recoveries also came from the big corporate accounts?
B. Ramesh Babu: Once in a way, just this quarter, how it has come, o therwise, continuously, we'll be getting we do not know that particular point. So we are focusing on the smaller accounts where we have collaterals, where we can dispose off and we are approaching the court , those things we are focusing, which is withi n our means. Bigger things stuck at different locations and different

stages that we need to get it from the corporate INR2,800 crores. As and when we get, we need to book that.
Arvind R: Sure, sir. So the interest income, you said like which included this one-off. So basically, whatever is recovered in this quarter, the principal amount on that, like we just calculate interest on that and that -- okay, is that the way to understand?
B. Ramesh Babu: No, no. You're understanding is perfect.
Arvind R: Okay, s ir. Just one more thing. You said that 10 basis points increase in yields, we can see. So when I see -- when you say that, like I have to exclude this effect and basically and then add 10 basis points to...
B. Ramesh Babu: Yes, yes. True, true. And that's also -- in my original guidance, when I was reading, I have told

you saying that if you exclude this one, this comes to this rate and on the 10 basis points, you can expect that.
Arvind R: Okay. Okay. And just one more thing, sir, on fee income, like you a re seeing some healthy growth in like fee income, especially the core fee income in 20% this quarter to the last year, the same quarter. I mean, like may I understand like what kind of activities or what kind of you know activities helping this fee income?
B. Ramesh Babu: Yes, yes, absolutely. I'll tell you basically because the disbursements have gone up, naturally, the processing fee has gone up on that. Second one, if you look at our cross -sell income compared to last year, more or less, more or less 75% more than that we are able to do that because the awareness of the people have gone up in that and our people, more or less, they are getting that one.
And third thing, if you look at the non-fund based also, while LC business is not in line, actually, n ot happening because the exports may not be there a verity of reasons international business is down overall. That too, we are predominantly dependent on the textile with the 7%, 7.5%.
So there is some sort of lull is there, but we have diversified into i nfrastructure like smaller contractors where we require some sort of a guarantee. That is also helping us to get some sort of income out of that.
So likewise, the good contractors whoever are there a lot of roads, these sort of projects are coming up. So those non -fund-bas

ed business also, we are focusing, and a culmination of all these things is helping us to grow in the core income.
Arvind R: Okay. Okay. So like one can assume that like whatever credit growth in line or slightly above that, we can act ually expect that fee income...
B. Ramesh Babu: Yes, yes. It is in line with the credit growth, what all credit growth is coming accordingly the other side also commensurate non -fund-based income also will be there.

Arvind R: Okay. Thank you, sir. Thank yo u so much,
B. Ramesh Babu: Thank you.
Moderator: Thank you. We have our next question from the line of Sushil Choksey from Indus Equity Advisors. Please go ahead.
Sushil Choksey: Sir, congratulations for great set of results.
B. Ramesh Babu: Sushil ji, tha nk you, thank you, very much.
Sushil Choksey: Sir, my first question is, you had an outlook on deposit. You have looked at your NIM and everything. Sir, one question I have. How much of your business is from your existing customers, which is growing at 15% , 20% or 30%, specifically that INR5 crores to INR25 crores bracket?
B. Ramesh Babu: You're talking about the advances or deposits?
Sushil Choksey: Advances?
B. Ramesh Babu: Advances, that's what I say. Suppose, if you look at it INR5 crores to INR25 crore s, more than 60% is coming from the new to business. Existing, the enhancement, these things are there, we are not relying majority on that. If an existing customer requires enhancement on its own he comes, so we need not worry on the particular account . We need to maintain the relationship. Our main focus is on the fresh acquisition. So that's what we are working on that. Majority growth is coming from that only.
Sushil Choksey: Does it mean that your existing product enhancement that is if you add five products, you needed to 10 cross -selling...
B. Ramesh Babu: No, no, I'll tell you, it is not the question of products. Products can -- because we have a plethora of product, 20 products are there, Doctor Plus, this plus and all. But the solution what we a re supposed to provide to the customer based on his requirement, that is making sense actually.
So many of our people, at least they could know how to source this sort of thing that is helping. And majority of our business comes from the wholesale and ret ail traders because traders business a lot of scope offers in Tamil Nadu and South. So that is helping us a lot.
Sushil Choksey: Okay. Any sectors which you find are getting more vibrant like construction in infrastructure...?
B. Ramesh Babu: Yes, yes. So infrastructure under the construction if a look at it, maybe the roads these sort of things and commercial real estate also is working to some extent, paper is also doing well and all so chemicals and these activities are coming up, but major portion is co ming still from the wholesale and retail trade.

Sushil Choksey: Your textile base as well as auto ancillary?
B. Ramesh Babu: Auto ancillary to some extent, it is coming up, but many of them usually, they go for the vendor financing with the original banker s, but whereas textile is concerned, nowadays, again, we are able to see some green shoots. And now the stocks at abroad have been exhausted. Few markets which are export -dependent, they started getting some sort of an order at a low case. But all of them are confident that in the next 6 months, the position will be improved compared to earlier.
But one good thing what we look at it is though the utilizations have not gone up, the quality of our textile customers is good. That is quite heartening to see. S o with 7.5%, the stress what all we are getting every quarter is nothing much from the textile sector. So that's why we are pretty ha

ppy with this one.
Even if they are not utilizing the limits, if the business is not there in the utilized that is a cause of concern for us. So for the time being, the utilization not there is good for us. Once they get the order, automatically, they'll utilize because the relationship with us.
Sushil Choksey: Sir, second thing is, what kind of initiatives are we because we have been very profitable, our market cap has done well, all parameters every stakeholder is happy with you. Now if I have to take a journey for the next 3 years, 5 years for long -term shareholders, what initiatives have you enabled and what initiatives yo u are targeting in the next 3 years, so the bank gets to the next level?
B. Ramesh Babu: Yes. Currently, what we are doing, we were totally dependent on the branch sourcing model. So the branches, they have a limitation. So that is the reason we are trying to take -- differentiate this one. Now if you look at it, sector -wise, if you look at it vertical -wise, the retail segment.
So we have last year started some sort of a few branches with home loans, only Hyderabad, Vizag -- sorry, Hyderabad, Bangalore, th ose are working well and now we are going to increase the number of those branches where this home loan intensive and real estate, commercial real estate, so that works well.
In addition to the branch sourcing what we are doing now is the direct sales age nt, DSA feet on street, further retail assets, we are working on that. For that, the centralized, how these credit sanction, processing underwriting has to be there that we are working. With that, we can have a different set of numbers for the retail.
Com ing to the commercial is concerned, the process -related issues, what we have removed and all, and now we have created a new vertical called KVB Smart, which used to work on the lines of our NEO, which was working for the LAP, now KVB Smart is for the worki ng capital, where our branches, they are busy with their routine and the existing customers leads they are getting.

For the new to be bank, these sort of customers are getting -- we have created a setup. These five centers with 48 staff members, what we s aid, it is going to work that way. And now coming to the agriculture also, all along, you would have seen that majority 95% of our agriculture portfolio used to be on the jewel loans. So we started diversifying that. That has come to around 15% other than jewel loan has come up now because you cannot continuously depend on the jewel loan.
Jewel also we are actively working to create a setup wherein a feet of street will be there for getting the jewel loan business to the bank and already 2 branches which a re exclusive jewel loan branches are there. Based on that experience, how can we create a few more branches we will look at that.
And coming to that agriculture, we are diversifying into other than the jewel loan, like poultry, these sort of things, where ver goods are there with partners we are doing. And a few months back, 6 months back, we started a partnership with another agency for MFI. We are not there in the MFI business at all.
So we started doing with them. Already slowly, the portfolio has reach ed INR100 crores. We

do not want to grow aggressively there. We are now entering into a tie -up with two more partners on that so that we will diversify your risk amongst all of them. And these people progressively they'll be getting that.
Agriculture also few more agriculture offices we are taking it for taking care of this direct agriculture business. So that way, each of the vertical, if you look at it, we have a separate plan for ramping up. The current growth model is there after some time, it may not sustain and stop. So the engines we are introducing, which will work in the years to come.
Sushil Choksey: Sir

, you -- your plan is more for tie -ups and distribution capabilities, but you might be ready at digital end, but human resource within the bank, w e need to do something or that is already --
B. Ramesh Babu: That Is the precise reason you see one of the participants they asked, the employee cost has gone up, so that is the reason to front run this one and all, so we are already recruiting the people in the branches or rest of the locations where we require. And we are keeping that sort of a setup ready. Technology -wise, we are ready. Manpower also, we are getting it. On the other side, process and products also we are preparing. Together, we need to t ake it forward.
Sushil Choksey: Sir, the previous participant had asked you about technically written -off accounts. I'm not asking you from a particular number what you will recover next year. But if I take a historical data and your experience, what perce ntage of your written -off accounts you will feel that would be recovered, 30%, 40%, 50%?
B. Ramesh Babu: It's a very, very difficult and impossible question I can answer because each half is a different animal and a different treatment. So if you ask me fr om the retail segment, what you can do, at least some sort of a ballpark number I can give you. But out of the total write -off account majority when it is coming from the corporate, so I will not be able to give that number at all.

That too, suppose even i f I give a number, in this particular year, how much it has come up and all, so I may not be able to tell you.
Sushil Choksey: Okay. Sir, second thing, my last question is on treasury outlook for your bank, looking at the current G -Sec in India and the lim ited volatility in US. Everybody estimates that 2024 maybe second half or the third, fourth quarter, there would be tapered off. We are likely to be included in some bonding access, one and two, both is more or less indicative. Now based on this, where do you see our treasury positioned for betterment or will be stable from that because of our CD ratio?
Natarajan : Yes. Sushil, up to three months before, we had a very low duration. If you have noticed our AFS portfolio is all less than 2% only. Now we are slightly confident that going forward, the interest rates will not be going further high. So we started picking up some of the investment. That is why if you notice, our AFS and durations in other sectors is slightly moving up. And in that way, we are not very aggressive, but within the limited band, so we are trying to play around.
Sushil Choksey: Sir, one more last question on co -lending and assignments. Are we fully technology -enabled?
Natarajan : Yes, yes. See, the basic requirement for co-lending is you should have a very robust technology. So without that, it's very difficult, particularly for the Amazon BNPL platform and all -- these are all 24/7, particularly in the festival and the holidays -- heavy activities would be there. S o the manager -- all the active co -lending business today, everything is technology oriented and the end -to-end seamless process.
B. Ramesh Babu: Other partners also with whom we have entered, it is absolutely end -to-end and seamlessly working.
Moderator: Thank you. We have a next question from the line of Prakhar Agarwal from Elara Capital.
Prakhar Agarwal: Couple of things. One is on, sir, lending rate, so you have highlighted that you took a couple of MCLR rate hikes. Have you been able to pass through a nything in retail and commercial banking side?
B. Ramesh Babu: No. Suppose if our jewel loans, if you look at it more or less -- one-month MCLR. So automatically, majority of them at rig price is not a problem at all. So in respect of other retail, so the process is on. So that's the reason conservatively, we have estimated a hike of around 10 basis points in

the next quarter.
Natarajan : So during the last quarter, we increased our MCLR two times. So that we are gradually -- when that renewal happ ens, we'll be passing on that whatever increase to the accounts.
Prakhar Agarwal: Okay. And sir, moving on to FY '25, if you were to take that there are no systemic rate changes by RBI. How do you foresee your margins moving on and in that context growth t hat you're

envisaging, because you said in a passing comment that you probably are choosing margins over growth at this point in time. So, if you were to just --

B. Ramesh Babu: Prakhar in fact, it is a dynamic position now. Once we look at our March posit ion, then we'll be able to give you guidance for the next year. So for the time being, I wish to confine to our guidance to next quarter only.

Prakhar Agarwal: Sure. And just last bit on sir, this personal loans. So who is a partner who is running you through in terms of this buyout that you had to do for BNPL Amazon?

Natarajan: That's Axio, a company called Axio.

B. Ramesh Babu: Former name was Capital Float; later, it has been renamed as Axio, based out of Bangalore.

Prakhar Agarwal: Okay. And this partnership has been for how long, sir?

B. Ramesh Babu: More than three years.

Prakhar Agarwal: Okay. sir, how suddenly then probably if we were to look at past trends, how suddenly that during this festive season, we have seen this sort of growth while in earlier years, we have not seen any sort of this pamper?

B. Ramesh Babu: No, what happens, a few more variants also we have brought. But because based on the experience, what we have with few other customers, and going on well. Instead earlier, suppose if we are giving one month, now we can give for two months or three months, something is required. So that few of the customers instead of rotating in one month, it has become three months that also got elongated repayments that way.

So that way, overall, if you look at it has gone up. But this time, there's a robust demand on account of this. Even Amazon also what they have released the list also from their side. A good number of fresh -- that is not fresh to the Amazon. Amazon, there must b e there for three years also. The list what all has come also has come up. So that way, the demand is pretty good this time.

Prakhar Agarwal: Sir, what will be your rejection rate in this for us in this product?

B. Ramesh Babu: It is, I think, miniscule be cause the reason is after so many checks and balances, Amazon is releasing. And after that, we -- our partner has checks and balances and we have many gating conditions. With all these things, someone passes through, they will be able to go through. So the same process has been going on for the last three years.

With all these things, the cohort loss is around 1.2%. So that's the reason what we thought. So the model what all is following the same model is getting followed that way. There's no deviation or dilution in the model what we are following.

Prakhar Agarwal: Okay. Sure, sir. That is it from my side. Thank you so much.

B. Ramesh Babu: Thank you. Thank you.

Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I n ow hand the conference over to Mr. B Ramesh Babu, MD and CEO, for closing comments. Over to you, sir.

B. Ramesh Babu: Yes. So once again, I thank you, one and all, for taking out time and for very curiously asking many questions and detailed question, so w hich shows the interest of what each one of you have in our bank. I profusely thank once again and all the best. And a good day to all of you. Thank you all.

Moderator: Thank you, sir. On behalf of the Karur Vysya Bank, that concludes this conference. Than k

you
for joining us. And you may now disconnect your lines.

Call: May 2024

Classification | REGULATORS
IRC:F48:108:237:2024 May 17, 2024

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor,
Plot No. C-1, 'G' Block,
Bandra- Kurla Complex,
Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Audited Financial Results of the Bank for the Quarter and Year ended March 31, 2024
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Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transcript of Conference Call held on May 13, 2024 at 05:00 p.m. (IST), in connection with the Audited Financial Results of the Bank for the Quarter and Year ended March 31, 2024.

The same is also made available on the website of the Bank and can be accessed on the following link:

https://www.kvb.co.in/investor-corner/regulation-30-sebi-disclosure/investor-con-call-transcripts-and-recordings/

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager
Encl: As above

"Karur Vysya Bank Limited
Q4 FY'23 -'24 Earnings Conference Call "
May 13, 202 4

MANAGEMENT : MR. B. RAMESH BABU – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – KARUR VYSYA BANK LIMITED
MR. J NATARAJAN – PRESIDENT – KARUR VYSYA BANK LIMITED
MR. CHANDRASEKARAN – CHIEF OPERATING OFFICER – KARUR VYSYA BANK LIMITED
MR. RAMSHANKAR – CHIEF FINANCIAL OFFICER –

KARUR VYSYA BANK LIMITED
MR. DOLPHY JOSE – GROUP HEAD – CONSUMER
BANKING – KARUR VYSYA BANK LIMITED

Moderator: Ladies and gentle men, good day, and welcome to Q4 FY'23 -'24 Earnings Conference Call of the Karur Vysya Bank. We have with us today from the management team of KVB, represented by Mr. Ramesh Babu, MD and CEO , Mr. Natarajan, President , Mr. Chandrasekaran, Chief Operating Of ficer, Mr. Ramshankar, Chief Financial Officer , and Mr. Dolphy Jose, Group Head, Consumer Banking.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concl udes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.
Now I hand the conference over to Mr. B. Ramesh Babu, MD an d CEO, to take us through the highlights of the quarter gone by, after which we will open the floor for the questions. Thank you, and over to you, sir.
B. Ramesh Babu: Thank you, Nirav. So good evening to all of you. On behalf of Karur Vysya Bank, I welcom e you all to our bank's earnings call for the quarter four of the financial year 2024. We uploaded our financial results along with the presentation on our website, and I hope you have had a chance to go through it in detail ahead of this call. We are plea sed to share that our performance indicators are in line with our guidance that we had spelled out in our earlier quarters and it's encouraging to note our consistent and inclusive performance well above our guidance on three metrics: Growth, profitability and asset quality.
We are also glad to share that our balance sheet size has crossed INR1 trillion during the year. The bank's total business stands at INR1,63,536 crores as on 31st March 2024, as compared to previous year, INR1,40,806 crores, registerin g a growth of 16%. The advances stand at INR74,423 crores and deposits grew to INR89,113 crores with a growth of 16% each.
The bank's liability business constitutes 54%

of the total business of the bank. Deposit growth
continued to remain one of the key f ocus areas for the bank, and you are aware that the bank had initiated various strategies for deposits growth, including establishment of acquisition channel for both term deposits and CASA growth.
Our term deposit growth during the year is at 21%, and t his is made possible on account of our continued focus on this segment.
While our CASA acquisition numbers are progressing well, there is a depletion in the existing book of the CASA on account of other opportunities available for the depositors, resultin g in lower growth under this segment, which we are trying to overcome by better engagement strategies with our customers.
The advances of the bank grew by 16% for the year, and it could be noticed that the bank has achieved this growth after a gap of 11 years. So it was 24% growth in advances achieved in 2013 when we were growing pretty well in the corporate at that time.

The growth during the quarter was slightly lower, and this is on account of our conscious efforts in reducing low -yielding advances fo r better margins.
It is heartening to see our consistent efforts in bringing inclusive growth across credit verticals have been rewarding well.
Commercial loan book increased its share to 34% of the total loan portfolio followed by retail with 24%, agr iculture at 23%, and corporate loan book reduced to 19%, indicating our

continued shift towards granular portfolio.
The commercial business grew by 21% over the previous year as against 12% growth of the corresponding previous year. Our continued efforts in activating branch channel, which manages small business group with INR5 crores exposure and business banking units, which manages exposures of the INR25 crores, resulted in better performance, besides consistent good performance displayed by NEO busines s team.
KVB Smart, a non -branch channel under commercial banking, mainly sourcing business through open market channel, completed its first full year of operations. It is progressing with a portfolio of INR126 crores and currently operating at Coimbator e, Chennai, and recently, Hyderabad, Madurai and Bangalore units , also have been commenced and the total team size is 48 numbers.
The agricultural loan book had a growth of 17% year -on-year and achieved all targets and sub targets under priority sector f or all the quarters of the year and priority sector advances as a percentage of ANBC as on 31st March 2024. While continuing our focus on agricultural jewel loans, we have also started focusing on direct agriculture lending and sourcing busines s through fintech partners.
The retail advance of the bank registered a growth of 18% during the year under review as against 16% over last year. Our efforts in making products and processes market -related has helped our branch channel to focus on this s egment, supported by open market channel. Our co-lending Amazon BNPL program is performing well, and the book is around INR1,000 crores now.
Corporate and institutional loan book had a growth of 5% only during the year, though initially, in the first two quarters, CASA balances has grew on account of withdrawal of INR2,000 notes. Subsequently, there were scramble for sourcing low -cost deposits. Industry witnessed customers choosing alternatives for investments rather than keeping in CASA accounts. Strik ing a balance between maintaining healthy margins and pursuing strategic growth opportunities is a challenge that we had to navigate last year. As you are aware, we preferred sustaining our growth momentum with healthy margins. In addition to shedding away, low -yielding advances of INR1,415 crores, I repeat INR1,415 crores, we also exited advance of around INR200 crores on account of weakness, thus totalling around INR1,600 crores, which co

mes to 2.15% of our advances during the year. And thus, we have do ne the dual task of cleaning the book and optimizing the yields.

Our NEO business model continued to perform well and have built a loan book of around INR6,443 crores at the end of the financial year and precious metal division book stood at INR674 crores .
Transaction Banking Group specializes in cash management services, providing collection and payment products and supply chain finance for corporat es of all sizes. In addition to participating in all 3 TReDS platforms for financing MSME vendors, TBG by embracing digital technology aims to leverage the partnerships with fintechs to drive growth. TBG supports the bank for a diversified portfolio and anchor top corporate relationships.
Our partnerships for co -lending with NBFCs continue to perform well and loan book under this segment is around INR1,900 crores. Currently, we have five arrangements, and we are working with more tie -ups during the year.
We had indicated in the last call that NIM be above 4% at the exit quarter of the current year. NIM improved to 4.19% sequentially by 6 basis points. It was 4.13% for the quarter three , excluding one -off items. Our rebalancing of portfolios with more focus on better yielding granular secured advances in the RAM vertical has helped us to maintain th e margins above 4% levels.
The cost of deposits increased by 11 basis points sequentially as against 15 basis points guided by us in the last call. Yield on advances increased by 8 basis points during the quarter as against the guided 10 basis points. Yi eld on investment has increased by 17 basis points during the quarter.
Other income for the quarter is reported at INR388 crores. This includes a one -off item of reversal of depreciation on investments on SRs, that is INR157 crores provided earlier, which resulted in a spike in the PPOP. The release is on account of reclassification of SRs into NPIs, non performing investments, as these SRs have crossed the time limit of eight years. The provision release under the head is consumed under the provision fo r NP I and hence, it is net profit neutral.
You are aware that wage revision as per bipartite settlement was signed during the last quarter.

With respect to pension obligations, out of the estimated amount of INR114 crores, we have already provided INR74 crores till quarter three and the balance amount of INR40 crores has been provided in the fourth quarter.
In view of the wage revision and also on account of drop-in benchmark rates by 30 basis points, additional amount of INR30 crores is to be provided towards meeting pension benefit obligations in the fourth quarter. With this, all liabilities with respect to wage revision has been fully provided for. Our normalized wage bill from the first quarter of the next year would be in the range of INR325 crores to INR350 crores, which works out to 1.35% of our estimated assets.
For the quarter under review, we have provided a sum of INR112 crores towards NPA migrations, standard assets and prudential provisions and credit costs work out to 0.65%. We

estimate th at for the current year, it would be in the range of 75 basis points as guided. As done in the last three quarters, we have provided sum of INR25 crores towards floating provision to meet any contingency, including ECL and cumulative provision available un der this is INR100 crores.
We have achieved ROA of 1.76% in this quarter. It could be noticed that our ROA has consistently improved from 0.19% in December '20, and grown sequentially in the last 13 quarters, which is a result of our concerted efforts in stimulating the various levers of ROA and enabled us to achieve this parameter well ahead of timelines .
I am happy to share

that we have declared a dividend of 120% as against 100% last year, and
this is subject to shareholder approval.
Our gross slipp ages during the quarter continue to be under control at INR130 crores, which comes to annualized 0.67% of our loan book. With SMA 30 plus numbers at the lowest level of INR 281 crores, it is estimated that forward flow is likely to be minimal. We are co nfident that we will continue to keep the ratio below 1%, as guided in our earlier calls.
With our persistent focus on recoveries from technically written -off books, we were able to recover a sum of INR132 crores during the quarter. Total recoveries du ring the year is at INR341 crores as against INR208 crores for '22 -'23.
Due to lower slippages, recoveries / upgrades and write -offs, our gross NPA has come down to 1.4%, and we expect that we will continue to maintain at below 2% levels.
Our net NPA h as come down to 0.4%, and we would continue to maintain net NPA at less than 1% of our loan book.
Our standard restructured loan book is further reduced to 0.96% now of our loan book, and we hold a provision of 42% of the total restructured book.
The ad ditional provision towards pension obligations has slightly increased our cost -to-income ratio to 51.60 %, excluding NPA reversal item for this quarter. However, YTD, year -to-date CAR is 49.68%, excluding NPA reversal item, which is within our guidance rang e of 50%.
Our CRAR Basel III continues to be healthy and is at 16.67% providing us comfortable headroom for growth.
Our digital transactions grew by 37% in financial year '24 and our share of digital transaction stands at 96%. We continue to add many new features in our DLite app, which is our customer onboarding application and there are 2.4 million registered users for our DLite app and 5.22 million downloads for our DLite app.
With regard to RBI's notification on investment in alternative funds, our investment as of 31st March is INR12.55 crores, and we do not have any great exposure to the companies where AIFs had made downstream investments.

Let me move on to what we intend to do in '24 FY'25.
Every bank has its own business model. Till few years back, our business mix was skewed towards corporate book constituting 37%. We went for business transformation and lot of initiatives taken to granularize the loan book. Our corporate book has come down to 19% as at the end of 31st March with r etail, agriculture and commercial taking higher share. Our focus will continue to be towards this approach going forward.
As we have continuously improved our advances verticals, in technology, processes, people

and partnerships, a good momentum has been engrained at all levels. However, this can be continued provided raw material, i.e.deposits at low cost, is available. Though there is no issue on the liquidity front, this is a challenge at what cost of funds would be available for lending. Rebalancing our portfolio would be continued keeping an eye on the margins. We will be continuing our focus of growth with healthy margins. Overall loan growth to be at 14% plus with adequate percentage of growth in deposits, ensuring CD ratio is maintained a t around 85% during the current year.

We have added 39 branches during financial year '24. With respect to branch expansion for the current year, we have planned opening 80 lite branches and 20 regular branches in 2024 -'25, mostly in Southern and We stern parts of the country. The lite branches would help us to improve our penetration and bolster our liability franchise.

Our non -branch channel NEO is one of our successful initiatives to bring more synergy between branch channel and NEO, we hav e integrated operationally NEO into retail assets. This would facilitate the branches to scale up more under retail assets. Now across the bank, we would be in a po

sition to source retail business through branch channel and open market channel. So though t he plan is on the anvil, we will be implementing that in different phases during the year with integration.

With respect to the margins, we expect that to be at and around 4% levels till first half of the current year. Our loan book comprises of EBLR book of 44% and MCLR book of 42%. Any policy change would have an effect on the margins. Considering our branch expansion and additional manpower plan, our cost -to-income ratio would be around 50% in financial year '25. Our efforts on recoveries would continue and expect the momentum gained in last year would be retained in this year also.

We have achieved ROA of 1.63% in financial year '24 and 1.76% in the last quarter. We had guided in financial year '21 that we would be 1% plus in financial year '24. We wer e able to cross it much earlier and above 1.5% throughout all the four quarters of last year. We expect we will continue to maintain this trend. We are clear that focusing on margins is the key to sustainable profitability and long -term success. It also re flects the health and efficiency of bank's operations.

Our effort would be to focus on sustaining our growth momentum with healthy margins to ensure that our ROA is above 1.6% or 1.65% levels at all times. I am grateful to all the

investors, analysts and stakeholders for their confidence and continued support, which we will reciprocate to our better performance in the days to come.

Now I'll be glad to respond to your questions, please.

Moderator: The first question is from the line of Rakesh Kumar from B &K Securities.

Rakesh Kumar: Very good set of numbers for this quarter, sir. Especially on the margin front, we managed to hold the margin, like comparing that we had one -off in the Q3. So quite good set of numbers. Sir, just on the TD cost, term deposit c osts, so how do we see term deposit cost being out in FY '25? Because you have given the guidance for the first half. So just to understand that part slightly better.

B. Ramesh Babu: Thanks, Rakesh, for the participation and good words. So TD cost, if the current position continues, it may be continued at the more or less same level. As I was mentioning in the remarks -- opening remarks, liquidity is not an issue. cost is an issue. Tomorrow, if we get better opportunities there to deploy the money, then it makes sense for us to raise the money even at a higher cost, then we can go for that. Or alternatively, if the liquidity is under strain, only by raising the deposit cost, we'll be able to get the deposits. At that time we need to think. Otherwise, curren tly, so we don't feel that there is a need to increase the TD deposit rates at this stage. So if this be the case, in next three months, more or less with the inflows, what we have, the TD cost will remain more or less the same. And above all, the inflow o f time deposits, if you look at it also, majority of them are coming below two years. So that way, it will more or less be same and until unless, we have a problem with the liquidity.

Rakesh Kumar: Understood, sir. Sir, like suppose there is no rate cut even in this entire financial year, then what would be our stan d on margin in second half, sir?

B. Ramesh Babu: I'll have to see that. The reason is how the deposit cost, how it was -- because there may not be any rate cut, but the liquidity is under st rain. Then we, say, had to raise the deposit cost, then automatically, the margins will be compressed. So if something is not there, at the most, we think between 3.8 0 to 4% if at all, these sort of situations come up also, at that range, we'll be able to maintain. That's what we feel.

Moderator: The next question is from the line of Prabal Gandhi from Ambit Capital .

Prabal Gandhi: Congratulations on a very good quarter. S

o my first question was, even adjusting for the one -
offs in employee cost, the ki nd of initiatives that you have been highlighting on the productivity side, that does not seem to translate into operating leverage for us. So how to think about this because our opex to asset even adjusted for all this is extremely high. So how are you lo oking on this front?
B. Ramesh Babu: Yes. So Prabal, it's a good question. Thanks for the compliment. No w, you see there are two components as far as the employee cost is concerned. One is on account of the onetime one

account of IBA agreement and wage rev ision what we had to provide. And second thing also I mentioned about the rate reduction, that way also we had to provide. This is one part.
Second thing is we have been investing on the resources. During the year itself, around more than 2,300 people we have recruited a different position. But more or less, everyone are linked to sales. So your point is what all we are spending is not getting reflected into the numbers. It is simple. Suppose you see the CASA, the fresh acquisition is going on. But simulta neously, other side, the existing to bank, the money is flowing out either into the real estate or next to the market -- our stock market, these sort of things that is happening.
So that way, had we not commenced this sort of initiative, we would have lan ded into a big negative. So that way, we could insulate ourselves from this. This is one part. Second thing, if you look at it, this is not the question of onetime CASA what we have got. It is acquisition of the relationship. Once we've got the relationshi p this one, perennially, we'll be able to get deepen this sort of relationship. So overnight, we cannot look at saying that this opex has not been reflected straight into this one.
Next thing also, I'll tell you. It is very easy to balance the ratio of opex to Assets . Suppose if we go for a pool purchase from different organizations around INR10,000 crores. So straight away, there is no additional staff cost is involved there. But the problem there is, I may have to pay around 8.5%, 8.75%. If I raise the deposits at 7.25% and 7.5%, and 8.75% -- suppose if I take this pool, my existing NIM is 4% and spread is also around that, and this 1% will dilute my NIM.
So in that way, I may be reducing the staff cost on one front. Other side, it will be having a bearing on the NIM. There, it will come down by 20 basis points. So that's why what we thought, rather than all these things, the low -yielding assets on the corporate, if we reduce it. If we have not reduced our INR1,600 crores corporates, in addition to that , another INR3,500 crores have we grown there, our opex to assets ratio would have been much better, much better.
So if both the ratios also, if you look at it, other expenditure is not concerned, there is not much growth. Employee cost has gone up. If we do not spend on this employee cost for the branches what we are going to open and the marketing of these CASA accounts what is there, and in addition to that, we have taken more than 1,000 people within the branches for deepening the savings bank accounts . So it may be transitory now because of the market conditions and the real estate phase what is going on, but the initiative what we have taken is going to give and yield results.
So we need to bear with it for the time being, but you need to appreciate one thing, with all these rigmarole and the working what we have, we are able to achieve our ROA what we have committed.
Prabal Gandhi: As well as growth . So congratulations on that. Sir, my second question is, when you shift from retail to say, ot her segments, what is the yield differential that you can generate? So let's say, 1% decline in a corporate book can generate how much yield differential for you?

B. Ramesh Babu: I can broadly tell you this way. So let us say, if you see our yield on a dvance is around 10% plus, okay? Let us say, our commercial is at 11%. Now corporate, if I'm getting out of 8.5%, 8.75%, on a back of the envelope, if you look at it, straight 2%, 2.5% straight you will get on that. So the money what all I'm getti ng back from a big corporate, INR200 crores, if I deploy straight in the commercial, 10.5%, something like that, they'll get that. So it is around 1.75% to

2% straight we can get that.
So that is the reason, it was a very hard call for us to get out of INR1,600 crores when every bank is striving for top line growth. But we thought saying that we need to bite the bullet. If we need to get these margins well and the same money what all is available if you are able to deploy well other side, why should we go for that? We have gone, negotiated, pleaded with these s corporates, we got out of INR1,600 crores.
Prabal Gandhi: All right. So this improvement yield is more a function of loan mix change rather than say...
B. Ramesh Babu: Prabal understand one thing, INR1,500 crores is not going to change the INR75,000 crores loan mix complexion. This is one of the factors I'm telling.
Prabal Gandhi: No, my question was more generic because this quarter also, loan -- the corporate book as overall share was down 1%. So I just want to understand that...
B. Ramesh Babu: This is the reason. That is why I told clearly, INR1,600 crores when we have lost, this quarter also, we have lost in the sense that they are willing to continue with us. We have told them it made more sense for us to rebalance this one.
Prabal Gandhi: Okay. So the intent was to understand are there levers available in terms of yield improvement going ahead? Or the loan mix is the only one that we are sticking to?
B. Ramesh Babu: So agr eed, but other levers are available like, let us say, with partnership -- fintech partnership, we have gone for MFI, okay? There the yields are better, but we do not want to go overboard. So 15%, 16% over, because we have started with the baby steps. And o ur current portfolio under MFI is around INR135 crores, one year back, we have started.
And initially, we started a partnership with one partner, having got some experience and all, two more new partners who are good, they have entered into partnerships. Those numbers also will kick in over a period of time. Next thing is about the B NPL where the margins are relatively better. So progressively, we have moved to around INR1,000 crores, which we used to have around INR200 crores, INR300 crores continuously.
So with some more experience there, rather than going for a plain vanilla of personal loans where, without any background we do it and all, this B NPL where Amazon also has a background check and our partner has a check, we also have a check. If we grow in those sorts of areas , our margin improvement can be much, much better. And the third one is our commercial banking. Commercial banking, the yields, particularly small business group are relatively better. That is the reason you would have seen that prog ressively, the loan mix has

moved from 32% to 34%, it may reach 35%. So these are a few levers, but undue calls and undue risk, we will not take at this stage for the sake of improving the margins.
Prabal Gandhi: Can I have one more question, please?
B. Ra mesh Babu: Please, please continue. Yes.
Prabal Gandhi: Sir, on the retail portfolio -- retail loan portfolio, there are only a few segments, which seems to be driving growth for us. When can we expect a more broad -based kind of -- because Dolphy has been driving this business and he has been trying to scale all the parts of this business. So when can we start seeing that -- translating that two numbers?
B. Ram

esh Babu: Prabal, if you can look at the previous numbers two years back, the retail was growing i n single digits, sometimes in 6%, 8%. That has moved to 18%, okay. Now it is for us to have this priority, how we need to go for that. We can start with personal loans straight. The growth will be terrific, but we thought we need to grow in a secured way.
Secured way, it happened that way. The mortgages, if you see, around 27% to 30% that is growing that way and home loans also started growing, and you can see some sort of a growth in Jewel loans. Now consciously, the vehicle loans, we are slow. The r eason is very simple. The market is so cluttered, the dealer margins what you pay and the delinquencies what you have, the capital cost what you need to maintain on these and the recovery of these vehicle loans once they become NPA are very meagre.
Keepin g all these things in mind, we thought we will give priority to the existing customers. There should not be a priority area. It may be a priority area for few banks. We consciously thought that if my other products are not firing actually, I can come here. So you compare a vehicle loan with that as a mortgage loan. The mortgage loan la g with cash flows are there, and the yields are much better. And with my LTV of around 75% to 80% is there, tomorrow something happens, my chances of 100% recovery are fair w ith higher yield.
Naturally, as long as I'm able to get the benefit there, we will go ahead. So jewel loan is another area where we can work on. And personal loans, already I have clarified to you, rather than going for plain vanilla, we will work on this BNPL. Educational loan in another area we are working. We have entered a partnership with a good firm. A partner who are experts and

having this experience in the educational loan, we will be working for high -end loans on this. And over a period of time, you'll be able to see some sort of numbers there.
Moderator: Next question is from the line of Anand Dama from Emkay Global.
Anand Dama: You have reported a pretty strong set of results during the current quarter, so hearty congratulations for the same. So my question was on the floating provision. So you -- this quarter also, basically, you have created some floating provisions. Is it more of a precautionary measure? Or do you see some asset quality risk cropping up, number one?

Number two, you said that you have a BNPL tie -up with Amazon. How are the delinquency trends shaping up over there? How are basically you sharing -- or basically, the Amazon is basically sharing the risk on these loans with you? Whether there is any FLDG arrangement over here? And third, basically, is that what is your ROE expectation for FY '25, wherein basically how the overall your cost and particularly your provisions are going to look like?
B. Ramesh Babu: Yes, Mr. Anand, thank you, thanks for the compliment. So regarding the f loating provision, we are not visualizing and foreseeing any sort of stress, though our past numbers also, we have given guidance on each of the front. You would have seen our SMA 30 plus also, which is around less than INR300 crores on a book of INR74,000 crores.
So that way, if something account is not in SMA 30 plus as at the end of 31st March, the chances of that slipping into NPA is remote. So that way, we don't foresee. And the entire team, more or less, they are geared up for monitoring collecti ons, and we have formed a collection team also. Last year -- before last year, I have explained. So that is working well. And across the verticals, they have this awareness that monitoring is very important.
I'm not saying that the number will be at INR300 crores. Whatever it is, may go up also here and there. But it is absolutely under control. Floating provision has nothing to do with our share of getting these higher numbers un

der the stress. So floating provision, prudentially, we
provided. It can be f or any purpose. Particularly, what we thought, last year, there was a lot of discussion on the ECL from the Reserve Bank of India.
So we thought there are many unknown unknowns how these guidelines will come up and all, how it transpires is not known. As a precautionary measure, we started making the INR25 crores, and we have created the INR100 crores provision. It has nothing to do with the loan loss.
Second thing, coming to BNPL. BNPL, agreed. So the delinquencies are absolutely under control. And it's not the question of Amazon, we are taking the FLDG. The partner who is an NBFC, we have re -entered into an arrangement for the last six months with FLDG arrangement as per the new guidelines, which we have got from Reserve Bank of India. So we have got an FLDG of 5% under that. And the delinquencies what all are there are much below that, and we are absolutely covered under that.
Now coming to the return on assets. So we also mentioned saying that our last whole year is around 1.63%. So we do not know what are the unknown unknowns during the year, which is going to come up. That is the reason we still say that at around 1.6% something like that, we can think of our ROA. If -- you must be seeing our numbers for the last 18 quarters, more or less, what we hav e been indicating, we are better than that. So our intention is to excel everywhere and no where a possibility and scope is there, we will leave that. So that way, we will continue to strive well and grow well.
Anand Dama: Sure, sir. Sir, secondly , you basically have talked about adding about 80 -odd branches in FY '25. Happy to hear basically the branch expansion from your side. So what is your thought process in terms of why you want to add branches incrementally? Is it more that you're going

to focus more on the liability side of it? Which are the areas where basically you could add these branches? What is going to be the overall impact of this branch addition on the cost metrics?
B. Ramesh Babu: Yes, you are perfectly right in saying that. Okay, because you may think that digitally you can acquire, but the Indian mindset is somewhere a nearby physical branch is there, in case of necessity, I'll be able to have touch base, and I can get it clarified. But that situation and necessity may not come up at all in the digital world, but the feeling that I can approach

someone is much better.
So that is the reason what we thought, let us go for 20 branches full -fledged where they'll grow very well, both in advances as well as the lia bilities. And rest of the 80 branches where they will be lite branches, their major focus will be on the liabilities with a lean structure and all, but they'll be going simultaneously for the cross -sell as well as upsell. We will be going for a hub-and-spoke arrangement, wherein they'll be linked to a hub. So that hub will be taken care of the sort of requirements of the advances and other things and all. So the feeder will be the spoke and how we'll handle these things, so there's the experiment we wi sh to make so that our presence is being felt in different locations.
Moderator: Next question is from the right of M.B. Mahesh from Kotak Securities.
M.B. Mahesh: Sir, just one question. These guidelines with respect to the infra one, it also covers comme rcial real estate. We know that most banks do have this particular book, including yours. Can I just clarify as to whether this guideline is applicable based on the exposure norms that you give to us in the annual report? Is it a meaningful one or not a me aningful one?
J. Natarajan : Yes. So you are basically talking about that infrastructure and the DCCO, right, Mahesh?
M.B. Mahesh: And also for commercial real estate, sir. Because if you look at the annual report, your co

mmercial real estate exposures tend to be high because you have some collateral there. So if you just kind of clarify on that one as well?
J. Natarajan : Yes. So there is a regulatory guideline on what is a project. So if you are doing your real estate, taking a land and constructing a build ing with large scale, we can classify under the project. Similarly, for the other manufacturing companies, wherever they are starting from the scratch, we call it as a project.
So there is basically an infrastructure project like putting up the industr ies or the real estate construction projects. This is what normally we classify. And if you take in our bank, both put together, both the infrastructure manufacturing and the real estate put together, it will be a very less than 12 or 14 numbers. And if you talk about in terms of DCCO out of that, so only hardly 1 or 2 DCCO cases we are facing. As such, these circular guidelines are not material to our bank.
M.B. Mahesh: Perfect sir. Sir, as you also clarif y, let's say a textile company was to put a p roject, will that also be part of it?

B. Ramesh Babu: Textile company wants to put up a project...
J. Natarajan : Yes. So that's what I'm saying. For example, if they are acquiring some more machineries, for example, existing textile unit, buying a solar or this windmill, we don't classify it under the project. But if a textile business is starting from the scratch, buying a plant, putting up the building and buying machineries, entire infrastructure creating it, normally, we call it as a project.
Moderator: Next question is from the line of Suraj Das from Sundaram Mutual Fund.
Suraj Das: Congratulation on a good set of numbers. Sir, a couple of questions. In terms of non -interest income over the last couple of years, obviously, you have done the franchisee a nd non -interest income growth has been very good, but what is the trajectory from here on? Can we expect still higher the loan growth income in the non -interest side? And also within this, I think last year, we did something like INR200 crores of T .W O recovery. This year, nine month, the number was something like INR220 crores. So I'm assuming for the full year, that number would be higher. So I mean, what is the visibility there in terms of this TW O recovery supporting the overall non -interest income also . So yes, that is the first question.
B. Ramesh Babu: I think the first point I need to clarify. In our in my initial guidance note itself, I have mentioned, this year, the write -off recovery is INR342 crores. So it is much, much higher than the last ye ar number, okay? So that way, it is much better. And coming to the non -interest income, there are many levers. It can be the letters of credit, guarantees and cross -sell.
So cross -sell income also, if you look at it, compared to last year, it has grown ve ry well. And we are trying to have few more partners and grow it much better. Whereas under the LCs and guarantees, if the textile sector is doing well, we would have got good business under the letters of credit, import and all these things. For the last three years, textile sector is actually struggling.
One good thing is we didn't have any other stress on account of the textile because our customers are good, but the transactions which have come up are down. So that way we may not expect much from the L C, but we are focusing on the guaranteed business. So wherein the non-fund-based business will be there. So that may give us some sort of an edge over that .
Coming to the recovery and the write -offs, that is one of our focus areas and we are further

streng thening our recovery wing for the growth -- for the recovery in the write -off. So that way, what I feel this trajectory, what we had for the last two to three years, it will continue, and we'll be able to do better.
Suraj D

as: Okay. Sure. Understood. And s ir, on the floating provision, so for last quarter, you have done it. So will it continue for next financial year as well since this is a good time, and you will continue to create provision in the next...
B. Ramesh Babu: No. That is a call Board will take after the results, something is there. But for the time being, what we thought, some good times are there, INR100 crores we have provided. So maybe next quarter, there is a call to be taken by the Board for the next year.

Suraj Das: Okay. Understood. And sir, last question on the CASA side. I mean, anything -- any initiatives there. You are working on in terms of this CASA? I know -- I mean, overall franchise is very granular in terms of liability. But still, I mean, in terms of, let us say, current accoun t growth, I mean, has been relatively slower versus, let's say, overall, the SME segment loan growth. So in terms of, let us say, on the CASA side, what are your thoughts to improve this CASA going ahead?
B. Ramesh Babu: So there are many initiatives we ha ve taken that one. So what we thought is on the sales channel, what we have created. So first level, we have taken around 1,200 people. And it took some time for us to activate them because many of them have come from different banks. When they have come f rom different banks, understanding our culture and having a unified approach was difficult.
And one good thing is they have brought out the best practices what others are following, we could get that. In the process, more than 24 variants of products we h ave structured internally. The team itself they did and all. We have brought into forth. And IT deployment is going on. With that, we'll be taking it forward.
So that way, once these are in place, so the fresh acquisition will start working. Next thing what we thought was revitalizing the branch channel. The branch channel currently, they were acquiring some sort of an NTB who comes once in a way, but with the sales channel doing these sort of things, we thought we can ask the branches to focus more on the deepening. So for that reason, we started taking customer relationship management and branch relationship managers into the branches so that they will look after the deepening as well as the cross -selling.
So we want to further increase the number of Fee t on Street on the sales channel that more number of branches can be covered. We also took another set of people. It's around 1,200 people at the branch level. We call them as a branch sales and service executives. These people at the lowest level we have taken. Their job is to deepen these accounts and to get more balances under the CASA. So digital is becoming -- this one and all both integration is happening.
And the next is focusing on the business correspondent channel. There also, we have got the platform now. IT integration is getting completed. By June, once we complete, more or less around 500 business correspondents at different locations, we would like to go further. So that way, we are trying to take many initiatives to take care of the N R, HNI, BC, forex , Trade Finance, all these different sub-vertical we have created. Each ones, once they start firing, so we'll be able to see some sort of attraction on all these fronts.
Moderator: Next question is from the line of Jai Mundra from ICICI S ecurities.
Jai Mundra : Congratulations on a very steady performance quarter after quarter. Sir, my first question is on employee head count, right? So they have increased to around 9,000 odd. What is the sense, sir? Are we still adding more people on the F eet on Street at overall level? Or this is likely to stabilize there?

B. Ramesh Babu: Thanks for the compliment. No w, agreed. Just now in the earlier question, I

was responding,
Jai. So we have taken sales channel around 1,300 people. And at the branch lev el around 1,200 at the lowest level, we have taken. So now earlier, we thought of going for actually 2,600 for

the sales channel, but we stopped it at 1,300 for one reason.
When we started the process, we understood saying that the products what market re quires are not there and the digital enablement 's what we need to do to make these people to deliver were not there. Then suddenly, we stopped the recruitment more or less at 1,300. And these people with the available infrastructure started mobilizing the business now. So now during the process of last 8 months, these 24 new products have been added and the digital enablement 's have completed.
So now we are well off to take it forward to the next level. We may see another 600, 800, we had to take it. But b ecause with the earlier 1,300, a set of branches are covered. Now, there is a potential in many other branches. By taking these sales channels, we'll be able to cover other branches also. These are first side on the sales channel.
Second thing on the bran ch level channel also, if the branches are extremely busy with the routine transactions, their ability to actually handle and meet the customer will be difficult. At the lowest level, what we have taken BSSC, we are trying to have another channel ca lled virtual relationship managers. Beyond a cutoff, there will be centralized virtual relationship managers. They'll be handling a set of customers. And so that is another channel we may be adding that. So that way, if you look at it, both we may be addin g, but we will ensure saying that the mobilized deposits what all there are properly deployed. And overall, we'll be able to maintain our ROAs.
Jai Mundra : Understood. Understood, sir. And sir, secondly, on growth, right? So I heard you that you have said that the FY '25 growth would be 14% plus, considering that we have best of the asset quality, our cost of deposit is still one of the lowest amongst peers. 14% growth, of course, you are focusing on profitability as well. But could this be, I mean, a lower end number? Or you would -- at this point of time, you would think that 14% is a good enough number? Or it can actually move up as we deliver or as the new people join, et c.
B. Ramesh Babu: Jai, you would have remembered, last year also, we quoted more or less around 14%, okay? We landed more or less at 18.5%. If I add back the 2.5%, what consciously we left it out. So that way, so the lower end, it will be. Our intention is always to grow much better. But only point is that there is no point in tak ing a deposit 7.5% and lending at 8.5%. So that only adds my CRR, SLR, capital cost, PSL, opex, provisioning, with all these things.
Our top line may be growing and my ratios may be growing, but it will not make any sense for the bottom line. So this, we are mindful of the fact. So that's why growing in advances because all engines are firing now. The 21% under the commercial banking, if you see, so year -on-year how the growth is coming there. A new set of branches are coming into the fold and existing branches, they have understood how they need to do the business and the TAT has improved.

With all these things, we will be able to grow well, but provided other side, we need to look at because another constraint is the 85% LDR, loan -to-deposit. So if that is not there, the surplus SLR what all is there, on that we can raise and the borrowings, we can raise and we can lend. So with this framework what all is available, we need to work on this. That is the reason we felt saying that let u s give a guidance of 14%.
Jai Mundra : Great, sir. And sir lastly, if you can highlight what is the run rate of NEO on maybe monthly or quarterly disbursement. Has that gone up significantly? Or how is this debt

trending?
B. Ramesh Babu: Now. As I said, NEO we are integrating with the main bank now. So from now onwards, both of them will be working together. We have an open market channel working there. So on an average, I can say around INR200 crores, I can say that. So that way, the growth will be coming f rom that channel. And because they are integrating, overall, the growth will be much better together.
Moderator: Next question is from the line of Chintan Shah from ICICI Securities.
Chintan Shah: Congratulations on very good set of numbers, 1.7% ROA. Sir, just I had one question on the loan rundown. So basically, we are letting go some low -yielding advances in the corporate. So is that now done? Or do we expect some another advances, probably which we could let go in FY '25 with a low yielding? Or some wea k asset, as we told around INR1,600 crores of loan we have let go for this year. So any ballpark number. Or is there any still thing in the pipeline? Or now we are done with this?
B. Ramesh Babu: It is a work in progress, Chintan. In fact, if you can look at it, so we have done that. I cannot say anything saying that a readymade list is there where we'll be getting out. It is the question of opportunities other side available. If other side on the RAM front, particularly commercial banking, the engines are firing much better, then automatically the least yielding, which is the asset I need to look at it, and we need to engage with them. We need to get out of that.

While on the other side, mobilizing the deposit and lending will go. Here by rebalancing and redeploying the money from that side to this side, if you are able to get 2% more, why should we leave it? So because there is an ongoing process we see, till such time, the deposits growth improves. And just like a tap, as and when I want If I am able to get the deposit, then growing in corporate should not be an issue.
Otherwise, we have to be mindful of the fact saying that which is making sense only we need to grow. So this work will be continued, though I will not be able to quantify what is the number at this stage.
Chintan Shah: Sure sir, sure. This is very helpful. And sir, secondly, just follow -up on this. So the weak accounts, as we said, so what makes us believe that this account is weak. So how do we arrive at that comment of weakening. INR200 crores, I think, we let go because they were weak accounts. So basically, some stress or some delays in payments or how do we quantify that?

B. Ramesh Babu: Yes, yes. We have a concept called early warning signals. Early warning signals, we have differe nt parameters are there -- around 40 scenarios are there. If this -- continuously, our systems will be generating the sort of early warning signals. Based on that, we'll be knowing through a predictive analysis, what can happen for these people.
And suppo se incipient sickness is there or tomorrow it's going to have a problem, while engaging with them with the market intelligence, what is hearing and all, with all these things, we felt saying that it is better much in advance, we engage with them, we get ou t of these accounts rather than getting stuck with these things. So that's why it is a question of analytics, early warning signals, market intelligence, all these constraints together, we have come to a conclusion yes saying that we need to exit these acc ounts.
In fact, the yields there were extremely good, extremely good. So there's another cause of concern. If someone just like that, they are paying that much of yield or pricing, that itself will be the first line of early warning signal for us.
Chintan Shah: sir, we can say that these are standard accounts. We are paying accounts, but only thing is we believe that they might turn bad or they might give some stress, and that is why we are exiting it early?
B. Ramesh

Babu: Very correct. Absolutely, you are correct.
Chintan Shah: Okay. But sir, then how do we exit. So for example, if the repayment is after three years. So do we ask the customer to close the loan? Or how does it work that way?
B. Ramesh Babu: The customer will go to some other bank and it will be taken over by some other banks.
Chintan Shah: So basically, we just -- if the customer comes with a BT out proposal, then we let it go, and we don't ask to retain the customer that way, yes?
B. Ramesh Babu: Not only coming with BT proposal. Fe w cases, we are initiating the process. For you to engage with some other bankers, they may go to NBFC also. If the banker is not willing to do -- take it and NBFC has a better risk appetite, he may pay a higher price and he may go there. So we initiated t he dialogue with the customer that they have to leave it and all. This has been going on for more or less -- because overnight, if you come and tell the customer tomorrow, no one will leave. It's a question of six months to one year, the discussions will b e happening. Then progressively, they will leave.
Chintan Shah: Okay. Understood. And sir, just last thing on the recovery from TWO number, can you just -- sorry, data keeping question, the recovery from TWO number for the quarter, if you could just help o n that ?
B. Ramesh Babu: INR132 crores and for the whole year, it is INR340 crores.
B. Ramesh Babu: So it is INR132 crores, Chintan, for this quarter.

Moderator: Ladies and gentlemen, we will take that as our last question. I'll now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, for closing comments.
B. Ramesh Babu: Thank you all for your interest in the bank and for the good wishes and the compliments what you have conveyed. We will try to live up to your expectations and take the bank forward.
Thank you once again for sparing time for us. Thank you.
Moderator: Thank you very much. On behalf of Karur Vysya Bank, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jul 2024

Classification | REGULATORS
IRC:F48:177:348:2024 July 24, 2024

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor,
Plot No. C-1, ‘G’ Block,
Bandra- Kurla Complex,
Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Unaudited Financial Results of the Bank for the Quarter ended June 30, 2024
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Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transcript of Conference Call held on July 18, 2024 at 5:30 P.M. (IST), in connection with the Unaudited Financial Results of the Bank for the Quarter ended June 30, 2024.

The same is also made available on the website of the Bank and can be accessed on the following link:

https://www.kvb.co.in/docs/investor-con-call-transcript-fy25-1.pdf

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager

Encl: As above

“Karur Vysya Bank Limited Q1 FY25 Earnings Conference Call ”

July 18 , 202 4

MANAGEMENT : MR. B. RAMESH BABU – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER , KARUR VYSYA BANK LIMITED
MR. NATARAJAN J. – EXECUTIVE DIRECTOR , KARUR VYSYA BANK LIMITED
MR. M. S. CHANDRASEKARAN – CHIEF OPERATING OFFICER , KARUR VYSYA BANK LIMITED
MR. RAMSHANKAR R – CFO, KARUR VYSYA BANK LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY25 Earnings Conference Call of the Karur Vysya Bank.

We have with us today the Management Team of KVB represented by Mr. Ramesh Babu - MD and CEO ; Mr. Natarajan - Executive Director ; Mr. Chandrasekaran - Chief Operating Officer and Mr. Ram shankar - CFO.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. B . Ramesh Babu - Managing Director and CEO to take us through the highlights of the quarter gone by, after which we will open the floor for questions. Over to you.

B. Ramesh Babu : Thank you, Sagar. Good evening to all of you.

On behalf of Karur Vysya Bank, I welcome you all for our Bank's Earning Call for Quarter 1 of the financial year 2025. We trust that you, your colleagues and family members are keeping well and are in good health. We have uploaded our Financial Results along with the Presentation on our website and I hope you have had a chance to go through it in detail ahead of this call.

Before I go into the numbers, let me begin with senior level changes that happened during the quarter. S hri Natarajan, who was President of the Bank , has been inducted in the Board and designated as Executive Director. He will be overseeing all business verticals including treasury operations. His quadrennial experience in various facets of banking would further shape our future growth . Mr. Dolphy Jose - Chief General M anager looking after Consumer Banking resigned during the month of June and we have already recruited Mr. S T Gopal, who now heads Liability Business. Mr. Gopal has been a domain banker for 34 years and is in the Liability Acquisition Business for more than 16 years . As indicated earlier, Mr. Nitin Rangas wami heads Retail Asse ts Business including Open Market Channel. Earlier,

he was handling the Open Market Channel . The Bank has now a strong Management Team and business , support and control functions are headed by seasoned executives.

The Bank had another strong quarter of performance built on our guidance on three matrix , growth, profitability and asset quality. Banks performance indicators are in line with our guidance and the Bank is seeing consistent and steady growth. It is encouraging to note our consistent and inclusive performance highlighting a strong start to this financial year. The same will be continued rather we will aim for further improvement of the performance in the ensuing quarters.

The Bank 's total business stands at Rs. 1,70,059 crore as on 30th June 2024. We were able to sustain the growth impetus during the first quarter as our total business registered a growth of 4%, the advances stand at Rs. 77,710 crores and deposits grew to Rs. 92,349 crore with a growth of 4% each. We have been guiding in our earlier calls about our focus on inclusive growth from all verticals with respect to advances . I am pleased to share that the same is being sustained in RAM verticals with 6% quarter -on-quarter loan growth and the retail advances grew faster at 7% Q-o-Q driven by growth in jewel loans, mortgages and personal loans category .

We have integrated our open market channel that is earlier we were ca lling as a NEO with our branch channel as a combined retail assets team from the beginning of the current year. The integration would help us to accelerate the growth in this segment. Commercial advances

clocked 6% growth quarter -on-quarter and a griculture advances achieved a growth of 4% during the quarter. Corporate book has degrow n by 2% during the quarter, mainly due to lower avail ment in certain seasonal sectors, lower disbursement an d repayments and of course few accounts conscio usly we left to due to pricing.
Deposits growth remains one of the key focus areas for the Bank and you are aware that the Bank had initiated various strategies for deposit growth including establishment of sales acquisition channel for both term deposits and CASA g rowth. Our deposit growth was at 4% during the quarter and term deposits and C ASA deposits have grown by 4% each. We have now revamped the liability business model, particularly on the CASA. Besides creating an exclusive acquisition channel, we have launched 24 new variants of CASA products. Further, we have created separate channels for corporate salary , institutional , NRE, government business , trade and FOREX, business correspondent and we have recruited national sales managers from the market to manage this business.
The last year trend of depletion in existing book on account of other opportunities available for the depositors is still being witnessed in the current year also. However, we are confident that our conscious efforts in improvement in our engagement with our customers supported by dedicated channels would result in stemming the above reduc tion. All of you are aware of the September 2023 master direction of Reserve Bank of India, wherein banks are to follow new regulatory guidelines on classification and val uation of investments effective from 1st April 2024. Accordingly, we have implemented the new guidelines, and the transition is P&L neutral. The net positive impact on reserves is about Rs. 81 crores .
We had indicated in the last call that NIM would be above 4% levels till first half of current year. I am happy to say that the NIM for the quarter is 4.13% . Our continued journey on shedding away low -yielding corporate advances on one side and focused more on better yielding granular secured advances in RAM verticals both have helped us to retain about 4% NIM levels during the quarter. We are hopeful to continue our effort in maintaining the NIM above 4

% for the next
quarter too. The cost of deposits incre ased by 12 basis points sequentially and yield on advances by 2 basis points , yield on investments increased by 12 basis points during the quarter . Based on our historical pattern of renewal of deposit s and fresh deposit acquisition, we expect moderated

rise in the cost of deposits by 12 to 15 basis points in the next quarter. Yield on advances expected to go up by 5 basis points and yield on investments would be in the similar range for the first quarter. Considering all these factors, and without taking int o any policy rate changes, we expect that the NIM will be above 4% in the next quarter as I told earlier .
We have achieved a ROA of 1.7% in this quarter. We had guided that our effort would be to ensure RO A is always above 1.65 levels and we are confident to maintain the same going forward also. Our gross slippages during the quarter continue to be under control at Rs. 174 crores, which is 0.22%. On an annualized basis, if you see it comes to around 0.89% of the loan book . With our continued close monitoring of accounts, we are confident that we will continue to keep the ratio below 1% as guided in our earlier calls.
Our efforts on recovery of technically written -off accounts are continuing to yield results as we have recovered a sum of Rs. 101 crore during the quarter . Due to lower slippages, recoveries, upgrades and write off our gross NPA has come down to 1.32% and we expect that we will continue to maintain it below the 2% levels . For the quarter under review, we have provided Rs. 100 crores towards NPA migrations and Rs. 33 crores towards standard assets and restructured prudential provisions aggregating Rs. 133 cr ores which is 0.56% of our advances on an annualized basis . We estimate that the credit cost for the current year would be in the range of 75 basis points as guided earlier . Our net NPA has come down to 0.38% and we would continue to maintain net NPA at less than 1% of our loan book. Our standard restructured loan book is further reduced to 0.85 of our loan book and we hold a provision of 40% of the standard restructured book. Our establishment costs were Rs. 333 crores during the first quarter, which is within our guided range of Rs. 325 to Rs. 350 crore. Operating expenses for Rs. 333 crore sequentially gone up by 4%. Our cost to income ratio i s at 47.20 and we will continue our efforts to peg it to and always to maintain within 50%.
Our CRAR Basel III continues to be healthy and is at 16.47 providing us comfortable headroom for growth. Our liquidity coverage ratio continues to be well above the regulatory requirement of 100%. Bank has added two branches during the current quarter. The setting up of the lite branches is under progress and the first set of such branches are expected to function from the beginning of the second -half of the year.
To end , keep moving ahead because action creates momentum, which in turn creates unanticipated opportunities , Nick Vujicic. Our endeavor is to keep up the momentum created, and we have started the year as planned. We are mindful of the challenges particularly on the

liability side and are taking every step to increase the low-cost funds, which would also help us in improving the margins.

I am grateful to all our investors, analysts and stakeholders for the confidence and continued support which we will reciprocate to our better performance in the days to come .

Now, I will be glad to respond to your question s.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Jai Mund hra from ICICI Securities. Please go ahead.

Jai Mundhra : Sir, few questions , first is sir, on yield on advances, rig

ht, so we had increased MCLR at the beginning of the quarter. And I think we had also revised repo rate link by 5 basis points , in this quarter , corporate book has actually degrown , still the yield on advances rise is only 2 basis point s and I think in your opening remarks you mentioned that it could rise by another 5 basis point. So, just wanted to check, ideally the yield on advances should have risen a little bit more. So, I was hoping if you can provide some clarity there?

B. Ramesh Babu : Jai, in fact, if you need to look at it, there are few more aspects here . MCLR , what all is there , our total book is not on the MCLR , so around 40% book is covered under the MCL R, so that way out of that at the time of repricing only , you can pass on this unlike other things and all. So, second thing , so there is some sort of a pricing pressure from other competitors also. So, wherever actually you need to retain a customer because for a long time they are there, if you need to look at the o ther value , so those cases you may have to give some sort of a concession. The aggregation of all these together and above all, as you ha ve also seen the corporate actually , so few of the accounts where we have this we have degrown also. So, that is why if you look at it overall that 5 basis points you may not be able to find straightaway in the yield, but over a period of time progressively it will start coming , though not now immediately in this quarter.

Jai Mundhra : And secondly, sir there is a sharp growth in the jewel loans and retail segment, right. We have been looking to increase growth in gold loan in retail category, but this 24% Q-o-Q growth , is there any specific reason , have we introduced a new product or new geography or what is giving such kind of a growth especially in this quarter ?

Ramshankar R.: There are two things we need to see, Jai. So, 24% number looks good, but you look at the base, base amount it is not on a Rs. 5,000-Rs. 6 ,000 c rore base or Rs. 10,000 crores base, i t is not there because the base is low the percentage looks high , first thing and second thing, yes, we consciously made some sort of efforts in this . Many of the customers with whom we were dealing actually , so on a win back we had a campaign wherein our branches started calling them and stating that this is what we can do, and we start to streamline our delivery numbers what all is there. So, with these things, we are able to see some sort of a traction this quarter under the jewel loans . So, some sort of a conscious effort has been made to win back the existing customers whom currently they are not dealing with us , two years, three years back they were dealing with us. So, this has to some extent supported us and in getting the growth. Product wise , more or less same product going on because of the existing product is quite appealing. I will tell you Ja i, in fact, the jewel loan rather than the product and pricing, the major thing is the delivery . If some someone comes , how fast you will be able to deliver and the second thing is how fast you are going to release the ornament of , both are important , so that we have focused on that, or anyhow pricing is quite competitive compared to the market what all is there. So, that all factors together it supports us in this quarter.

Jai Mundhra : And last two data keeping questions, sir. One is if you can quantify the treasury gains in the total fee, I think you had already quantified at TW O recovery at Rs. 101 crore, but what would be the treasury gains in the other income in this quarter and if you have the number of outstanding staff count ?

B. Ramesh Babu : No, it is not that, CFO is mentioning it is Rs. 1 1 crores . Investment in trading profit is Rs. 11 crores this quarter and last quarter it was Rs. 10 crores, March quarter w

as Rs. 10 and this Rs. 11.

Ramshankar R.: The employees number is 9403 , Jai.

B. Ramesh Babu : But Ja i, in fact, it is another point we need to keep in mind, Ja i in fact, we used to be Rs. 7700, something like that, but of late whom we have taken , more or less majority are at the bottom in the sense that they are the running sales team who will be on the feet on str eet, those sort of thing , so that way overall they will be adding value into the sales and growth over a period of

time. So, the higher level taking the people is very few in this lot.
Jai Mundhra : And for all these people that we have added in the last 18 months, they are not on IB A model, right, they are on CTC basis, is that right?
B. Ramesh Babu : Absolutely.
Jai Mundhra : And then, sir, on the total 9400 people , how many would be, let us say, ballpark IBA and CTC?
B. Ramesh Babu : Around 33% would be CTC and the rest of the 67 will be IBA.
Moderator : Thank you. The next question is from the line of Prabal Gandhi from Ambit Capital. Please go ahead.
Prabal Gandhi : Sir, my first question was on the MSME segment. We are seeing the growth of 22% here and it seems that this is largely driven by the increase in ticket sizes. So, how sustainable is this growth? And have you tweaked any strategy to focus more on the higher end or larger ticket size customers within the MSME segment ?
B. Ramesh Babu : Yes, there are few aspects, Prabal, if you see agreed continuously , we have been tracking the average ticket size and based on our past confidence, higher ticket, the relaxations what we have given at the lower ticket, we tried to pass on slightly to a higher level also. We have seen the checks and balances what we have got up to 50 lakhs and the delinquency level is low, and these relax ations, if we give it to 75 lakhs , how it works , so that way we have experimented and we gave few of the r elaxations that is working to some extent and second thing, so the teams in the branches and others also they have started working well. And third thing there was some demand. Due to that, the availment s also have gone up. So, these three factors have helped us. So, regarding the trend going to continue, I may not say that this 20 %-21%, but our efforts will

continue , so which may more or less yield. Our focus majority , first of all, if you look at it over a period of the last three years, the commercial segment composition in the total advances has been going continuously up. The simple reason is that is a granular portfolio , secured and better yielding for us out of all the verticals. That is the reason all branches, every resource is working on that. So, we will try to maximize what best we can use get under that MSME segment.
Prabal Gandhi : And will you shift from these 60 lakhs to 75 lakhs ? It is the same customer who you are giving higher loans or it is the new customer which is coming?
B. Ramesh Babu : New also, earlier also up to 50 lakhs new customers we were doing and those things actually when we look at and back test , what is the stress we are getting out of that, what is the rating all these things , so over a period of two to three years when we saw, so it is absolutely bearable . That sort of a risk is bearable. Having seen that we thought we can take some more risk with this sort of a relaxation , we have gone ahead in the last six months, but once you do it, it is just like an engin e straight away it will not start . Slowly , it started working on this and all. So, over a period of time , we will start seeing an average ticket size going up , but there are three combinations here , one is average ticket size , second thing is the disbursements also have gone up fresh acquisition and third thing availments also have happened. It is a combination of all three ha s resulted in this growth

.
Prabal Gandhi : And sir, we are also seeing current deposits grow on a sequential basis in a seasonally weak quarter. So, is there some correlation of maybe the MSME growth picking up for us and we are also able to tap float for the customers ?
B. Ramesh Babu : No, I cannot say that directly thatthere is an effective linkage is there between these two , so these two are independent levers as it is. So, that way tomorrow MSME growth may be ther e, current account may not be there because the reason is many of them they may not place their money in current account. So, they are all absolutely conservative. They are conscious about the pricing . Instead of leaving the money in the current account they may keep it in their cash rate account itself so that they will save their interest. So, that is why I cannot say that. Current account growth can be linked to MSME growth.
Prabal Gandhi : And sir, secondly, in the BNPL portfolio, we have been growing that portfolio, but this quarter it seems that we have paused the growth in that portfolio. So, any stress that you are seeing on the ground or maybe it is just the cautious call that you have taken?
B. Ramesh Babu : No Prabal , it is not the question of a cautious call or staying. You see, we used to have around Rs. 350-Rs. 370 crores last March and last year Dussehra as well as Diwali , so there was a huge demand from the Amazon customers. So, that is how it has gone up to Rs. 1,100 crores something like that. So, though we are trying to maintain in those levels, we will see it again, the opportunity come this Dussehra -Diwali, what best can be taken and all , depending upon our risk appetite, we will try to do . Currently , if we look at it, the stress is under control . As we always told earlier also, we have FL DG of 5%. So, that way currently what all default our NPA

is coming up, so all is covered under FL DG. So, we are not out of pocket as far as the stress is concerned. So, currently , everything is going on well, let us see when the next festival season comes, whether how much we can take, we will see rather than overnight opening the floodgates.
Prabal Gandhi : And so far as per your monitoring systems, there seems to be no challenges on this ?
B. Ramesh Babu : Yes, absolutely. As on date, everything is going on well. And as per the tolerance limits, what we have for the stress, it is moving in those limits only.
Prabal Gandhi : Sir and last question was on the management bandwidth, so I understand that you have got a lot of people from outside at the senior level , but how are you grooming people at the second and the third layer because eventually this also comes with a key man risk. We have seen that happen in recent months that when a senior person leaves there is a risk that the systems below it cannot work that efficiently. So, how are you grooming th e secon d and the third layer in order to make it more institut ional ?
B. Ramesh Babu : Yes, we are quite mindful of the fact about the succession planning. So, that is why every senior position, what all is there, we have a buffer for one or two people always under that. That is the reason anytime because someone leaving is not new to the Bank . It has been happening, but we never had that shock anytime in the last few years because the way we have groomed the people, many of them, they can handle multiple tasks, they have expertise in different areas and we have a concept of rotating them in dif ferent verticals also. In addition to that, as you mentioned, institutionalizing this one, so we started providing them these institutional training also for developing their management capabilities and so they are effectively working as #2 #3 , so that way we have an effective planning mechanism which someone can take over seamlessly if there is a gap.
Moderator : Tha

nk you. The next question is from the line of Rakesh Kumar from B &K Securities. Please go ahead.
Rakesh Kumar : Sir, just heard a few questions on this quarterly numbers. Firstly, sir this, like you mentioned this, the gain on the treasury book that have got routed into that reserve that is Rs. 23 crores plus Rs. 58 crores that we have reversed, the depreciation of the previous quarter , correct ?
J Natarajan No, this is actually, t his is effective from 1st April and the transition day on 1st April when we work out based on 31st March, t his is the impact , whatever you mentioned the number that has got the results .
Rakesh Kumar : And s ir, the other number which is like from the investment reserve that we have also reversed this quarter. So, if you can explain that number, sir, Rs. 203 crore , which has like transferred from the investment reserve. So, if you can elaborate on that, sir pertaining to the notes to accounts too, sir?

Ramshankar R.: You have got 2 reserves . One is for investment fluctuation reserve, other is investment reserve. See 2% of the HFT and AFS portfilio we have to transfer it and keep it under the investment fluctuations reserve. I f that is adequately covered the guidelines had informed that the investment reserve can be moved to the general reserve . That is what we have done. .
J Natarajan For your question, the net impact out of the entire guideline s, whatever that Rs. 82.25 crores we have mentioned is the net impact.
Rakesh Kumar : Correct. So, this is Rs. 23 crores plus Rs. 58 cro res reversal of the depreciation ?
B. Ramesh Babu : Correct, 81. That is what that comes to 81.
Ramshankar R.: The total imp act is neutral because within the reserve surplus it has moved from investment reserve to general reserve.
Rakesh Kumar : So, the investment reserve plus investment fluctuation reserve both the reserves of Rs. 203 colors transferred to the general reserve?
Ramshankar R.: Investment and f luctuation reserve stands as it is. There is no change in that . It remains as it is. Only the investment reserve has moved from investment reserve to general reserve within the reserves and surplus.
Rakesh Kumar : Which was Rs. 60 crores as on March ‘23 , March ‘24 numbers we don't have ?
Ramshankar R.: Additional fair value valuation because of that new direction that we have taken to general reserve, Rs. 60 crores.
Rakesh Kumar : And si r, I also saw this, recovery rate that we have seen in the Slide #21 that has improved significantly like if we compare with FY24 number or maybe Q4 FY 24 number , so the recovery what we are doing , the provision right back we are doing on the recovery number that has improved. So, would that stay in that kind of a number ending to the figures there in the slide 21, sir?
B. Ramesh Babu : Now Rakesh, in fact, the recovery, particularly from the written -off and all, so we cannot give any guidance on that because it is dependent on many factors, external factors like courts, NCLT , auctions, these sort of things and all , but our efforts we started having for more than 2 years a nd

different stages, different cases which are stuck , slowly they are getting released. So, our effort is to push each one of them as much as possible to get that.

Rakesh Kumar : Sir, I was referring to, sir, this recovery number , recovery and upgrade number of Rs. 90 crores and again that provision write back of Rs. 56 crores, so provision write back of Rs. 56 crores on Rs. 90 crores of recovery , I think that number comparable number for previous quarter and

previous full year, there is a quite lot of improvement that we have seen , so I was looking at that way, sir?

Ramshankar R.: Yes, what your observation is correct.

Rakesh Kumar

: And s ir, thirdly, investment yield numbers are like I saw there is an improvement. So, it is now 6.53 for this quarter and for the March quarter it was 6.41 , but if I look at the previous quarter investment yield which we had given it was slightly lower, so is there any reason for the March quarter investment yield number, sir?

Ramshankar R.: No, actually what happened last March, w hat happened , the YTD numbers were given. See here the entire figures are given quarter wise, end of June quarter, September quarter December quarter, March '24 quarter. Last, in March, this thing it was given till June figure what is the YTD till June.

B. Ramesh Babu : March one was for the whole 12 months, whereas up to December was only for the quarter. So, that is the reason because 12 months when it is equated , so it has come to 6.4 1.

Ramshankar R.: Now , we have given quarter wise to have comparable for all quarter s.

Rakesh Kumar : And s ir, gross security receipts numbers are in March '24 , it was Rs. 378 crore and now the gross security receipt number is Rs. 263 crore s, so I couldn't understand, sir, if you can explain, sir?

B. Ramesh Babu : SRs, some recoveries have come already . Last month also , last quarter also if you see Rs. 54 cores recovery you are able to see that. March quarter, we have a recovery. So, the recoveries are coming in SR s.

Rakesh Kumar : Actually, I was thinking for the closing figure of March and the opening figure of this June, so we don't have that, movement of that n umber?

Ramshankar R.: We will provide you with it Rakesh.

B. Ramesh Babu : movement , what all is there , let us provide.

Moderator : Thank you. The next question is from the line of Anand Dama from Emkay Global. Please go ahead.

Anand Dama : Sir, my first question is regarding this AFS reserve accretion that we have done during the current quarter. So, what is the positive impact on the CET 1 during the quarter?

B. Ramesh Babu : Rs. 5 crores is the AF S reserve for this quarter , whatever the gains under the AF S portfolio, which was transferred to AF S reserves is Rs. 5 crores.

Anand Dama : So, the CET1 would have improved by Rs. 5 crores that is the way to look at it? And in that case, how much is in the basic point?

B. Ramesh Babu : Rs. 5 c rores on a Rs. 10,000 crore s, so very miniscule.

Anand Dama : Secondly, w hen we look at our basically our loan book because two observations, one is that we are growing a LAP book at a pretty faster pace, and secondly that we have also cut down our NBFC exposure on quarter -on-quarter basis , so any comment over there?

B. Ramesh Babu : No, if you look at it the LTV more or less what we maintain for a home loan as well as LAP, a ll of them , you are 100% secured . Then the options are different options are there . When you want to maximize the yield the cost s of deposits have gone up and you want to maintain the margins. So, we do not want to aggressively go into the unsecured because tomorrow something happens the first fall will be from the unsecured, so that is the reason when we didn't go for that. At least out of these products if you look at it, one is Jewel loan is giving more or less 9.5 %-10%, something like that they are giving , so fully back , that is why we are focused on that and LAP is also giving that 9.5 plus yield where you have full security is there for you and we are not relying only on the security here. We are looking at the cash flows. We are doing the assessment on those lines where we are thoroughly satisfied, their uninte rrupted cash flows are there , you can service this loan , then only we are goi ng for the LAP. That is why when we have seen few years the stress levels under the LAP is quite manageable. That is why we thought saying that when the opportunity is there demand is there. Why can

't we go for that . Now coming to the NB FC,
agreed. So, we have reduced the portfolio, there is a lot of scope available there and all because RBI guidelines have come up for the additional capital what we need to maintain. And second

thing, suppose there is some sort of an issue , automatically NBFCs will have an issue indirectly. We will have the problem. That is the reason we are relativel y in a calibrated manner , we have grown on NBFC and here the NBFC exposures we have brought it down , so that is why a manageable level keeping our risk appetite in mind, we are growing in the NBFC and not taking too many exposures on NBFC's.

Anand Dama : Sir, one more thing is that recently Telangana government ha s announced the farm loan waiver ? So, basically one is that how much is our portfolio in Telangana? And do you see any impact of this farm loan waiver at least intermittently?

B. Ramesh Babu : If you look at it Anandji suppose , our total agriculture even today , 90% is jewel loan, so just jewel loan is 90% . So, out of these Rs. 18,000 crore, hardly less than Rs. 1,800 crore in the whole country would be other than jewel loan. So, that is spread out many locations and many of these cases also absolutely either it is backed by security or cash flows, these sort of things our clean loan off cash on credit card these sort of things are very low , but one more thing we need to keep in mi nd even if we have a small portfolio in these states , but it is a waiver when we talk about it, government will pay the money and all they are not asking Bank to bear the brunt so that way the question of we will get the money, but there can be a small shift in the culture of the people

for the repayment , but we don't feel that sort of an issue agriculture , so much of deep penetrated other than jewel loan portfolio is there in Telangana for us.

Anand Dama : So, jewel basically is going to be collateral for you, right , but if the customer says he is going to get the waiver, he is not going to pay , right?

B. Ramesh Babu : Correct, we will be releasing the gold only after we receive our dues only. Before that, I cannot release it. So, why, anyhow, LTV is 75% is there , 25% even if fluctuations also I have the money with me , so that way there worry should not be much because I have a backing here.

Anand Dama : So, what will happen is that if the customer, the farmer doesn't pay, it will slip into NPA, y our provisioning will be lower because you have security backing ?

B. Ramesh Babu : Correct, provisioning in the sense that the entire amount will be able to recover because if LTV is 125% then the problem is there. So, if I go and sell for sale instead of supposing Rs. 100, I may be getting Rs. 90 and my outstanding is Rs. 75, I will be able to recover my money and balance I can return it to the customer.

Moderator : Thank you. The next question is from the line of Mahesh from Kotak Securities. Please go ahead.

Mahesh : Sir, just couple of questions , one, I know it is a small number, but just still trying to analyze the slippages that you are seeing on the retail side , is there any product segm ent which is contributing to it b ecause it has been driving on a consistent basis in recent quarters ?

B. Ramesh Babu : Rising in the sense that you see Mahesh, in fact our total portfolio and retail unsecured is marginal and the rest of the product, what all is there, everything is backed by either a home loan or LAP, t hese two are having comfortable security. Sometimes what happens if you get these sort of slippages in the first and second quarter, it is relatively better for the Bank . The reason is you will have enough time for enforcing the SARFAESI , getting it and all . By the time third, fourth quarter comes, many of them, the SARFAESI process is going on itself. They will com

e

for a compromise and settle it . So, that way we encourage suppose a more or less here and there, sort of an account is there , instead of prolonging this pain, it is better we p rovide the bullet and initiate the resolution process so that your ability to recover the money will be much faster. So, that way everything is backed by security. It is the question of time we will be able to get , so nothing much to worry about that there are no unsecured portion much in this.

Mahesh : Second question on the OPEX line which is currently running at about a little over 25%, the non - staff, right , any direction as to how you are looking at that number?

B. Ramesh Babu : Non-staff, as earlier also I was guiding , so normal course what all is there it will be growing just linked to the inflation , but so we have planned for around 100 branches this year , out of that 80 branches can be lite and 20 branches can be normal branches which we want to open . And these things are there , naturally the overhead cost for these sort of things can go up, but we need not

do all those things. But if we do not do it, raising the liability, getting the leads and many areas which is the suburb developing and all, we will be missing the opportunities there. That is the reason what we thought maybe it is better we bear the cost for one or two years, then by the time one and half years, two years, they get breakeven , but next 10 years we will be able to reap the benefit of it. Other than that, routinely, if you look at it, normal OPEX is going on, no spikes will be there, if at al l something is there, we may spend on IT upgradation these sort of things. And second thing is the branch openings and the cost for that . These are the issues only which

can come up , other than that nothing much .
Mahesh : Sir, last question. In the last two quarters, you reported this 25% of floating provision . In this quarter you reported under other prudential provisions? Is there any difference in these?
B. Ramesh Babu : And it is a good question Mahesh, in fact, I will tell you when we were commencing this particular provisioning we clearly mentioned that because at that time unknown unknown s guidelines were there actually where we will be landing as far as ECL is concerned. So, we thought that let us provide something . When we have provided Rs. 100 crore s and the calculations when we made more or less the provision, what we have made would be sufficient enough to take care of any shock if the RB I releases the g uidelines . So, that is the reason there is no point in bloating that particular provision Rs. 200 cores, Rs. 300 cores and all it doesn't make any sense for us. So, that is the reason we have shifted this side so that it can be helpful on the stress side, if at all tomorrow comes up, those things will be even tually can be taken care of. That is i t.
Moderator : Thank you. The next question is from the line of Nagesh Mota marri, an Individual Investor. Please go ahead.
Nagesh Motammari : Just wanted to know why the tax provision has gone up, sir, when the profit in the last quarter was 573, you have made 117 provision for tax and this year it is out of 612 , 154 has been provided ? That is one question and secondly, any expectations of bonus issue or something because there is a gap of about 6 years which you have done and very small bonus has been given in 2018, 1:10?
B. Ramesh Babu : Regarding the bonus issue, I will tell you , currently there is no thinking as yet in the board also. At the appropriate time, whenever the board feels we can think of, but currently we try to strengthen the capital this because the growth what all is coming , so it requires some sort of a capital. That is why we do not want to make any shift here and t here currently, but as you mentioned that at the appropr

iate time when the board feels , definitely we will keep that particular point in mind, sir.
Nagesh Motammari : The reserves have gone up more than Rs. 10,000 crores for the first time?
B. Ramesh Babu : I know, sir, but you see the other side, the retail growth is also going at 21%. So, there in the meanwhile, RB I has also increased the risk weights for the capital for many of the products and

sectors. So, these things we need to take care of that. So, we will gauge all these things and all what I call has to be taken by the board , appropriate call, we will take it, sir, we will keep that point in mind.
Ramshankar R.: From the provision for taxation, I just want to clarify, see the last year in the beginning of first up to third quarter, we are not so clear on the amount of what will be the IBA settlement bipartite, how much amount though we are being pro viding it, whether , only when it is paid before March or when it is finalized then only you can claim it as a deduction . There were lot of unknown unknowns were there , so our provisions were around 25% plus for taxation and when the March quarter when you have the full year view whatever what we had made for the three quarters and the balance year for the taxation for the full year was taken care in the , fourth quarter . Even if you see the first quarter also , the effective tax rate comes to around 25.2% which is as per the tax rates for corporates.
Moderator : Thank you. Ladies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to Mr. B . Ramesh Babu - MD and CEO for closing comments.
B. Ramesh Babu : Thank you all for your interest and for the participation and serious questions you people ask, which are quite insightful. Thank you very much. As we assured earlier, we will strive to further show better results than what we have been doing and with the support and guidance of all of you. Thank you very much once again . Good day to all of you.
Moderator : Thank you. On behalf of Karur Vysya Bank that concludes this conference . Thank you all for joining us , you may now disconnect your line s.

Call: Oct 2024

Classification | REGULATORS
IRC:F48: 242:468:2024 October 22 , 2024

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor,
Plot No. C -1, ‘G’ Block,
Bandra - Kurla Complex,
Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Una udited Financial Results of the Bank for the quarter and half -year ended September 30, 202 4
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Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transcript of Conference Call held on October 17 , 2024 at 5:30 P.M. (IST), in connection with the Unaudited Financial Results of the Bank for the quarter and half -year ended September 30, 202 4.

The same is also made available on the website of the Bank and can be accessed on the following link:

https://www.kvb.co.in/docs/investor -con-call-transcript -fy25-2.pdf

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager

Encl: As above

“Karur Vysya Bank Limited
Q2 FY'25 Earnings Conference Call”
October 17, 202 4

MANAGEMENT : MR. B. RAMESH BABU – MANAGING DIRECTOR AND

CHIEF EXECUTIVE OFFICER – KARUR VYSYA BANK LIMITED
MR. NATARAJAN – EXECUTIVE DIRECTOR – KARUR VYSYA BANK LIMITED
MR. RAMSHANKAR – CHIEF FINANCIAL OFFICER – KARUR VYSYA BANK LIMITED

Moderator: Ladies and gentlemen, good day , and w elcome to the Q2 FY'25 Earnings Conference Call of the Karur Vysya Bank. We have with us today the management team of KVB, represented by Mr. Ramesh Babu, MD and CEO ; Mr. Natarajan, Executive Director; and Mr. Ramshankar, CFO.

As a reminder, all participant lines will be in listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, to take us through the highlights of the quarter gone by, after which we will open the floor for questions. Over to you, sir.

B. Ramesh Babu: Thank you. Thank you very much. Good evening to all of you. On behalf of Karur Vysya Bank, I welcome you all for our bank's earnings call for the quarter 2 of the financial year 2025. So we trust that you, your colleagues and family members are keeping well and are in good health. So we have uploaded our financial results along with the presentation on our website and I hope you have had a chance to go through it in detail and ahead of this call.

I am pleased to mention that the bank continued to have another strong quarter of performance built on our guidance of three metrics ; growth, profitability and asset quality. Bank's performance indicators are in line with our guidance, and the bank is seeing consistent and steady growth. It is encouraging to note that our team was able to sustain the growth momentum witnessed in the first quarter. And I am confident that the same will continue in the ensuing quarters.

The bank's total business stands at INR1 ,76,138 crores as on 30th September 2024 . We were able to sustain the growth impetus created during the first quarter as our total business registered a growth of 4%. The advances stand at INR80,299 crores and deposits grew to INR95,839 crores with a growth of 3% and 4%, respectively. We ha

ve been guiding in our
earlier calls about our focus on inclusive growth from all verticals with respect to advances.

I am pleased to share that the same is being sustained in the RAM verticals with 5% quarter -on-quarter loan growth. Commercial advances clocked 6% growth. Retail advance and agriculture advances grew by 4% each. Retail growth was predominantly driven by mortgages, which grew 10% during the quarter. Housing loans grew by 3% and jewel loans by 7%.

Our BNPL book remained flat during the quarter. Agri Jewel loan book grew by 4%, corporate book has degrown by 4% during the quarter, mainly due to lower availments in certain seasonal sectors, lower disbursements, repayments. And of course, as I always say, wherever the pricing was not conducive enough, so on our own we have exited those accounts.

Deposit growth remains one of the key focus areas for the bank, and you are aware that the bank had initiated various strategies for deposit growth, including establishment of sales acquisition channel for both term deposits and CASA growth.

Our total deposit growth was at 4% during the quarter. Depletion and balances in existing CASA book has resulted in growth of only 1% sequentially. Term deposits grew by 5% during the quarter.

We had indicated in the last call that NIM would be above 4% levels til l first half of the

current year. I'm happy to say that the NIM for the quarter is at 4.11%, and for the half year, it is 4.12%.
Our continued journey on shedding away low -yielding corporate advances on one side and focused more on better yielding granular secured advances in RAM and prudent treasury operations have helped us to retain above 4.1% level s of NIM during the quarter in spite of 8 basis points increase in the cost of deposits.
The cost of deposits increased by 8 basis points and the yield on advances reduced by 2 basis points sequentially. Yield on investments increased by 2 basis points during the quarter. Based on our historical pattern of renewal of deposits and fresh deposits acquisition, we expect moderated rise in the cost of deposits by 10 basis points in the next quarter.
Yield on advances is expected to be flat, and yield on investments would be in the similar range for the second quarter -- of the second quarter. Considering all these factors and without taking into any policy rate changes, we expect that NIM will be around 4% in the next quarter.
We have achieved ROA of 1.72% in this quarter. We had guided that our effort would be to ensure ROA is above 1.65% levels and we are confident to maintain the same going forward also.
Our gross slippages during the quarter continued to be under control at INR181 crores, which is 0.23% . On an annualized basis , it comes to 0.9% of our loan book. With our continued close monitoring of accounts we are confident that we'll continue to keep the ratio below 1% as guided in our earlier call. Our efforts on recovery of technically written -off books is continuing to yield results as we have recovered a sum of INR180 crores during the quarter.
Due to lower slippages, recoveries, upgrades and write -offs, our gross NPA has come down to 1.1%. We expect that we will continue to maintain at below 2% levels as advised earlier. For the quarter under review, we have provided INR155 crores towards NPA migrations and INR10 crores towards standard assets and reduction in restructured assets provision by INR9 crores on account of reduction in balances aggregating INR156 crores, which is 0.78% of our advances on an annualized basis.
Apart from this, we have provided a prudential provision of INR25 crores as was done in the previous quarter. Our net NPA has come down to 0.28%, and we will continue to maintain net NPA at less than 1% of our loan book. Our standard restructured loan book is further reduced to 0.79%

of our loan book, and we hold a provision of 39.85% of the standard restructured book.
The BNPL book balance is at INR1,030 crores as at the end of September, that is which comes to 1.28% of our portfolio, and it is performing well. Our overall unsecured portfolio ,including

the BNPL , of the total advances comes to 2.04%. Our MFI portfolio, which we started just two years back and we have started taking baby steps in that now stands at INR298 crores as at the end of 30th September '24. We are taking a very cautious approach in this segment.
We have tied up with three business correspondents who have sort of an expertise in this as partners, and we'll be mindful in growing selectively in states where position is relatively better.
Our establishment costs were INR357 crores during the quarter, increased by 7% sequentially, mainly on account of AS -15 actuarial provisions, which were up by INR13 crores compared to previous quarter due to steep fall in the discount rates. Operating expenses were at INR358 crores , sequentially gone up by 7%. Our cost -to-income ratio is at 46.72%, and we will continue our efforts to peg it within 50%.
Our CRAR, as per Basel III continues to be healthy and is at 16.27%, providing us comfortable headroom for growth. Our liquidity coverage ratio continues to be well above the regulatory requirement of 100%.
So bank added one branch during the quarter. And the setting up of the lite branches is under progress and the first set of such branches are expected to function on the third quarter of this current year.
Our endeavour is to continue the current momentum in the next half of the year. As planned, we are mindful of the challenges, particularly on the liability side and are taking every step to increase the low -cost funds, which would also help us to improve the margins.
I am grateful to all our investors, analysts and stakeholders for the confidence and the continued support, which we will reciprocate to our better performance in the days to come.
Now I'll be glad to respond to your questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question

is from the line of Jay Mundhra from ICICI Securities.
Jay Mundhra : Congratulations on a great set of numbers. Sir, first question is -- on your loan growth, right , so we can see that we have been following a profitable loan growth approach, and we have been growing 20% Y -o-Y in retail, agri, MSME, but the total growth is slightly constrained by degrowing corporate book. And from the last time when we had spoken, from this quarter, there has been a little bit moderation in the systemic loan growth. What would be your assessment considering the approach that you have taken? I mean, would you still be comfortable going 15% above , or how should one look at it?
B. Ramesh Babu: Yes. Thank you, Ja y. In fact, Jay, if you look at it, the question is the composition of the deposit growth. So still we find that the CASA book as we planned, it is not growing at the same pace what we planned. Until such time that composition comes up, so it will not make much sense to raise the deposit at 7.6 . Suppose senior citizen is there at 8.1 also we are taking and many of the corporates, if they expect between 9, 9.25 and all. So 8.1 CRR, SLR, credit

costs, standard asset provision, operating costs, with all these things, it doesn't make much sense rather than just bloating the book and top line growth. So that's why we would just want to wait and watch.
Another point I want to say. So it is interest rate sensitive that is elastic as far as corporate is concerned. So for the rest of them, why we are fuelling the growth in rest of the RAM segment

is if you reduce the momentum there, getting back the momentum from the whole team will become absolutely difficult because it's granular, and many people on the ground, they are working on that.
As far as corporate is concerned, it is interest rate sensitive. So the moment you are able to offer a better rate, so you'll be able to come back. I'll just give you an example. Our NBFC portfolio, which used to be 8.5% of the total book at a point of time. Now it has come down to around 5% plus. 3% we have brought it down many of the NBFCs there. Suppose tomorrow if you have a reasonable amount of money, the 3% of this INR80,000 crores itself comes to INR2,000 crores odd. So that way, growing should not be a problem, but we want to be conservative seeing the position. The moment we get a hold on the CASA book, it is growing there and all, so we will release the pipe towards CAG also.
Jay Mundhra : Right. No, understood, sir. So yes, so that is understood. Secondly, sir, is there any -- there were media reports? Or is there any -- I mean do you have not given the gold loan book, total gold loan book, at least I could not figure out from the presentation.
B. Ramesh Babu: No, we have given slide on the gold loan. So 26%, you can see that. We have mentioned saying that last 4 years how the gold loan is moving, what is its LTV, what's the SMA, everything is provided.
Ramshankar: Slide 15.
B. Ramesh Babu: Slide 15, if you look at it, so we have given jewel loan portfolio, SMA, LTV; everything is there in that.
Jay Mundhra : Right. So okay, sir, is there any difference in the agri gold loan and retail gold loan growth? Are you seeing anything -- any trend change there?
B. Ramesh Babu: Yes, we are able to see that particularly in the first quarter of this year, so we could see some sort of non -agri jewel loans also coming up, but it got slightly reduced in the second quarter. So that first quarter was a good quarter for the jewel loan growth.
So second thing also, we will grow in the jewel loan growth. We are not disputing that. But our intention is to focus on the core. Otherwise, once we totally move into non -agri growth there, so a set of complacency may come up and all, we may not go in the core products. So that's why we wanted to grow in a balanced way.
And 1 more thing also 2 to 3 years back also this question was coming up, how much is the amount of the gold loan out of your portal portfolio. So 3 years back itself, we have given an

indication that we would like to go up to around 30% because too much of concentration in a particular product also is risky.

So now if you look at 25.1% has become 26% now. So because not only agri, as I said also, we are coming up and on. So we will grow in that. Demand wise, there is no problem because RBI has also issued a circular on 30th. So many of the compliances, we are in line with that and all. So we will grow in a measured way as far as the gold loan is concerned.
Jay Mundhra : Sure, sir. And sir, I have some data keeping question. If you can highlight the LCR percentage for the quarter and the number of staff.
B. Ramesh Babu: LCR is 128% now. Number of staff now comes to more or less because we have taken many other feet on street and particularly for the liabilities, those who need to be at the lowest level, likewise in the counter also from the deepening the book also at the lowest level. So we have taken a set of people. It comes to around 9,500 something like that, we can think of now.
Jay Mundhra : So sir, the LCR 128% on a reported basis, right, there is a dip from last quarter. Whatever, let's say, change in the methodology. I mean, was there any change in methodology? And if that was the case, is this now sorted that -- or do you think there could be any other changes in that also?
Ramshankar: Ramshankar her

e. It has been fully sorted out. It started in last week of June, the revised methodology. And this full quarter, it has been fully on the revised methodology only -- so -- and it varies, for example, the 128% on an average basis for 90 days. 2 days back, say latest, it's 135%. So it varies here and there in a sort depending on the composition of the HQLA, High Quality liquid assets, it keeps on varying, but it is sorted out fully.
Jay Mundhra : And so this should not be any constraint for your growth or margin, right? I mean the LCR optically falling from much higher level to 128%. Could this have any bearing on the growth or margins?
B. Ramesh Babu: That's what is a tight rope walk for everyone. In fact, we need to keep in mind all these factors and all. Accordingly, we need to go for our planning. That's it. Yes. In fact, every vertical, including treasury, we are aware of this, how we need to plan, our ALCO is also on the job. Accordingly, we are planning.
Natarajan: But this 128% is a sufficient cushion, headroom is available for growth.
Moderator: The next question is from the line of Roshan Chutke from ICICI Prudential Mutual Fund.
Roshan Chutke : I just wanted to understand how is the situation among the textile sector, MSME customers, if you can give any view around that?
B. Ramesh Babu: No, agreed. So compared to 2 to 3 years back, because up to COVID, post -COVID it was doing well , spinning and all. Later, there was a lull because external factors were creating a problem. Now if you look at it slowly, the position is improving. I will not say that the limits have been used sufficiently and all these things and all. So the fact that in a few other

locations, they are placing the boards that we require people, these sort of a thing. And second thing is absolutely everything is happening in -house without much outsourcing and they are able to manage. So their order quality and their margins are relatively much better compared to others.
So spinning mills also those with 25,000 spindles and above. So they are there and all their order book is good, they are able to manage well. And below 25,000 , they need to still -- wait for some more time. Otherwise, overall, if you look at it, the position which was there prevailing one year back has improved now, and they are hopeful saying that in the next six months, the position will further improve.
So next thing is as far as our accounts are concerned, you would have seen that the worst times also, we have passed through more or less. So that way, the portfolio, what we have is reasonably well that we are managing and all. We are continuously engaging with these customers to show what is happening on the ground.
Moderator: The next question is from the line of Anand Dama from Emkay Global.
Anand Dama : Congratulations for great share of results. S ir, the first question that I have is related to higher other income. So what basically is the treasury gain during the current quarter, recovery from written -off? If you can provide some...
Ramshankar: Recovery from written -offs is INR181 crores.
Anand Dama : And how much was treasury?
Ramshankar: Trading profit we are around INR 23 crores.
Anand Dama : So bulk of, basically, it's like recovery of written -off account seems to be on a higher side for us during the current quarter. Do you see this sustaining over the next two quarters?
B. Ramesh Babu: No. Anand, I'll respond on that. You see , these are the efforts we have been making for the last 2 to 3 years. You must be knowing that. So there are external factors are also involved. So

unlike a normal loan growth and deposit growth, we cannot give a dotted line response saying that this is what we'll be able to do, but our efforts are on. But on the whole, if you look at it year-on-year, numbers are co

ming up.
It can be one quarter it may be more and in second quarter, it may be low. But overall, as far as the year is concerned, the ROA, what we have given a guidance, we will be able to do that. That's the first point. Second point, we didn't take much advantage of the traditional recovery of write -off what all has come up because if you look at it, the provisioning what we made around 65 basis points for the written -on assets, if you look at it, it has come to that. And in the normal course, if you look at it, with our 0.28% of net NPA, that much of provisioning is not required. For a standard asset, if you had to make on an average INR10 crores to INR15 crores per year we had to make and migration is something we had to make.

And these things are required. Restructured already 40% is already provided. There also doesn't require.
So what we thought when good times are there when these sort of something comes up and all, instead of taking that as a profit, we need to strengthen the balance sheet and all, we have additionally provided there. So that way additional what all we have got has gone into the provision, we didn't take much benefit of that additional write -off what we have got.
Anand Dama : That's good to hear. Sir, secondly, is there -- your LAP book is actually growing at a much more faster pace. All these LAPs that you are basically mobilizing right now is the branch - sourced LAP or you have a tie -up over there ? That's why we are talking this kind of a thing.
B. Ramesh Babu: No, no, no tie -up. It's all to set the feet on street our people, what are they are recovering that's coming from that. No question of any outsourcing, these things are not there at all, everything internal team, what they are doing, that is the growth.
Anand Dama : Okay. And sir, what is the typical ticket size of this LAP? And what is the yield that you're generating for this LAP book?
B. Ramesh Babu: Yield is more or less 9.5% plus we will be getting it. Ticket size, I need to look at it. Our CFO will come back to you on that.
Anand Dama : Okay. And bulk of this LAP is being generated in Southern India or like...
B. Ramesh Babu: Majority in Southern India. Majority Southern India , correct.
Anand Dama : And may be again in Tamil Nadu , right?
B. Ramesh Babu: No, not only Tamil Nadu ; Tamil Nadu , Andhra, Telangana Karnataka, all these are there. But 1 more thing just to provide some more comfort to you, Anand, just I'll share some point with you. At the point of time, 3, 4 years back, what we were doing, actually, we were relying on the legal someone expert outside of whoever legal is there and panel lawyers and the valuers we were doing.
So we thought we need a third eye to look at; tomorrow at the time of disposal of these properties, we should not be caught unaware. So we have internally created a technical evaluation team wherein a set of people who have experienced this are there and at divisional office levels also, we have put engineers there and all. So what all we had to give for a valuation, so no one has a discretion.
On a round robin basis that goes to the valuer on a surprise basis. And what all it comes, it will be vetted at the local level, at the divisional office level, it will go to centralized cell also. They will also look at these things and all comparable valuation elsewhere, what all is there, legally other things are okay. After seeing all these things, they will clear it. In the process, we are declining many cases.

So we took a call saying that maybe it may not result in a business growth, but it will be safer now, so that tomorrow if issue comes up and all, you're unable to dispose off, the purpose will not be served. So that way, we

have strengthen this mechanism and the different checks and balance at different levels to see that the enforcement really will work.

Moderator: The next question is from the line of Abhijeet Vara from Axis Mutual Fund.
Abhijeet Vara : I have a couple of questions. First one is, in the other opex , the growth rate has been around 25% for the last couple of quarters. I know you have given guidance on cost to income, but specifically on this, do you think this growth rate will continue or it will moderate?
B. Ramesh Babu: No. In fact, there are 2 aspects I need to share with you. There are a few costs consciously we thought of spending; one is we are strengthening our IT and information security. So because we cannot take any sort of a risk on this, so more than what is required and all we started actually spending on that. The next thing is we have got for an ambitious plan for having 100 branches this year. And last year, also 35 branches we have opened, before last year we have opened.
And the additional cost of these branches, what all we have opened started kicking in. And the next branches, what all are there already the furniture and fixture, this all coming up. And so we have front -loaded the staff numbers also for these branches. Once everything is ready, if you do not have the staff, you will be paying the rent, you will be stuck.
So those staff are also more or less ready that way. With all these things, some sort of costing is coming, the value of all these things we will be seeing over a period of time. But a few more things also we look at it because when we are spending on these things naturally over a period of time, depreciation also will kick in and DICGC, all these things are there.
So with these things, if you look at it, overall, we are having a control on this, but we will still try to see which are the cases where expenses we can control further and one more just point, no, it is not a justification, just for the sake of clarity, I want to say. You see last year, more or less around INR1,000 crores odd this corporate, we have brought it down the portfolio. And this year also, if you look at it INR600 crores, INR700 crores has been brought down.
So INR1,700 crores to INR1,800 crores, it has brought down. In addition to that, had we grown in the corporate in these 2 years, another INR1,300 crores would have come. INR1,300 crores plus INR1,700 crores, INR3,000 crores of assets because of the constraint on the CASA, we are forced to release. And as and when the position improves, we'll be able to getting them back.
So that way, it also had a bearing in the denominator that base effect is 7 to 8 basis points that also is creating an issue. Overall, if you look at it, so we are focusing more on the rest of the ratios currently than our cost of assets. So if you are able to earn on the spending what we are doing, okay, we may have to spend it. But your point is well taken. We will keep that particular point in mind, how to have a decent cost to assets.

Abhijeet Vara : Right, sir. The second question is what is the total prudential provisions or floating provisions the bank holds? And do you include it in PCR calculation? Just for clarification.
B. Ramesh Babu: Yes. Last quarter, INR25 crores; this quarter, INR25 crores, that way it comes to INR50 crores. This is the floating provision -- with the prudential provision we have. Floating provision is concerned; last year, what we have provided, 4 quarters, INR25 crores each we have provided. So that INR100 crores is still there that way. And whether for the PCR purpose it is there or not.
Ramshankar: Floating provisions, we don't take. Prudential provisions, we take.
B. Ramesh Babu: Prudential will be taken and all; floating, we are not taking it.
Abhijeet Vara : Right. Okay. And sir, in the retail portfolio, just 1 observation is this quarter, the bulk of the write -offs have come in from retail portion itself, retail portfolio. So just wanted to understand what are these loans?
B. Ramesh Babu: I'll just tell you. No, no, it is deceptive. If you look at it, now what happens -- you look at our total gross NPA itself has come down to INR886 crores now. Earlier when we were having money, what we did, so first of all, we focused on the corporate. Majority of the corporate book, what all is there, we have provided. That is the reason if you look at it, so the corporate is concerned, not to be provided -- yet to be provided is a very small amount.
So next -- that way, they are going step -by-step with other verticals. So that way, this quarter, we would have taken few other accounts in the retail. That doesn't mean saying that these are absolutely unrecoverable accounts, that is not an issue at all.
Abhijeet Vara : Okay. Sure. Last thing, do you provide loan growth guidance and deposit growth?
B. Ramesh Babu: Deposit growth earlier, we have given, we stand too with that. So 14%, we have told them, saying that annual growth. But if you look at it, the complexion of that. So overall, it comes to 14%. But if you look at it, the RAM portfolio is concerned, more or less 18% to 20% we are growing because that is an engine which has to propel the bank to take forward.

So if that engine stop, it will become difficult for us. So with these constraints on the liabilities also, we are more or less managing to take the RAM book at that 18% to 20%. So that continues. If at all, we have a big leeway and we are able to get a reasonable cost of deposits then we will revise our guidance and all, we'll be able to take it forward. Particularly, as I said earlier, growing in CIG, it requires relatively lower effort compared to the RAM book. So that is the reason. Once lower cost funds are there, we will reopen the tap of corporate.
Moderator: The next question is from the line of Prabal Gandhi from Ambit Capital.
Prabal Gandhi : Sir, my first question was we have been shifting away from the corporate segment. But out loan yields are not reflecting, they have been stagnant for the last 3, 4 quarters. Why is that?

B. Ramesh Babu: First point is we need to revise the statement. We are not getting away from corporate, okay? It is lying low at this stage. As and when the composition of the liabilities comes back to a normal state, we may go back to the corporate. That is not an issue that way.
And yields, if you look at it that way, you see more or less the RBI rates, what all are they? They are more or less stagnant now. So under these circumferences, when there is no change, MCLR is concerned. The cost of deposit, what all is there will be automatically passed on. So EBLR is concerned because when there is no change in the repo rate, you will not be able to increase that one. So that's the reason there's a limitation beyond which you will not be able to do that.
So overall, if you look at it, if you are able to maintain these yields at this level, so I can give a part of the credit to the reduction in the corporate also. Otherwise, the yields would have come down. One more thing I'll tell you, when we are in the competitive market, getting every loan at 10% odd may not be possible. There can be a mix of loans in a different -- suppose agriculture is there, it can be 9.5% only. There can be agriculture, 9.25%. But I cannot take it in isolation, the agriculture will be reckoned for the purpose of my PSL.
If I go and buy the PSL, I had to pay 2% there. So indirectly, I'm getting 2% plus 9.5%, 11.5% I'm getting. So the composition of advances, whichever bucket it grows depends on that. So despite the growth in lower yielding wherever something is there, because corporate to some

extent we have lost, overall, we are able to maintain our yields.
Prabal Gandhi : And sir, what are we doing to improve our fee income? That also has sort of remained there despite we increasing the share of retail loans.
B. Ramesh Babu: I agree. The fee income, there are different components are there. Now earlier, corporate, we were doing the fund based. Now the focus what we are trying to do is, so we have reoriented our focus and our corporate banking unit started focusing on the non -fund based business. So overnight, if you have to shift the gear, it will take some time. Otherwise, they are on the job, first thing.
And second thing, third -party income. Third -party income, which used to be pretty low in the bank. But overnight, again, you cannot press the accelerator button, it will lead to mis selling and all. So lot of effort we are making on that. So that way, we are trying to double that income every year, this is coming up.
And the third thing is there is a hit to some extent because corporate, if you grow aggressively, the processing charge is what you get will be pretty good because you are not going in the corporate at the rate at which you have to do it and all. So you have to make it up in the retail segment. That's why if you look at it overall compared to last quarter also, the overall fee is up despite not getting relatively the same amount of processing charges from the corporate, which we were getting.

Our focus is on that. So various assets what all are there, it can be guarantees, third -party income, LCs, all these things, we are working on that. We will see what best can be done and all, how to maximize.
Prabak Gandhi : Sir, how do we improve? How are you measuring productivity at a branch level and employee level that seems to be -- will you explain that there are some costs involved which are -- which will come down, but how do you measure the productivity at the employee and the branch

level?
B. Ramesh Babu: Yes. We have a very structured way of metrics is there, which covers for each branch around 40 parameters. So we will give the target. And based on that target, the score will be given there and all the consolidated position of this for 100 mark score it counts and each branch will be rated based on the century's score of 100 marks.
Now many of the elements is what they get, they are linked to the score what they get. If someone is not getting the minimum score what they are supposed to get, they will not get and this will be reckoned for the purpose of their rating also, year -ending what the rating they get it, half yearly they get it and all, and it will be useful for the promotions. It will be useful for the transfer. All these will be reckoned.
So likewise, at the year -end, if you are paying ex -gratia to those who are over performing , these metrics, what we have created, it works well. And absolutely, it has been stabilized. This is dynamic. And every quarter, we'll be changing depending upon the priorities, what bank has and all those corporate priorities, which Board feels , our management feels that will be dove -tailed into this century score model and all. And everyone in the branch, they'll be knowing on these lines. So that way, we have a robust laid -down and tested mechanism for testing the productivity of the branches.
Moderator: The next question is from the line of Rakesh Kumar from B&K Securities.
Rakesh Kumar : Quite a good set of numbers this quarter. So just had a couple of questions, sir. So firstly, sir, on this risk profile of the corporate banking book in the Slide 17. So there is some fluctuation between A and above and BB book from September '23 to June '24 and coming to September '24. Is this just the volatility for the time being? Or how we read this BB composition coming to 28% approximate

ly, if you can help us sir please?
B. Ramesh Babu: Yes, absolutely. You see there are different circulars which have come from Reserve Bank of India, particularly on the NBFC for different risk weights on the capital risk weights. So we look at all those things and what we thought, actually, if you're confining to AAA accounts, the yields, what you get and the capital risk, what you are maintaining, all these things are not commensurate.
And second thing, the deposit cost at which it is growing, the margins are getting squeezed day by day , and many of these corporates with AAA. So they ask for the finest rate. Otherwise, they can raise the money elsewhere the market. So that's why we took a call. Earlier, when

actually we had a big problem with the corporate, so then the retail engine was not efficiently functioning at that time, so we parked the majority of our resources in the AAA, AA and all.
So later what we thought when we have strengthened our internal monitoring mechanism, relationship managers, service managers, credit analysts; with all these things, we thought now we are better placed to -- because we have further granularized the portfolio also, the same slide what you are quoting. Other side, if you look at it, the percentage of the above 150 also has come down to 220, 2.2 and the average ticket size is at INR36 crores, we thought we'll be able to take relatively better -- that is a risk where the pricing and yields are better.
So that is the reason we were selectively moved to a few of the BB rated accounts also overall, so that the margins can be maintained. But with all these things also, we can look at it, our risk-weighted asset movement, more or less, it is at 56, 54 that we're only running and all, it didn't cross the roof and all it has not gone to 65 and 70. So within the overall profile, what all is there, we are managing total risk -- and this is only a tactical shift what we have made to see that the yields improve and where we can manage the risk, those sort of exposures we have taken.
Rakesh Kumar : Very nice , sir. Just one question, if I could ask. This question is pertaining to the gold loan, jewel loan book. So in the non -agri segment, we approximately have INR900 crores in MSME if I'm correct. Can you kindly correct me if I'm wrong, sir. So how that book is growing sir, the non-agri jewel loan in the MSME segment?
B. Ramesh Babu: Let me be frank with you . That is not a focus area for us , because it is someone comes, an MSME customer who wants a gold loan. So we cannot deny that one. Our focus still continues on the core MSME only. If you open the tap on that count, so this growth in the MSME only will come over a period of time will forget the core original MSME. So that is the reason we may be focusing on the retail side and on the agriculture side, MSME is just like if someone requirement is there, he has come, being the banker, you need to honor, you've honored it.
Ramshankar: Just one correction I just wanted to make, one question was asked on the PCR, whether prudential provisions and floating provisions are considered? I had mentioned that prudential

we have taken. I just want to correct myself. We don't take either of them. We don't take prudential provisions . We do not take floating provisions also. Only NPA provisions are considered for PCR. I just want to clarify.

Moderator: Ladies and gentlemen, we will take that as the last question. I now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, for closing comments.

B. Ramesh Babu: So thank you all for the compliments what you have given, the encouraging words, it is the guidance and encouraging words that have brought us to this stage . We will try to meet your expectations. And once again, thanks for taking out time and showing interest in the investor call and

asking these questions. So from the entire team KVB, seasons greetings to all of you and Happy Diwali in advance. Thank you all.

Moderator: On behalf of Karur Vysya Bank, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2025

Classification | REGULATORS
IRC:F48: 17:29:2025 January 24, 2025

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor,
Plot No. C -1, ‘G’ Block,
Bandra - Kurla Complex,
Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Una udited Financial Results of the Bank for the quarter and nine months ended December 31, 202 4
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Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transcript of Conference Call held on January 20, 202 5 at 5:30 P.M. (IST), in connection with the Unaudited Financial Results of the Bank for the quarter and nine months ended December 31 , 202 4.

The same is also made available on the website of the Bank and can be accessed on the following link:

https://www.kvb.co.in/docs/investor -con-call-transcript -fy25-3.pdf

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager

Encl: As above

“Karur Vysya Bank Limited
Q3 FY25 Earnings Conference Call”
January 20, 202 5

MANAGEMENT : MR. B RAMESH BABU – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – KARUR VYSYA BANK LIMITED
MR. NATARAJAN JAGANNATHAN – EXECUTIVE DIRECTOR – KARUR VYSYA BANK LIMITED
MR. M.S. CHANDRASEKARAN – CHIEF OPERATING OFFICER – KARUR VYSYA BANK LIMITED

MR. RAMSHANKAR R – CHIEF FINANCIAL OFFICER –
KARUR VYSYA BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Earnin gs Conference Call of the Karur Vysya Bank . We have with us today the management team of KVB represented by Mr. B Ramesh Babu , MD and CEO; Mr. Natarajan Jagannathan , Executive Director; Mr. M.S. Chandrasekaran , Chief Operating Officer and Mr. Ramshankar R , CFO.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pres sing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. B. Ramesh Babu MD and CEO to take us through the highlights of the quarter gone by, after which we wil l open the floor f or questions. Over to you, sir.
B. Ramesh Babu: Thank you. Thank you very much. So good evening to all of you. On behalf of Karur Vysya Bank , I welcome you all for our bank's earnings call for the quarter 3 of the financial year 2025. We trust that you, yo ur colleagues and your family members are keeping well and are in good health. We have uploaded our financial results along with the presentation on our website and I hope you have had a chance to go through it in detail ahead of this call.
I am pleased to mention that bank continued to have another strong quarter of perfor mance built on our guidance of three metrics: growth; profitability and asset quality. Bank's performance indicators are in line with our guidance and the bank is seeing a steady and consistent growth.
It is encouraging to note that our team was able to sustain the growth momentum witnessed in the previous quarters. And I'm confident that the same will continue in the last quarter of this financial year too. The bank's total business st ands at INR181,993 crores as on 31st December 2024. We were able to sustain the growth impetus created during th

e previous quarters as our
total business registered a growth of 3%.
The advances stand at INR82,838 crores and deposits grew to INR99,155 cro res with a growth of 3% each respectively. Our loan book has grown by 14% year -on-year and 3% during the quarter. Under the RAM segment, we have shown a growth of 20% year -on-year and 4% during the quarter. We continue to focus on inclusive growth and our guidance of 14% growth during the year will hold good.
Retail banking has grown by 20% year -on-year mainly on mortgages and jewel loans. During the beginning of the current financial year, we have made certain structural changes by merging the branch cha nnel and open market channel w hich we were calling it as a NEO . In the first phase, we have implemented this initiative in 244 branches , wherein these branches were able to use open market channel also for sourcing retail business.
This will be expanded f urther so that all potential branches can use their customer data and support open market channel for sourcing business. Bank continues to focus on commercial banking business including MSME, considering satisfactory performance of the portfolio and

higher yield and collateral coverage. To ensure consistent growth and best practices under this segment, bank has engaged one of the leading consultancy firms to support the bank.

After a di agnostic study for a period of 3 months, the consultancy f irm started supporting the bank in implementation phase in the month of January 2025. Loan book under agricultural banking is also consistently growing. And during the quarter, it has grown by 5% and majority of the growth is from jewel loan. We have f ully complied with recent regulatory directives and advisories of RBI and our rural and semi -urban branches continue to focus on this segment. Corporate loan book has degrown by 2% during the quarter, mainly due to our cautious approach in expanding o ur loan book with lower yields and particularly exposure to certain specific sectors. Further, our focus is more on fund -based exposure of less than INR100 crores and non -fund-based business.

Deposit growth continues to remain one of our key focus areas f or the bank and you are aware that the bank had initiated various strategies for deposit growth including establishment of sales acquisition channel for both term deposits and CASA growth. Our total deposit growth was 3% during the quarter. Term deposits g rew by 5% during the quarter. We saw uptick in retail deposits during the third quarter as compared to previous quarters.

However, challenges in CASA balances continue to remain as we saw a reduction in the CASA book by 0.23% sequentially. Our efforts of branch sales and service team would focus more on deepening the relationships. Initiatives like reconnect with the customers have been launched in all the branches to arrest the depletion in the ETB book. We had indicated that in the previous call that NI M would be above 4% levels in the third quarter of the current year. I'm happy to say that we were able to maintain NIM for the third quarter at 4.03% and for the 9 months at 4.09%. Our continued journey on shedding away low -yielding corporate advances on one s ide and focused more on better yielding granular secured advances in RAM sector and prudent treasury operations have helped us to retain above 4% levels during the quarter in spite of 10 basis points increase in the cost of deposits.

The cost of de posits increased by 10 basis points and the yield on advance improved by 8 basis points sequentially. Yield on investment increased by 6 basis points during the quarter. Based on our historical pattern of renewal of deposits and fresh deposit acquisition, we expe ct moderated raise in cost of deposits by 10 basis points in the next quarter. Yield on advances may v

ary depending upon the policy rate changes which is expected next month.

Yield on investments would be in a similar range for the fourth quarter also. Considering all these factors and taking into any policy rate changes, we expect that NIM will be around 3.85% in the next quarter. Operating profit remained flat at INR815 crores for the quarter as compared to previous quarter. You are aware that fo r keepi ng an eye on the long -term growth, bank has started various initiatives like recruiting new sales acquisition vertical, branch sales and service executive team for deepening the branches, expanding the branch network, et cetera.

There's a lag in w itnessing the business growth in proportion to the expenses spent on such initiatives, resulting in lower incremental operating profit. We are confident that the benefits would accrue to us going forward. We have achieved ROA of 1.74% in this quarter. We h ad guided that our effort would be to ensure ROA is above 1.65% levels and we are confident to maintain the same going forward also.

Our gross slippages during the quarter conti nued to be under control at INR 139 crores which is 0.17%. If we annualize tha t, it comes to 0.68% of our loan book. With our continued close monitoring of the accounts, we are confident that we will continue to keep the ratio below 1% as guided in our earlier calls. Our efforts on recovery of technically written -off book is continu ing to yield results as we have recovered a sum of INR175 crores during the quarter . Due to lower slippages, recoveries, upgrades and write -off, our gross NPA has come down to below 1%, that is 0.83% and we expect that we will continue to maintain at be low 2% levels. So for the quarter und er review, we have provided INR 101 crores towards NPA migrations and INR 9 crores towa rds the standard assets and INR 17 crores towards the restructured assets. Apart from this, we have provided prudential provision of I NR25 c rores as done in the previous two quarters. Our net NPA has come down to 0.2% and w e would continue to maintain net NPA at less than 1% of our loan book.

We hold a provision of 44.81% of the standard restructured book. The BNPL book balanc e of INR977 crores as at the end of 31st December, which comes to 1.18% of our portfolio and it is performing well. Our overall unsecured portfolio to total advances is currently at 2.42%. Our MFI portfolio stands at INR350 crores as at 31st December 2024. We are t aking various cautious approach -- very cautious approach in this segment.

We have tied up with 4 business correspondents as partners and we'll be mindful in growing selectively in the states where position is relatively better. Our establishment costs w ere at INR374 crores during the quarter increased by 5% sequentially, mainly on account of AS -15 actuarial provisions which were up by INR5 crores compared to previous quarter due to fall in discount rates.

Operating expenses were marginally down by INR2 crores at INR357 crores compared to last quarter. Our cost -to-income ratio is at 47.27% a nd we will continue our efforts to peg it down and to -- it will be within 50%. Our CRAR Basel III continues to be healthy and is at 15.91%, providing us comfortable h eadroom for growth.

Our liquidity coverage ratio continues to be well above the regulatory requirement of 100%. Bank added 25 branches, including 19 light branches during the current quarter and we have a plan to open around 22 branches in the fourth qua rter. Our endeavor is to continue the current momentum to the next quarter.

We are mindf ul of the challenges, particularly on the liability side and are taking every step to increase the low -cost funds and which would also help us in improving our margins . The guidance we had given at the beginning of the year on the following paramete

rs would hold
good for the fourth quarter also. Credit growth 14% plus, deposit growth 14% plus, NIM

3.85% for the last quarter, credit cost 0.75%, GNPA less than 2% and net NPA of less than 1%, ROA above 1.65%, cost -to-income below 50%.

I am grateful to all ou r investors, analysts and stakeholders for their confidence and continued support which we will reciprocate through our better performance in the days to come. Now I'll be glad to respond to your questions. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from Rikin Shah from IIFL Securities. Please go ahead.

Rikin Shah: Good evening sir. Thank you fo r the opportunity. I have four questions. The first one is on the statement that you made in your opening remarks that the regulator has been tightening certain regulations pertaining to the gold loans. If you could elaborate on what exactly is the require ment and what are the business process changes we have done to comply with those regulations? So that' s the first one?

The second question is on restructured provision that we took in this quarter. I noticed that the restructured loan book has gone down. Any particular account against which we have provided? The third one is on your internal estimates what would be the ECL provisioning impact, if at all, there is any? And lastly, in terms of -- sorry, I forgot the fourth one. I'll probably come back in the queue once I recall that?

B. Ramesh Babu: Thank you, Rikin. Thanks for the question. And first of all, regarding the jewel loan is concerned, all of you would have seen the September ending Reserve Bank of India guidelines. So what I mean to say is those guidelines what all Reserve Bank has given, so we are in co mpliance of that. So that's wh at. So that's why the re are many measures what we need to see for the documentary evidence, the purpose for which we have given there and all - mentioned, we are in co mpliance of that. That is the intent of my statement.

Coming to the restructured provisions, absolutely we are not finding any additional stress out of that. So what we thought is prudentially it is better. We create when good times are there always I men tioned that, we should not forget about the bad times. That is the reason as a prudential measure, we have provided for that and nothing beyond that, there is no need for any sort of a panicky situation as far as restructured book is concerned, you would h ave observed that.

Total book itself is around 0.7%. So that too majority of those accounts particularly under the retail segment and the commercial segment, they are all backed by security. Even if tomorrow eventuality comes, they may become NPA also. I n a gap of 1 year or so, 1 year, 1.5 years, we'll be able to recover the money, but the situat ion will not be there that way. Coming to ECL, our CFO, will respond. Yes.

Ramshankar R : Yes. Good evening, Rikin. See, the draft guidelines have been there for a lmost last 7 months to 8 months. And we have been filing the pro forma statements half yearly for the last 3 years to 4 years. A nd still the final guidance yet to be given, b ut what we are -- sufficiently what we

have done in the last 2 y ears sufficiently covered, sufficient cushions have been made availab le there, floating provision of almost INR100 crores we have done.
And similarly, this year also, almost -- each quarter we have been providing INR 25 crores. So INR75 crores we have provided. So based o n this, we think we are sufficiently taken care of for any eventuality if at all if ECL comes into play, sufficiently covered.
Rikin Shah: Got it. And just to clarify on my first question, while tracki

ng the end use for the gold loan is
what we have alread y implemented in our process. Is there a requirement from the regulator to convert the gold loan EMIs like gold loan repayment by customers in the EMI format rather than the bullet format? And are the gold loans allowed to be rolled over before issuing the new loans? Those are the two extended questions on the first one?
And I just recalled a couple of other clarifications which I wanted was the MFI partnership with a few BCs. You did mention that we are entering in the states where the s tress signs are not there. If you could elaborate which are the states where we are venturing into MFI? And lastly, if time permits it would be great if you could also talk about what's the provisioning policy that we follow in terms of when we write off and what are the pr ovisioning when the loan becomes empty in different segment s? Those are all my questions?
B. Ramesh Babu: Okay. Coming to the jewel loans, what we've said is suppose when we are taking a documentary evidence that he is a farmer and he is having the farming activity, that itself will ensure saying that we are lending to a farmer and not for any other purpose for speculative purpose. So coming to the rollover of these things, even before RBI started giving these guidelines itself, we have stopped long back th e rollover. So someone will have to close the loan and all, they had to take it.
So that way what I say, so we are in compliance with the RBI guidelines. That's what my point is. Coming to MFI is concerned for partners, but you would hav e seen that more o r less 2 years back we have started the MFI business, b ut with all these things also because we are very cautious in going through that one, the total portfolio as on date is around INR350 crores. So what -- my point is if we are trying to grow , Telangana is one of the state where the recoveries are good.
And to some extent that way, Karnataka is also recoveries are pretty good that way. And a few districts of Tamil Nadu also the point is good. So for the time being, we are not extending much our operation s in the Kerala. Otherwise, North and a ll Bihar, Chandigarh, Punjab rest we do not have any other operations. Hardly, it is majorly in the Telangana, Karnataka and Tamil Nadu.
So now co ming to the provisioning policies, internal policy what we have. But my point is, if you look at it the overall net NPA is around INR160 crores and we have sufficiently provided for that. So I think there is no point in having a separate discussion on the policy because the Board has -- we have discussed w ith them and all. So what we need to do accordingly, we are doing it.

Rikin Shah: Fair enough. Thank you very much for answering all the questions. Very helpful.
Moderator: Thank you. Th e next question comes from Jai Mundra from ICICI Securities. Please go ahead.
Jai Mundr a: Hi, good evening sir and c ongratulations on a very good set of numbers. Sir, first question I have is on TWO recovery. So we have done INR 175 crores in this quarter a nd last quarter and the quarter before that was also we did a very he althy numbers. If I calculate, I mean, the total TWO book outstanding i s roughly INR4,700 crores, INR 4,800 crores. We have been writing off also.
So that pool may get bigger and bigger, b ut the recovery percentage even if I look at this quarter INR 175 crores on maybe, let 's say, roughly INR5,000 -odd crores book is also non - annualized 3%, 4% roughly . So how -- I mean, what is your sense as to from a 12 months perspective, this number can be? Can we do like, let's say, INR400 crores, INR50 0 crores recovery for the next four quarters o r what could be a more reasonable number for that TWO recovery?
B. Ramesh Babu: Thank you, Jai. Thanks for the good question, actually. So what you sai

d makes sense. But ,
you need to see the color of our write -off book because at a point o f time we were having

many big corporate accounts, INR 200 crores, INR250 crores, many of those things are there. When they have become NPA, we are also in queue along with many other lenders in the NCLT.
And how much it comes out and what will be the fin al realization, so we will not be able to tell. Many of the cases are with the Courts/ Tribunals -- legally they are going on. Suppose the INR4,600 something number what you have mentioned, I agree. So if we exclude all of them where we can lay our hands fo r the recovery where security is there, those things we need to go. It will come to around INR 1,800 crores to some extent, INR2,000 crores something maximum it may comes up and all.
So what we tried to do was we have strengthened our legal team because ev en whenever you are trying to go for a SARFAESI also, straight away, immediately someone will fi le a suit in the DRT and it may run for 3 years or 4 years. So that way accounts are getting stuck and we are able to get all these legal hassles completed and all, we can recover the money. So we are strengthening our position for handling the legal issues in the bank, already strengthened. And likewise, the disposal team also for the assets also, we have strengthened that way.
So th e importance of getting th e money back is made known to everyone. That is the reason you are able to see some traction. So I feel that with the tract ion what we have created, next four quarters , what you said it makes sense that way, INR400 crores wh at you are saying. So I think definitely we can think of, it can go ahead. We are also planning that way only.
Every effort what we need to put in because this is one area we need to get back our money. So we need to do. One more thing also, Jai, now tha t you see when the interest rates for the deposits cannot come down and the yields have plateaued at all when the rates comes down, automatically, you may have an impact on the NIM.

So that is the r eason we started working aggressively on this write -off recovery also. To some extent, it can compensate us overall. We can keep afloat as far as the net interest and noninterest is concerned. So that is the reason. So our focus is there. As you said, INR400 crores to INR500 crores we can definitely think off.
Jai Mundra : Thank you, sir. A question on fee growth. So fee and maybe CASA growth, if you can take it together also. What I thought is, of course, there is a challenge on the fee, there is a chal lenge on CASA growth, b ut what I remember or what we were try ing to do is we had put in a lot of feet on street to boost both the CAS A as well as fee growth. And this quarter -- I mean, before this quarter, fee growth was more or less similar or marginally ahead of the loan growth only. And this quarter, it has com e down to 4% Y -o-Y. Similarly, while I understand that CASA is a challenge at the system level, but I thought that we had -- because we had put in additional feet on street, we can -- we would have d one slightly better outcomes. So your thoughts on both fe e and CASA growth?
B. Ramesh Babu: You are very correct. CASA, if we split the entire issue into two parts, one is acquisition, second one is the retention. So acquisition is concerned the sales team. So they are trying their level best and all, w e are abl e to get some numbers, b ut the problem is mainly coming in respect of the retention part. So because the existing money what all is there, either it may be going to mutual fund or real estate, these sort of things what is happening.
So the acquisition tot ally what all have come is not getting reflected in the overall growth. That is the reason what we are doing, we have divided the whole problem into two parts. One is for

the retention, we have got a servicing team where these people they are going to conn ect, reconnect with the customers for the retention and to get back the money from other banks also wherever that is there and all, so that to protect our existing balance as well as to increase the balance. That is one portion.
Second thing, the acquisit ion is also working on this. So that way we are getting the money, but the outflow is much more that is overall we are st ruggling. Coming to the fee, Fee , there are a few components we need to look at it. While the distribution fee, cross -sell fee, these things are going up, you would have seen that consciously we have reduced our corporate advan ces.
So it has come down by INR 1,000 crores and more than that. With all these things, ideally, had we gr own another INR1,500 crores there and the INR1,000 crores degrowth is not there. On those INR2,500 crores, the fee income what we were getting as a processing fee, others and all we would have got it. But why we didn't do was actually there are two reasons because the limited resources what we are acquiring.
So naturally the security as well as the yield in respect of the retail is mu ch better, particularly in the c ommercial as well as the retail segment. So we are deploying the money there. That's

the fi rst thing. Second thing is the engine and the people oper ating team who are running on
the ground for the retail. If we do not feed them with these resources, if they stop actually
functioning, getting back the momentum will become very difficult for us.

So that is the reason the available fuel, first of all, we are feeding for the commercial as well as the retail and agriculture. So you're able to see 20% growth. There you cannot expect the sort of a fee like corporate, what we get the processing fee, ot her things and all. So that is another dampener. Once we get some sort of a hold on the deposits and the system actually supports getting these deposits and all, we'll be back on the corporate again and we'll be able to move forward. So this is what actually happening on the fee front.

Jai Mundra : Understood. So okay. And sir, is there any connection of this lower PL, BNPL that has slight -- while it is not a very big proportion anyway, but does that also have a bearing on the f ee side also or not that much ?

B. Ramesh Babu: No, that can definitely have a bearing on our NIM because this PL as well as suppose, particularly BNPL is concerned, majority we'll be getting a higher 12% interest with FLDG.

But the issue is when entire market is talking about the personal loans, that too below INR50,000, where the stress ca n go up and a few banks which are able to see that, we thought saying that otherwise growing there from INR1,000 crores to INR2,000 crores and opening up the gate is very easy. Easiest is that.

And not only that, when we have got 50 lakh BNPL customers of us and if we can select a 5 lakhs of them and if we start giving personal loans to them, that itself will run INR 1,000 crores easily. But what we thought is this is not the right time to take those sort of plunge because the external environment is not th at conducive. So that is the reason we are holdin g. You would have seen that INR 1,300 crores has gone t o BNPL.

It has come down to INR 970 crores now. This is a cautious approach we have taken. So otherwise that window is already open for us any time once normalcy restores, we can think of.

Jai Mundra : Right, sir. And sir, last question is in the month of December we had reduced EBLR by 5 basis points. There was no change in the MCLR. And I can see that cost of deposit is still going up.

So let us say hypo thetically -- and you mentioned that cost of deposit will may inch up by 10 basis points more. Now hypothetically if RBI were to cut interest rate

, your MCLR will still be
going up only w hile EBLR wi ll, of course, revise downwards, but your MCLR should not be impacted.

And the reason if you can mention why did you cut the EBLR by 5 basis points, o ther banks don't seem to have done anything on th at front?

J Natarajan : So Jai, with regard to the MCLR, the templated formula given by RBI is, yes, you are right, majorly on the cost of deposit, b ut it's not only cost of deposit, cost of borrowing, operating cost, the negative carry CRR, all these things after adjustments only we are arriving the rate.

So even though there is -- the deposit cost is continuously going up, so there are the chances that the operating cost or the negative CRR increase, whatever is there that impact always will be there, 5 basis points the impact always will be there.

B. Ramesh Babu: That's why, Jai, what you said is MCLR, suppose this reduction even if opex comes down also and the cost of deposit is much more than that MCLR will not come down. So whereas EBLR is concerned, it's straight case when RBI cuts, it's straight through process, it may hit us.

Jai Mundra : Righ t. And sir just a small clarification to the Rikin's question on gold loan circular that circular is clearly in effect now that there is no, let us say -- I mean, it has already been implemented and there is no negative, let's say, implication on either gr owth or maybe customer acquisition or I mean, asset quality should not be challenged, but this does not impact -- or there is no remaining impact out of this circular ? Is that the way to look at it?

J Natarajan : Jai, I will give some m ore clarity. See, the at least three or four points of the recent advisory circular doesn't applicable to our bank. For example, engaging the third -party for sourcing business, but we are not doing it. All the business is done only through the branches. And if

you leave alone other important areas what the spirit behind whatever the directives and advisories are particularly on the scale of finance, that should be accepted process and the identification of a farmer, the documentary evidence that it should be required.
And third is the end use. So all these things, the bank has put in place a proper process model before 2 years and we have been implementing it. And the latest one is the rollover of the account. So the earlier the banks have the habit of rolli ng over the account by collecting only the interest amount. That also RBI says that it's ever greening it's not possible. Not also we stopped, not now even 1 or 2 years back itself.
So whatever are the regulatory direct advisor y on the spirit of the guid elines, everything that bank has implemented through validated process.
Ramshankar R : One more point to further clarify, you see the agriculture growth is 5% quarter -on-quarter. Similarly if you see the risk-weighted assets which has come down by 2%, mainly ac count of higher gold loans which we did during the last quarter. It clearly says that the tempo still is going on.
J Natarajan : And we are not in the subvention model. So we are giving a direct agricultural loan without subvention. We do not have any loan, Jai which is under subvention where we need to claim the subvention. This is not there at all.
Jai Mundra: Okay. Understood. Great, sir. That’s all from my side. Thank you and all the very best.
Moderator: Thank you. Th e next question c omes from Suraj Das from Sundaram Mutual Funds. Please go ahead.
Suraj Das: Hi, sir. Thanks for the opportunity. S ir, just a few questions have a lready been answered. A couple of questions. The mortgage, the LAP piece has been growing well for you for last so many quarters. If you can give some color around this book, I mean, how do you see the growth going ahead a nd also what could be the average LTV in t

his book?

The second question is on the SME side. The SME customers, the book is again growing well. The customers that you were acquiring, does they open current account with you al so or is this just the asset side customers and don't have any ki nd of liability or something like that?
B. Ramesh Babu: Sorry, sorry, Suraj, that SME question, can you repeat once again, please?
Suraj Das: Sir, I'm saying that the SME customers that you are acquiring, does also they open current account with you?
B. Ramesh Babu: Okay. Understood. Yes. These are two questions?
Suraj Das: Yes.
B. Ramesh Babu: Yes. Coming to the L AP is concerned, you see majority of them they are going for the lower ticket size . If you look at it, the ticket size is below INR1 crore s and to some extent, b igger accounts come up also INR3 crores to INR 4 crores, if it goes there. But the purpose for w hich they are taking and the cash flows for servicing the loan, this is the main criteria we are looking at it. So security definitely is needed.
But in addition to that, cash flows as well as the serviceability, ability to service, this is the key we are seeing. That's why if you look at it, it may be done by any vertical. Overall, if we look at it the stress is under this portfolio is absolutely dismal and minimal. So the onboarding, what all checks and balance are required that we have thoroughly streng thened. So that's the reason.
So we can say that because second thing is, if you see the percentage is going up by 20%, 30% that way and all. So it is not that way we need to see because the base itself is low, the percentage is high. If the base is high , actually, what -- compared to the potential what all is available whatever growt h is absolutely doable and all we can do. So that's why it is not a cause of concern LAP as it is for us.
Coming to the SME is concerned. SME is concerned, now actually supp ose if someone is availing a term loan and there is no working capital loan, naturally he requires a current account for making his tax paym ents, all these things and all, b ut suppose if someone is also having a working capital account, you may ask for a c urrent account. But what will prompt him to keep the money in current account with out any return - any payout of rate of interest and other side for the same money paying interest in the cash credit. So they'll ask .
But it is difficult actua lly impractical for us also to insist that you maintain a current account and keep some balance in that. It is nothing but penalizing him. So wherever they do not have a cash credit account, that is working capital account, definitely, we maintain the curr ent account and all. So we'll use it for operating purposes.
J Natarajan : Okay. See, in the working capital accounts also, generally they operate in the working capital account. But wherever the retail rates, for example, we're giving PO S machines, QR code, all

these things, naturally he has to operate through current account only. So in such cases, they will run the current account and then frequently, they transfer to CC account.

Suraj Das: Sure sir. Got it. Thanks so much. That's all f rom my side.

Moderator: Thank you. Th e next question comes from Pritesh Bumb from DAM Capit al Advisors. Please go ahead.

Pritesh Bumb: Sir, two questions. So one is on the NIM outlook. You mentioned that in Q4, you could see NIM coming down towards like 3. 85%, b ut can you give some outlook in FY '26? How do you see the NIMs? Should it stabilize there? Can it come above 4% again? Of course, you have given some commentary around the RBI cutting r ates and the impact on margins, b ut any levers we can pull it, p ull the NIM up?

B. Ramesh Babu:

See, Pritesh, it is too early to talk about next year becau se the position has become so dynamic. What is going to happen at this stage, we do not know because what will be the cost of deposits, how the yields move, what RBI cuts, all these things, so many permutations, combinations are there . That's why get assessment of one quarter at the most the visibility we'll have.

But one thing I will tell you, you yourselves you have responded. The rates on the deposits will not co me down and the RBI is going to cut down the rates. Even then if it has to be above 4%, the only one way it will be above 4%. Our current composition suppose, let us say, unsecured is at 2.4%. I had to make it 10% or 15%, is it -- why is it? Because taking so much of risk on the book straight away when the rest of the industry is struggling with this unsecured and all at the wrong time for the sake of protecting the NIM.

Do we need to do that o r we need to lie low at this stage till such time normalcy come s back and all, then we have our own forces as far as the BNPL, other things also for the unsecured going forward to take it forward. So that's what the time will tell. Maybe after the March results, we'll be able to have a better understanding. At that ti me, I'll be able to guide you on what is our thoughts on the next year NIM.

Pritesh Bumb: Sure. Just a follow -up on that, sir. Then you guided to maintain your ROA at above 1.65%. If NIM is uncertainty because if you look at the point, your credit cost is already very low, the cost efficiency is there and fees is doing relatively okay. Then what gives you the confidence that your ROA will be maintained at about 1.65%, 1.7%?

B. Ramesh Babu: It is pretty simple. If you look at it, the provisioning there is a stage where we may not be able to make further provision because you see the net NPA, what all is there INR160 crores. If really if you a re serious, you can provide in one quarter itself and get out of that. So currently, INR25 crores prudentially we have provided more or less last year four quarters and this year three quarters we have provided, in future, it may not be required also. If the Board tak es a call, those things may not be required that way.

So likewise, many of the prudential provisions what we have been making. So stage will come where the bank and the Board gets the confidence saying that if any eventuality comes tomorrow, the bank will be able to absorb the shock sufficiently, not a problem at all. At the

time, we can definitely either prun e down or reduce or stop the provision that will straight away flow into ROA only. So that's why 1.65% getting an ROA should not be a major issue.

Pritesh Bumb: Got it, sir. That's very clear. Last question was on corporate book. You have been shedding it down. But what will be that inflection point where you stop shedding it and grow? I mean, is it the spread which is -- because you've mentioned in previous calls also that the spread is not that great to continue corporate, but what will be that inflection point for you to again start growing or not degrow the book from here on?

B. Ramesh Babu: No, absolutely. Inflection point was yesterday. Why I'm te lling you this point is we are willing to grow. But the point is we need to have a businessman mindset. Whe n I am getting INR100, this INR 100 where should I deploy? If some sort of an avenue where I'm getting 10% fully collateral, private secto r coverage is coming up and all, the capital risk is low and all. So this sort of avenue is available.

Second side, ac tually, someone says you give me at 9% and absolutely it's a higher amount and all it's NBFC, all these things someone is talking. So then naturally I need to take a call where I need to deploy the money. Suppose on the retail side, where the scope becomes a

bsolutely
limited on the pricing front, collateral front, all these things, then if I have huge money which is beyond the requirement, what I can deploy in the retail, definitely, that money will go into corporate.

So it's a tactical timely investment p attern what we have taken, it is not sacrosanct. So once the normalcy in the business comes up and all. S uppose let us say one more thing, if you are going to raise a deposit at 8.1% , If you lend it at 9% after CRR, SLR and all, it wi ll not make much sense for us. So that way 9 -9.25% if we had to lend, we need to sufficiently look at it whether I cannot lend elsewhere.

So that in flection point, very difficult to tell. As and when there is an absolute Chinese wall on the other side on the RAM, then automatically the funds will move this side.

Pritesh Bumb: Got it sir. Thank you so much for answering all the questions. Thank you. All the best.

Moderator: Thank you. Th e next question comes from Abhijith Vara from Axis Mutual Fund. Please go ahead.

Abhijith Vara : Thank you for takin g my question. Si r, first of all, congratulations on a very good set of numbers, especially in challenging macro. So the first question sir is on capital. I just wanted to check even though risk -weighted assets density has gone down, the ratios have not improved. In fact, they have come off. Why is it so?

B. Ramesh Babu: Yes. Thank you, Abhijith . Thanks for the compliments. So we need to understand one thing. As far as the CRAR concerned, so the earned profit of the last three quarters, we will be clubbing for the purpose of CRAR only in the March. So rest of the period, you may be earning, but it will not be counted. During this process, the profit what all was there up to March of last year, that will be reckone d and net owned funds, what all is there.

And the assets are going up. Naturally, there can be a depletion, but all these things will be made good in the month of March. If you can -- that is March quarter. If you can look at the past performance also, it will be on those lines.

Abhijith Vara : Sure, sir. Got it. Sir, the second question is on cost -to-income. Sorry if I missed your earlier comments. Can you please help us understand how to look at growth traje ctory for the cost as such opex ?

B. Ramesh Babu: The cost if you look at it, there are two aspects we need to look at it. One is employee cost and second thing are other expenses. Employee cost what we did, we understood it 2 years back and the liabilities is going to be a big stop for the bank and all that's why. W e invested in the last 1 year, s omething on the sourcing team, acquisition team for the liabilities which comes to around 1,200 to 1,300 people.

Likewise, we also felt saying that the branch level servicing and engaging with the customer is equally important. Otherwise, retention will be very difficult. We have taken low -cost resources of around 1,600, 1,700 at the branch level also. So these people, they are coming and all settling down. They need to understand the bank. They need to start do ing their job seriously. So these 3,000 peopl e in the last 2,800 people, I can say that in the last 1, 1.5 years, that has had a bearing on the employee cost.

Coming to other expense also, if you look at it, a lot of branches, 5 year s, we didn't open many branches a nd last 2 years, 2.5 years, we started opening the branches. This year also we plan for around 80 branches something like that. Already a few branches have been opened, rest we'll try to do it in the fourth quarter. So when the branch is open, y ou are incurring a cost and you will need to run for more or less 2 years to get a breakeven.

But if you do not invest today, tomorrow, there will be absolute darkness and now you will not be able to get the value out of that. So that

is the reason a few of the costs we have front -
loaded and we are taking it. So correspondingly, expecting on the other side in the income side may not go up, particularly earlier also, I mentioned about the corporate when it's not growing, the processing fee, all these thing s we are not getting.

So this is what is the balancing we are doing, b ut with all these things also, we have indicated that we would like to maintain our cost -to-income ratio at around below 50%.

Abhijith Vara : Sure, sir, that's very clear. Thank you for answering all my questions and a ll the best for future quarters.

Moderator: Thank you. L adies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to Mr. B. Ramesh Babu, MD and CEO for closing comm ents.

B. Ramesh Babu: So once again, thank yo u all for the pains you have taken and the interest what you have shown in coming to the call and asking the questions and all. So as I mentioned in my initial inaugural remarks, so we are on the job. And what b est needs to be done, we will try to do and

we'll try to meet the expectations. Thank you very much and good day to all of you. Thank you.

Moderator: Thank you. On behalf of The Karur Vysya Bank, that concludes this conference. Thank you a ll for joining us. You may now disconnect your lines.

Call: May 2025

Classification | REGULATORS
IRC:F48: 80:158:2025 May 23, 2025

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor,
Plot No. C -1, ‘G’ Block,
Bandra - Kurla Complex,
Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Audited Financial Results of the Bank for the quarter and year ended March 31, 202 5
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Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transcript of Conference Call held on May 19, 2025 at 5:30 P.M. (IST), in connection with the Audited Financial Results of the Bank for the quarter and year ended March 31, 2025.

The same is also made available on the website of the Bank and can be accessed on the following link:

https://www.kvb.co.in/docs/investor -con-call-transcript -fy25-4.pdf

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager

Encl: As above

“Karur Vysya Bank Limited Q4 FY '25 Earnings Conference Call”

May 19, 2025

MANAGEMENT : MR. B RAMESH BABU – MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER , KARUR VYSYA BANK LIMITED
MR. NATARAJAN – EXECUTIVE DIRECTOR , KARUR VYSYA BANK LIMITED
MR. SANKAR BALABHADRAPATRUNI – EXECUTIVE DIRECTOR , KARUR VYSYA BANK LIMITED
MR. CHANDRASEKARAN – CHIEF OPERATING OFFICER , KARUR VYSYA BANK LIMITED
MR. RAMSHANKAR – CHIEF FINANCIAL OFFICER , KARUR VYSYA BANK LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Q4 FY '25 Earnings Conference Call of the Karu r Vysya Bank.
We have with us today the Management Team of KVB represented by Mr. Ramesh Babu - MD and CEO ; Mr. Natarajan - Executive Director ; Mr. Sankar Balabhadra patruni - Executive Director ; Mr. Chandrasekaran - Chief Operating Officer and Mr. Ram shankar – CFO.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. B Ramesh Babu - MD and CEO to take us through the highlights of the quarter gone by, after which we will open the floor for questions. Thank you and over to you , sir.
B Ramesh Babu : Thank you. Thank you very much. Good evening to all of you. On behalf of Karur V ysya Bank, I welcome you all to our Bank 's Earning Call for Quarter 4 of the Financial Year 2025 . We have uploaded our financial results along with the presentation on our website and I hope you have had a chance to go through it in detail ahead of this call . Before going to our performance , I heartily welcome Mr. Sankar Balabhadra patruni to the con -call, who has joined our Bank as Execut ive Director . Mr. Sankar, a seasoned banker and a former DMD , Deputy Managing Director of State Bank of India, has more than 3-1/2 decades of professional banking experience in various areas in the banking domain.
We are pleased to share that our performance indicators are in line with our guidance that we had spelt out in the beginning of the Financial Year ' 24-25 and it is encouraging to note that our consistent and inclusive performance is well above our guidance on 3 metrics, growth, profitability and asset quality. The Bank 's total business stands at Rs. 1,86,569 crore s as on 31st March 25 as compared to previous year Rs. 1,63,536 crore, registering a growth of 14%. The advances stand at Rs. 84,491 crores and deposits grew to Rs. 1,02,078 crore s with the growth of 14% each .
We had indicated at the beginning of the year with respect to the business mix of our advance s portfolio with more focus on RAM vertical. In tune with that RAM verticals have grown by 20% year-on-year t hat is 3% quarter -on-quarter constituting 86% of the overall advances portfolio . Commercial loan book increased its share to 36% and both retail and agriculture gro wth had a share of 25% each. The commercial business continued to grow at 21% over the previous year, with significant contributions from various channels during the year. In spite of various challenges, the agriculture loan book had a growth of 20% year-on-year, 6% quarter -on-quarter and achieved all the targets and sub targets under priority sector for all the quarters of the year and priority sector advances as a percentage to ANBC as on 31st March 2025.

We are very cautious with our MFI portfolio, which we ventured in a small way 2 years back. We have commenced covering under CG FMU from 1st April 2025. The total outstanding is currently only 0.37% of the overall portfolio. Though it is small, we are cautious in ramping up and shall wait for one or two quarters more. You are aware that we integrated open market channel with the branch channel as Consumer Banking Department – Asset s asset at the beginning of the year. The synergy has resulted in growth of 18% during the year under review. Mortgage loans grew by 34% over last year. The focus is more on cash flows rather than solely relying on collateral . We have strengthened our monitoring

mechanism using predictive
analytics too , to spot the stress much early . With the experience gained all along, we found it reasonable to ramp up this book as it is fully secure and offers a reasonable risk reward. Retail gold loans also grew by 61% and housing loans by 12% over the previous year.
Our co-lending Amazon BNPL program is performing well, and the book is around Rs. 844 crores. In view of the household elevated leverage, we are cautious in ramping up this book. We have further tightened our on -boarding norms to exercise caution at present and shall review periodically to relax and to ramp up the book in due course as all the enablers are in place.
Corporate and institutional book had a degrowth of 14% during the year. This resonates with our indica tion during the quarterly calls o ur preference over margins than the topline growth . Repayments and closures amounted to Rs. 1,269 crore during the year. Also, we have decided to wind up the precious metal division, which we st arted in 2019 as it was not ROA accretive . We had outstanding of Rs. 674 crores at the beginning of the year and reduced to Rs. 41 crores on 31 /03/2025. The above factors resulted a degrowth in the corporate portfolio. However, the vertical explored investing in corporate instruments of corporates w here lending margins were low a s credit substitutes during the year an d investments outstanding Rs. 350 crores were made as at the end of March 25. This will continue for the coming year too.
In view of the tightness in raising CASA resulting in elevated cost of deposits lending to corporate still do not appear to be margin accretive. Hence for the first half of 2 025-26 also, we may adopt same strategy to focus on RAM till proper mix of deposits comes back. Transaction Banking Group continues to support the Bank for a diversified portfolio and anchors top corporate relationships. We are in the final stages of upgradation of the platform to meet the requirements of the business and we will focus on this area too in the periods to come.
Our partnerships for co-lending with N BFCs continue to perform well and the loan book under this segment is above Rs. 472 crores. We have consciously lowered this book due to lower margins. We will ramp up once the mix of deposits returns to normalcy . As our RAM verticals are sustaining their organic growth momentum , we would keep this co -lending as secondary to our organic growth. Our unsecured loan book is 2.22 % of the total advances as at the end of 31st March, which is very low among the peers. The low base offers us a tremendous opportunity to offer various personal loans and other products to those curated and tested customers of our BNPL book. Currently, w e will be low on this, and we have this opportunity to grow with partners in due course .

The Bank 's liability business constitutes 55% of the total business o f the Bank . With respect to liabilities , Financial Year ’ 24-25 threw many challenges like shift in customer preferences with respect to investment need s just in time disbursement of funds by the government departments , this resulted in lot of pressure in sourcing liability business. Most of the banks launched special FD schemes for shorter periods .
In spite of all these challenges, I am very happy to say that our deposit figure crossed the landmark figure of 1 trillio n during this year. Deposit growth continue d to remain one of the key focus areas for the Bank and you are aware that the Bank had initiated various strategies for deposit s including the establishment of an acquisition channel for both term deposit and CASA growth . Our term deposit growth during the year is at 20%. The share of short -term deposits or total deposits increased for all banks in the industry , so we are not an exception. Our CASA grew by

3% over the previous year . Financial Year ’ 24-25 was the first full year of our
acquisition channel. The Bank had also launched new variants in CASA products. This resulted in opening more than 19,000 plus a ccounts with balances more than Rs. 400 crores. Specific segments have been formed under CASA acquisition channel, targeting institutional clients, corporate salary accounts, trade and FOREX customers. While our CASA acquisition numbers are progressing well, there is depletion in the existing with book on account of other opportunities available for the depositor resulting in lower growth under this segment . Our asset verticals also have started mobilizing deposits as we introduce d the self-funding concept during the y ear.
With respect to margins , the Financial Year ’ 24-25 was a year where margins were under pressure throughout the year . Raising cost of funds , expected rate cuts though happened only in the last quarter increasing floating rate asset book all kept the banks in tenterhooks throughout the year. Considering the above factors, we had indicate d in the last call that our NIM would be around 3.85 at the exit quarter of the year. I am happy to say th at we were able to maintain NIM for the 4th quarter at 4.05% and for the full year at 4.09% . NIM dropped during the year by 11 basis points from 4.2 during the previous year . Our continued rebal ancing of the portfolios with more focus on better yielding , granular , secured advances in RAM verticals has helped us to maintain the margin above 4% level.
The cost of deposits increased by 8 basis points sequentially as against 10 basis points guided

by us in the last call. For the full year, the cost of deposits w as 5.61% showing an increase of 42 basis poi nts from 5.19% of the previous year. The yield on advances increased by 3 basis points during the quarter in spite of the rate cut. For the full y ear, the yield on advances was 10. 15%, showing an increase of 20 basis points from 9.95% of the previous year. Our continued efforts on rebalancing of the portfo lio with focus on high yielding products falling within our risk appetite in RAM verticals has resulted in this growth. The yield on investments has increased by 14 basis points during the quarter. For the full year, the yield on investments was at 6.61%, showing an increase of 38 basis points from 6.23% of the previous year.

Given our expectation that interest rates will stabilize at current levels or potentially decline slightly, we plan to maintain the current duration, thereby rebalancing interest rate risk and investment returns. We have achieved operating profit of Rs. 8 35 crores for the quarter and Rs. 3,212 crores for the full year, a growth of 20% o ver the previous year. Our net profit touched a high of Rs. 513 crores for the quarter and Rs. 1,942 crores for the full year. Our operating expense for the quarter is at Rs. 764 crores , establishment expenses was at Rs. 385 crores increased sequentially by Rs. 12 crores , mainly on account of the increase in pension obligations on account of drop in yields . Other OPEX increased to Rs. 379 crores from Rs. 3 57 crores sequentially, mainly on account of increasing channel related fee , DSA commissions and tech related expenses.
For the full year under review, OPEX has gone up by 9% over the previous year. For the quarter under review, we have provided a sum of Rs. 136 crores towards NPA migrations, standard assets and prudential provisions and credit costs works out to 0.64% on an annualized basis. As done in the last 3 quarters, we have provided a sum of Rs. 25 crores towards the prudential provisions and cumulative provision available under this is Rs. 100 crore s. Our gross slippage during the quarter was at Rs. 179 crore s and f or the full year it was Rs. 482 crore s which is

0.57% of our loan book . SMA 30 + numbers were at Rs. 254 crores a s at 31 /03/2025, which is 0.3% of our loan book reduced from 0.38% of the previous year, indicating continued maintenance of control over this aspect . With our persistent focus on recovery from technically written -off books, we were able to recover a sum of Rs. 182 crores during the quarter . Total recove ry during the year is Rs. 638 crores as against Rs. 341 crores of Financial Year ' 23-24. Due to lower slippages, recoveries, upgrades, and write -off, our gross NPA has come down to 0.76% . Our net NPA remains at a level of 0.2 and we would continue to maintain the net NPA at less than 1% of our book .
Our standard restructured loan book is further reduced to 0.64% of the loan book and is performing well and we do not foresee any major setbacks or slippages from the book . Above all, many of them are backed by the collateral, and we were holding 41.24% provision for the said book. Our cost-to-income ratio for the quarter is 47.77% for the quarter and 47.25% for the full year, which is within the guided range of below 50%. Our CRAR Basel -III continues to be healthy and is at 18.17% providing us comfortable headroom for growth. There may not be any need to raise money in Financial Year ' 25-26 for the growth plan.
Our digital transactions grew by 115% in Financial Year ' 25 and the share of digital transactions stands at 98%. We have rolled out our new version of our mobile DLite App with enhanced features during the year. I am happy to say that the rating for the App is 4.7 in Google Play Store and 4.1 in Apple Store and there are 1.3 million monthly active users for our DLite A pp and 5 million downloads for our DLite A pp.
We have achieved a ROA of 1.73 in this quarter . It could be noticed that our ROA has consistently improved from 0.19% in December 20 and grown sequentially in the last 21 quarters, which is the result of our concerted efforts in stimulating the various levers of ROA

and enabled us to achieve this parameter well ahead of timelines . I am happy to share that we have declared a dividend of 130% as against 120% last year and this is subject to shareholder 's approval.
Now , let me move on to what we intend to do in '25-26:
The financial landscape is witnessing a dramatic transformation globally as well as in India, driven by technological innovations, changing consumer preferences and emergence of alternative business models. The Reserve Bank of India is expected to adopt a more accommodative monetary policy stand s. This could involve further rate cuts to stimulate domestic demand and support economic growth. The sudden escalation at the border in the last few days has also added more uncertainties for the coming year. Considering the above , the

outlook for the Financial Year ' 25-26 remains cautiously optimistic, we need to navigate margin pressures too and monitor asset quality closely. We expect our credit growth to be more than 2% over the industry growth.
Our RAM verticals would continue to sustain the momentum with an eye on the margins. Corporate book has come down to 14%, however, this is a temporary phenomenon which would come back once liabilities pressure eases off , the moment liability pressure eases off , we will have the proper mix of liabilities . Given our diversified corporate exposure to NBFCs and other corporate entities, we see merit in exploring great opportunities through investment route, particularly in the corporate rated AA - and below where risk adjusted returns remain attractive. We would continue to look for credit substitutes , opportunities in corporate vertical as we did last year .
The credit growth would align with our growth in liabilities. We are sanguine that the branch and sales acquisition channel would continue with greater rig or for so

urcing the raw material
and our branch channel team would put their efforts to maintain the balance in the ETB books. The CD ratio would be maintained at around 85% levels during the coming year too. We have added 50 branches during the Financial Year '24-25, so 38 branches were Lite branches, and 12 branches are regular branches . With respect to branch expansion for the current year, we have planned opening 19 lite branches and 9 regular branches before the end of the first half of the current year , mostly in the Southern and Western parts of the country. We believe the peak in retail and wholesale deposit rates is now behind us and we are witnessing a decline in deposit rates accompanied by a drop in CD rates. Given the lagged impact of deposit cost movements, we anticipate a decrease in the cost of deposits for the banks starting from the second quarter of this financial year.
With respect to margins , as two more rate cuts are expected, we expect that NIM to be in the range of 3.7 -3.75 for the full ye ar. Our loan book comprises of EBLR book of 52% and MCLR book of 37% . Considering the uncertainties in the market, there may be fluctuations during the quarter. However, our endeavor is to maintain within the above range for the full year.
Considering our branch expansion and additional manpower plant, our cost to income ratio

would continue to be around 50% in '25-26. Our efforts on recoveries should continue and we expect the momentum gained in the last year will be retained in the Financial Year '26 too.
GNP A is expected to be less than 150 basis point s and net NPA to be less than 1% for the full year. Slippages would be expected to be below 1% of our asset book. We have achieved a ROA of 1.72 in Financial Year ' 25 and 1.73 for the last quarter . Quarter -on-quarter, w e have been improving this and our ROA wa s at above 1.5 throu ghout all the quarters for the last 2 years . We expect w ith the reasons adduced above, we will continue to maintain our ROA. It will be in the range of 1.55 -1.65.
Renowned Warren Buffett recently mentioned when asked about on protecting progress , he mentioned "the question is how do you keep it and how do you improve it ." We want to protect progress by focusing on margins, which is the key to sustainable profitability and long -term success. It is a hallmark for the health and efficiency of Bank 's operation. This does not mean saying that we will be totally compromising on the topline. So, as I said earlier, our topline growth under advances can be 2% above the industry. I am grateful to all investors, analysts and stakeholders for the confidence and continued support which we will reciprocate through our better performance in the days to come.
Before I conclude , I would like to thank our E D, Mr. J. Natarajan, who is demitting office on Wednesday for his excellent support and guidance for the growth of the Bank over the years. On behalf of all, we wish him the best in all his future endeavo rs.
Now , I am glad to respond to your questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. We will take our first question from the line of Ja i Mund hra from IC ICI Securities. Please go ahead.
Jai Mundhra : Hi, good evening, sir and congratulations on good numbers . Sir, few questions , first on gold loans, s ir, you said that you have closed down the precious division , is it something to do with the new RBI circular and do you see any changes or fine tuning in your gold loan business basis the recent draft guideline by RB I?
B Ramesh Babu : Hi Ja i, first of all, thanks for the greetings and Jai, in fact these two are different sets of operations. What we are talking about, the RBI jewel loans is what in the branches we dispense that will continue as we are doing both under agricultur

e as well as the retail segment. This was
another segment which we have created precious metal. So giving a bullion loan to the manufacturers of jeweller s, so that being because the margins are very few and what we thought

is it is not accru al to the whole ROA and above all on those lines where margins are low also, you need to maintain a CD ratio. On one side, the deposit cost has gone up. It is not making much sense for us overall also. So that is the reason what we thought is there is no point because last 4 -5 years, if you look at it, the overall book we have built is Rs. 650 crores. So that is why we thought that. So let us focus our rest of the things and all . We have come out that way , these two are altogether different.

Jai Mundhra : Sir, the retail gold loan business , agri plus non -agri that should not have any material impact after the RBI draft circular , right that there is no fine tuning that you need to do or any material changes that you need to do ?

B Ramesh Babu : Yes. Jai, in fact, I will tell you RBI circular , which the draft circular has come , final circular is about to come. So, one first good thing is all players will have the same platform now. No one will have a differentiated platform that gives us a better edge. And the major impact in the appraisal of the gold loans, what they say in the circular is you have to treat it as a production loan, but the process can be elaborate and would consume both manpower and time. It may lead to a higher tax and disposal of such loans . Currently, if you are able to dispose of in 20 minutes, it may take slightly higher time . For that what we need to do, we are planning to do is training the front end staff on the finer aspects of handling and appraisal as a production loans. The second thing is we want to develop user friendly templates to reduce the processing time and various t echnology interventions measures to reduce the ta x. So that way, if we take these measures, because this is not only for KVB , the whole banking industry, NB FCs, everyone , they need to pass through this one . So, it may take 2-3 months for fixing all these things, but we are reasonably confident it will not have a major bearing on the portfolio .

Jai Mundhra : Right. Sure, sir. Secondly, sir, there is some Rs. 26 crores of NPI and other provisions. If you can just elaborate, is this related to security receipts or is this related to some , what exactly is that and the bifurcation of other income , core income you have given , but non -core fee , how much is recovery from write -off or maybe treasury or some other line item?

Ramshankar R : This is Ramshankar here. It is the SRs which we received for our existing NPA account, but it was a form of InvITs trust investments . Based on the new circ ular, it has to be valued at 1. So I have to do it in the base loan which is already an NPA classification continues in the new form also, so we have to keep it as NP I only. So I have to make a provision for that investment . That is what the provision is there.

B Ramesh Babu : Jai, in fact, coming to the recovery from write -off in my inaugural guidance , so I have convey ed that quarter as well as year.

Jai Mundhra : Yes. No , but s ir, if you have this number out of Rs. 245 crores of other fee, how much is recovery from TW O or treasury income separately?

Ramshankar R : Rs. 182 cr is the recovery from write -off for this quarter.

Jai Mundhra : Sure. And lastly, sir, you have given elaborate guidance on NIM and fairly range bound on ROA. There is likely to be pressure on NIM as you have also mentioned. But is it fair to assume that the contingency that we are providing Rs. 100 crores which is actually 8 -9 basis point s ROA that is the buffer you have, right? What I am trying to understand is this RO A guidance , you hav

e the flexibility, or let us say, choosing between contingency and ROA, what would you

prefer? Contingency is flexibility or do you think that you can continue to do contingency and still report RO A of 1.5 -1.65?

B Ramesh Babu : Contingency, whether we will be able to continue or not that I cannot say at this stage because the Board has to take a call . When the position is becoming tight on the margin front , so Board will have to go and brief them also on this point . So now the contingency for using this contingency, it is like a fire extinguisher we want to use it . As and when absolute necessity is there, then we can use . In the meanwhile, the Bank is able to generate its own revenues in the normal course, it is bet ter we meet from that, and the contingency will keep it aside. So, I am not saying that Rs. 25 crores with provision and without provision, I cannot say on that point now. But going forward, the need for contingency may not be there. That is what the Board has to take a call.

Jai Mundhra : Right. Sure, sir. Thank you so much. I will come back in the queue, s ir.

B Ramesh Babu : Thank you. Thanks , Jai. Thanks.

Moderator : Thank you. We will take our next question from the line of Akshat Agarwal from S mifs. Please go ahead. Akshat , please unmute your microphone and go ahead with your question , please.

Akshat Agarwal : Good evening, sir. Thanks for the opportunity and congrats on a good set of numbers. S ir, my first question is on fee income growth. It was quite strong around 13% Q-o-Q. So where is it coming from given we have like negative growth on corporate , right ? So, is it like to sustain going forward?

B Ramesh Babu : What do you mean by negative? Sorry, what is the negative growth?

Akshat Agarwal : Corporate lending, we have like a weak growth, right?

B Ramesh Babu : Understood. Ye s, please go ahead.

Akshat Agarwal : So that was my first question, sir.

B Ramesh Babu : No, fee income, it has different components there as we mentioned earlier . It includes the write - off income also is there other income. So that has come up a good source of fee -income for us. I agree corporate had we grown in the normal course , our processing fee, all these things would have come up. But other verticals are there, including agriculture, jewel loan also we started charging, processing fee and commercial as well as retail , all these started giving some fee. So now corporate is going for a muted performance this year because we do not know whether the cost of funds what all we acquire with majority coming from fixed deposit will support our corporate funding or not. We want to focus on the non -fund-based business this year and already we are on the job on that. So that way , we shortfall what all we are going to get under the NII, net interest income . Partially , we want to make it through our fee income also . That is our

endeavor. So, this year also the same tempo we would like to continue on the recovery from write -off accounts as well as the other income what all we are getting from the processing fee , others also. So that is what is our plan of action .

Akshat Agarwal : Right, sir.

B Ramesh Babu : One more point , Akshat . Now, 3 years, 4 y ears back when we were taking baby steps as far as a third party products are concerned that is cross sell , so we were growing at Rs. 25-Rs. 30 crores that sort of a range. So, we have ramped up and activated all channels. So, with that progressively it is more or less reaching around Rs. 180 crores this year . So that way , we have still lot of scope available there. So, we will make up from third party products marketing also . In fact , wealth management also , another tie up we have entered into that also should supp

ort us.

Akshat Agarwal : Right, sir. So, this recovery from write -off, is it a part of the others or the part of the fee income because they are like Rs. 264 cores on the fee income and Rs. 245 crores from other , right ? So, this I would assume that recovery from write -off is coming into this other line, right?

Management : Yes, absolutely , you are right, from others only.

Akshat Agarwal : OK, so this co re fee income Rs. 264 crore, 13% Q-o-Q is broadly from all this is core part of the non-interest income ?

B Ramesh Babu : Absolutely, Rs. 264 cr as against last Rs. 238 cr, it is from the core fee only , absolute you are right.

Akshat Agarwal : That is great, sir. And my second question is on cost. You mentioned C 2I to be around 50% versus current 47%. So, is there like what is the outlook for the OPEX floor ? Do you expect it to go above operating income growth or is it expected to go below operating income growth given elevated staff hiring in the recent past as well as do we expect continued higher growth from non -staff expense?

B Ramesh Babu : No. In fact, what all the broad hiring we need to do for the acquisition channel as well as the service channel we have completed. So this year , the same intensity with which we did earlier years may not be there, but to some extent the branches what we have opened last one year and this year what we are going to open , these sort of things will kick in, but the point what we need to look at it is so the OPEX, rest of the things , you see employee cost may go up to some extent because the yield s when they are coming down , so naturally what you need to provide for this pension fund and all these things will go up and all . So factoring all these things what we thought , correspondingly, there may not be an increase in the income because the net interest income will take a hit on account of two factors, one is the yield on advances may come down because of the EBLR , second thing is the cost of deposits may continue to have this sort of an elevated issue for 2-3 quarters . So, both sides there can be a compression. So, with these things, we thought that it would be around 50. Otherwise , what will happen , if I need to contain the cost to inc ome

at 47, so fewer the developmental activities , what we are trying to do , it will take a back seat. So, we do not want to do that. It is a transitory phase currently we are having . At this stage , if you are able to pass through that one , later, we will be able to get the benefit of that.

Akshat Agarwal : That is great, sir. Thank you for answering my questions in a very detailed manner.

B Ramesh Babu : Thank you, Aksha t. Thank you.

Moderator : Thank you. We will take our next question from the line of Pritesh B umb from Dam Capital Advisors. Please go ahead.
Pritesh Bumb : Good evening. Congrats on a great state of numbers, a few questions. First is on the loan growth. I think you were quite clear in terms of aligning loan growth, deposit growth and CD ratio at 85, but the guidance was that you will grow 200 b ps above the industry . Considering the initial numbers which have come from the RBI, it looks like the industry growth is about 10 .5. So how do you see that basically and because the guidance i s 200 basis points higher, so it will be like 11.5%-12%, maybe you can pick up in the second -half, but how do you see that?
B Ramesh Babu : Yes, I agree with you, your estimates what we have mentioned, but look at one thing, when we are talking about a loan growth of it can be 12 -13, whatever it is you say , now, t he composition undergoes a change. Suppose if the corporate still goes down and to that extent, we need to compensate the growth in the RAM vertical . This year also you can see that 20% when RAM vertical has grown , 14% reduction in the corporate has

been set off. And even with that, we could achieve our final number guid ance given. So, I somehow feel the current mix of deposits what we are getting, this may continue for some more time. So that is the reason our focus on the RAM continues and though all engines are working well because if the margin is not accruing further, we may not grow that aggressively on t he RAM , but whatever it is , you look at 20% when we have done last year, it cannot suddenly come down to 12%. So that way , the mix is more towards RAM and corporate low lying. With all these things, what you said is around 12 %-13% we can think of.
Pritesh Bumb : Got it, sir. It is quite clear. Second was on asset quality , a couple of points there. First is , we have seen certain banks s howing slightly higher stress in MSME . Now , there could be different pockets to that stress, but how are we seeing in our books going ahead? And also, as you said that RAM is the focus ar ea, how do you see the new book building up in terms of asset quality?
B Ramesh Babu : No, I agree because MSME is vulnerable. But somehow in 2019, Bank has gone for a digit al lending, wherein every account needs to pass through the loan origination software with so many checks and balances, so that has really helped us . If pre-LOS and post -LOS, i f you look at it , so more or less 10 %-20% of the pre -LOS stress numbers are there only in the post -LOS . So, our SMA 30 + what we have disclosed , it includes MSME book also, so that itself is around Rs. 300 crores and a portfolio of Rs. 85,000 crore. So, we can think saying that the portfolio is still under control and above all, we are using the early warning signals also as I said earlier, predictive

analytics and all . So much in advance , we are trying to take some sort of a measure to rectify or fix th ese issue s, but last but not the least is we will think of Loss Given Default . The majority of our MSME book is backed by collateral which is more than 100%. So if at all those situations arrive at so we are sufficiently guarded through the collateral , but otherwise we are for the time being confident saying that sort of an overnight stres s will not come up in our MSME book because we are cautious , our co llection teams are active and the monitoring team is active and continuously focus what we give on business growth, equal focus we are giving on the monitoring tool.
Pritesh Bumb : Got it, sir. A couple of questions on the deposit side, one is that the current account deposit seems to be slightly muted given that this is a year end and again peer banks have seen a very strong flow. Maybe on average it may not be that great , but on period end basis we have not seen that kind of flow. Is there anything that has not led the flow to us ?
B Ramesh Babu : In fact, from March 1st onwards, we are very conscious about one point if some sort of a windfall comes in the last week and goes out in the first week of April, it may not support us a lot. So that is the reason what we thought throughout the next year you need to bleed, so we didn't make any conscious efforts to go for these 10 days, 15 days during the month of March. So, what all organically what we need to day that we got it and all , so that we can continue the growth this way.
Pritesh Bumb : And second point on deposits was, as you mentioned that you are de growing your corporate book , just wanted to check how much will be deposits contributed by these corporates because these will be generally bulk and just trying to check if the bulk deposit also from them will have come down?
B Ramesh Babu : I agree, but that usually we will not share actually, because the self-funding is a concept which we have started a year back. But still, I can very well say that many of the corporate banking units are active, they are able to

mobilize . As you said , the majority has come in the form of a time deposit , but money is money. Now , even if I go and mobilize in the retail front or this side and all coming up and all, so a decent progress has been made by the corporate wing in mobilization of the deposit , our intenti on is over a period of time to bring it around 50% self-

funding ratio for the corporates.
Pritesh Bumb : 50%, got it. And sir, the very last question was basically on your margin side, you mentioned that 3.7 -3.75 is the range which you see . And you said it will be volatile between the quarters, but as a trajectory , do you see the first half to be a little bit higher because if you look at the average for full year, then your second -half will be better, right , because you will be cutting deposit?
B Ramesh Babu : Absolutely. It will be like that. Absolutely , a simple calculation, let us say 1% the repo is cut. Our EBLR portfolio is 52%, so 50%, 50 basi s points there can be a hit straight to the NIM . So, 4.05 minus 50, so it have to be 3.55, but we are taking many measures out of that. So that way

we have guided overall 3.7 -3.75 because first half will support us and second -half we have issues. Overall, we need to manage this way.
Pritesh Bumb : Got it, sir. Thank you so much. Thank you for th ese answers. All the best.
B Ramesh Babu : Thank you.
Moderator : Thank you. We wi ll take our next question from the line of Akshay Badlani from HDFC Securities. Please go ahead.
Akshay Badlani : Yes. Hi. Thank you for taking my question. My first question would be around the commercial loan book. Our a verage ticket size has been increasing in the last 2 -3 years. I just wanted to understand , is this by strategy that we are going for higher ticket sizes or some , in terms of asset quality , if you could get some color as to amongst the ticket sizes that we disclose d is the higher ticket size performing better or something like that?
B Ramesh Babu : Absolutely. You are on dot, Akshay. Because we started with a low average ticket si ze to test the waters. We have verified all the parameters, how they are working because the onboarding conditions are one and the same. So then progressively, initially we thought of Rs. 50 lakhs . The average ticket size used to be Rs. 25 lakhs, Rs. 30 lakhs and all . Then we started pushing the verticals for slightly higher because the advantage is with the lower labor, actually you will get a higher growth th ere. So that we have been encouraging and in fact we have been giving a target also to the verticals about the average ticket size which they need to reach. So that way everyone knows. So, I have to balance this way because when we saw the stress is under control, we can take that amount of reasonable risk so that it will reduce the loa n and increase the growth.
Akshay Badlani : Understood. And would that be like yield accretive or because probably in lower ticket sizes , it would slightly be more ROA accretive?
B Ramesh Babu : Slightly here and there, there can be 5 basis point s here and there in the yield, but you understand the amount of OPEX what we need to spend on servicing this acc ount. If I am saving there these 5 basis points and on the OPEX, so it is more or less neutral for me.
Akshay Badlani : Got it. Just my second question was around the incremental branches that we are opening. So, what is the strategy there going forward? How much would be non -Tamil Nadu and how much would be from the home state and how are we seeing like a 3–5-year view ? How is our view there in terms of geographical expansion?
B Ramesh Babu : No, very true. In fact, Tamil Nadu and South more or less , Tamil Nadu, we have good number of branches , but whereas in respect of Andhra and Telangana, still we have a scope. We are not deep into the markets ther

e. So that way there exist some scope there. And Karnataka also offers some scope there because we are not so deeply penetrated there . Our next preference is always Maharashtra and Gujarat because we want to go in a contiguous area so that the connection is

there and all. So that way we will complete South. Simultaneously , we will work on the West also. So, depending upon the opportunities available, we will not miss N orth, b ut East can be the last preference. First of all , the potential what we are getting here is much better. We will try to exhaust because the same cost if you are able to get the better business there and all , we want to exploit on those lines.
Akshay Badlani : Got it. Thank you. Thank you for answering my questions .
B Ramesh Babu : Thank you.
Moderator : Thank you. Ladies and gentlemen, we will take that as the la st question for today. I now hand the conference over to Mr. B Ramesh Babu - MD and CEO for closing comments. Over to you , sir.
B Ramesh Babu : Yes. Thank you all for going through our presentation and showing so much of interest in asking questions and all. As I said earlier , we will strive further to see that the momentum is maintained, and the expectations are met. Thank you all. Thanks.
Moderator : Thank you. On behalf of the Karur Vysya Bank, that concludes this conference. Thank you for

joining us and you may now disconnect your lines.

Call: Jul 2025

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IRC:F48: 118:236:2025 July 30, 2025

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BSE Limited,
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Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Unaudited Financial Results of the Bank for the quarter ended June 30 , 202 5

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Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transcript of Conference Call held on July 24, 2025, at 6:00 P.M. (IST), in connection with the Unaudited Financial Results of the Bank for the quarter ended June 30, 202 5.

The same is also made available on the website of the Bank and can be accessed on the following link:

https://www.kvb.co.in/docs/investor -con-call-transcript -fy26-1.pdf

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager

Encl: As above

“Karur Vysya Bank
Q1 FY'26 Earnings Conference Call ”

July 24, 2025

MANAGEMENT : MR. B. RAMESH BABU - MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , KARUR VYSYA BANK
MR. SHANKAR BALABHADRAPATRUNI - EXECUTIVE
DIRECTOR , KARUR VYSYA BANK
MR. CHANDRASEKARAN - CHIEF OPERATING
OFFICER , KARUR VYSYA BANK
MR. RAMSHANKAR - CHIEF FINANCIAL OFFICER ,
KARUR VYSYA BANK

Moderator : Ladies and gentlemen, good day and welcome to the Q1 FY '26 Earnings Conference Call of Karur Vysya Bank.

We have with us today the Management Team of KVB, represented by Mr. Ramesh Babu – MD and CEO , Mr. Shankar Balabhadrap atruni – Executive Director, Mr. Chandrasekaran – Chief Operating Officer and Mr. Ram shankar – CFO.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. B. Ramesh Babu – MD and CEO, to take us through the highlights of the quarter gone by, after which we will open the floor for questions. Thank you and over to you , sir.

Ramesh Babu: On behalf of Karur Vysya Bank, I extend a warm welcome to everyone joining our Bank 's Q1 Earnings Call for the Financial Year 2 026. Our Financial Results and accompanying Presentation have been made available on our website and we trust you have had the opportunity to review them thoroug hly in advance of this meeting.

As a summary of our discussion during Q4 call in May '25, we maintain a cautiously optimistic outlook for the Financial Year 2 025-26, emphasizing the importance of managing margin pressures and closely monitoring asset quality.

We are pleased to report that our performance indicators align with our previously issued guidance. Notably, we successfully front -loaded growth in the first quarter of this financial year, consistent with our approach over recent years. Our sustained and inclusive results across all three metrics – growth, p rofitability, and asset quality, demonstrate the ongoing strength of our performance since the beginning of the year.

As of 30th June 2025, the Bank 's total business reached Rs . 1,96,024 crores reflecting our sustained growth momentum in the first quarter with an overall business increase of 5% quarter -on-quarter and a n year-on-year growth of 15 %. Advances

rose to Rs . 89,374 crores, representing
a growth of 6% quarter -on-quarter, while deposits increased to Rs . 1,06,650 crores, achieving a quarter -on-quarter growth of 4%. As previously indicated during the Q4 earnings call for FY '24-25, regarding the business mix of our advances portfolio, we have placed increased emphasis on the RAM verticals.

Reflecting this strategic focus, the RAM segments have grown by 6% quarter -on-quarter that is 20% year -on-year, now accounting for 86% of the total advances portfolio. After two years of negative growth, our corporate book has registered a Q OQ growth of 6%, although it remains negative on a year -on-year basis. Retail advances increased by 8% quarter -on-quarter, primarily

driven by growth in jewel loans and mortgage loans. The synergy between the Branch Channel and the Open Market Channel is progressing well, as evidenced by an 11 % increase in mortgage loans during the quarter. The early bookings of assets support consistent interest income generation throughout the year. Retail jewel loans registered a 23% growth during the quarter. Considering the low yields and increased competition, we took a conscious call of going slow in housing loans and vehicle loans. We maintained a cautious approach towards unsecured personal loans and BNP L (buy now pay later) loans during this period. The vertical is planning to come out with products in affordable home loans by sourcing as well as by co -lending model . It has also identified 144 branches to focus more on mortgages under the branch channel. The commercial business segment demonstrated a 5% growth over the previous quarter, driven by higher disbursements in both the small business group and business banking group, 30% quarter -

on-quarter. As part of our ongoing re -engineering initiative s for the small business group, SBG coordinators have been appointed at Divisional Offices to provide enhanced support to the branches.
Despite various challenges, the agriculture loan portfolio recorded a growth of 4% during the quarte r. Agri jewel loans constituted 91% of the portfolio and other agri -loans constituted 9%. LTV of agri -jewel loan is 64.28%, indicating availability of sufficient margins. The Reserve Bank of India has issued new directions regarding lending against gold and silver collateral, which is expected to be beneficial for us. Implementation of that is currently underway. A favorable monsoon in many regions is project ed to further stimulate growth in this segment. While we remain cautious regarding the MFI segment, coverage under CGFMU has commenced from April 1, 2025.
The corporate and institutional loan portfolio experienced a 6% increase during the quarter, primarily driven by heightened disbursements in real estate, food processing and NBFCs. Increased growth percentage is also on account of lower corporate portfolio base. Additionally, the vertical continued to invest in corporate instruments of entities to lock the yields, utili zing these as credit substitutes.
The Bank 's liability business constitutes to 54% of the total business of the Bank . Deposit growth remains a primary strategic focus for the Bank , with the past two years featuring numerous initiatives such as the establishment of a CASA acquisition channel, enhancement in CASA products and strengthening deepening teams in the branches to protect the ETB book. Total deposits increased by 4% during the first quarter, driven by gains in both retail term deposits and CASA. CASA balances grew by 5% over the sam e period. The CASA acquisition team has made significant progress in acquiring premium NTB customers. Our new products contributed 56% of the CASA NTB book growth during the quarter. The team is focusing on Gen -Z and start-ups by offering personaliz ed products and for premium customers offering exclusive options. Th

e team is actively engag ing with the customers during the first 90 days of the on boarding to identify their needs and cross -sell suitable products and after that these customers will be handed over to the branches which will be nurtured by the branches. Regarding ETB customers, targeted engagement by the Branch Sales and Service Executive (BSSE) team at

branches and a strategic emphasis on reactivating inoperative accounts contributed to higher book balances. Additionally, more than the anticipated end -of-the-quarter inflows into current accounts to some extent further supported overall deposit growth. Retail deposits increased by 5% during the quarter. Despite the reduction in rates for the special term deposit scheme s, inflows into RTD remained steady. During the first 2 months, we canvassed for retail term deposits to fund the advance growth which was f ront-loaded. This has enabled us to have some sizeable growth in retail TD. As customers knew that interest rates are going to come down, they too were anxious to lock their interest rate which we took advantage of that too. This has contributed to a decrease in reliance on bulk d eposits throughout the quarter.
Regarding margins, we had provided guidance in the range of 3.7 to 3.75 for Financial Year 26. Although we anticipated a rate cut of 25 to 50 basis points during the quarter, the actual reduction was 75 basis points.
I am pleased to report that we could successfully navigate the quarter and maintained our net interest margin at 3.86% representing a decrease of 19 basis points from the previous quarter as there will be a lag in reduction in the corresponding interest rates of deposits which is in line with the industry trend. The cost of deposits increased slightly by 3 basis points on a sequential basis as the majority of growth has come from term deposits rather than the CASA. The overall cost has increased and the maj ority of repricing is anticipated to occur between September and November for the time deposits . We expect the cost of deposits to remain stable at current levels over the next quarter. Additionally, savings account rates for one segment , were also adjusted downwards during the quarter and we are likely to reap the benefits from Q3 o nwards to start with. The yield -on-advances declined by 21 basis points during the quarter. Our loan portfolio comprises 53% EBLR linked loans and 35% MCLR linked accounts. Approximately 37% of the EBLR portfolio is expected to be repriced in the upcoming quarter. We antici pate a further reduction of 10 basis points in the yield on advances in the next quarter.
The yield -on-investments declined by 9 basis points during the quarter attributable to a reduction in yields in general in the investment book. This is due to a reduction in the interest rates by RBI. Maturity of high -yielding CDs and CP securities, which were replaced by lower -yielding instruments and incremental SLR investments, are being made at yields lower than the existing portfolio average, thereby pulling down the average. With the current visibility, as guided during Q4 results on call , we ende avor to maintain our full -year guidance for net margin at 3.7 -3.75 for FY 2025 -26. We anticipate that a reduction in the cost of deposits will become more apparent

by the end of Q3, contributing to an improvement in overall NIM s by the year -end. The operating profit for the quarter was at Rs . 805 crores, reflecting an 8% increase compared to the same quarter in the previous year, but a 3% decline sequentially .

Non-interest income for the period stood at Rs . 447 crores, down from Rs . 509 crores in the previous quarter. Recoveries from written off accounts amounted to Rs . 78 crores, compared to Rs. 182 crores in the prior quarter. This decrease was partially offset by treasury gains of Rs . 79 crores during the qua

rter, up from Rs . 16 crores previously. We had guided recoveries from the

written off accounts would be similar to last year, and the recoveries would not be even every quarter. This point also we have guided during last call, but overall during the year the recoveries would be around Rs. 600 crores which we feel will be able to achieve. Our operating expenses for the quarter stood at Rs . 721 crores, representing a sequential decrease of Rs . 42 crores. With planned recruitments having been completed last year, establishment expenses remained stable at Rs . 365 crores.

Other operating expenses were effectively controlled at Rs . 356 crores. The cost -to-income ratio for the quarter was 47.22%, which remains within the guided range of less than 50%. Net profit for the quarter was Rs . 521 crores, an increase of 2% quarter -on-quarter and 14% year -on-year.

During the quarter under review, an allocation of Rs . 118 crores was made towards NPA migration, standard assets and restructured assets, resulting in a credit cost of 0.54 basis points (annualiz ed). No additional accelerated provisions were required this year as adequate buffers have already been established over the past 2 years.

Gross slippages for the quarter amounted to Rs . 189 crores, re presenting 0.21%, on an annualiz ed basis it comes to 0.84% of the loan book, though there is a spike in SMA 30 -plus levels from 0. 43% to 0.6% year -on-year basis, t hrough ongoing diligent account monitoring, we are confident in our ability to maintain the slippage ratio below 1% levels as we have previously indicated. Owing to reduced slippages, improved recoveries and upgrades, as well as write -offs, our gross NPAs have declined sequentially from 0.74% to 0.66%.

Our net NPA remains steady at 0.19% and we are committed to maintaining net NPA below 1% of our portfolio. The proportion of our standard restructured loan portfolio has further decreased to 0.57% of our total loans and continues to perform satisfactorily. At present, we do not anticipate any significant setbacks or slippages within this segment. Notably, a substantial portion is secured by collateral and we maintain a provision of 42% for this portfolio. The ROA for this quarter stands at 1.73%, slightly b etter than the guided range of 1.55% to 1.65%. Our CRAR Basel -III continues to be healthy and is at 17.36%, providing us comfortable headroom for growth. Our liquidity coverage ratio continues to be well above the regulatory requirement of 100%.

Our Bank has successfully completed 109 years and is now entering its 110th year this month. I am pleased to announce that today the board has proposed a bonus issue of 1: 5, i.e. 1 share for every 5 shares held, subject to the approval of the shareholders. “Challenges are what make life interesting. Overcoming them is what makes life meaningful ”, as noted by Joshua J. Marine . Despite some challenges, we began the first quarter on a positive note. Our team has demonstrated resilience in sustaining growth and we remain confident in our ability to continue this momentum throughout the remaining quarters. As we enter our 110th year, we honor our history while looking ahead to the future and reaffirm our unwavering dedication to serving as a trusted partner throughout every customer's financial journey. I would like to express my

gratitude to all our investors, analysts and stakeholders for their continued confidence and ongoing support. We are committed to upholding this trust through continued st rong performance in the future.

To sum up, our guidance for the credit growth of above 2% over the industry growth continues for the rest of the quarters and accordingly, deposits will be raised. NIM for the full year will be in the range of 3.7% to 3.75%. Our GNP A is ex

pected to be less than 1.5% and Net NPA less than 1% and slippages to be less than 1% and cost to i ncome we aim to have below 50%.

So, now I will be glad to respond to your queries. Thank you all.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from Akshat Agarwal from SMIFS. Please go ahead.

Akshat Agarwal: Thanks for the opportunity, sir, and congrats on a strong set of numbers. My first question is on asset quality . Credit cost s are lower at 54 bps driven by the renewal of prudential provision as well as the reduction in restructured NPA . However , incremental stress seems to have decreased in the pricing and the flows also increasing and this is possibly from auto segment. So NPA reduction in this quarter is driven by higher write -off and lower slippages . So would you be able to maintain your credit cost around levels 55 -60 bps or could we see it more like 70 bps -80 bps. And….

Ramesh Babu: Akshat, please go ahead. But your voice is breaking. We are unable to hear fully please.

Akshat Agarwal: Can you hear now?

Ramesh Babu: Yes, relatively better. So please go ahead.

Akshat Agarwal: So should I start from the beginning?

Ramesh Babu: Not required. I could guess what you wanted and all. So you continue the discussion. Your points you can continue please.

Akshat Agarwal: Sure, sir. So, would you be able to maintain your credit cost around current level, say around 55 to 60 bps this quarter, this year? And will we continue to see elevated slippages, higher write - offs, and lower recoveries going forward? That was my first question, sir. I have a few more.

Ramesh Babu: I'll respond, ye s. Please. Thank you, Akshat, for the question. But just one thing I want to tell you, that is the reason, consciously, I touched upon the point of SMA 30+. If you look at the verticals, actually, all th ree RAM verticals are concerned, m ore or less, the same level which we were having was continuing, not an issue. But in respect of corporate, they are not actually on account of the external economy not doing well, demand is not there on account of those reasons, where some sort of internal issues between the partners, those things have come up and all. So,

we could find some sort of a stress in those cases and all, t hen, proactively, what we thought, instead of finally allowing them to do it and all, initially allowing them to have a stress, because these are actually backed by securities and all, to put pressure on them to regularize or to recover, that is the reason . Otherwise, earlier , the trajectory of what was going on, on the SMA, the same thing is continued, barring one or two accounts in the Bank . So, the rest of the portfolio is as it is. So, that way, we need not have much concern about the asset quality and slippages, first thing. And second thing, coming to the credit cost, what you mentioned. So, we have guided credit cost will be around 1%, now 0.54%, but over a period of time, we do n ot know actually. Currently, if you look at it, the commercial, retai l asset, everything we look at it, portfolio looks clean. You also would have seen saying that our unsecured is also 2.22 % and our MFI portfolio, to some extent, it has given some sort of an NP A also, that also is flowing into the stress portion. But overall, our MFI book itself is Rs. 270 crores. Even if 10% of that comes, also it comes to Rs. 27 crores. So, which can be very well managed. With all these things, if you look at it, we will be able to manage within that 1% credit cost, what we thought, but 0.54 is transitory for this quarter, but it is not for the whole year. So, that way, current ly with the visibility, what we have, asset quality is not a cause of concern for the Bank .

Akshat Agarwal: Right, sir. Thank you. My next question is on cost. Last qua

rter, you guided around 50% for the full year, which you have maintained. And this quarter, it was very well m anaged cost, growing at 8% year -on-year and 6% reduction sequentially. So, there has been no addition of branches this quarter. So, for the rest of the year, do you think we would see escalation during next 9 months, more branches or are we seeing some strong productivity that is playing out? And did we see any headcount red uction this quarter, sir?

Ramesh Babu: Headcount reduction, I have mentioned actually. What happens now, wherever a replacement is required on account of the wastages , we are going for that. Otherwise, headcount, wherever we are adding on account of that, we can see a straight visible productivity for the numbers, then only we are going. Back office are concerned, we are not going for any headcount. And whereas wastages are there, the replacements also we have brought it down. And fresh additions are concerned, we are very selective, because majority of the recruitments, what all are required last year, we have done that and those initiatives we are going to stabilize. Coming to the branches addition, we may be opening 40 branches, something like previous year, but we need to still f irm up our requirement, what all is there. So, that way, cost is concerned, here and there it may be going. But correspondingly, what we feel, what we are incurring, you will be able to find the other side also, the income also will be there. That is the reason we have been indicating that our cost to income ratio will be 50. Suppose, if we do not incur the cost , now let us assume not opening the branches, and a saturation reaches for the rest of the branches, at that time, suddenly we run around and open the branches, they will also take one or two years to stabilize and generate. So, that way, what we thought, on an ongoing basis, we need to open a few branches, three, four years we were not opening, last two years only we started opening. But even a branch also, earlie r we were opening a fresh, full -fledged branch, now we have modified our model, we are opening lite branches, where three, fou r people will be there , majority will be focusing on the liability accretion, and not focus on the advances, and the advances, the leads will be given to the hub branch. So, this model started working, and we started taking people from the market also, who have experience in the liabilities. So, that way, a few more light branches, we may be adding, that may add to the cost, but within all these things, we will find out our economics, how we are going to work out to have cost to income ratio less than 50.

Akshat Agarwal: Right, sir. Thanks for that. Let me squeeze in one more question, if that's all right. So, in terms of fees, is there any s easonality in reduction quarter -on-quarter, 5% and how should we see the base level going forward? And, and one more on NIM s, sir, how many rate cuts are currently absorbed in terms of 100 bps cuts so far? Is it like, we have already, say, absorbed like 50 basis point or 25, so some level of color would be helpful. And so, NIM s kind of trough this quarter in Q2 and then increase, is that what you meant when we, you are giving 3.7% to 3.75% guidance for full year? So, that was my question, sir. Thank you.

Ramesh Babu: Yes, I'll share that, yes. Now, as far as income is concerned, agreed, as you said, there can be seasonality factors, like, suppose Quarter 4 usually the year wherein lot of advances, what all are in the pipeline, are booked. Naturally, the income levels of the Quarter 4 will be usually high. But if you compare with last year, June 24 , so we are up, 239 has become 251, it's up by 5%. So, that way, seasonality plays a role to some extent. So, second thing also, if overall, if you look at the oth er income, our recovery from the w

ritten off account, which were Rs. 182 crores
last quarter, it has come down to Rs.79 crore , which I explained in my initial remarks that, so overall, for the year, it will be around Rs. 600 - 650 crores , we may get it. So, one quarter here and there may happen, because of legal issues will be there, other issues will be there. But we feel that, that amount of Rs 600-650 crores , we will be able to get that. With that, the RO A of 1.55 to 1.65, what we have indicated for the whole year, we will be able to manage that, it should not be a problem. And above all, we are focusing more on the other income, even the third -party income has gone up. And like that, processing fee also, n ow that corporate, we started building book, th ere also we started getting. With all these things, we will be able to make it up, it should not be a problem as far as fee income is concerned. Now, coming to the NIM. So, you agree that, we already told that EBLR book, another 37% needs to be repriced in this next quarter. And suppose if there is another rate cut somewhere and all, we cannot say on that. And above all, the deposits repricing will start only after the September for us. And that way, third quarter and fourth quarter, we will see some amount of repricing in the deposits. The CRR cut may not give much sort of a benefit for us as far as NIMs are concerned. So, that way we feel, Quarter 2 may be a tough quarter. But because there are so many moving parts are there, we will not be able to quantify a number for that quarter that way. But overall, we feel the end of third quarter, we will start seeing the green shoots there. The pain what we are undergoing all the industry, whole industry undergoing, that will be reversed by the end of December that way. So, with that, overall, we will be able to maintain 3.7 to 3.75. It may come down, but it will start going up partially in Quarter 3 and again in Quarter 4 the average may work out between 3 .7 to 3.75.

Akshat Agarwal: That is great, sir. Thank you. Just one last one question. Sir, in terms of corporate book, is it going to be a positive book going forward? Or is it going to continue to be a declining book as you had guided earlier?

Ramesh Babu: I will tell you, it is a tactical book. Now, how we are able to raise the deposit and above all, am I going to get the money there? Suppose out of anxiety because the credit growth for the industry is 9.6. And if other banks are anxious to book because lot of money is there with them, they lend at 8-8.25. They may not be in that business at all because the amount what we are getting, other three verticals, if I am able to make more money at 9.5 %, 9.75 % and 10 %, we may not go for that. So that w ay this year also, if we are able to make money on the corporate book, we will go ahead. And overall, other segments, we are able to make money, we will go there. The question is money has no color. Rupee is rupee for me. So that way I cannot give an assurance for the sake of growth, we will not grow in corporate. Okay, wherever Bank is making money, the money will be put there.

Akshat Agarwal: Right, sir. Thank you for answering all my questions.

Ramesh Babu: Thank you, Akshat.

Moderator: Thank you. The next question is from J ay from ICICI Securities. Please go ahead.

Jay: Hi. Good evening, sir. And congratulations on a steady quarter. Sir, first question, just wa nted to check, you said that 53% of the book is EBLR and of which 37% is either repriced or yet to reprice . So how does it work, sir? I thought that EBLR reprices almost immediately. So why is

that some book has been repriced and some is yet to reprice?
Ramesh Babu: Yes, thanks, Jay . Thanks for the compliments also. Second thing here, you see, EBLR book, though it is there, there are two components in the book, working capital as well as term loa

ns.
As far as working capital is concerned, the repricing will happen immediately, one day, two days, whatever is the lag and all. But whereas term loans are concerned, the repricing will happen in a quarter when the interest reset date comes. So that way, if you look at it, a part of the term loan book has been re set during the quarter one and the rest of the book has to be reset in July and August. So that way, by the end of August, we'll have an absolute clarity of the book. So working capital has been completed. Now, term loan book only partially reset. It has to be reset now in the next two months.
Jay: Right, sure. So now that is clear. So 37 % is already repriced or is yet to reprice?
Ramesh Babu: 37 % is yet to be repriced. Now, what we are telling, Ja y here, term loan book is concerned, it may be 55% or 63% repricing of the term loan book is still there. If you divide the term loan book into three parts, 33 is already repriced and 67 needs to be repriced . Now, but why we are talking about 37 is, overall EBLR book, you take it, it includes the working capital as well as the term loan. Out of that, only the 37 % needs to be repriced, has already been repriced.

Jay: Correct. Sure. So, sir, in accordingly so the NIM trajectory, right, so I think there's a lot of moving parts, as you said, and cost of deposit will start, let us say, seeing favorable or positive movement b y Q3, and it will pick up by Q4 a nd yields, as you said, yet to reprice by 10 basis point types. But sir, I'm more interested in knowing the exit NIM. So, let us say, assuming no rate cut, no further rate cut, as it is now, would you believe that you will be able to hit the 4% NIM by exit FY26? Will that be a fair assessment?
Ramesh Babu: No, it's unfair assessment, Jay . I am saying, where is 4% you are talking, because you see, second quarter, where we will be landing, we do not know yet. In the meanwhile, while the deposit cost is coming down, 35% of our portfolio, MCLR is also there. Every time the deposit rates are coming down, MCLR is going to come down. And that portfolio also gets repriced now, when all renewals are going to happen in third and fourth quarter. So, I will be saddled with the lower rates for the MCLR book a lso. So, with these things, so how much we will be landing, we will not be knowing even without taking the 25 basis points also. So, that is the reason what we thought, we may be between 3.7 and 3.75. But as you know, we will try to maximize wherever possible a nd all, we will try to do that, but we will not be able to quantify that number at this stage.
Jay: Sure, sir. And secondly, sir, on your growth, right, so LAP, I think you mentioned that now there is a better, let us say, branch and non -branch channel and that is working out very well. Has there been anything, reclassification, jewel loan also, retail jewel loans that or do you think this growth in retail jewel loan is without any one -off or without any classification, reclassification?
Ramesh Babu: No reclassification, jewel loan is absolutely organic , the branches, what all they are booking, they are no way connected to the revised model of the business, what we are doing, that is applicable only for the mortgages. Jewel loans are concerned as hitherto what branches are, they are doing, there was a hu ge demand for that. That is the reason with organic growth, no reclassification, nothing.
Jay: Okay. And sir, now system is growing at 10, we have already done 15, right? So, could we say that its system picks up, right, t here has to be some tailwind for you also, right? I mean, the number I am not asking, but I am saying in general, if there is a tailwind in the systemic growth, for whatever reasons, you can still, those tailwind should also work for you as well, right? I mean, in general.
Ramesh Babu: I agree. Absolutely, I

agree. Jay , you understand. So, we took a conscious call in the first week of April, entire team, what we thought, anyhow we need to grow, if we can do a good work in the very first quarter by slogging, at least we will be able to earn for the nine -month period. So, that is the reaso n, you would have seen the growth also in every segment, no particular vertical has given the maximum growth. All verticals have judiciously contributed what they are supposed to contribute, w e have got it. So, which testifies that the teams are capable of generating the business, despite the market has issues. Now, coming to the tailwinds when you talk about it, it absolutely depends on the ability of the mix of deposits what we raise. Suppose

later also if the stress is found on the CASA front, and only time deposits we have to raise and we have to actually fund our assets, so we may have to think because it will have a bearing on the NIM. But correspondingly CASA front also goes up, to some extent what I say, with the various measures we have taken, the savings Bank started going up, and the ETB balances which used to come down, so more or less we are able to find some sort of stability there, and above all when the deposit rates on the time de posits were coming down, people were shifting money from savings Bank to the time deposit, that also phenomena has come down, and we also tested the savings Bank rate, the lowest bucket we have reduced it. You would have found out saying that ours may be the lowest, so we tested whether it has any impact on the balances of savings Bank . So, it is agnostic, absolutely there is no issue and balances are as it is same and going up also. So, once we have a clarity on the mix of deposits, advances, growth is con cerned, more or less we are well set, we will be able to take it forward, everything will be subject to the proper mix of deposits what we raise.

Jay: Right, and last question sir, the other OPEX , there seems some tight ship there, was there any one-off or you think this is variable and depending on the volume or this has some lever for you to contain cost here, the other non -staff OPEX ?

Ramesh Babu: I agreed, we are on the job on each of the line items of the cost. So, we are looking at it, what can be done, how we can reduce it, but so we are to be frank enough, a very initial stage of the working which requires some time, we are working on that. So, because we wanted to see if we can reduce 10 basis p oints in the DuPont tree for that, that will straight away add to our ROA. So, with that intention all verticals we are looking at it including the productivity, whether this cost is warrant ed, not warranted, what we need to do, can we defer it, all aspects are being examined by the CFO team and verticals and all we are on the job.

Jay: Right, thank you so much sir and all the very best.

Ramesh Babu: Thank you, thanks Jay, thank you.

Moderator: Thank you. The next question is from M B Mahesh from Kotak Securities. P lease go ahead.

MB Mahesh: Good evening , sir. Just a few questions, one is on what conditions would you unwind the contingent buffer that you created last year?

Ramesh Babu: No, no, we did not unwind anything.

MB Mahesh: I am asking you on what conditions would you unwind , sir?

Ramesh Babu: You will unwind on what conditions you are asking?

MB Mahesh: That's true.

Ramesh Babu: No, created that one, suppose any unforeseen situation something is there which we need to have a fallback, at that time we will be doing, otherwise we will not even touch that because for a rainy day something is required we thought of doing , intention is to manage with our own routine what organically we are getting it. If the situation comes when we are pushed to the wall, we ma

y have to use that, we have not apportioned that for any specific purpose that way.

MB Mahesh: Okay. Sir, this quarter you lost about 20 basis points on the non -yield side and you also kind of said that you know there is a very large amount of portfolio which is yet to be repriced . Do you know at what yield would you settle at the end of 2Q and 3Q by any chance?

Ramesh Babu: No, it will be too difficult Mr. Mahesh to be frank enough because we are trying our level best in engaging with various borrowers. So, what all EBLR rate cuts have come, how we are going to make good a part of that also we are working and so rest of the things how it happens we do not know. So, that way Q2 and we may not be able to guide anything at this stage on the fall but however I have told in the guid ance note that there can be another reduction of another 10 basis points in the yield th at what I have guided but this is also a very fai r picture what we have with the current understanding what we have with us.

MB Mahesh: Okay. Now, the reason I ask for the same reason when you guide for a 10 basis point margin contractio n for 2Q…

Ramesh Babu: No, I did not say margin contraction. I talked about the YO A, yield on advances will be down by 10 basis points. So, margin we need to see how it works that way because how cost of deposits will support me I need to see. So, if that support is not coming actually majority of the deposits are not getting repriced , so, this 10 basis point may straight move into that side also we do not know. So, all these permutations combinations we need to work out only while going through only we will be knowing.

MB Mahesh: Okay. And last question, what are the peak savings rate that you cut in the term deposit rate?

Ramesh Babu: We have done at the lowest bucket what all is there up to 1 lakh balances what all are there for that we have brought it. 2% is the rate on that bucket.

MB Mahesh: 2% is on what sir?

Ramesh Babu: Up to 1 lakh balances the rate of interest is 2 %.

MB Mahesh: Okay. And the peak term deposit that you have cut?

Ramesh Babu: Peak is 1 to 2 years and all 6.75, 6.85.

Ramshankar : 7.6 was there that was reduced to 6.85.

Ramesh Babu : 7.5 was brought down to 6.85. 7.5 it used to run there it has been brought down to 6.85 now. In two stages we have brought it.
MB Mahesh: And Rs 118 crores goes on provisioning this quarter , can I have a breakup here?
Ramesh Babu: Rs 118 crores , what do you say sorry?
MB Mahesh: Is there any investment provisioning here?
Ramshankar : No, only on NPA provisioning.
MB Mahesh: Entire 100 %?
Ramesh Babu: No, not only that . We have a break up. 118 is like that NPA provision is Rs 114 cr, standard assets Rs 21 cr, restructured write back of Rs. 15 crores is there and NP investments Rs. 2 crores write back is there that comes to Rs 118 cr. And one more thing Mahesh , in fact let me tell you Rs 114 cr for NPA may not be warranted but what we thought is to maintain the net NPA levels at the same level we have provided so otherwise that Rs 114 cr majority is also not warranted.
MB Mahesh: Perfect. T hat is good.
Ramesh Babu: Thank you . Thanks a lot.
Moderator: Thank you. The next question is from Pritesh B umb from Dam Capital
Pritesh Bumb : Sir, just wanted to take your thoughts on the ROA and ROE. From the last two quarters we have been maintaining a very steady ROA of about 1.7 . Now when there are some repricings going to come next two quarters , what are the levers available for us ? So we have seen this quarter OPEX coming down . Some part of provisioning also coming down . What are the levers available to maintain ROA or will it also be slightly under pressure going ahead?
Ramesh Babu: Yes, 100% you are right . ROA will be under pressure there is no doubt in it . 1.73 we cannot take it that every quarte

r we will be able to do second quarter and third quarter . So this quarter because initially the repricing has happened for a part of the portfolio we are able to manage . Next quarter it may not be . So that is the reason factoring all these points only we have given for the whole year range of 1.55 to 1.65 . It may come down but later Quarter 3, it may stabilize . Quarter 4 may come back again . With all these things keeping in mind we have given an ROA projection of 1.55 to 1.65 . Coming to the levers what you say , one of the good levers we could have found saying that , so we s ee we have booked majority of 5% -5.8% growth in advances in the very first quarter . So the interest we can get it throughout the year nine months which was not so in respect of earlier years . So that way to some extent the interest income will go up there and next coming to other levers if you look at it so we ne ed to see how we need to price our loans what all we are going to book these can be few other levers we can think of so coming to ROA cost also you

have seen that what best we can do we are trying to do that and this quarter is slightly deceptive as far as the return of income is concerned because return of income of Rs. 181 crores we have brought it down this time to Rs. 70 crore, Rs. 55 crore so that may give us some sort of an income again but one more lever which we may or may not use is our treasury the treasury what all the securities the rates are there because high yielding rates are there that can be done that also we can think of but d o not know . So that way if you look at the overall levers are concerned , levers are available , two more main levers what I'll tell you we are focusing on the other income like processing fee , guarantee fee , LC, this also we are focusing on that . Coming to the provisioning part is concerned earlier we have sufficiently provided for the ECL, counter cyclical all this we have provided . So that way the need for provisioning may not go up keeping in view the quality of the assets what we are maintaining . So that way provisions can be a good lever and write -off recovery can be another good lever that way and so cost we can do something and all that also we can manage but all these levers are available to maintain that but keeping all these things also in min d we t hought how it goes to unfold we do not know , we gave an indication of 1.55 to 1.65 . Automatically when the profit is coming on those lines ROE is a derivation derivative of that so because profit is getting added last year itself Rs. 1,900 crores plus profit has been added so on that ROE is coming up . So there can be here and there ROE gaps can be there but the end of March more or less ROE also will be always about 15%, even now also 16 % odd you would have seen that , that should not be a cause of concern .
Pritesh Bumb : Got it, sir. Thank you for that . The second question was on mortgages business . We've seen a strong growth what will be the incremental yield here and what will be a general reset of for pricing here?
Ramesh Babu: Yes, agreed. M arket , in fact I'll tell you when the trade growth is low there is a tons of demand even for the mortgages business . There's an undercutting also is there . We are offering very fine

pricing which we do not want to give otherwise had we given that p ricing our growth instead of 11% we would have grown at 30%. So that way what the current pricing what we are getting is between 9.25 to 9.75 so that's what we are getting . We'll see so how to manage . Currently with these rates we are ab le to go ahead but few people are going for below nine but we are not interested in doing that sort of a business .

Pritesh Bumb : But sir there will be a similar reset for this business as well, I mean, this segment as well.

Ramesh Babu: Yes, absolutely . When the EBLR

link is there the old loans what all I have given there also reset is there that also is going to , that's why overall when we talked about 52% EBLR that includes the mortgage business also , going forward how we are going to manage that's why repricing we are going to do existing accounts also we are approaching them what best we can do to reduce the benefit to pass on and to retain with us . That also our team is ac tively working on that sure sir

Pritesh Bumb : And last data keeping question just wanted to check , you have given non -agri jewel loans as a number and retail loan jewel also . So that's a different number so apart from agri retail jewel loan we also do jewel loans in other segments , right?

Ramesh Babu: Correct . Other segments in the sense that next degree majority jewel loans will come only in the person al segment that is retail segment . A very small quantity here and there any customer requires we may be giving under commercial but commercial the main activity is not jewel loan either the working capital and term loans only so the major two verticals are agriculture as well as the personal banking segment that is retail .

Pritesh Bumb : Got it, sir. Thank you so much for answering all the questions. All the best.

Moderator: That was the last question . I would now like to hand the conference over to Mr. B R amesh Babu, MD & CEO for closing comments .

Ramesh Babu: Thank you all for the interest what you have shown and for a delayed call also . So all of you have been waiting that itself shows how much interest all of you have on the Bank . So we will continue to do well and as per the expectations and we'll deliver as guided . Thank you all and good day to all of you . Thanks.

Moderator: Thank you very much . On behalf of the Karur Vysya B ank that concludes the conference . Thank you for joining us . Ladies and gentlemen , you may now disconnect your lines .

Call: Oct 2025

Classification | REGULATORS
IRC:F48:176:359:2025 October 24, 2025

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor,
Plot No. C -1, ‘G’ Block,
Bandra - Kurla Complex,
Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Unaudited Financial Results of the Bank for the quarter and half year ended September 30, 202 5

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Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transcript of Conference Call held on October 17 , 2025, at 6:00 P.M. (IST), in connection with the Unaudited Financial Results of the Bank for the quarter and half year ended September 30 , 2025 .

The same is also made available on the website of the Bank and can be accessed on the following link:

https://www.kvb.bank.in/docs/investor -con-call-transcript -fy26-2.pdf

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager

Encl: As above

“Karur Vysya Bank Limited
Q2 FY'26 Earnings Conference Call”
October 17, 202 5

MANAGEMENT : MR. B. RAMESH BABU – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – KARUR VYSYA BANK LIMITED

MR. SANKAR BALABHADRAPATRUNI – EXECUTIVE
DIRECTOR – KARUR VYSYA BANK LIMITED
MR. CHANDRASEKARAN – CHIEF OPERATING OFFICER
– KARUR VYSYA BANK LIMITED
MR. RAMSHANKAR – CHIEF FINANCIAL OFFICER –
KARUR VYSYA BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Q2 FY '26 Earnings Conference Call of The Karur Vysya Bank. We have with us today from the management team of KVB represented by Mr. Ramesh Babu, MD and CEO; Mr. Sankar Balabhadrapatruni, Executive Director; M r. Chandrasekaran, Chief Operating Officer; and Mr. Ramshankar, Chief Financial Officer.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch phone Please note that this conference is being recorded.
I now hand the conference over to Mr. Ramesh Babu, MD and CEO, to take us through the highlights of the quarter gone by, after which we will open the floor for questions. Thank you, and over to you, sir.
Ramesh Babu: Yes. Thank you. Thank you, N eerav. So good evening to all of you on behalf of Karur Vysya Bank. I extend a warm welcome to everyone joining our bank's quarter 2 earnings call for the financial year 2026. Team KVB wishes you and your family advance Diwali greetings. Our financial results and accompanying presentation have been made available on our website and trust you have had the opportunity to review them thoroughly in advance of this meeting.
As a recap of discussion in the last 2 calls, in the current financial year, we continue to maintain a cautiously optimistic outlook for the second half of the financial year '25/'26, emphasizing the importance of managing margin pressures and closely moni toring asset quality. We strategically accelerated growth during the first quarter to ensure that our annual targets would be balanced throughout the remainder of the year.
Our current performance indicators are consistent with the guidance previously provided. The sustained inclusive results across all 3 primary metrics, that is growth, profitability and asset quality, underscore the continued strength and resilience of our performance since the year's outset.
I am pleased to announce that the bank has achieved a significant milestone of reaching INR2 lakh crores in business at the conclusion of the second quarter. Notably, the bank has added INR75,000 crores in business over the past 3.5 years. This progress demonstrates that management's initiative regarding key metrics are advancing effectively.
As of 30th September 2025, the bank's total business reached INR2,03,216 crores, reflecting our sustained growth momentum in the second quarter, with an overall business increase of 4% quarter -on-quarter and year -on-year growth of 15%. Advances rose to INR92,724 crores, representing a growth of 4% quarter -on-quarter, while deposits increased to INR1,10,492 crores, achieving a quarter -on-quarter growth of 4%. Both advances and deposits grew by 15% each on year-on-year basis.
Business mix remained same, with RAM verticals constituting 86% of the business, while corporate banking constitutes 14% of the business. RAM verticals grew by 4% quarter -on-quarter basis and 19% on year -on-year basis. Commercial business constituted 36%, followed

by retail at 26% and ABG constituting 24%. Retail advances increased by 7% quarter -on-quarter, primarily driven by growth in jewel loans and mortgage loans. We saw an uptick in BNPL loans during the quarter on account of Dussehra and Diwali festivals.
The synergy between the branch channel and the open market channel continues to progress well as seen by a 13% increase in mortgages during the quarter. The early booking of assets supports consistent interest income recognition throughout the year. Considering the low yield

s and
incre ased competition, we continue to lie low in housing loans and vehicle loans.

The commercial business segment showed a 3% growth over the previous quarter. Though lower sequentially compared with previous quarter, disbursements under small business category grew 35% quarter -on-quarter. However, lower utilizations in working capital facilities of business banking. Business banking, the exposures between INR5 crores to INR25 crores, we will consider as a business banking under the commercial segment, which has slowed the growth. We expect this to be improved in the current quarter due to GST rationalization, etcetera.
The agriculture loan portfolio recorded a growth of 4% during the quarter. Agri jewel loans constituted 91% of the portfolio and other agri loans constituted 9%. LTV of agri -jewel loans is 57.72%, indicating availability of sufficient margins. The prospect of a favorable monsoon across numerous regions is expected to contribute significantly to further growth within this segment. We have also set up a jewel loan sales team, which should further improve our growth in this segment.
With respect to the corporate and institutional loan portfolio, we had indicated in our previous calls that we would invest in corporate instruments of entities to lo ck the yields utilizing these as credit substitutes. This strategy is working out well. Our corporate advances portfolio, including credit substitutes, grew by 5% during the quarter and 7% year -on-year. The portfolio grew by 1% quarter -on-quarter, excluding credit substitutes during the quarter.
The bank's liability business constitutes to 54% of the total business of the bank. I'm happy to share that CASA balances across crossed INR30,000 crores at the conclusion of this quarter. Total deposits increased by 4% during the second quarter, driven by gains both in term deposits and CASA. CASA balances grew by 4% over the same period. Demand deposits and savings deposits grew by 4% each. Additionally, more than the anticipated, end of quarter inflows into current accounts further supported overall dep osit growth.
Our strateg ical focus on higher balances variants in savings account by both branch channel as well as the sales channel is gaining momentum, with savings balances growing by 23% year -on-year under NTB. Similarly, NTB value in CA also grew by 20% year -on-year. For the existing relationships, lot of efforts have been initiated for deeper customer engagement at branch level with our branch sales and service executives.
Retail deposits increased by 2% during the quarter. We had reduced the rates -- interest rates for special term deposit schemes during the quarter, and the growth was slightly tad compared to the previous growth. These front -loaded deposits growth in the f irst quarter itself to fund the

advances growth, hence, which did not affect our CD ratio much, which remained at 83.91% at the end of the quarter.
Before going to margins, I would like to share regarding major recovery of INR295 crores during the quarter from a technically written off account. This comprises of INR157 crores of principal amount and INR139 crores of interest amount. Our interest income is higher by INR139 crores during the quarter, which would affect the margin numbers. However, we have excluded this amount for margin calculations in the presentation to give a realistic picture.
Regarding margins, we had provided guidance in the range of 3.7 to 3.75 for financial year '25/'26. I am pleased to report that we could successfully navigate the quarter and maintained our net interest margin at 3.77%, representing a decrease of 9 basis points from the previous quarter, compared to 19 basis points reduction duri ng the first quarter of the year.
The cost of deposits reduced by 17 basis points on a sequenti

al basis as we had sto pped 2 of our
special deposit schemes during the quarter and reduced the rates in majority of the buckets of our retail term deposits. We also reduced our rates on savings deposits, and sequentially, cost of savings deposits have come down from 2.61% to 2.53% during the second quarter. The repricing of the retail time deposits have started from September and is likely to go till the end of third quarter.
To be competitive and to sustain the growth, we hiked the rates of interest at the end of September. Considering this, we expect a reduction of around 10 basis points during the next quarter in the cost. The yield on advances declined by 24 basis points during the quarter. We had informed that 37% of our EBLR book would be repriced during quarter 2, and the same has been completed.
Our loan portfolio comprised of 54% EBLR linked accounts, 29% MCLR linked and fixed rate accounts to now 15%. With the current visibility, as guided during our earlier calls, we endeavor to maintain our full year guidance of net interest margin at 3.7% to 3.75% for the year '25/'26 as a whole. We have taken lots of steps to improve the margins as we weeded out low -yielding advances last year in corporate portfolio. A similar exercise has been initiated in our retail and

commercial portfolios this year.
The operating profit for the quarter was at INR1,017 crores, reflecting a 25% increase compared to the same quarter in the previous year and 26% sequentially, propelled by the recoveries, as mentioned earlier. Non interest income for the period stood at INR512 crores, increased from INR447 crores in the previous quarter. Recoveries from written -off accounts amounted to INR205 crores, that is INR344 crores including the interest recovery, compared to INR78 crores in the previous quarter.
During this quarter, sovereign yields firmed up by 20 to 40 basis points across the curve following RBI's shift in policy stance from accommodative to neutral. Consequently, treasury gains were limited in quarter 2 compared with quarter 1 gains of INR78 crores. When yields had eased by around 25, 30 basis points in quarter 1.

We had guided recovery from written -off accounts would be like last year and the recoveries would not be even every quarter. But overall, during the year would be around INR600 crores, which we feel will be able to achieve. We had made income by way of sale of PSLC certificates amounting to INR8.5 crores during the quarter.
Our operating expenses for the quarter stood at INR756 crores , representing a sequential increase of INR35 crores. Establishment expenses, that is salaries, allowances remained flat quarter -on-quarter. Other operational expenses increased by INR34 crores over the previous quarter.
The cost -to-income ratio for the half year ended was 44.76%, which remains within the guided range of less than 50%. Net profit for the quarter was at INR574 crores, an increase of 10% quarter -on-quarter and 17% year -on-year.
During the quarter under review, there was a modest increase in fresh slippages. As indicated during the previous call, elevated SMA 30 -plus levels were observed during last quarter due to certain corporate accounts. Fresh slippages for the quarter totalled INR350 crores compared to INR188 c rores in the preceding quarter.
Of this, INR218 crores so out INR350 crores, what I mentioned during quarter 2, INR218 crores originated from the corporate book instead of postponing the issue of the stress. We prefer to recognize now itself so that realization efforts can be commenced fast. Excluding these 2 accounts, we do not identify any additional concerns within our corporate portfolio at present.
To give more comfort, I would like to state that slippages in our noncorporate portfolio have remained same in the last 6 quarters. Sli

ppages at our corporate portfolio also, barring this
quarter, as a one -off case where we saw elevated levels remained at muted levels during last 5 quarters.
During the quarter under review, an allocation of INR250 crores was made towards NPA migrations, standard assets and restructured assets, resulting in a credit cost of 0.27% for the quarter and 0.4% for the half year. We are sufficiently provided for the corporate accounts that slip during the quarter. This increased credit cost needs to be considered as a onetime measure for this quarter and it would return to normal levels from the next quarter o nward s.
SMA 30 -plus levels have come down to 0.27% from 0.6% of the previous quarter, and we are confident in our ability to maintain the slippages ratio below 1% level, as we have previously indicated. In spite of fresh slippages, owing to improved recoveries and upgrades as well as write -offs, our gross NPAs have slightly increased from 0.66% to 0.76%. Our net NPA remains steady at 0.19%, and we are committed to maintaining a net NPA below 1% of our loan portfolio.
The proportion of our standard restructured loan portfolio has further decreased to 0.5% of our total loans and continues to perform satisfactorily. At present, we do not anticipate any significant setbacks or slippages within this segment. Notably, a subs tantial portion is secured by collateral, and we maintain a provision of 45% for this portfolio.

The ROA for the quarter stands at 1.81%, slightly better than the previously guided range of 1.55% to 1.65%. Our CRAR Basel III continues to be healthy and is at 16.58%, providing us comfortable headroom for growth. So as all of you know, the quarter profi t of this year and last quarter half year will not be added for the purpose of CRAR. So the liquidity coverage ratio

continues to be well above the regulatory requirement of 100%.
We had opened 7 branches in the first half of the year, comprising 5 lite branches and 2 regular branches. We have planned to open another 21 branches in the current year. We have already issued a statement last month explaining overall exposure of our customers to the U.S. market and the negligible impact on our portfolio on a ccount of U.S. tariffs. The status remains the same.
When we strive to become better than we are, everything around us becomes better too ,- Paulo Coelho . Our team continues to work harder and have demonstrated spirit in sustaining growth, and we remain confident in our ability to continue this momentum throughout the second half of the year too.
I would like to express my sincere gratitude to all our investors, analysts and stakeholders for their continued confidence and ongoing support. We are committed to upholding this trust through continued strong performance in the future.
To sum up, our guidance for credit growth of about 2% over and above the industry growth continues. NIM s for the full year will be in the range of 3.7% to 3.75%. Our gross NPA is expected to be less than 1.5% and net NPA will be less than 1%. And slippages to be less than 1% of the loan book. And as I told earlier, ROA will be in the range of 1.5% to 1.65%.
So now I'll be glad to respond to your questions. Thank you. Over to N eerav.
Moderator: Thank you very much. The first question is from Akshat Agrawal from SMIFS Capital.
Akshat Agrawal: My first question is on asset quality. Do you see these affected corporate accounts to recover in next few quarters? And how do you see credit cost for the full year? Is it like on the 50 bps range or higher?
Ramesh Babu: Yes. As I told, so if you look at the corporate accounts for the last 4, 5 quarters, the net slippages is in the range of 0.2 to 0.25. That continues. Even this quarter also, if these 2 accounts where actually we found we can absolutely continue for a few m

ore quarters. But when we saw some
sort of issues are there, we felt saying that it is better we bite the bullet earlier so that the realization will be better. So consciously a call is taken within the bank to upfront this one and all to tak e it forward rather than actually handling it after a few quarters.
So if we exclude these 2 accounts of INR218 crores, rest of the corporate portfolio, literally, I can say, SMA 30 -plus is currently 0, and if we exclude this, again, corporate net slippages will be 0.25. So that way, we don't feel corporate is going to hit us in the next half year. There should not be any issue.

Now coming to the credit cost is concerned. Credit cost, you see, there are 2 options for us. First option is, being a substandard 15% leave it and all so within the guidance what all we have given and all of credit cost of 1%, you can continue as and when the maturities happens and all substandard doubtful next year and all, we can provide. No problem at all in that.
But what we thought, when you have the money, it is better to clean the balance sheet. So that is the reason we have sufficiently provided the net NPA is at 0.19% so that way, credit cost will be around 1%, but it is only on account of one -off call taken. It should not be generalized saying that credit costs have gone up on account of this. Earlier what all we have given it stands within that, maybe here and there slightly up and down because based on this onetime slippages of these accounts.
Akshat Agrawal: My next question is on fee income is flat -- roughly flat Q -o-Q. So do we expect it to continue going forward? And what efforts are we -- is the bank taking to enhance it?
Ramesh Babu: I agree, fee income, if you look at it, the asset growth what all have come few of the products and the segments where the processing fee is quite nominal. If you can look at the mortgages, other things, jewel loans, where the growth has come in the first quarter and relatively in the second quarter, it is these accounts we cannot have very good processing fee.
We have grown well actually in the corporate, you will get good fee. So there, actually, we have grown, but not at the same levels in respect of what we have done in the RAM . So this is one part. So disproportionate growth in the advances. So the RAM vertical, that has not allowed us to go with above 1% for the fee. That is first thing.
And the second thing, if you look at it, our other levers of the fee income like guarantees so these things compared to last year, the income has gone up by 10% to 15%. But the overall issue is, compared to the base, this is relatively lower so which we ne ed to further take it forward.
Another big lever which we are talking about is the third -party income. Third -party income also so compared to last year, we may be growing by 10%, 20%, but that may not be sufficient. I agree with you. Earlier, if you see the DuPont, 1.1 used to be there, currently, we may be at 0.93

or 0.94. So that way, this gap of 14 basis points what all are there, we need to fix that. One is on account of the higher growth in the retail segment advances, and this is one. Otherwise, we are on the job as well as the cr oss-sell as well as the non -fund-based business.
Akshat Agrawal: Very well, sir. And on the cost, what kind of -- I mean, you have previously guided 50% for the full year on cost to income. And so do we still expect the cost to increase from here on for investments, pension, actuarial assumptions and so on?
Ramesh Babu: Yes, yes. You see, we have told already very few branches are open ed. 21 branches are yet to be opened. Old branches, what all, are there. In addition to that, there are many new initiatives are there in the pipeline, which we are working. And for these new initiatives, we need to take the experie

nced manpower.

For that, we need to invest on them initially. From day 1, you will not get the result of that. So that way, there can be cost we need to incur. But overall, we will try to manage within the cost to income of 50%, what we have told, that way because corres ponding income is also growing. So that way, we'll be well within the 50% what we have indicated.
Akshat Agrawal: Right, sir. So if I can squeeze in one more question. So if we think about NIMs from like a monthly perspective, do you see them turning around in October, mid -November or something in that perspective?
Ramesh Babu: I agree with you, but there are 2 aspects we need to look at it. So the deposit repricing will start happening. It started already, it will work. But because the term deposits growth is relatively tepid, we need to increase our term deposit rates by 20 bas is points again at the end of September. So that way, what we visualize that sort of a cost reduction, 17 basis points what we have got for the cost of deposits in this quarter, which we may not be able to get, that is the reason we have indicated around 10 basis points. Coming to the asset side, because by first week or before 10, the repricing on account of EBLR has been completed because the last revision was around June 6.
So another issue, what we can see is a lot of competition we are facing. Few of the banks, they are offering some sort of a very finest rates. So while we are willing to forego few of the exposures at those rates because rest of the market also will get spoi led, but few other cases we need to keep the account with them because of the relationship what we had with them.
So on account of the yields, though it looks saying that we have reached the bottom and all, we'll be able to take it forward from here, but there can be here and there on account of the competition, the rates may come down. So that way, as we have indicat ed for the overall whole year 3.7 to 3.75, now having looked at 2 quarters, we are reasonably confident we will be above that confidently.
Moderator: Next question is from the line of Jignesh from AMBIT Capital.
Jignesh: So I had just on this one -off corporate -- 2 corporate accounts, large corporate account s that you spoke about, INR218 crores, that is the exposure that you spoke about. This is something that you identified earlier and now you are recognizing it. And so has this anything to do with the U.S. tariff thing and all? Or this is something which was anyhow there in the pipel ine now, you recognize it? Can you give some color on this? Or what sort of this portfolio was?
Ramesh Babu: Absolutely. Jignesh, you have given me a multiple choice question. So absolutely, it is the pipeline. If you look at our June SMA 30 -plus, it was 0.60. These accounts were there already. So the natural progression, what all, how to become, they have become NPA. They are nothing to do with U.S., because something about transport, something about rice, these sort of things have nothing to do with the U.S.
As far as U.S. is concerned, we have given a clarity saying that we have a miniscule exposure, which we will not have, much issues on account of this textile, which we have a major exposure,

we have clarified last month by uploading in exchange. So these 2 are nowhere connected with U.S. and all. These are earlier were there so it has come out that. That's the only thing.
Jignesh: Understood. Understood. And do you see any impact happening on the growth front because of the tariff? I understand that NPA part, we are more or less sorted. So do you see that incremental

demand, specifically from textile or MSME segment might get impact ed because of this thing? Or do you think th

is will be resolved and this will not much impact our growth estimates altogether?

Ramesh Babu: I'll tell you when you talked about textile U.S., let me just brief you, after our what all inputs, what we have posted in the website. Now we are again in touch with our exporters. So surprisingly, the orders, what they are supposed to get from U.S., many of our exporters are still getting it. The reasons are simple. Suppose if they need to move to Cambodia or Vietnam, majority are based on the polyester, whereas we are good at cotton. So many of them who wanted cotton so they need to come her e. First thing.

And second thing, few brands, actually, they have a relationship for 10 years. So suddenly going to some other countries, the brand also may take a hit there. Second point.

Third thing, first, 25% when the U.S. tariffs have come so people are able to manage. Second one, tariff comes, so a few of the buyers have asked the sellers to absorb 5%. So a few of the others, few of the sellers have started absorbing 5% and a part is b eing absorbed by the U.S. seller, because the Christmas is there, they need their shelves to be there and all. So that way, things are going on well.

For the time being, both they felt saying that it is going on. But somehow both the parties, they feel that within 1 or 2 months, this issue will be resolved. And even last 2 days back also when we are talking to the people for any additional funding suppo rt is required so 3, 4 people who are actually having majority exports to U.S., they have told saying that we may not require, we'll be able to manage whichever show.

And they do not have a piled -up inventory also with them because tactfully what they did was, the piled -up inventory, instead of holding it, it's better to take a hit of 5% and all, send it there. So buyer as well as seller, together, they are sharing the load, and they are pushing it. For the time being, there is no problem.

One more thing also, what we came to know is the manufacturers here, they have in turn gone back to their suppliers. They have told them saying that, now that we have to take a hit and, maybe a few months, all of us, we need to bear this, and if all of us we go out of the business, will be difficult. Can you share a part of this load?

Surprisingly, many of the suppliers have come forward to bear this shock, this short shock, what is there. So that way, the shock has been passed on to buyer at U.S. and a seller here and seller sells. So that way overall things are going on well, not that grim as it looks.

Jignesh: Sure. That's really helpful, sir. And secondly...

Moderator: Jignesh, sorry to interrupt you, your voice is breaking.

Jignesh: Secondly, I just wanted to check, you say that 20 bps kind of rate hike you have done on the deposit side. Is it correct, right? On the term deposit. And then our EBLR book, almost 37% of the book has already been passed on so rate cut has already been pas sed on. So do we se e that 3Q, we will see further?

So I understand for the full year, you're maintaining that 3.70% -3.75% %, but do you see that last quarter, this quarter, the overall sequential decline in margins have been lower? Do you expect that 3Q, there will be further steeper margin cuts? Or do you think it will be manageable in the similar level? I'm saying sequentia l decline will be similar, or do you think there will not be...

Ramesh Babu: It will be more or less similar. It may not be steeper because that's why as earlier I clarified. So the yields are concerned, ideally, it should have been bottomed out. But because of the competition, how it pans out, we do not know, but that may not be a big hit there and all.

As far as cost is concerned, the 17 basis point reduction may not be there, 10 basis points. That's overall, if we can see that th

e third quarter, either there can be an uptick or there can be same quarter whatever, second quarter what all is there we may have to continue. But it looks fourth quarter so normalcy slowly will be restored.

Jignesh: Perfect. Sounds great. And just one data point. I mean, I just wanted to check. You have a material rise in your credit substitute this time. Can you -- corporate side, there is a corporate substitute, I can see it around here in your investor presentation . Can you clarify what is it exactly?

Ramesh Babu: A good question. I'll tell you, earlier, absolutely we are giving everything under a term loan. So term loan when the repricing and EBLR, these things happen and all so these are all susceptible for the rate fall. So that way, what we thought, instead the same corporate, instead of giving a term loan or working capital here, if they have a CP or a bond, something they are issuing there, if we go and book it for 1 year or 2 years, at least you are locking the rate there straight. So that's what we thought, is the same borrower, we would have taken in a normal course, many of them instead of giving them as a fund -based limit in our books, we are giving other side there. So that way we can take care of these rates, we can protect the rates what all are available there.

Jignesh: Understood. And just lastly, we have already done 15.8%, 16%, we are touching the credit growth. Do we see there is further upside to this in the second half? We can go to 16% kind of level? Or do you think this is the same level you will be hanging on.

Ramesh Babu: No, no, I agree with you. So if you look at our few products, how they are growing. So actually, the momentum is there. But the point is the biggest break is the liability growth. Liability growth in the sense that you need to get the correct mix of liabil ity. If that is not coming overall only time deposits you are growing, you grow at 20%, your existing NIM of 3.77%, al l these things will be crashed.

So we wanted to balance between the NIM quality as well as the growth. That is the reason we thought saying that we may have to mellow down our growth, depending upon the liability mix what we are getting and not growth we are getting. Once that pipe is work ing well, we are able to get the funding well, CASA and all these things and all, growing at 18% should not be a problem for the bank.

Moderator: Next question is from the line of Jai Mundhra from ICICI Securities.

Jai Mundhra: Congratulations on the quarter. Sir, on -- I wanted to get this adjustment right. So let us say, this quarter, we had one lumpy recovery. Part of that has come in NII, other income. And let us say, there is lumpy slippages. So just wanted to understand, si r, of this lumpy recovery, how much has flown to NII? You have given the NIM adjustment. But how much of that has gone into -- it looks like it has gone into income on investment, and how much it has gone into other income? And similarly, on these 2, let us say, one -off kind of corporate slippages, how much have you provided? Just to get the, let us say, the one -off -- just to get the normalized NII and the normalized provisions, if you have that bifurcation?

Ramesh Babu: Yes. Jai, in fact, as we have mentioned in the presentation, INR139 crores has gone into interest income and INR156 crores has gone into the written -off recovery. Okay. These 2 are over. So now coming to this INR218 crores of these what all we have, become NPA, I think INR186 crores has been provided out of that as a provision. Because luckily, Jai, great convergence for us, both of them coincidence is there. Both of them are come in the same quarter. We thought it is better we appropriate that so that at least the future i s clean and safe. So INR186 crores of the INR218 crores has already been provided th

ere. And so these 2 are like that. So that way we have balanced it.

Jai Mundhra: Right. That is very helpful, sir. And sir, of this, other INR259 crores of fee income, except the core fee? One -- sorry, how much is the total TWO pool apart from this INR156 crores, and if there's the treasury, if you can quantify?

Ramshankar: Ramshankar here. See treasury gains, we didn't have anything in this quarter. Though last quarter, we had around INR78 crores here, this quarter we did n't have. To give the correct number, see, INR344 crores is the total recovery, okay, for this quarter. Out of this, INR205 crores is coming under other income, INR139 crores are coming under interest income.

Jai Mundhra: Right. So in the other income, it is only INR205 crores, right?

Ramshankar: Yes, INR205 crores.

Jai Mundhra: And treasury is 0?

Ramshankar: Zero, yes.

Ramesh Babu: The treasury didn't make any sense, Jai, because the rates are up and down, that's why we lied low.

Ramshankar: We had around INR6 crores, not material, compared to...

Jai Mundhra: Yes. Negligible, right. Right. And sir, I mean, on ECL, sir, while we have a decent INR200 crores contingent/countercyclical provisions, if you have any -- done any rough math, and we also have the lowest net NPA and a very decent PCR, if you have any initial comment as to do you need to make any additional provision as you transition, this is the rough guidelines?

Ramesh Babu: So in fact, Jai, what all you have said, the same comfort I also have, because INR200 crores is there. And second thing is the decent and the finest NPS, what we have. So this will sail us through comfortably. There should not be a much problem because once the final guidelines come, we can arrive at. You see we are one of the banks, wh ich we have started 1.5 years back itself with ECL. So we are so prepared that way.

So what all is there would be ideally sufficient, but we will look at it. But anyhow, glide path also, they have given for 5 years. We may not choose all those things. So that should not rock the boat of the bank. That's what.

Jai Mundhra: Right. And sir, did I hear correctly that you said that you have raised the term deposit rate by 20 basis points, but you expect 10 basis point decline in overall cost? Is that what you said, cost of deposit? Or what was that?

Ramesh Babu: Correct. I'll clarify how it works. Actually, we may have increased to 6.8%. There are many deposits of the last year above 7%. We get repriced it to 6.8% so that way when they reprice so we will get a benefit of the 10 basis point reduction in the overall cost. That's what we estimate.

Jai Mundhra: So sir, while I believe there are a lot of moving parts on margins and you've kept the margin guidance intact, but assuming there is no further rate cut, the cost of deposits declines by 10 basis points. And let us say, yields more or less have settled bec ause there are no further rate cut, this should be a commensurate increase in NIM, assuming similar competitive intensity, right? Is that the way to look at it?

Ramesh Babu: Subject -- we only mentioned that there are many moving parts. Which part moves how fast, we do not know. So that is the reason we still maintain at 3.7% to 3.75%. And above all suppose you see, when people think of the worst quarter, second quarter so we are at 3.77%. So we have given for the whole year 3.77% so that way first quarter, second quarter, so we may be better off that way.

So for the time being, that's why, Jai, this year is the only year where we are asking some elements, some amount of some flexibility for us because where, what goes, we are unable to know. But we are with you all, what all is the best for the bank, we wil l be trying to do always.

Jai Mundhra: Right. And lastly, sir, the gold loan growth, have you changed

-- I mean this -- the growth has been phenomenal across industry and for you as well, after the final guideline by RBI, have you changed any product tweak, any -- the LTV you mentioned is there , which is very comfortable. But have you made any product launch -- new product launch in the gold, with the revised LTV?

And yes, so that is the question then. And how do you see the growth and the proportion of growth at -- gold loan at 28%? Is that the upper limit or then it can still rise?

Ramesh Babu: No, no. In fact, there's a lot of demand for the gold loan. There is no doubt in it. So as we said, we have increased the rates also. Agriculture has been made 10.25% and retail has been made 11.4%. And both of them, we have made fixed also. Still a lot of demand is there. So what we say is we didn't bring out any new products.

Second thing also I'll tell you, the rigor what we had when earlier guidelines were issued, the same rigor we are trying to continue now also. So that way, we have put in so many checks and balances when the original guidelines have come.

And after that, a lot of controls are there, centralized team, concurrent audit team and everything digitally doing and all and margin calls, everything we are continuing the same, the reappraisals, mystery shopping, all these measures, what we are suppose d to do, we have been doing that way. No additional products. The existing itself what all is there, the demand is coming up and all, even if we have increased the rate. So that way, the momentum is there.

As we said earlier, so the maximum cap can be between 30% to 35%, and we are at 28%. Still we have room to grow. That should not be a problem. And we are growing majorly in the agriculture as well as in the retail segment, the jewel -loan component. Now if we look at our LTV, there are no accounts above 75 now. All accounts are below 75 LTV.

Jai Mundhra: Sure. And sir, this rate, how much was it earlier? So agri 10.25% and retail 11.4%.

Ramesh Babu: 9.75% used to be there, 10.25% it has become. So likewise, the personal segment, how much it used to be like , it used to be 10 -point odd something like that, Jai. They have made it 11.4%.

Moderator: Next question is from the line of M.B. Mahesh from Kotak Securities.

M.B. Mahesh: A couple of questions. One, sir, just a housekeeping question, on this INR274 crores of provisions, can we have a break up of that sir, between loan loss and others?

Ramesh Babu: Provisions breakup. Mahesh, please, 1 second. Just provision breakup we are giving. A slide is there for the gap and all, just 1 second. Yes. Provisions and contingencies I'll tell you, INR261 crores on account of NPA.
Out of that, as I said, the INR186 crores on account of these 2 lumpy accounts and all rest is normal. Standard assets, INR10 crores we have provided. Restructured advances because repayments are there, upgrades are there, INR18 crores, we have reversed it .
M.B. Mahesh: Sir, the other question is pertaining to what was asked in the past by Jai as well. This retail provisions, while I understand it doesn't have an impact for you personally given the levels at which you are, do you still have to make higher than what we tho ught in terms of provisions or we will -- we can continue at the levels at which we are assuming slippages are where it is today?
Ramesh Babu: You are talking about which provisions? ECL provision...

M.B. Mahesh: Sir, ECL. Yes.
Ramesh Babu: No, no. In fact, Mahesh, in fact, we have done that. So just because earlier, we were knowing when RBI will come out of these guidelines. Now a date also has been given something will come out. So it is for rainy day, it is better. Suppose if you are hand -to-mouth, we

are unable to
reach our ROA of 1% and all, doing all these things make sense. Then absolutely are comfortable for a rainy day, it's better we leave it. Once we get a clarity on that, then we can take a call to how much to reverse, how much to appropriate.
M.B. Mahesh: But you don't think that we need to materially alter the provisioning levels at which we are today?
Ramesh Babu: Absolutely.
M.B. Mahesh: Perfect. Second question, sir, on this corporate loans that you continue to wind down, it's now down to one of the lowest levels that we have seen in many years. In what level are you comfortable?
Ramesh Babu: No. In fact, Mahesh, let me be frank, which is not the question of any vertical now. The stage has come, even in a vertical, we are looking at a product which gives us the better yield, risk - adjusted better yield it will give. Suppose if you look at our re tail segment slide, so home loan may be secure and safe, but our growth in the quarter is only 1%. So we have -- so our current focus is to take there the risk and the margins.
Tomorrow, suppose corporate itself is giving the highest margins as well as the risk -free or risk - mitigated return, we do not mind keeping the money there. Second thing, if unlimited amount of flow of deposits are coming CASA just like that whatever, post COVID, when we have come up and all, you need not worry. Anyone asking, even the corporate also, 8%, 7.5%, 7.75%, you could go on lending.
But the money is limited now that money, if I do not deploy it properly, every vertical, every product we are looking at ALCO also, where it has to go, is it going to maximize the yield overall or not? Otherwise, we have more or less brought down a few other products in few segments altogether. Vehicle loans yo u see, we have brought it down.
Until and unless someone is very close and attached to the bank and all for so long, we'll give it. So there is no attachment to any vertical or a product. Wherever bank makes money and risk - mitigated way, then that product and vertical will get the money.
Second thing also, you see, corporate, compared to last 2 years, it started growing. Now the same way instead of putting the money there, we are getting a better yield in the substitute there. We started putting the money there. So that way, if you look at it, overall, the corporate growth is quarter -on-quarter 5% so which is more or less like other verticals. So we cannot say that corporate is not degrowing. The way corporate used to grow has undergone a change.
Moderator: Next question is from the line of Yuvraj Choudhary from Anand Rathi.

Yuvraj Choudhary: Just have one question. We talked about INR295 crores recovery from a large account. So this account, are we the sole lender or was it in a consortium sort of lending?
Ramesh Babu: No, we are the sole lender here.
Yuvraj Choudhary: Okay. Got it. And do we expect any such lumpy recovery maybe in any coming quarters?

Ramesh Babu: No, no. For the time being, we cannot, but we have a good pool and variety many of the initiatives we are taking on many of the accounts. That is the reason, if you can look at my March call, we told saying that we'll be able to get the number of last year INR600 crores, but it may not be evenly we'll be able to get, but in different quarters we'll be able to get that. So here and there, that is there. No lumpy accounts are there, but we'll be able to get the money what all we thought by March.
Moderator: Next question is from the line of Pritesh Bumb from DAM Capital.
Pritesh Bumb: A couple of questions. One, just a clarification, this recovery was part of a regular pool of return of accounts, right? We were supposed to do about INR500 crores, INR600 crores this year, and that is the part of this?
Ramesh Babu: Correct. Perfectly correct.
Pritesh

Bumb: Absolutely. Second question was on -- in terms of growth, you gave an answer earlier in terms of loan growth outlook. But given that there is a pent -up demand, which is coming in vehicle loan, some parts happening in consumer as well. Do we see between, in the retail, we see further mix change in second half?
Ramesh Babu: Vehicle loan is concerned, there may not be a change. The reason is very simple. Our past experience has shown -- anyhow, the higher capital adequacy we have to maintain the risk rate is high. And second thing, the fixed rates, it is when the interest rate s are low, you will be locking in for 3 years or 5 years. And third thing, the delinquency levels are high.
And fourth is when a delinquent account is there repos sessing the vehicle and disposal, then there the loss given default is relatively high. Suppose if we do not have any other better product where you can deploy and get more value and more money, then you may have to go to vehicle loan.
So based on our past experience, what we thought was maybe let us put the money in other products. And as and when we exhaust revenues in other products, then we'll come to the vehicle loan. So for the time being, there can be a spike in the vehicle loan d emand, it may not be there in our bank.
Coming to the consumer segment loan s, You would have seen a slight uptick during this quarter in our consumer loan segments. But we have a good reserve there. So our BNPL program with Axio so what all is there with Amazon, we have created more o r less 90 lakh customers there.

These 90 lakh customers, if you apply different filters through analytics and all, if you bring it down so even if you get 1 lakh or 2 lakh customers for the personal loan, these are tested a lot compared to someone on the road we are going to finance them . So we can -- we are thinking of that. Once it works and we'll be able to work along with our partner on a co -lending basis so which will work well, that is a better risk -mitigated way, and to a known customer than an unknown person.
So these 2 can grow. We are working on that. Vehicle loan will not work, and consumer loan, this way, it will work.
Pritesh Bumb: Got it, sir. And last question, in terms of gold loans, how is our gold pricing done? And I wanted to understand the mechanism, because the prices are moving up quickly, and what period reset it happens at a price?
Ramesh Babu: More or less every 15 days, we can say we will reset the loan. But relatively slightly, we are conservative also. So totally not giving that way, because we do not know what all has gone up, how fast it will come down also. So we sufficiently keep some sor t of margins.
Good thing is with these sort of margins as well as the pricing also, we are able to grow well. So we do not want to be caught on the wrong foot there and all. That's why there are few divisions of the bank, divisions comprised of 50 branches, 60 branches. Their divisions LTV of the gold loan p ortfolio is below 50. Below 50.
So that would be the case, earlier someone has mortgage or pledged 3 ornaments, now at the time of renewal, he may be taking 1 ornament out and all with 2 ornaments, is able to get the money there and all. So that way, overall, if you look at it, so it will work well, but we need not go tweak and give a higher LTV to book the business. The only thing we require is a service.
Pritesh Bumb: Got it, sir. Just, again, to reclarify that, 15 days, we -- every 15 days you reprice...
Ramesh Babu: Around 15 days, we look at what is the market and all. So scientifically, we have a team there and all, they will look at it. And accordingly, they'll change per gram rate, what all is required.
And based on that, we'll be advising the branches and we'll i nput in the system also. So that anyone coming fr

om that day onwards, automatically, they'll be getting the same rate irrespective of the location of the branch.

Moderator: Thank you very much. I would now like to hand the conference over to Mr. Ramesh Babu, MD and CEO, for closing comments.

Ramesh Babu: So once again, thank you all for the interest all of you have shown there and on. So Diwali is in the offing in the next 2 days that way. Happy Diwali to all of you and your family members, and thank you very much again for the encouragement and the guidan ce from all of you. Good day to all of you. Thanks.

Moderator: Thank you very much. On behalf of Karur Vysya Bank, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jan 2026

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IRC:F48: 14:28:2026 January 30, 2026

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor,
Plot No. C -1, 'G' Block,
Bandra - Kurla Complex,
Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Unaudited Financial Results of the Bank for the quarter ended December 31, 202 5

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Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transcript of Conference Call held on January 23, 2026, at 6:00 P.M. (IST), in connection with the Unaudited F inancial Results of the Bank for the quarter ended December 31, 2025 .

The same is also made available on the website of the Bank and can be accessed on the following link:

https://www.kvb.bank.in/docs/investor -con-call-transcript -fy26-3.pdf

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager

Encl: As above

"Karur Vysya Bank Limited
Q3 FY '26 Earnings Conference Call"
January 23, 202 6

MANAGEMENT : MR. RAMESH BABU – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – KARUR VYSYA BANK LIMITED
MR. SANKAR BALABHADRAPATRUNI – EXECUTIVE DIRECTOR – KARUR VYSYA BANK LIMITED
MR. CHANDRASEKARAN M S – CHIEF OPERATING OFFICER – KARUR VYSYA BANK LIMITED
MR. RAMSHANKAR R– CHIEF FINANCIAL OFFICER –

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '26 Earnings Conference Call of the Karur Vysya Bank. We have with us today the management team of KVB, represented by Mr. Ramesh Babu, MD and CEO; Mr. Sankar Balabhadrapatruni , Executive Director; Mr. Chandrasekaran, Chief Operating Officer; and Mr. Ramshankar, CFO .

As a reminder, all participant lines are in a listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star th en zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, to take us through the highlights of the quarter gone by, after which we will open the floor for questions. Thank you, and over to you, si r.

Ramesh Babu Boddu: Thank you. Thank you very much. Good evening to all of you. On behalf of Karur Vysya Bank, I would like to extend a cordial welcome to all participants joining our Q3 earnings call for the financial year '26. Our financial results and the accompanying pres entation are available on our website, and we trust you have reviewed them prior to this meeting.

As discussed during our previous call, we maintain a cautiously optimistic outlook while underscoring the importance of managing margin pressures and diligently monitoring asset quality. Our current performance indicators remain aligned with the guidance p reviously issued. The stability across all 3 key metrics, growth, profitability and asset quality demonstrate the sustained robustness and resilience of our operations since the beginning of the year.

As of 31st December 2025, the bank's total business reached INR2,11,647 crores, reflecting our sustained growth momentum in the third quarter with an overall business increase of 4% quarter -on-quarter and year -on-year increase by 16%. Advances rose to INR97,052 crores, representing a growth of 5% quarter -on-quarter, while deposits increased to INR1,14,595 crores, achieving a quarter -on-quarter growth rate of 4%.

Advance and deposits grew by 17% and 16%, respectively, on year -on-year basis. Business mix remained same with RAM verticals constituting 86% of the business, while corporate banking 14% of the business. RAM verticals grew by 4% quarter -on-quarter basis an d 19% on year -on-year basis. Commercial business constituted 36%, followed by retail at 26% and ABG constituting 24%. Retail advances rose by 6% quarter -on-quarter, largely attributable to the growth in jewel loans and mortgage loans.

The collaboration between the branch channel and open market channel demonstrated ongoing progress, reflected in a 14% increase in mortgage loan volumes during the quarter. Early asset bookings are facilitating steady interest income generation throughout the year. Given the low yields and heightened competition, we have mellowed down towards housing loans and vehicle loans. The commercial business segment recorded 3% growth over the previous quarter. Disbursements in the commercial segment increased by 21% year -on-year to enhance MSME business. We have launched the small business group relationship model across 79 branches identified for their growth potential in this segment, relationship managers are tasked with

acquiring new small business customers, ensuring quality disbursals and sustained customer engagement through the financial year -end before transferring the relationship to the branches. Under commercial segment, we had also exited a few weaker accounts consciously. Conscious of acquisition of accounts, both in terms of quality and pricing allowed few accounts to be taken over

by others due to lower pricing, which did not fit into scheme o f things for our bank. We had also witnessed lower utilizations in sectors like textiles during the quarter.

Our focus on commercial continues and also our approach of balancing risk reward continued during this quarter 2. The agriculture loan portfolio experienced a 4% growth during the quarter. Agri-jewel loans accounted for 91% of the portfolio, while other ag riculture loans comprised of remaining 9%. The loan -to-value ratio for agri -jewel loans is at 55.59%, demonstrating adequate margin availability.

Our continued focus on improving the PAT and customer connect have supported us in

agriculture portfolio growing at 4% during the quarter despite competition. As the portfolio is growing and gold prices are also soaring, we are mindful of maintaining highe r margin, and we have also strengthened our monitoring mechanism to address inherent risks, if any.
The corporate portfolio recorded a 6% quarter -on-quarter growth despite the current interest rate environment presenting challenges for expanding the corporate portfolio, we have identified opportunities in select segments such as commercial real estate, c apital markets, EPC contractors . These areas enable continued portfolio growth while maintaining the desired spread and aligning the bank's risk appetite.
Our corporate advances portfolio, inclusive of credit substitutes grew by 6% during the quarter and registered a 14% year -on-year increase. The bank's liability business constitutes the 54% of the total business of the bank. Total deposits increased by 4% during the third quarter, driven by gains in both retail term deposits and CASA. CASA balances grew by 2% over the same period. Demand deposits grew by 1% and savings deposits grew by 2%.
Additionally, more than the anticipated end of the quarter inflows into the current accounts further supported overall deposit growth. Our strategy to prioritize higher balance variance in savings accounts through both branch and sales channels is showing positive results with year - on-year growth of 6% in savings account balances for new -to-bank customers. Similarly, new - to-bank current accounts value also increased by 10% year -on-year.
Retail deposits grew by 2% during the quarter, a flat growth, reflecting the competition in sourcing of deposits and these deposits grew by 13% year -on-year. With respect to net interest margins, we previously provided guidance in the range of 3.7% to 3.75 % for financial year '25 - '26. I am pleased to announce that we successfully navigated the quarter, achieving an expansion in margins to 3.99%.
This represents a 22 basis points increase from the prior quarter, primarily driven by a 16 basis points reduction in cost of funds and 6 basis points increase in yield of funds. The cost of deposits reduced by 13 basis points on a sequential basis as majo r part of the deposits are repriced during

the quarter. The yield on advances increased by 1 basis point during the quarter. We were able to stem the reduction by improving our fixed rate loans in our asset portfolio mix.
Our fixed rate loan book, which was at 15% in total book as at the end of September, has now increased to 23% at the end of December '25. MCLR loan book has reduced from 29% to 20%. During the same period, EBLR book increased from 54% to 55% Yield on inves tments improved by 4 basis points during the quarter.
This was primarily due to reinvestment and incremental deployment being made at higher yields with a preference for SDLs offering better spreads over central government securities. Additionally, a selective increase in the NSLR portfolio contributed to the overall enhancement in portfolio yields.
Our NIM YTD is 3.88% that is excluding one -off item of the quarter 2 . Considering the rate cut of 0

.25% in December, which would have full effect in Q4. We expect NIM for the full year to be in the range of 3.9% to 3.95%. That's what we presume we need to look at it. Operating profit for the quarter was at INR1,005 crores, representing a 23% increase compared to the same quarter in the prior year.
While the sequential figure appears lower, excluding the onetime interest recovery of INR139 crores in Q2, which it will result in a growth rate of 14%. Noninterest income for the period stood at INR509 crores. Recoveries from written -off accounts amounted to INR179 crores during the quarter. We had guided recoveries from written -off accounts would be around INR600 crores for the full year, and we have achieved INR601 crores till the end of December, including the interest recovery.
We had made income by way of sale of PSLC certificates amounting to INR3.35 crores during the quarter and totally INR14.06 crores in the end of 9 -month period. Our income from bancassurance was INR133 crores YTD as against INR99 crores achieved during the previous year, a growth of 33%. We are continuing our focus on improving our income from bancassurance and non -fund-based business.
Our operating expenses for the quarter stood at INR743 crores, representing a sequential decline of INR14 crores. Establishment expenses, salaries and allowances remained flat quarter -on- quarter. With respect to the new labour codes, we have assessed the impact of these changes to the extent possible and have made an incremental provision of INR1.64 crores during the quarter.
The cost -to-income ratio for the 9 months period ended was 43.98%, which remains within the

guided range of less than 50%. Net profit for the quarter is at INR689.96 crores, an increase of 20% quarter -on-quarter and 25% year -on-year. Fresh slippages for the quarter are INR154.14 crores, that comes to 0.63% on an annualized basis compared to INR350 crores in the preceding quarter.

SMA 30 -plus levels have come down to 0.24% from 0.27% of the previous quarter. And this is for the whole portfolio. That's what all verticals are covered here. It is 0.24%, and we are

confident in our ability to maintain the slippage ratio below 1% levels as we have previously indicated. During the quarter under review, an allocation of INR114 crores was made towards the NPA migration.

NPA migration comes to INR81 crores, standard assets comes to INR17 crores and restructured and other advances INR16 crores, resulting in an annualized credit cost of 0.47% for the quarter and 0.67% for the 9 -month period ended 31st December 2025. Our gross NPA has slightly decreased from 0.76% to 0.71%. Our net NPA remains steady at 0.19%. The proportion of standard restructured loan portfolio has further decreased to 0.45% of our total loans and continues to perform satisfactorily.

At present, we do not anticipate any significant setbacks or slippages within this segment, notably, a substantial portion is secured by collateral, and we maintain a provision of 44% for this portfolio. Our unsecured portfolio is only 1.91% of the total a dvances. Here, we wish to mention saying that so without increasing the unsecured advances to 5% and 10%, we are able to manage rest of the parameters, and we are able to get this NIM of 3.99%. The ROA for the quarter stands at 2.05% improved from 1.81% s equentially and 1.87% for the 9 months period. Our CRAR Basel III continues to be healthy and is at 16.05% without reckoning the current year profit that provides us comfortable headroom for growth. Our liquidity coverage ratio continues to be well above the regulatory requirement of 100%. We had opene d 10 branches in the 9 - month period ended, comprising of 7 light branches and 3 regular branches. We have a plan to open another 6 branches in the last quarter of the year.

I would like t

o touch upon some of the new initiatives which the bank is working on now. We are in the process of revamping our credit card business and likely to launch with new variants by the end of this quarter, but we will grow in a measured way, and we will look at various factors, then only we'll scale it up. We have started affordable housing loans in a small manner, and we are in the final stages of technical integration with the co -lending partner also in addition to the lending. Otherwise, we ha ve planned for the affordable housing in this segment.

Now our MFI portfolio stands at INR207.83 crores as of the end of 31st December, reduced from INR333 crores since 31st December 2024. The MFIN guardrails introduced by the self - regulatory organizations have encouraged MLIs to adopt more prudent, quality -conscious lending practices, prioritizing risk management and long -term portfolio stability. The past concerns about multi -lender risk and delinquency have been addressed to a great extent.

The bank is in a better position to manage and ramp up the portfolio when the segment picked up again in the next year. So all of you know that from April onwards, we started covering under the guarantee cover. So all fresh exposures are covered under the guarantee cover.

I would like to express my sincere gratitude to all the investors, analysts and stakeholders for their continued confidence and ongoing support. We are committed to upholding this trust through continued strong performance in the future.

To sum up, our guidance for credit growth of above 2% of the industry growth continues for the whole year. NIM for the full year will be in the range of 3.9% to 3.95% ROA expected to be above 1.85%, gross net NPA is expected to be less than 1.5% and net NP A to be less than 1%, slippages to be less than 1% of our book.

Before I conclude, I wish to convey that so December 2020, our net profit was INR35 crores and in 5 years, December 2025, our net profit is slightly short of INR10 crores – INR700 crores which has grown by 20x during this 5 years. I sincerely thank each one of you. Many of you have given tons of guidance to us, and they have been giving us feedback also. All this has

helped us to perform this journey. We are grateful to each one of you fo r this wonderful journey, how you have helped us. So now I'll be glad to respond to your questions. Thank you.
Moderator: We'll take our first question from the line of Jai Mundhra from ICICI Securities.
Jai Mundhra: Congratulations on a fantastic number. Sir, my first question is on NII, right? So last quarter, we had said that cost of deposit may not decline as much, whereas there was anyway pressure on yields. You mentioned the change in the loan mix in terms of flo ating things , etc. But apart from that, was there any other one -off, any other non -business as usual thing, which would have added either interest income or cost of deposit?
Ramesh Babu Boddu: Jai, thank you very much for the good words. Nothing actually because I'll tell you, last time also when we were mentioning, when we looked at our repricing of the deposit, major chunk of the deposits have come up in this quarter for the repricing. That ha s really helped us to reprice the deposit.
Other than that, no one -off item like last quarter to what we had, nothing is there you also know how much of importance we give for the transparency. Last quarter also when it was there, we have shown everywhere with and without if had we had that sort of a number this time, we would have definitely shown there is absolutely no one -off. I t is absolutely the sweat.
Jai Mundhra: Sure. No, no. I trusted so, but the number looks incredibly good. So that was the question... ?
Ramesh Babu Boddu: I'll tell you what is the reason also. The reason is a lot of emphasis is given o

n the yields. Suppose
there is very absolutely, it is very easy to grow the top line because many banks are offering competitive rates and all. Had we given those rates, we would have grown. So we have compromised to some extent on the growth of the advances because other side, when there is an issue as far as deposits is concerned, you cannot be so liberal in the pricing.
So every committee, every committee headed by ED, CGM, everyone, including the Board -level committees, they are appreciated by the fact that risk reward needs to be maintained. That helped us a lot.
Jai Mundhra: Right, sir. And sir, this fixed to floating to fixed rate is mainly gold, right? And it may continue considering we have a lot of gold loan portfolio, right? So as and when it gets renewed, it can be converted ?

Ramesh Babu Boddu: That's the reason you have seen that. So the gold loan portfolio, even after we made it fixed. So there is no dip. The same tempo is continuing. Here, the differentiator is the customer connect and the TAT, what our branches and the counter teams they main tain, that is helping us a lot to continue the growth with the fixed rate at a higher rate , that also.
Jai Mundhra: Right. So -- and sir, as you guided that ROA will be above 1.85%. So -- and as you mentioned, there is no one -off sort of a thing and there are no asset quality risk on horizon. This is now a step-up, right? Earlier, we were saying 1.6%, 1.65%. Now this is clearly we are on the next level in terms of ROA trajectory as of now?
Ramesh Babu Boddu: Jai, it looks like that. It looks like that actually because when we are focusing on what we are supposed to do, the numbers have derived from the efforts what we have made. But now if you look at it, everything is more or less organically what all we have done, no one -off and nothing has come here.
Jai Mundhra: Right, sir. Sir, 2 questions more. One is any quantum of this -- have any customer of ours who are into exporting things, have they come and asked for any dispensation under that trade relief measure? Or any -- I mean, last time you had given some number i n terms of how sensitive is the portfolio? Anything quantification there?
Ramesh Babu Boddu: Yes. In fact, only one customer out of the entire lot, they have come and they ask for a very small portion of that. They have asked for dispensation. For the benefit of others also, I'll just share what is happening on the ground. And we have been continu ously in touch with the exporters who are dealing with the exporters. And currently, none of them, they have approached us for an additional funding or any sort of issues.
When we are talking to them also, they said that -- so big firms in U.S., still they are continuing. And a few of them, they also mentioned that up to March 2026, their order book is there. So diversifying into other countries is not that easy, though we m ay think of that because U.S. offers scale and other countries are there, each one they have a customization, small, small quantities need to be manufactured.
So that's why this sort of a course correction will take some time. But good thing is the customers have that sort of a strength. They are able to manage the show and all. So we didn't find any issues even for the dispensation also as on date.
Jai Mundhra: Right, sir. And my last question is, sir, on your term extension, right? So we are now 6 months

ahead of the -- broadly 6 months behind this thing. Just wanted to check, sir, when -- I mean, has your proposal -- I mean, when does the Board send the name to RBI and if you can clarify anything from your intent. I'm not asking you to speculate on regulator, but your term extension, sir.
Ramesh Babu Boddu: No, no. Jai, I think you have not seen 5 .00 o'clock , we have already uploaded in the stock exchange about my ex

tension.
Jai Mundhra: Okay. Sorry, sir. I missed that...

Ramesh Babu Boddu: Board has -- let me be very frank with all of you. Board has been insisting for a 3 -year term extension for me. And they are very comfortable. They were saying that I need to take it. So then I felt saying that because I need to balance the bank as well as my personal commitments also. So finally, I took a call for an extension of 2 years.
That will practically, if you look at it, 2.5 years from now onwards, so I'll be continuing there and all. In the meanwhile, what all other things are there for that, all these things will be taken care of smoother transition and all. So that way at 5:00, we have uploaded about my extension for 2 years. And RBI will be approached and for the approval.
Moderator: We'll take our next question from the line of Rikin Shah from IIFL.
Rikin Shah: Congratulations on again one more quarter of good numbers. Sir, just 2 questions. The first one is on yield on advances. Even adjusted for the one -off in the last quarter, the yield on advances are broadly stable. So have you not seen any pricing pressure or even repricing of the earlier repo rate cuts or MCLR into your loan mix? Or is it the mix is changing favourably , which is why you are able to sustain your advance yields? So that's the first one.
And the second one is, given that agri book has been a reasonably big book, and we have seen some large private banks seeing some regulatory actions taken against the PSL classification. So if you could talk about what's the issue at hand and whether that is something that even we need to watch out here?
Ramesh Babu Boddu: Thank you, Rikin. Thank you. First thing is regarding the yield on advances, what you said is correct because last -- if we leave the December rate cut, September 6, more or less first week, second week, all our earlier loans got repriced. So that way we f elt saying that second quarter is concerned, at least a few months, we have got the benefit of interest at a higher rate. But whereas in the third quarter, right from October 1 onwards, we were getting at a lower rate only.
Ideally, had we left it that way, we would have got a hit. But what we did, some of the low -yielding accounts, what all are there, either exiting or engaging with them for a higher pricing. And not only that shifting the rates, floating to fixed rate at a higher rate, all these things have supported us. So that way, we are able to maintain 9.76% to 9.77%, same levels we are able to maintain that.
But next quarter, if you look at it, so it may not be the same way because this 25 basis point rate cut of December will kick in. So we need to see how it works out there. Coming to the ABG's concern, agriculture. So the -- our 91% of the portfolio is agri culture -jewel loans. Last year, luckily, Reserve Bank of India has consolidated and gave a clarity. And later, when banks have represented, they have given so many relaxations on that.
So up to some amount, actually, you need not do these things and all. So we have followed all those things. And April 1 onwards, all these guidelines will kick in. But in the meanwhile, also what all is required, we are working on that. And I can tell you, before the RBI guidelines itself, even for the gold loans, more than 1, 1.5 years back itself, we started working, so like

background check, verification, the document, what they have, centralized teams creation of all these things and all.
So whether the scale of finance is followed, all these things, even for the gold loans also we started. That is the reason as and when the RBI guidelines have come, it was relatively easier for us to seamlessly to migrate to the new system. So that way, in t

ernally, we have been looking at
this particular point and all. We feel we are in line with the guidelines.
Rikin Shah: Got it, sir. And no issues regarding the tagging of the PSLs or the end user of the...
Ramesh Babu Boddu: No, no nothing, nothing there.
Moderator: We'll take our next question from the line of Suraj Das from Sundaram Mutual Fund. Since there is no response, we'll move on to the next question. The next question is from the line of Rohan Mandora from Equirus Securities.
Rohan Mandora: Congrats on a good set of numbers. Sir, you made a comment that on the deposit side, a good amount of repricing is done. But if I look at the peak TD rates, we had seen a good cut of around 65-odd basis points from May to July. So should the repricing of t his not be there in the forthcoming 2 quarters? Just trying to understand how the cost of funds can move incrementally here.
Ramesh Babu Boddu: I agree with you. Yes, it may not move the same way as the benefit what we have got because when we bucket it quarter -wise, what all the accounts, what are the deposits to be repriced. So it got bunched up majority because we started a product like 400, 44 4 days, those sort of products when we have launched 1.5 years back, they got majority matured in this quarter. That's why we could get the benefit of it.
Next quarter onwards, it will be normalcy. In fact, when we look at it, there are a few deposits which are having a lower pricing than currently we are offering for a lower period. Those deposits, if they get repriced, we may have to pay a higher price on the deposit also, but that may not be much. But overall, if you look at it, what all the benefit we have got it in this quarter may not continue in the next quarter for the deposit cost.
Rohan Mandora: Sure sir, any quantify on what proportion of our term deposits would have repriced this quarter?
Ramesh Babu Boddu: This quarter around 20%, something like that got repriced.
Rohan Mandora: 20% more or less . And sir, second is on the technical write -off pool, like what is the outstanding number? And what kind of recoveries can we expect in FY '27?
Ramesh Babu Boddu: No, I agreed, but I'll tell you it's slightly a deceptive thing of thinking because the technical write -off accounts are there with NCLT. So you will not have any visibility when the money will come out because legal proceedings are going on. And second th ing, even if finally, NCLT, these things come out also, how much is the value we are going to get out of that is also not known.

So that's why what we are doing wherever these sort of securities are there, where we are able to get the court orders, we are expediting the courts also for taking the physical position. On a running basis, we have put special teams on this job and gettin g that -- and we have put teams for the asset disposal also. One, we have put a team for the legal, centralized legal team. They are exclusively working on expediting the legal cases and getting the physical position.
Second side, asset disposal team also we have created. And these 2, that wherever assets are there, our focus is on that, and we are trying to push them, giving a fixed number like in advances, how much you can grow deposit because there are so many ifs an d buts are there, which are not under control. So we may not be able to give any guidance on that number at this stage for '27.
But this year, we had some sort of a visibility. That is the reason around first quarter, second quarter when this number has been asked by one of the analysts, we are told around INR600 crores. We are on track as far as the guidance is concerned.
Rohan Mandora: Right. But from a pool outstanding perspective, what would that number be?
Ramesh Babu Boddu: Pool outstanding, that's what I'm saying. Suppose the securities, wh

at all are available can be
around INR2,500 crores. Let's assume where landed properties are available. The point is the moment you go for that, there can be an injunction. So then it gets stuck.
So that way straight away, you cannot say the INR2,500 crores this year, I'll get INR1,500 crores. It's not like that because legality issues are there and all. So many things we need to work out what best can be done to salvage and get the money, we are on the job.
Rohan Mandora: Got it. Got it. Because -- so this 1.85% plus guidance, does it hold for FY '27 as well, ROA?
Ramesh Babu Boddu: No, no, '27, I have not yet spoken anything. Still we are in '26. Let us get the '26 numbers March. When the March numbers, when we come, we'll spell out what are our thoughts on the guidance.
Moderator: Next question is from the line of Param Subramanian from Investec.
Param Subramanian: Congrats on the quarter. Sir, I wanted to ask what is the LCR for this quarter? And what is the impact of the LCR circular for us that applies from FY '27?
Ramesh Babu Boddu: I agree. But you see in my initial statement, I mentioned we are always above 100%. It hovers around 120%, 133%. But even if this sort of effect is there, it can be around 5 basis points...

Param Subramanian: Sorry, sir, 133% was the average for last quarter...
Ramesh Babu Boddu: Not average. Average for last quarter is 133%. If this effect is there, it can be around 5 basis points here and there can happen.
Ramshankar : Not 5 basis points. 2% to 3%

Ramesh Babu Boddu: 10 basis points, 2% to 3% -- sorry, not basis points percentage. Percentage, 2 to 3 percentage can come down. You take it that way, 5% on upper limit, you take it that way, which can have a bearing.
Param Subramanian: Okay, sir. So 133%, so can fall by 2, 3 percentage points. And last quarter, you were at 135%. So it has not fallen much, your LCR in this...
Ramesh Babu Boddu: Quarter 2 to quarter 3, you are talking?
Param Subramanian: Yes, yes, yes.
Ramesh Babu Boddu: Yes, yes, true.
Param Subramanian: Okay. Okay. And sir, have any of your exposures across exporters, have they seen -- have any of them taken the moratorium benefit from RBI or even that …?
Ramesh Babu Boddu: Not moratorium actually, a small benefit, only one customer, very small accounts, they have taken it. Other than that, no one has approached us also.
Param Subramanian: Okay. Okay. And sir, could you talk a little bit about, say, your loan growth outlook, sir, for next year?
Ramesh Babu Boddu: It is too early here because the reason is every quarter, we need to pass through. The question is not the question of growing in the loan book. All loan vertical engines are firing. Now whether we'll be able to fund them with proper raw material. I understand, I suppose if you give 0.5% more on the deposit, you will be able to raise money, then it doesn't look nice, having taking a bearing on the margins and the sort of money.
So if we are able to get the proper money, which we can deploy actually, loan verticals are fine.
So we need to work more on the deposit front to get the -- to fund these loan verticals. That's it.
Param Subramanian: But you are very comfortable at an LCR of 133%. I mean you're way above the private bank peers. So I mean, because...
Ramesh Babu Boddu: Understand one thing, not only LCR, you have a CD ratio also you have to keep in mind. So various things are there within which you need to balance that way. So that's the reason we also started seeing -- we started investing in the credit substitutes . These NCDs , we have started pushing that there also. So various things, what can be done, we are doing. So let us see, but next year, this thing, we will see next quarter when the quarter end results will come, we'll give a guidance for that.
Param Subramani

an: Congrats on your tenure extension.
Moderator: We'll take our next question from the line of Anand Dama from Emkay Global.

Anand Dama: Congratulations on a great set of results and 2 years extension that you have taken, we would have loved to have you for more years. But nevertheless, sir, what is the succession plan that the bank is looking at, whether we will...
Ramesh Babu Boddu: Today, 5:00 only we uploaded. You are talking about succession. Give some time yaar.
Anand Dama: No, no. Sir, when I think you would have asked for a 2 -year extension, I think they would have...
Ramesh Babu Boddu: Board and myself will sit together, we'll plan for that, 2.5 years' time is there from now because it's 2028 July, end of July. So that enough time is there. Don't worry. Absolutely will be taken care of. So it will be absolutely seamless. Don't worry on t hat.
Anand Dama: Got it. Because I think City Union Bank also had a similar situation, and they already had the CEO and they have done it pretty smooth. We expect that also to happen with Karur Vysya Bank. That is what we would request...
Ramesh Babu Boddu: No, no, we'll do that. We'll do that. Don't worry on that, please.
Anand Dama: Sure, sure. Sir, secondly, we have been growing our LAP book meaningfully. So what is basically driving that book? Is it that we have become more aggressive? Is the market basically opened up for us? We have hired someone. If you can just basically talk ab out the LAP book, that will be very helpful.

Ramesh Babu Boddu: No, no. You see LAP book, actually, market opening up, it started 4, 5 years back itself when we have experimented with NEO and open market channel. We have done that. Later, what we did, the learnings what we have got in the vertical, we started instituti onalizing them in the branches also. In addition to that, what we did, we have started around 20 branches on mortgage -focused branches, the existing branches, wherever focus is there, we started mobilizing LAP and other loans related to mortgage loans in t hese branches.
And to some extent, so the good practices of the OMC channel have been brought into these branches. After that, a few more branches we have identified in a blended model, we are going for that. So that way, the number of branches as well as the acquisition teams, which are working on this have been going up year -on-year. So that is showing up in the LAP book.
Moderator: Next question is from the line of Parth Gutka from 360 ONE Capital.
Parth Gutka: Sir, what's happen ing -- it's been de -growing on a quarter -on-quarter basis for last several quarters.
Ramesh Babu Boddu: Which one? Sorry, your voice got broken. De -growing …?
Parth Gutka: I'll repeat myself. Sir, within the vehicle book, it's been de -growing on a quarter -on-quarter basis for the last several quarters …?
Ramesh Babu Boddu: I can give a guidance to you for the next year also. Okay. It will de -grow subsequently also. The reason is very simple. When the rates were there actually at a high level also, so that is a case

where the delinquency levels are high. And absolutely, the capital cost is 150%. And with these things, the LGD is also high. Loss given default, once you possess -- repossess the vehicle, sell it with all these things and the upfront commission .
What you need to pay to the dealer, which you need to amortize over a period of time, with all these things, we thought if we have a better avenue for deploying the fund, it is better. We do that. But when the deposits business is absolutely for growth itself is difficult for many banks. When we are able to have other alternative deployment avenues, we did go for that.
So now if the rates are the lowest, it doesn't ma

ke much sense to go for a fixed rate loan at such a lowest rate for 3 years, 4 years, 5 years. So we may not have even much focus on the vehicle loan for some more time.
Parth Gutka: Sure, sir. And my next question is, what proportion of your deposits reprice in Q4, repriced downwards, I mean?
Ramesh Babu Boddu: No, around -- yes, between 10% to 15%. I think lower side also, you can think around 10%, you can think of that because last quarter, only 20% to 25% was there. That sort of a number is not there in this quarter. And above that what I told in the earlier r esponse also you would have seen, there are a few deposits with lower pricing than currently we are offering, they are also getting repriced.
So on those cases, you may have to pay the current pricing also. So overall, net debt, that is a very small portion, I'm saying that. But overall, the benefit what we have got in quarter 3, we may not be able to get in quarter 4.
Parth Gutka: Sure, sir. And my last question is also borrowings have gone up on a Q -o-Q basis substantially despite we seeing good deposit growth. So anything to read into it?
Ramesh Babu Boddu: No, you see the question is simple. If the cost of borrowing is relatively cheaper than what I am raising as a deposit. So it makes sense for us to borrow the money. And next thing, suppose if you are investing in the credit substitutes and other things an d all, so naturally, suppose both of them to match each other that way.
So you are able to make money from the borrowings as well as the investment treasury instruments, what you have invested there. So that is only a tactical call to manage the treasury nothing beyond that. So if the deposit comes at a cheaper rate, definitel y, we'll go for that.
Moderator: Next question is from the line of Jignesh Shial from Ambit Capital.
Jignesh Shial: Congrats on a good set of numbers. I just had on borrowings, I also had the same question, but now that as you answered. Similar manner, sir, if we see your slippages, if I adjust for that INR200 crore s plus kind of slippage for last quarter that has happened from your 2 corporate accounts, sequentially, we are seeing the overall fresh slippages have seen a kind of a surge. So can you just elaborate what is it exactly that are we seeing it, which account s or which areas?
Ramesh Babu Boddu: No, no. Where did you find that sort of a surge? Surge is …

Jignesh Shial: Yes. So basically, last quarter slippages that there have been 2 large accounts that we -- 2 corporate accounts we have basically recognized, right? And that basically, yes. So if I adjust for it, then I'll see that apart from it, that if I adjust for it, then sequentially, I'm seeing a kind of a rise. Is it coming up from -- again from corporates or how -- if you can give some color on the fresh slippages.
Ramesh Babu Boddu: This quarter, there is no slippage from the corporate majorly, I'll tell you. So, it has come from rest of the RAM verticals only. It can be a commercial or somewhere some sort of MFI accounts, what all is there earlier, what all INR203 crore s balance and all that have come up and all few retail accounts would have come. So -- but one thing we need to see that majority slippages, what all they come up, 5 years back and now there's a difference. 5, 7 years back, these slippages were majori ty unsecured and corporate.
Now even if the slippages have come up also, they are more or less backed by security. So though not now we'll be able to recover the money in a matter of 1, 1.5 years that way because we are equally active. So you don't get worried because the slippages i s absolutely under control. It is spread over all the verticals, and there is no bunching up in a particular vertical.
Jignesh Shial: Perfect. Secondly, even if you see, sir, the write -off pool, I mean,

total write -offs that we have
done during this -- I mean, this 9 months, that also seems to be a little higher number. So any particular thing -- I mean, any reason for it? Or how do we r ead into it?
Ramesh Babu Boddu: No, no, nothing particular. What we did simple is -- suppose if we have a gross NPA and we have money, we have provided for that. When good times are there, it is better, we provide that. So automatically, after reduction only, you show a net NPA. So every one knows what is a net NPA, how much we have provided by just writing it off -- writing it off, both on the asset side as well as the provision side, we are reducing it just to clean it up.
In fact, in the whole process, we are a loser because had we retained these numbers, our credit growth numbers would have been much better. Because we are writing it off, we are a loser. Still what we felt is making a clean balance sheet is much better tha n showing a number for getting a credit growth and these sort of things.
Jignesh Shial: Understood. But is it fair to assume that because it's a little looking higher than what your historical average has been? So is it fair to assume that this kind of trend will continue in coming periods? Or it is kind of this year only?
Ramesh Babu Boddu: Point you would have seen our total gross NPAs are in the range of INR600 crores, INR650 crores. So you cannot write off the amounts also what you require and our net NPA is below INR200 crores. INR400 crores has already been provided. So there is nothing needed to write off from now onwards. So it may mellow down from now onwards.
Jignesh Shial: Understood. Understood. Secondly, sir, this -- you already have answered, but our investment yields have been doing pretty -- I mean, has been improving or remaining quite stronger. So this is to the shift that you are talking about, right, from this side to -- and that's the reason why this is -- and this strategy is going to continue going forward as well.

Ramesh Babu Boddu: No, not only that you see. One is G -Sec to that. Second thing, when we started investing in the corporate bonds, corporate bonds, which is fitting into our risk appetite, in fact, a few of the corporate bonds, there are our customers also instead of taking an exposure as a cash credit or a term loan in our books, we have taken other side where the operating cost is relatively low and you are able to lock the funding there also.
You do not have the issue of the priority sector for the investments what you have made there and all. So that way, a few of the cases from this side, we have booked there. We are getting a better yield compared to placing the money in a G -Sec.
Jignesh Shial: Understood. Understood. Finally, on the branches and the opex front, sir. So we have added, I think, 10 branches this 9 months, right, out of which 7 lite branches and 6 more you are planning to add up in the 4Q. Is this correct?
Ramesh Babu Boddu: Correct, correct. You're right.
Jignesh Shial: Yes. So this is relatively lower than what we have done in previous years and all.
Ramesh Babu Boddu: I agree with you. I fully agree with you what happened. We have been working on them, but we are not getting the suitable premises in few other locations. So to meet our target of branch opening, if we see some sort of a second -rated premises and go for th at, we need to live with that for the next 15, 20 years. That's why we told saying that we will not compromise on the

proper branch premises. Once we get that, then only we'll go for that.
Jignesh Shial: Okay. Understood. So when we are saying that we are opening, say, half of your branch additions, 6 or 7 have been lite branches and all. So even if I see your opex , other opex or more importantly, your employee charge, that looks almost flat sequentially, no major growth an

d all.
So is it to do with this light branches and all? Or how do we see that?
Ramesh Babu Boddu: No, no, Litet branches overall, if you look at it, in the whole scheme of things, it's 40 to 50 branches. So the tail will not be able to wag actually the dog that way. So this is a small portion of that. We have done many things also as far as the staff expenses, the se things are also productivity because the staff numbers, if you look at it, the staff numbers have plateaued and it is lower than the earlier numbers, what all are there.
So that way we look at it where productivity is not up to the mark, we got out of them and the existing teams, how to improve the productivity, we started working on that. Many measures what we have taken are really working and showing in the numbers.
Jignesh Shial: Perfect. That answers it. So can I get the number of employees as on date, as on December and then as on March? Is it possible to get it? The total workforce ?
Ramesh Babu Boddu: Yes, yes, absolutely. I'm able to tell that. So …
Ramshankar t: 9,700.
Ramesh Babu Boddu: 9,788. Something there. 9,700 you can take it. Yes, that's it.

Jignesh Shial: That's quite helpful. Congrats on your extension of 2 years, sir.
Moderator: Next question is from the line of Rohan Mandora from Equirus Securities.
Rohan Mandora: I wanted to know what was the treasury gain this quarter?
Ramesh Babu Boddu: What is it?
Rohan Mandora: An outstanding -- treasury trading gains ?
Ramesh Babu Boddu: Treasury trading gains, it is quite marginal because we didn't too much activities. We didn't sell many of the securities also because we thought when the pricing will come down and all at that time, we can look at it. So that's why we did...
Ramshankar : INR16 crores.
Ramesh Babu Boddu: INR16 crores. That is more or less last time also, if you look at it, December -- September was INR6 crores. Now it is INR16 crores. Last year, December also, if you see, it was INR18 crores.
So it is more or less moving in the same range that way.
Rohan Mandora: Sure, sir. And sir, out of this INR179 crores of TW recoveries, what was the interest component?
Ramesh Babu Boddu: Yes, this is all full normal. Unlike quarter 2, it is not like that this time. So our interest numbers, what we have shown are pure interest gain, what we have actually earned.
Rohan Mandora: Okay. And sir, on Slide 20, the disclosure that you've given on investments, if I look at the outstanding investments as of the quarter end and multiply it with the yield that you have given 6.64 that comes to almost INR500 crores of interest income for the quarter. and we have reported INR498 crores, very close to that number.
So obviously, there would have been some movement of investment book and others. So I just want to understand like what exactly happened in that portfolio because it's like jumped very much on interest on investment ?
Ramesh Babu Boddu: That's what I was mentioning. So one thing is rebalancing of the investment portfolio, what we have done, which used to be there in the G -Sec and all, we have shifted somewhere where within our risk appetite, what we can go for the SDLs. Second thing, so c orporate book earlier, which we were taking into our own loan book, we have those customers who have the sort of NCDs and treasury instruments.
We have booked the business there actually so that we are getting a better yield there, and we are able to lock in and the operating cost is much lower. And above all, we have the benefit of the Priority sector also for that. So all these things supported us in a better yield on the investments.
Rohan Mandora: But the investment book would have been higher during the quarter, and there has been a runoff towards the end of the quarter? Is that something that would have happened?

Ramesh Babu Boddu: Investment book, you see INR30,156 crores now. September ending, it is INR28,198 crores. So that way, if you look at it has gone up by INR2,000 crores.
Rohan Mandora: Yes. So that's what I was saying, INR29,780 crores into INR6.6 crores. When we are taking the peak numbers, that is into INR500 crores exactly.
Ramesh Babu Boddu: Correct. But how much is the investment income we have got it …
Rohan Mandora: INR498 crores is what you are reporting ?
Ramesh Babu Boddu: You cannot count like that. These 2 numbers straight away because the average would be moving here and there. The pricing also, the yield also must be moving here and there.
Rohan Mandora: Okay. So 6.64 is not the average for the quarter ?
Ramesh Babu Boddu: Otherwise, one thing -- we'll do one thing. So CFO will work on that. We'll come back to you on that.
Rohan Mandora: And sir, lastly -- yes, sir, lastly, do you have any refinance facilities?
Ramesh Babu Boddu: Yes, we have the refinance because like I suppose NABARD as well as SIDBI , wherever these refinance facilities are there to the extent possible, we have been drawing the refinance.
Rohan Mandora: Sure. So sir, what will be outstanding or what... ?
Ramesh Babu Boddu: Ideally, I may not be able to tell you that also our CFO will share with you, okay?
Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, for closing comments. Over to you, sir.
Ramesh Babu Boddu: So once again, thank you all for the wonderful guidance, encouragement and the support given and all. So as assured whole team, KVB will work for making the bank much more stronger and to meet the expectations of all of you. Thank you, very much, and good day, to all of you. Thank you.
Moderator: Thank you, sir. On behalf of the Karur Vysya Bank, that concludes this conference. Thank you for joining us . And you may now disconnect your lines.

Call: May 2026

“Karur Vysya Bank Limited
Q4 FY '26 Earnings Conference Call”
May 07, 202 6

MANAGEMENT : MR. RAMESH BABU – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – KARUR VYSYA BANK
LIMITED
MR. SANKAR BALABHADRAPATRUNI – EXECUTIVE
DIRECTOR – KARUR VYSYA BANK LIMITED
MR. CHANDRASEKARAN M S – CHIEF OPERATING
OFFICER – KARUR VYSYA BANK LIMITED
MR. RAMSHANKAR R– CHIEF FINANCIAL OFFICER –
KARUR VYSYA BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '26 Earnings Conference Call of The Karur Vysya Bank. We have with us today the management team of KVB, represented by Mr. Ramesh Babu, MD and CEO; Mr. Sankar Balabhadrapatruni, Executive Director; Mr. Chandrasekaran, Chief Operating Officer; and Mr. Rams hankar, CFO. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, to take us through the highlights of the quarter gone by, after which we will open the floor for questions. Thank you, and over to you, sir.
B. Ramesh Babu: Yes. Thank you, ma'am. Good evening to all of you. First of all, sincere apologies from our side. There is a technical glitch, and we have been trying for the last 10 minutes, and there's a disturbance in the call. That's why we couldn't. So sorry again, once again for all -- to keep all of you waiting. So again, good evening. And on behalf of Karur Vysya Bank, I extend a warm welcome to all the participants joining our earnings call for the fourth quar ter of the financial year 2026.
Our financial results and accompanying presentation have been made available on our website, and I trust you have reviewed them thoroughly prior to this call. We are pleased to report that our performance indicators for the financial year '25 -'26 are fully aligned with the guidance provided at the outset of the year. This alignment is a testament to the effectiveness of our strategies and operational discipline. It is particularly encouraging to observe that our performance has consistently surpassed our guidance across 3 key metrics , growth, profitability and asset quality.
Our growth trajectory has been robust, reflecting our commitment to expanding business operations and enhancing value for all stakeholders. Profitability has remained strong throughout the year, underscoring our focus on prudent financial management and sustained earnings. Furthermore, asset quality continues to be well maintained, reaffirming our dedication to sound risk practices and inclusive banki ng.

The bank 's total business stands at INR 2,14,420 crores as on 31st March 2026 as compared to previous year INR1,86,569 crores, registering a growth of 15%. The advances stand at INR98,754 crores and deposits grew to INR1,15,666 crores with a growth of 17% and 13%, respectively. With respect to business mix of our advances portfolio, RAM Verticals have grown by 18% year -on-year, 2% quarter -on-quarter, constituting 86% of our overall advances portfolio.
Retail loan book increased its share to 27%, agri remained at 25% and commercial book at 35%. You may find a moderation in the growth of advances in the last quarter of the year as we took a conscious call in advances growth, considering the geopolitical situations and not to

take unwarranted risk in the growth as we had front -ended our advances growth comfortably in the first 3 quarters.
Retail advance

s increased by 25% over the year, 3% quarter -on-quarter, primarily due to
growth in mortgage and jewel loans. The collaboration we established between the branch channel and open market channel at the start of the year paid off as evidenced by 56% year -on-year, 9% quarter -on-quarter rise in mortgage loan volumes. Retail jewel loans saw a 61% annual i ncrease, 5% quarter -on-quarter.
Housing loans grew modestly by 2%, reflecting low yields and greater competition. Due to a management change with our BNPL partner midyear and due to elevated household leverage, growth was negative compared to previous year. With operations now stable, we anticipate growth in the c urrent year.
The outstandings of our BNPL book is INR798 crores as at 31st March 2026. The agriculture book demonstrated a year -on-year growth of 19%, 5% on quarter -on-quarter with agri jewel loans constituting 91% of the portfolio and other agriculture loans representing remaining 9%. The loan -to-value ratio for agri jewel loans stands at 55.59%, indicating sufficient margin availability.
Our sustained emphasis on enhancing turnaround time and customer engagement has contributed to the agriculture portfolio's 5% growth during the year despite competitive pressure. Given both the expanding portfolio and increase in gold prices, we remain vigilant in maintaining higher margins and have reinforced our monitoring mechanism to mitigate inherent risk as necessary.
The MFI portfolio stood at INR173 crores, representing just 0.18% of our total portfolio. CGFMU coverage commenced from 1st April, though 1st April, actually, the real disbursement s started in June. So at present, the situation has stabilized. Collection efficiency has improved. Guardrails have been implemented and guarantee coverage has been secured. Going forward, we will assess growth under this segment in a measured and strategic manner.
The commercial business grew 11.56% year -on-year, but had a flat growth during the last quarter of the year. As mentioned in my previous call, we continue to exit a few weaker accounts consciously, conscious of acquisition of accounts, both in terms of quality and pricing, allowed a few accounts to be taken over by others due to lower pricing, which did not fit into the scheme of things for our bank.
In addition to this, we needed to be mindful of the impact on this segment due to the geopolitical tensions that started in the last quarter. Disbursement growth from NTB was 25% during the year and 29%, including the ETB customers book. However, in the last quarter, utilization of working capital accounts were lower.
To improve the MSME business, we initiated relationship model to strengthen capacity building and drive sustainable growth -- sustainable growth in the small business group segment with estimated manpower of around 100 relationship managers. Already, 72 of them

are in place. The primary focus of this team would be to source new relationships. The corporate portfolio achieved a growth of 12% over the past year, which was degrowing up to last year.
Strategic opportunities were identified within segments such as commercial real estate, capital

markets and EPC contractors, which contributed to this progress despite challenges associated with the prevailing interest rate environment. These sectors supported sustained portfolio expansion while preserving the required spread and remaining consisten t with the bank's risk profile.
In response to external conditions, growth was moderated in the final quarter. Including credit substitutes, our corporate advances portfolio posted a 20% year -on-year increase. With respect to credit substitutes, incremental growth during the year was INR969 crores. We had focused ETB customers with an external rating of A and above and were able to offer fin er pricing in

credit substitutes compared to the loans.
In the meanwhile, the offer, final pricing in the sense we are able to get a better pricing in the credit substitutes than the loans. The Transaction Banking Group plays a key role in the bank's digital transformation agenda by providing API first real -time banking capabilities for corporates and MSME clients, scalable bulk payment infrastructure supporting payroll, vendor and B2B settlement and automated trade finance and supply chain monitoring workflows.
TBG remains committed to supporting the bank's efforts to maintain a diversified portfolio and also to strengthen strategic relationship with leading corporate clients. Our unsecured loan book is at 1.81% of the total advances as at the end of March 2026, which is one of the lowest amongst the peers. Our partnerships for co -lending with NBFCs continue to perform well, and the loan book under this segment is about INR249 crores.
We had deliberately reduced the book as it was not ROA accretive. As mentioned earlier, as our RAM Verticals are sustaining their organic growth momentum, we would keep this co -lending as secondary to our organic growth. The bank's liability business constitutes to 54% of the total business of the bank. Total deposits grew by 13.31% during the year, driven by gains in both retail term deposits and CASA.
CASA balances grew by 12% and INR3,290 crores is the actual growth during this year as against INR677 crores during last year, highest in the last 10 years in terms of actual growth. So demand deposits grew by 10% compared to 1% growth in the corresponding period of previous year. Savings deposits grew by 13% with incremental growth of INR2,505 crores, which is again the highest in terms of the actual amount.
The total deposits, excluding certificate of deposits, grew by 2.66% on a quarter -on-quarter basis. The subdued growth in term deposits in the last quarter was a conscious call taken. You are aware that we front -loaded our retail deposit growth in the first quarter itself with a growth of 5.3%. We also did not go for bulk deposits at the fag end of the year. Our bulk deposits grew by 9% year -on-year as against 44% in the corresponding previous period.

Certificate of deposits was a tune of INR1,773 crores were also reduced during last quarter. This was a determined decision to optimize funding costs given the elevated CD rates during March. As all of you know, it ranged between 7.75% and sometimes 8.5% for 3 months to 1 year. These efforts substantially reduced our cost of funds by 9 basis points in the last quarter. All these were taken considering a moderation in advances growth and need to maintain margins in mind in the last quarter of the year. And assisted with this, the normal repricing of the RTD what has happened also, that also supported us a lot in the reduction in the cost of funds as well as cost of deposit. Our approach to focusing on higher balance savings account variance through both branch and sales channels has delivered encouraging outcomes.
The average balances for newly acquired customers have demonstrated robust year -on-year progress in current accounts, savings accounts and overall CASA with an annual growth of 44%. Existing customers contributed a 4% increase this year, indicating that there are options available for customers to allocate their funds outside of traditional banking channels. Overall, the combined portfolio shows consistent advancement in acquisition quality and relationship strength, helping to build a more resilie nt and balanced CASA franchise.
The bank is strengthening its presence outside Tamil Nadu by partnering with institutional clients and state government bodies to capture recurring payment flows, which directly enhance deposits and customer visibility across these markets. Retail dep

osits increased by
11% during the quarter compared to 8.59% previously, demonstrating the branches' focus on attracting stable granular retail de posits for long -term stability.
In terms of margins, '25 -'26 year was marked by sustained pressure throughout the year. Rising funding costs and repo rate reductions till the third quarter of the year created ongoing

challenges for the banks. With respect to net interest margins, we provided a guidance in the range of 3.7% to 3.75% for financial year '25 -'26 at the beginning of the year. We improved the guidance in the last call that NIM would be around 3.9% to 3.95% for the full year. I'm happy to say that we were able to maintain a NIM for the full year at 3.97%.
If you can look at it, 4.11% actually, including one -off, the interest from the written -off accounts as well as the interest on income tax refund. So if you exclude that, it is 3.97%, which is literally as per just above our guidance. NIM for the fourth quarter was 4.25%, excluding 7 basis points interest income from tax refund -- income tax refund. This represents a 26 basis points increase from the prior quarter, primarily driven by 9 basis points reduction in the cost of funds and 18 basis points inc rease in yield of funds.
The cost of deposits reduced by 13 basis points on a sequential basis as a major part of the deposits repriced during the year. The yield on advances increased by 16 basis points during the quarter. We were able to stem the reduction by improving our fixed rate loans in our asset portfolio mix. Our fixed rate loan book, which was at 23% in the total book at the end of December has now increased to 29% at the end of March '26. MCLR loan book has reduced from 20% to 14%.

During the same period, EBLR book remained at 55%. Yield on investment has increased by 19 basis points during the quarter. For the full year, yield on investments was 6.68%, showing an increase of 7 basis points from 6.61% of the previous year. We have achieved operating profit of INR1,247 crores for the quarter and INR4,075 crores for the full year, a gr owth of 27% over previous year.
Our net profit touched a high of INR725 crores for th e quarter and INR2,500 crores for the full year, a growth of 29%. So all of you must be knowing this quarter profit as well as the annual profit are highest in the history of the bank. Our operating expenses for the quarter is INR728 crores. Establishment expenses was at INR341 crores, decreased sequenti ally from INR363 crores , mainly due to lower pension obligations on account of increase in discount rates.
Other opex increased to INR 387 crores from INR380 crores sequentially, mainly on account of increase in rents, repairs and maintenance and channel -related fee, DSA commission and tech - related expenses. For full year under review, opex had gone up by 2.45% over previous year.
For the quarter under review, we have provided a sum of INR116 crores towards NPA migrations, aging provisions and INR7 crores for standard assets.
We had a reversal of INR10 crores on release of provisions under restructured advances.
Credit cost works out to 0.45% on an annualized basis. We have provided prudentially INR163 crores, I repeat INR163 crores is a onetime towards sectors identified that may get affected due to ongoing geopolitical tensions. So total provisions, including standard restructured, NPA, prudential and floating provisions as at the end of the year is INR1,747 crores, which work s out to 1.77% of our advances.
Our gross slippages during the quarter was at INR187 crores. And for the full year, it was INR744 crores, which is 0.75% of our loan book. Slippage ratio, it is for the full year. If you can look at it, during the second quarter, we had some sort of a chunky slippages were there. So it comes to around INR200 crores. So I

NR744 crores includes the INR200 crores also.
SMA 30 -plus numbers were at INR172 crores at the end of March '26, which is 0.17% of our loan book, reduced from 0.3% of the previous year, indicating continued grip over this aspect.
With our persistent focus on recovery from technically written -off accounts, we were able to recover a sum of INR216 crores during the quarter. Total recoveries during the year is INR679 crores from the written -off accounts, excluding INR139 crores interest recovery, which we have got it in one of the quarters, earlier quarters as against INR638 crores of 2024 -'25. Our gross NPA has come down marginally to 0.75% as against 0.76% of last year.
Our net NPA remains at the level of 0.19%, and we would continue to maintain net NPA at less than 1% of our loan book. Our standard restructured book is further reduced to 0.41% of our loan book, and the book is performing well, and we do not foresee any major setbacks, slippages from the book. Above all, many of them are backed by real estate collateral, and we are holding a 40 % provision for the said books.
Our cost -to-income ratio for the quarter is 37%, supported by higher recoveries, interest on income tax refund and lower establishment costs. And this is for the quarter and 42% for the

full year, which is within the guidance of below 50%. Our CRAR continues to be healthy and is at 18.76%, providing us comfortable headroom for growth. There may not be any need to raise money in financial year '26 -'27 for the growth plan as our plough -back of net profits wil l take care of our growth plan.
Our LCR is at 125.47%. The share of digital transaction stands at 98%. We have rolled out our new version of our mobile DLite app with enhanced features during the year. I'm happy to say that the rating for this app is 4.8 in Google Play, Google Play Store and 4.6 in Apple Store, and there are 2.5 million monthly active users for our DLite app and 7 million DLite downloads for the app. We have achieved an ROA of 2.1% in this quarter and 1.93% for the full year.
I'm happy to share that we have declared a dividend of 130% as declared last year, and this is subject to shareholders' approval. Of course, we need to see, so last year, we have issued a bonus share. So every 5 shares, 1 bonus share, we have given it. So this year, when we are paying this 130%, so the payout will be relatively more because we'll be paying on the bonus shares what we have issued.
Now let me move on to what we intend to do in financial year '26 -'27. The global financial system faces significant challenges and uncertainty. Geoeconomic fragmentation driven by tariffs, trade restrictions and industrial policies is reshaping supply chains and fragmenting financial movement. As stated in April 2026 monetary policy, high frequency data up to February 2026 show continued economic growth led by strong priv ate consumption and investment.
However, conflict in West Asia could impede progress, increased input costs from energy prices, freight, insurance and supply chain disruptions are expected to limit expansion. The MPC noted that the conflict's intensity and duration, along with related infrastructure damage raised risks for inflation and growth. India's economy remains resilient with strong fundamentals to absorb shocks.
It is prudent to wait and watch the changing circumstances and the evolving growth inflation outlook. Considering all the above, the outlook for '26 -'27 remains cautious, moderated growth. We need to navigate the challenges carefully without compromising on the quality, which we have got it all along with a lot of efforts. We expect our credit growth to be 1% or 2% over the industry growth.
We have been focusing on margins for the past 2 years -- past few years. Considering the current scenario, we must take a strate

gic bet on preserving relationships over margins. We
need to balance both top line as well as the bottom line. Our RAM Verticals would continue to sustain the momentum. With respect to commercial, the relationship manager model approach under small business group would focus on increas e in the ticket size in th at segment. Business banking team would focus on non -fund business and export -orient customers for increase in transaction -based fee income in addition to regularly what they do the working capital business. Under MSME segment, we may need to compromise on margins to some

extent. In retail assets, our main goal is to further enhance collaboration between branch es and the open market channel.
Over the past year, the bank has established a partnership for affordable housing, which will be expanded cautiously. We plan to launch premium credit cards in the first year of this year.
LAP segment is experiencing strong pricing competition, making both customer retention and new acquisition a bit challenging. If we focus solely on maintaining margins, quality might become a concern. Our IT integration for loan against mutual fund is at the fag end and is expected to be launched in the first half of this year.
Given the uncertainty in the external environment, it will be necessary to pursue corporate lending in a risk -calibrated approach. Under credit substitutes, we will be focusing more nonfinancial services customers for this year. The jewel loans portfolio encompassing all verticals accounts for 30% of the bank's overall portfolio. We maintain an internal cap of 35%, growth will be pursued in either retail or agriculture segments based on prevailing circumstances as increased expansion in retail would also indirectl y elevate the PSL requirements.
We continue to focus on enhanced monitoring to take care of gold price fluctuations. Our

credit business mix, RAM and corporate would be in the mix of [18% to 20% as what we were mentioning earlier. However, it may toggle between another 5% allowance here and there can be there. Within the liability segment, we will maintain our dual approach of pursuing new acquisitions and strengthening existing partnerships.

This vertical has transitioned from traditional deposit mobilization to a technology -enabled transaction anchored franchise. Key focus areas include enhancing transaction banking services, expanding merchant ecosystems through expedited merchant acquisition and increasing CASA by leveraging institutional business initiatives. A dedicated NRI channel is planned to be rolled out. With respect to margins, we expect that NIMs to be in the range of 3.75% to 3.8% for the full year, though we are at 4% plus at the exit quarter of this year.

So we envisage a drop in margins due to expected rate increase in the retail time deposits. So you would have seen that we already increased rates in April 2026, and it will kick in from this quarter itself, the higher cost of deposits. In addition to that, we expect a drop in the yields on the advances side due to prevailing competition and to retain the relationships. Considering the uncertainties in the market, there may be fluctuations during the quarters.

Our endeavor is to maintain within the above range for the full year. So you can recollect that last year also, we have conveyed the same thing when we are giving the full year guidance. So 1 quarter can be here and there, but our endeavor is to deliver that number within the full year. So tactically, depending upon the opportunities available, we will be taking calls. One quarter may be low, 1 quarter may be high, but we 'll keep in mind the full year.

We expect 15 to 20 basis points investment portfolio yield, yield enhancement through strategic rebalancing of the HTM portfolio during '26 -'27. Our duration is relatively

low at less

than 4 years. We will maintain around 4 to 4.5 years in the medium term. Portfolio tilted with

the yield curve expectation at any point of time. Our efforts on recoveries will continue, and we will take e fforts to sustain the momentum.

With respect to branch expansion, we are planning to open 50 branches. Out of that 38 will be regular and 7 will be liteand another 5, we are going to shortlist shortly. So to the extent possible, how best we can front -load in the first half year, we will see that so that we'll get the benefit in the second quarter from these branches opened. Our cost -to-income ratio would be below 50% as we have been continuously planning, and we'll endeavor to retain that way.

GNPA is expected to be less than 1.5% and net NPA to be less than 1% for the full year. Slippages would be expected to be below 1% of the asset book. LCR would be maintained around 115% to 120%. RBI has issued final ECL provisioning guidelines, which we are reviewing. The bank has maintained adequate provisions and buffers through floating and prudential provisions over the past 3 years. With strong asset quality and provisions to advances at 1.77%, we expect minimal impact from this transition.

The bank recognizes that environmental, social and governance principles are fundamental to sustainable growth and responsible banking. Our commitment extends beyond compliance, focusing on real -world impact through ethical governance, environmental stewardship and social responsibility. By integrating ESG into our core business strategy, the bank aims to enhance financial resilience while contri buting to a sustainable future.

Our ESG rating has improved to 68, which implies is a strong rating for the financial year '24 -'25. It is awarded by CRISIL, demonstrating continuous enhancement in nonfinancial performance. We achieved a return on assets of 1.93% for the whole year of financial year '26 and 2.1% in the last quarter. There were one -off items for '25 -'26 that contributed t o 0.12% to our ROA calculation.

Given the current macroeconomic environment and the anticipated effects on the net interest margins discussed earlier, we expect the ROA for the full year to be between 1.7% to 1.8%. Nonetheless, we remain committed to exceeding the expectations to the extent possible. So our primary areas of focus will be to continue to have the focus on the growth, asset quality and profitability.

We understand the environment. It will be volatile, but we are prepared to adapt while keeping these core metrics strong. Finally, I'm grateful to all the investors, analysts and stakeholders for their confidence and continued support, which we will reciprocate through our better performance in the years to come.

Now I'll be much glad to respond to your questions. Thank you. Thank you, all.

Moderator: Thank you very much. We will take our fir st question from the line of Jai Mund hra from ICICI Securities. Please go ahead.

Jai Mundhra: Yes. Congratulations on a strong set of numbers. Sir, first, I just want to reconcile on the guidance part that you said. ROA is clear. But net interest margin, you said that we -- even for

the last year, we started guiding at 3.75%, 3.80%, but we delivered 3.97%. Sorry, what is the guidance for FY '27, sir, on margin?

B. Ramesh Babu: In fact, I mentioned between 3.75% to 3.8%. So , in fact -- thank you, first of all, for the compliments. And now for this reason, 3.75% to 3.8% also, I elaborately explained the reasons why we wanted to do. Fundamentally, if you look at it, there are a few factors we need to keep in mind.

The cost of deposits, though we were thinking saying that the environment will be much easier and all you will be able to

get that. But still there is some sort of a tightness in the market. That is the reason we expect the cost of deposits to go up further, retail deposits also. And the second thing on the yield, so we have been pretty holding the rates -- interest rates, in the process, we find the leakages have become more.

Many of the existing accounts when others are offering very finest rates, we are losing. Now the stage has come, getting back these connections will become pretty difficult over a period of time if we still hold these rates so strong. So we may have to concede and reduce the rates to existing customers and also for the acquisition also, we have to be in the market, though as I said, our ETB, the disbursements are 29% on the commercial. So it may taper over a period of time.

That is the reason we need to take a conscious call, having such a strong NIM is good to have, but not at the cost of continuously losing the top line. So that is the reason what we thought, keeping all these things in mind. So we may have to compromise to some extent on the NIMs in this year. T hat's why I suggested for 3.7% to 3.8%.

Jai Mundhra: Right, sir. And sir, any numerical guidance on the growth part, sir, at overall level? I heard that gold, we have still internal scope, but what would be the overall book growth could look like?

B. Ramesh Babu: Yes, Jai, if you can look at it last year, we have conveyed 2% over the industry. So you would have seen RBI last data at the end of March, 16.1%. Exactly, we are more or less 18% now. 18% if you look at our RAM also 18%. If we take the corporate, which was not growing earlier also, if we include the credit substitutes, it has come out 18%. So what we planned it has come.

That is the reason we were relatively a bit slow in our quarter 4 when the pricing was pretty high. So we low. Otherwise, growing in credit is not a big task now. Engines are faring well. If you are unable to do inorganically growing also pretty easy, you can go for a pool purchase and buy that. But the point is for that you need to raise the deposits in such a way pretty costly and that you need to deploy that, which is not making any economic sense. That is the reason what we thought.

So let us confine to 18% and maintain the margins. This year also what the guidance I gave is, particularly in respect to the credit, so it will be 1% or 2% over the market or industry. Coming to the deposits is concerned, it will be derived from the credit growth, what all we are getting because earlier we were looking at the CD ratio. Now we will look at the LCR. So what all to

the extent LCR permits and where we need to be in the range of 115% to 120%, we'll be mobilizing the deposits that too in a combination where CASA and so that our cost of deposits are under control.

Jai Mundhra: Right, sir. And last question is on -- sorry, on gold yield. Sir, what would be a blended gold yield on -- I mean the majority of the gold is agri gold. So what is the blended yield? I mean the gold having higher growth that also has favorable impact on the overall yield, right? That is correct or that is no t?

B. Ramesh Babu: Absolutely, correct, you are right that way. But if you look at it as you were mentioning 91% of our portfolio under agri is gold loan. So that is at 11%, that is at 11% when we are funding it and all. And rest is concerned, it's a smaller amount that way. But if you look at this agri portfolio also, everything is not repriced. Still a part of that under still MCLR. So that way a

small portion is below that rate. And even if something is more under the retail, the average if we can take it, it can be between 10.75 % to 11% you can take it.
Jai Mundhra: Okay, understood sir. And this quarter while I understood that there is some INR21, INR22 crores of interest IT refund, where that

number, that amount is in interest on advances line or where is that? And apart from loan mix change, sir, what have, what helped in the uptick in the loan yield, because [inaudible 0:35:29]
Moderator : Jai, I'm sorry, you're sounding muffled. Can you repeat your question, please?
Jai Mundhra: Yes, sir, my question is where is the INR22 crores of interest on IT r efund in which line item? And…
B. Ramesh Babu: Yes, it is in the other interest income. Jai, it is in the other interest income. So...
: That is in the interest income line only. Part of interest income , when you are talking about NIM, we have excluded that income.
B. Ramesh Babu: Footnote was there at the star t. So we excluded that. So it's a part of interest only, we've included that, yes.
Jai Mundhra: Sure. I'm saying, sir, the loan yield, apart from loan mix change, corporate did not grow and retail agri grew. Was there any other thing which helped in the uptick in the loan yields on a Q-o-Q basis?
B. Ramesh Babu: Yes, yes, agreed. Yes, to the extent possible, suppose a few of the low -yielding advances, which is not making sense for us to the risk -reward portfolio, risk basis, if we are losing those accounts, automatically, rest of the portfolio, the yield will go up.
Jai Mundhra: Right, right. No, my only thing, sir, going ahead, when interest rates were to go up in retail deposit, you can also increase the MCLR, right? I mean the competitive intensit y is one thing, but [inaudible 0:36:48]?

B. Ramesh Babu: Now it has come down drastically. Suppose 55% is under MCLR, 30% is under fixed now, 15% is there. So out of that, how much you can play around.
Moderator: Thank you. Next question is from the line of Pr itesh Bumb from DAM Capital. Please go ahead .
Pritesh Bumb : Yes, sir. Just 2 questions. One is on this prudential provisions of INR160-odd crores, what kind of sectors we would have taken it on? And what would be the ticket sizes?
B. Ramesh Babu: In fact, there are a few sectors which actually have a risk when we saw it can be, let us say, to some extent, textile also we have taken, okay? Like ceramics, we have taken, fertilizers, we have taken, chemicals, we have taken that way. To some extent, these granite quartz, all these things are also taken. And a few other sectors also we have taken where it can be a direct or indirect bearing will be there. Those sectors critically, they have seen that, based on the sector -wise, a call has been taken, how much we need to provide for that.
Pritesh Bumb : And sir, ticket size for that, I mean, broadly?
B. Ramesh Babu: Ticket size is based on a portfolio basis. On the portfolio, suppose if you take -- yes, there is textile portfolio is this, some sort of a working we have done that. How much is vulnerable, how much is susceptible, these things are seen. So with the different cuts and this thing and all, working has been done in consultation with the business verticals, risk has taken a call. So we thought it is worth it to keep that money rather than later repenting for that.
Pritesh Bumb : Sure. Just a follow -up on that. As the EC LGS scheme is now approved by the government, do we think that most of these accounts will be eligible in that and there could be reversal of these provisions?
B. Ramesh Babu: No, we have yet to see. You -- if you can recollect, you may not be looking at our position in 2020 when the sort of restructuring these provisions have come up. So we were one o f the banks who had very tight g ating conditions. Wherever actual genuine necessity is there, we have permitted a few things not for the sake of doing and to postpone the impending problem, we never allowed that .
So that was the reason, at that time, we were getting a feeling we will have more hits compared to other banks, but we thought it is better to b

ite the bullet at that time. But later, hindsight if you look at it, our restructuring percentage is lowest amongst many banks. Now also, just now the scheme has come out, we need to l ook at it. We need to work out.
But the same principle we'll try to follow. Wherever absolutely a helping hand is required, definitely we'll come forward. But for the sake of restructuring and to postpone the problem, we may not do. So all these things we need to work and then we need to see. Now it will be

too premature to say anything about that.

Pritesh Bumb : Sure. Second question was on the fixed rate book. You mentioned that it moved to 29% now. Apart from jewel loans, what kind of products would have contributed to that? And from here on, where do you see that mix to end up at?
B. Ramesh Babu: I can very well say a major portion is fixed rate because if you look at another product, vehicle loans will have to go into that one. But if you look at our vehicle loan portfolio for the last 3 years, it has been coming down. The reasons are many number of times I was mentioning, the pricing at these rates, if we give it, you may be locking in for 3 to 5 years, first thing. And second thing, the delinquency levels on the fixed rate vehicle book is pretty high.
And third thing upfront commission you have to pay for the dealer, which cannot be amortized. With all these things, we stayed away from the vehicle loan book for the time being as a tactical approach. As and when it makes sense, we'll go. So with all these things, when we look at it, the majority, majority of the portfolio is jewel loans only.
Pritesh Bumb : Got it. And last question will be on write -off. This quarter write -off is slightly lower than the usual trend, which we have been seeing. Anything to read into that?
B. Ramesh Babu: No, you see the point is we were one of the banks with below 1% gross NPA. We are at 0.75%. So provision -wise, when the net NPA is around INR200 crores, comfortably you can provide. But there is no need to go for a write -off. That's why consciously, we have gone for a lower write -off compared to earlier years. So the ratios are okay, recovery is going on, with all these things, why should you go for an aggressive and accelerated write -off. That's the simple reason.
Moderator: Thank you. We will take our next question from the line of Rohan Mandora from Equ irus Securities. Please go ahead.
Rohan Mandora : Congrats on good set of numbers. Sir, this is regarding your question on -- your guidance on yields probably falling in next year. So I just want to understand like, like what's changing on the ground that will drive this competitive pressure on yields, because like if you look at the business environment, the liquidity that PSU banks have, that thing has been coming down over the last few quarters. So their ability to price at a very competitive rates would be lower incrementally. So what is that? Or is it just that you are giving a very conservative guidance to be able to beat that? How should we read on the guidance on the yield?
B. Ramesh Babu: Yes, Rohan...
Rohan Mandora : Is now anything -- or is there something else that we -- that you would want to highlight there?
B. Ramesh Babu: I'll respond to each of the points. Don't worry. So Rohan, thank you very much for the compliment. Now coming to the competition and the yields, I can very well say so market has much, much moved ahead as far as the concession pricing. And we have been holding to our pricing all along. Now the stage has come now. If we do not budge the good accounts what all we have, we may have to lose. So now we need to strike a balance betwee n the top line and bottom line.

Now tomorrow, if the growth is coming on

ly 8%, 9%, and if we maintain an ROA and NIM of
4.25% or 4%, all these things, it doesn't make much sense. We have to go in tandem. So that is the reason what we thought. The competition is coming from many corners, including a few private banks as well as public sector banks. So the point is to the extent possible, keeping the relationship that we have been maintaining.
Now stage may come, we may not be able to maintain. In that process, there can be an exodus of accounts in a particular geography. If a set of people know saying that such and such bank is offering such a rate and someone has gone there, there is every possibility along with the 10 more accounts may go out. So you need to be mindful of the fact that -- so what is the breaking point beyond that you cann ot work.
Now somehow I feel the way the market has moved now and all, I agree, how this sort of a pricing risk -reward and all, theoretically, it will not work, but somehow theory is something different from the practice. So practically something what people quote and we are looking at

the sanction letters, approval letters also. So naturally, when the customer brings, you may have to yield .

So that way, what I said instead of having a future competition, I say competition has already come in 1 or 2 years back itself, we have been holding. Now we need to r elent . Now coming to the public sector banks, what you said. Agreed, even then if you look at it, many of them are not in the 85% CD ratio also. The earlier concept of CD ratio has gone out now to some extent, and everyone is looking at the LCR.

Through LCR, how much is there ammunition with each one, we do not know. Naturally, if everyone loses their ammunition, if the pricing goes up, it will be good for us also, then we'll be able to comfortably give a better guidance. If you look at the last quarter, when we felt saying that the things have improved. On our own, we made the guidance of 3.9% to 3.95%. Market didn't demand for that. Despite that, we did it. The same is the case here. When we see bright spots saying that we will be able to command the pricing what we wanted and all, definitely, we'll come back and we'll revise our guidance.

Rohan Mandora : Sure. And sir, the risk of losing these accounts is to which category of banks, the large 5 banks or any other cohort as well?

B. Ramesh Babu: No, no, let us not talk about the competition. Competition can be from any corner. So that's why I do not want to name any bank in this.

Rohan Mandora : Sure. And sir, secondly, in terms of the on -ground activity within your borrower set in the past 2 months, even the macro environment where we are. So like if you can just share what is the business momentum there? What kind of an impact are you seeing in the sectors where you started creating provisions? Some color around that would be helpful.

B. Ramesh Babu: Yes. If you look at it, actually, textiles is one sector where you find saying that we have some sort of an exposure, particularly in our backyard, I can say is there. So they had the problem of

tariff issues. And when tariff issues have come out now and all, suddenly other issues have come out now like not getting the vessels, these things.

Now suppose if we feel the U.S. government is refunding the tax, that also uncertainty is there, whether they'll get a part of the refund or not because these refunds are going to come to the importers. Whether the importer will be willing to share that or not, they do not know. Now if you look at the sector also, excepting the garment section, all others are able to pass on the higher pri cing to the rest of the buyers.

But government is concerned, they are unable to pass on because the buyers are not accepting that way sharing to some extent happening. In addition to all these things, they have take a cu

t

on that, but the logistics is a problem now. With all these things, a few uncertainties have prevailed. Otherwise, it can return to a good position. So spinning is doing well and garments, all these things is a problem that way.

Textile to some extent can have a problem. But silver lining is during COVID, when whole world has stopped, next 2 years, we didn't have much problem. That's why we are keeping our fingers crossed the same way we'll be able to cross over this time also, there should not be a problem. Like other sectors, what I was mentioning, saying that it can be quartz, granite and chemicals, these sort of things are there.

This is a major part. But let me tell you what is the indirect effect of this. Suppose really on account of the Gulf for the inflation goes up, these things and all, it will have a bearing on many. Our portfolio majority, if you look at it, wholesale and retail trading services, food processing is there. So if the demand comes down, naturally, the utilizations will come down. As I was mentioning in my guidance, we started seeing the lower level of utilization in the working capital. 2% to 3%, it is down across the sectors, many sectors, it is there. So on one side, though we feel bad, the top line is coming down, other side, we are pretty happy because someone not needing the money, if they are taking the money and redeploying somewhere, getting back th e money will be very difficult.

But here, we are happy. So we are continuing with the reduction in top line, but they have the discipline to maintain. So that way, we cannot straight away say that this sector will get impacted. It is absolutely a dynamic situation. We need to see. But to the extent possible, what we can visualize, our risk department can visualize, we visualize and we did it. If at all, if everything goes on well and the war is over, business as usual, we'll be reversing the provisioning, within the bank only, we have not left it outside.

Rohan Mandora : Sure. And sir, lastly, what was the cost of incremental term deposits currently? And I missed your comment on ROA and credit cost.

B. Ramesh Babu: Yes. We have launched the products for 7.2%. So we need to pay something more on the senior citizens also. So that way, if you look at our overall portfolio, the senior citizen deposit works between 27% to 30% of our total deposits. So a blended way, if you look at it, even if

you assume majority of that is coming there also, it will be between 7.2% to 7.5%. That range, it can be at the max.

Rohan Mandora : Sure, sir. And the guidance on ROA and credit cost?

B. Ramesh Babu: ROA, I mentioned it will be between 1.7% to 1.8% with all the reasoning what I have given. Credit cost, I can think around less than 1% we can think of.

Moderator: Thank you. Next question is from the l ine of Akshat Agarwal from Smif s Limited. Please go ahead.

Akshat Agrawal : Congrats on another strong quarter. My first question is on other income. It saw a strong contribution even excluding the core fee income component, which was very strong. So this increased to INR336 crores. So can you help break down the drivers for that, if possible?

: So see, 2 things, sir. One, we had, what we call...

Moderator : I'm sorry, sir, can you come closer to the microphone, please? Your voice is not clear.

: We have our own third -party products, what we call it as insurance commission we get from selling of insurance products to our customers that we had a very good income last year. Apart from that, we had the recoveries from the SRs also, that also we had around INR28 crores, INR30 crores of SR provision...

B. Ramesh Babu: Akshat, in fact, few more heads also, I'll tell you. Our processing charges also have gone up by 18%. And as I was mentioning, our third -party income also has gone up. And I can say

this
year, the non -fund based, that is guarantee business, which we started focusing last year, we could see an uptick there. The income has come up there also.

So that way, a few of the smaller things, which we started taking with us, they are supporting us. So this can be one of the sources because our plan is in such stage, perennially, we cannot have the write -off recovery. It can be 1 year or 2 years. So our plan is how best a part of this 52 basis points under DuPont, what you are getting under the write -off, how you are going to compensate through other income so that finally, the ROA at the end will have to come.

So in that anxiety, we started working. We need to see, but it is a long way to go that way. But a few levers which were not working earlier, worked this year. So that way we are able to support this other income levers.

Akshat Agrawal : Very well, sir. And while asset quality was robust, there were some higher slippages in the retail and commercial segment this quarter. So is this all seasonal or there's some West Asia, some slightly higher slippages due to that?

B. Ramesh Babu: No, no, I can say that it's not West Asia effect has not yet come into this one. But what we thought actually, which are on the borderline, where the activity is relatively low. So instead of we waiting for the time to get that, it is better you front -load that one and absolutely recognize

that as an NPA, your chances of recovery are relatively better. So proactively few accounts where the sort of weakness we found out, we did it.

So that is the reason you can find this sort of a number. But whatever it is in my guidance when I was mentioning, when total whole year is INR740 crores, out of the INR220 crores, which are the 3 corporate accounts in the second quarter we had, if you exclude that one, it will be around INR500 crores. On a book of INR1 lakh crores, INR500 crores per year, 0.5% slippage is absolutely reasonable, Akshat.

Akshat Agrawal : Right, sir.

Moderator : Next question is from the line of M.B. Mahesh from Kotak Securities.

M.B. Mahesh : Congratulations. Sir, just a few questions. One is what is the contribution of recovery of written -off income in the noninterest income line, sir?

B. Ramesh Babu: It is this quarter, if you look at it, it is INR182 crores. And overall, if you look at it, including interest, all these things, INR670 crores, what I said, that was the number actually. So it is shared better than the last year number what we had.

M.B. Mahesh : Perfect. And in Page number 19, like corporate banking, you have been consistently increasing the share of BBB. Just if you could just kind of give us some clarity as to what is your thought process on this getting into what appears to be some weakness on the economic side.
B. Ramesh Babu: No, no, point is simple. What we did is we studied the past portfolio. It can be BB, BBB, AA, what all is there. And the gating conditions with which we are taking those accounts, not every BBB, we may not take, every BB, we may not take. We may have taken a few BB also. But all this consciously, we are looking at our gating conditions, whether we'll be able to manage, past when these accounts when we have taken, are they working well.
So we'll be able to manage these accounts, keeping all these things in mind, the risk as well as the business, they have taken a call, if continuously you confine to AAA and AA. So naturally, there's a fierce competition for these accounts and all, we will not be able to make any money.
And second thing, when the cost of deposit is not coming and the yield on this has come down, so literally, you will not be able to recover even operating cost level on the margins.
That's the reason why we thought. Second point, if you look at it, we have been consciously trying to increase our

risk -weighted assets to total assets. You can see that average is between 55% to 58% only going on. So there is still a room available to us, which we can take it up to 65% over a period of time. or that, I'm not saying we will take the wild risk. It is an informed call we need to take, so along with the risk with the past experience what we have.
M.B. Mahesh : And sir, is there a default risk that you're seeing today? Is it any different from, let's say a A -rated portfolio that you're seeing BBB today?
B. Ramesh Babu: No, Mahesh, in fact, it's a very good point what you mentioned. At various levels, including MD, we are continuously in touch with the customers, we are talking to them every day across

the segments, understanding what is happening. Surprisingly, even today, last 15 days when I'm talking, not even a single customer has given any pessimistic view saying that it is going to crash, I have a problem, nothing.
In fact, above all, if I'm asking any support is required funding -wise, none of them have come forward saying that the situation is definitely will come, for the time being, we can manage. So that way, so it is only we are visualizing this can happen and all. But on the ground, the confidence of the customers, if you look at it, they are pretty confident as they were earlier.
M.B. Mahesh : Perfect. Just one clarification. Is retaining existing term deposits, is that a problem that you're facing on the ground? Or getting new deposits is a problem? Which of the 2 is a bigger issue right now?
B. Ramesh Babu: No, no. I'll tell you, retailing is definitely we are able to maintain around 70%, 75%. Definitely, we'll be able to roll over, that is not a problem. The 20%, 25% also, when we go deep into that one, deeply, we delve into that one, we are finding if they have an alternate investment avenue like a real estate or something else or settling and all. So otherwise, people are willing to retain the money and fresh also started coming into the bank that way.
So that way it is coming. But the required flow what we wanted, the way it is not there, that force us to increase the pricing, which last year also, if you can look at it, we have front -loaded for the first quarter that build us out throughout the year, first and second quarter. We wanted to ado pt the same strategy this year.
So we are focusing both on the fresh as well as retention. So retention also every day, what is the renewal percentage, our teams are looking at it. That too, division -wise, granular they see where something is not happening, they are seeing. So it's a 2 -pronged approach, both we are working on that.
M.B. Mahesh : Perfect, sir. And last one final clarification. Wage provision for the next 5 years, we will start making for it during the course of this year?
B. Ramesh Babu: No, no, I'll tell you it is yet to start actually because IBA has not yet formed the committee. They have to start that way and all. Once we have some sort of clarity, we can start doing. But recently, last year only, we have completed the whole thing and all. So once that -- the day starts, November that start, from then onwards, it's worth making a provision rather than doing it now itself.
M.B. Mahesh : I read the articles around it, that's why I feel.
B. Ramesh Babu: No, no, Mahesh, for the sake of comfort, I'll tell you, you've seen that the contingent provision, floating provision, other provisions, everything what all we put in. And above all, this war is not going to be permanent. As and when the proposed war comes to an end, you have another INR163 crores also buffer with you. With all these things coming up, these sort of smaller shocks here and are there, the bank has become so robust to take the sort of a shock, it should

not be a problem.

Moderator: Thank you. Next question is from the line of Akshay Badl ani from HDFC Securities. Please go ahead.
Akshay Badlani : Yes. My question is on gold loans. So last 2 years, we have increased the mix from 25% to 30% currently. So till where would we be comfortable? And also what would be our outlook on gold loan going forward, especially if the prices don't move up, slightly declining going forward?
B. Ramesh Babu: No, good question, Akshay. It's a very pertinent question also. It is topical. Now what I say, our internal limit were internally risk -wise because not now, initially itself when gold prices were not moving up itself proactively what we thought, we need to have a product level concentration limit. We thought 35% can be ideal. But still conservatively, we have been maintaining between 28 % to 30%, as you mentioned now.
So it can go up to 32%, 33% because depending upon the opportunity, what all is there, bring it down or if we find any other product which is worth giving and it is supporting our risk -reward, we may go that -- there also. But the increasing pricing and these things, when you say, we have introduced a very robust monitoring mechanism for the margin call.
And above all, if you look at it when the January and February when the gold price have gone to INR160,000 also, INR16,000, if you can say, 10 grams, and we never cross INR12,000 to INR13,000 or INR12,500. So that way itself, the market price to our price, there is a -- margin gap of around 20%, 25%. In addition to that, so we also maintain a margin internally o n this price what all is there.
So more than 75%, we will not lend for the retail, and agriculture also, if you look at it, hardly 80%, 85%, we will give it. So with all these things, with the market price what all we have, we are having a margin of 20%, 30% to 40% on that. And above all, if you look at our LTV, we many times mentioned 45%, 50%, 55%, we also monitor in another way what is the portfolio above 75%. So that can be a portfolio which can be having a problem if r eally gold prices crash by 40%.
As I said, the gap between these 2, 40% is there. So that is absolutely miniscule. Above 75%, 80% portfolio, actually, what all we have is absolutely miniscule. It's less than 1% or 1.5% of the total portfolio. If that be the case, when we have rest of the things, everything we have formalized and having a grip, managing the se sort of shocks should not be a problem. That's why in a risk -mitigated way we are going.
And next thing, the way the demand what we have is comfortably if we reduce the pricing from 11% to 9.5% or 9%, reaching 40% is just a cakewalk for us. The very reason why we made it from, so below 10% to 11% is to have a check on this so that we should not cross this 35% at any point of t ime.
So in a measured way, we will grow with that reason, while strengthening the internal mechanism what we have, it can be including the mystery shopping or increasing the number of checks what we have on the quality and totally digitize the total loans and centralize the

audit team s to look at what is happening and all, the agriculture and all, we are looking at the end use also from centralized. With all these things, so compliance angles as well as risk angle s and the pricing angle s, they are trying to manage the portfolio in a better way so that we'll have an absolute control.
Moderator: Thank you. Next question is from the line o f Jayant K from Axis Capital. Please go ahead.
Jayant K. : Congratulations on a great set of numbers. Sir, what is the amount of wage provision reversal this quarter that you have taken?
B. Ramesh Babu: Which provision?
Jayant K. : Employee expenses, you would have had ben efited from the yield hardening?
B. Ramesh Babu: Yes

, yes. But I tell you agreed. So if you look at it last quarter, if you look at employee provision, so AS 15, we have provided INR21 crores. This year, it is INR2 crores, okay? Pension payments and all more or less the same level continuing. So that way, I can say around less than INR 15 crores benefit we would have got on this employee count due to the hardening of the yields.

: INR15 crores in the fourth quarter.

B. Ramesh Babu: INR15 crores in the fourth quarter.

Jayant K. : INR15 crores. Okay. Sir, second question is on the margins again. The retail deposit hike that you have taken, how much is only that specific hike that you have taken in this quarter, what is that in basis points impact on our NIMs?

B. Ramesh Babu: That will be known in the next quarter. The reason is we started in April. So we need to watch and wait how it is working there because every deposit what all is coming, it will not go into the particular scheme and that supposed scheme, it may not go. So we need to wait and watch for this quarter. Once -- then only we'll have a full view on the incremental cost, what we are paying and what will be the bearing on the NIM.

That is the reason I was telling when I was giving the NIM guidance it can be a two -pronged approach. One will be on the cost of deposits can go up. Yield, I cannot wait for the deposit cost, how much it comes. By the time my exodus or the accounts would have been completed. So these 2 are independent. I need to work on the advances front, giving concessions. And at the end of the quarter, we'll be knowing how much loss is there on account of the yield s, yield on advances and how much of the incremental cost we need to pay on the cost of deposits. But this whole math, this whole wheel when it is working and all the machine, that's why we thought saying that we may be landing between 3.7% to 3.8% on the NIM at the end.

Jayant K. : Sir, if I could just rephrase this question. You said roughly 30% of your book is where you expect the repricing to happen. And this will happen around 7.2% blended. What is the current yield on this?

B. Ramesh Babu: I'll tell you, the repricing book, if you look at it we had to split that into 2 parts. Suppose if I say, let us say, 30% of the book is getting repriced, so 25% to 30%. Last quarter, Q4, we had the majority repricing. That's why you are able to see the major benefit of 16 basis points there in advances and yields also. This year, this quarter, we don't have that much of benefit.

And if you further dissect that one, you see the deposits which are 7.25% and above, they are coming to around 14% of the total deposits. If at all we are able to retain all these deposits at a lower rate, we will be able to get the benefit of that. And the rest of the renewals, what all are happening, we may not get much benefit there.

Jayant K. : Understood, sir. That is very clear. And lastly, sir, more from a growth perspective, why is that guidance 1% to 2% this year versus 2% last year? I understand the macro setup, but if the macro continues to be benign, should we assume we can again do an 18 -odd percent? Or is this more of a capital constraint that keeps you around that 15%, 16%, 17%?

B. Ramesh Babu: How can you say capital constraint, you see how much we are plugging back. At a point of time, our annual profit used to be INR250 crores. Now it is -- we have just added a 0 to that. So with that, 18% of the capital adequacy something is there, that too, major portion is a Tier 1 straight away with a risk -weighted assets of 55%, there is a constraint for capital there. Comfortably next 2 years, you can grow, not a problem at all.

Only thing what we thought is, as we said, it's a benign environment outside. When to grow, it's pretty easy to understand. When to lie low and take a careful call, that requir

es some sort of care. So that is the reason we thought all along, we have proved and we have been doing is the right time, we have to be prudent not to be aggressive so that if we may get additional income by way of yield on advances, that should not offset by credit cost in the provisions. That is the reason what we thought let us continue this way, okay?

Jayant K. : Sir, last -- sir, one last question on the ECL transition. , get that onetime impact can be absorbed. But what is the steady -state credit cost impact -- ongoing credit cost impact?

B. Ramesh Babu: No, that some more time is required. Recently, circular has come. They were pretty busy with our results and all. So once we work out some sort of a clarity is there, we'll be able to share that.

Moderator : Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, for closing comments. Over to you, sir.

B. Ramesh Babu: So thank you all for taking out time and to be in our call and the questions what you have asked that shows the interest what you have. So definitely, whole team is geared up. What best is possible, we'll always try to deliver that. Thank you for the guidance and the support once

again. Thank you, all.
Moderator : Thank you. On behalf of The Karur Vysya Bank, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2026

Classification | REGULATORS
IRC: F48: 120: 252: 2026 24th July 2026

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor,
Plot No. C -1, ‘G’ Block,
Bandra - Kurla Complex,
Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the unaudited Financial Results of the Bank for the quarter ended 30th June 2026

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Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transcript of Conference Call held on 20th July 2026, at 6:30 P.M. (IST), in connection with the unaudited Financial Results of the Bank for the quarter ended 30th June 2026.

The same is also made available on the website of the Bank and can be accessed on the following link:

https://www.kvb.bank.in/investor -corner/regulation -30-sebi-disclosure/investor -con-call-transcripts -and-recordings/

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M addirala
Company Secretary &
Compliance Officer

Encl: As above

“Karur Vysya Bank Limited
Q1 FY27 Earnings Conference Call ”
July 20, 202 6

MANAGEMENT : MR. B. RAMESH BABU – MANAGING DIRECTOR AND CHIEF EXECUTIVE OFFICER – KARUR VYSYA BANK LIMITED
MR. SANKAR BALABHADRAPATRUNI – EXECUTIVE DIRECTOR – KARUR VYSYA BANK LIMITED
MR. CHANDRASEKARAN – CHIEF OPERATING OFFICER

– KARUR VYSYA BANK LIMITED
MR. RAMSHANKAR – CHIEF FINANCIAL OFFICER –
KARUR VYSYA BANK LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY27 Earnings Conference Call of The Karur Vysya Bank. We have with us today the management team of KVB, represented by Mr. Ramesh Babu, MD and CEO; Mr. Sankar Balabhadrapatruni, Executive Director; Mr. Chandrasekaran, Chief Operating Officer; and Mr. Ramshankar, CFO.

As a reminder, all participant lines are in a listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, to take us through the highlights of the quarter gone by, after which we will open the floor for questions. Over to you, sir.

B. Ramesh Babu: Thank you. Thank you, Sagar. Good evening to all of you. On behalf of Karur Vysya Bank, I extend a warm welcome to everyone joining our bank's quarter 1 earnings call for the financial year '26 -'27.

Our financial results and accompanying presentation have been made available on our website, and we trust that you would have had an opportunity to review them thoroughly in advance for this meeting. During our Q4 earnings call in May '26, we had indicated that the outlook for financial year '26 -'27 would remain one of cautious and moderated growth.

We also emphasize the need to navigate the evolving operating environment carefully while ensuring that growth is pursued without compromising portfolio quality. Excellence is not a destination. It is a discipline. This quarter's performance reflects the discipline embedded in our business model, risk management and customer engagement.

We are pleased to report that our key performance indicators are broadly in line with the guidance shared earlier. During the first quarter, we successfully front -loaded our business growt

h, consistent with our approach over the past few years.

Importantly, this growth has been balanced and broad -based with sustained performance across our 3 key priorities: growth, profitability and asset quality. This reflects the continued strength and resilience of our operating performance from the beginning of the financial year.

As of 30th June 2026, the bank's total business reached INR2,27,267 crores, reflecting our sustained growth momentum in the first quarter with an overall business increase of 6% quarter -on-quarter and year -on-year growth of 16%. Advances rose to INR1,04,680 crores, representing growth of 6% again quarter -on-quarter, while deposits increased to INR1,22,587 crores, achieving a quarter -on-quarter growth at the rate of 6%.

The composition of our advances portfolio remained broadly stable during the quarter with RAM segments continuing to account for 86% of the portfolio and the corporate segment contributing the remaining 14%. The commercial business segment demonstrated a 6% growth

over the previous quarter, driven by higher disbursements in both small business group and business banking group.

So Business Banking Group, the quarter -on-quarter, the disbursements are up by 45%. The growth came predominantly in sectors like food processing, retail and wholesale trade, engineering, transport operators and CRE.

Tailor -made products such as GST surrogate for customers with limited financial data and open term loan product started during the last quarter are slowly gaining traction in the current year. Small business group relationship model has been extended to 77 branches now from the earlier 75 branches, wherein the primary objective of a relationship manager is to acquire NTB customers, new -to-bank customers.

Retail advances increased by 6% quarter -on-quarter, primarily driven by growth in jewel loans and mortgage loans. Retail jewel loans registered a 12% growth during the quarter. Mortgage loans registered a growth of 9% over the previous quarter.

Our BNPL book grew by 2% during the quarter. Mortgage focused branches have been increased from 144 branches to 175 branches this year. We have relaunched our credit card offering to our existing customers and plan to extend it to the new -to-bank customers in the second half of this year. Loan against mutual funds product is expected to be launched by the end of second quarter, and the integration with the IT has been more or less completed.

Overall, the retail assets grew by 23% on a year -on-year basis. In line with the prevailing market scenario, gold prices have witnessed a decline over the last 3 months. Despite various challenges, the agriculture loan portfolio recorded a growth of 5% during the quarter.

Although the monsoon onset has been delayed and supplemental irrigation programs are being implemented, the overall outlook remains neutral. Agri jewel loans constituted 92% of the portfolio and other agri loans constitute 8% of the portfolio.

The overall LTV is maintained at 63.7% for agriculture gold loans and 56.83% for the non -agriculture gold loans as of the end of June 2026. We closely monitor the LTV levels, any breach triggers and automated alert to the branches. The corporate and institutional loan portfolio demonstrated again a growth of 6% during the quarter, primarily driven by the new relationships in segments like commercial real estate, capital market participants and EPC and infrastructure sector.

Disbursements as well as the growth has been the highest in the last 5 quarters in this vertical, depicting revival in this segment. We continue to focus on credit substitutes and had a growth of INR171 crores during the quarter. All of you can recollect a few quarters back, we have told our revised approach for the credit substitutes. So that's the reason we hav

e grown again

INR171 crores during this quarter.

We will persist our focus on ETB customers and accelerating A and above on this particular segment for the credit substitutes. The bank's liability business constitutes 54% of the total

business of the bank. Our deposits grew by 6% during the quarter, driven by gains in both retail term deposits and CASA. CASA grew by 9% over the same period. CA portfolio, Current Account portfolio grew by INR1,753 crores, which is 19% over previous quarter.

The SA portfolio, that is Savings Account portfolio grew by INR901 crores, which is 4% on a quarter -on-quarter basis. Overall, CASA growth was supported by both ETB and NTB segments, with existing customers continuing to play an important role in driving balanced growth and strengthening primary banking relationships.

So we feel that this momentum may continue to some extent here and there. On the CASA growth, NTB customers growth was 31% and ETB customers accounted for 69%.

Additionally, more than the anticipated end of the quarter inflows flowed into the current accounts, they have further supported overall deposit growth.

The CASA acquisition team has made significant progress in acquiring premium NTB customers. They contributed 12% for Q1 growth. Retail households continue to be the backbone of our deposit franchise, contributing to 72% of our total deposits. Going forward, our focus is on strengthening retail liabilities while increasing share from nonfinancial corporates, MSMEs and transactional relationships to drive sustainable growth.

Retail deposits increased by 6% during the quarter. We had increased the rate for the special deposits, that is for time deposits, I'm talking by 40 basis points during the quarter. Our focus was to propel the retail term deposits to fund the advances growth, which we have front -loaded. This has enabled us to have some sizable growth in retail TD, as you see from our presentation.

One of the priority areas of the bank is to improve our business with NRIs . The RBI's relaxation on FCNR (B) interest rate ceilings have enabled the bank to offer more competitive

FCNR rates, improving our ability to attract NRI deposits and retain existing relationships, though leverage facility is not possible for our bank due to our non -presence i n the overseas or in GIFT City.
Our rate strategy continues to be dynamic and market responsive. While we will actively manage deposit costs, our focus remains on balancing TD growth with stronger CASA accretion to maintain a healthy and sustainable funding profile.
Regarding margins, we had provided guidance in the range of 3.7% to 3.8% for the full year financial year '26 -'27. I am pleased to report that we could successfully navigate the quarter and maintain our net interest margin at 4.26 . If we reckon one -off item, interest recovery of 8 basis points also will be there. With that, it would become 4.34 .
This 4.26 is 1 basis points higher than the NIM of the previous quarter. Despite the repo rate cut by 125 basis points since February '25, we could improve our NIM over pre -reduction time by effectively calibrating the asset mix and optimizing the yields.

The cost of deposits increased slightly by 4 basis points on a sequential basis as rates of deposits were increased during the quarter. We expect 5 to 10 basis points increase in next quarter. The yield on advances increased by 8 basis points during the quarter and remained at 10.01%.
The fixed rate loan book, which was 29% at the end of March '26, increased to 34% of the total book at the end of June '26. During the same period, the MCLR -linked book reduced from 14% to 9%, while the EBLR book linked remained at 55%. The support from such mix m

ay
come down in the coming quarters.
As said in the last call, competition and retention of customers may bring down the yields going forward, and we anticipate a reduction of 10 basis points in the yield on advances in the next quarter. So what I said is this is at least not only getting the fresh business, even for the retention of existing customers somewhere it is becoming necessity for us to compromise on the margins.
Yield on investments remained stable at 6.83% in quarter 1, in line with quarter 4 despite the softening of the market rate during the quarter. Our aspiration is to improve the portfolio yield to aroun d 7% by the exit quarter of '26, '27. This improvement is expected to be supported by maturity of lower -yielding securities and the reinvestment into higher -yielding securities, including FDLs , which offer an attractive spread over central government securities.
In addition, we are pursuing a calibrated build -up of NSLR investment portfolio, as I mentioned earlier. With the current visibility, NIM may remain at the levels of 4% plus in the next quarter. However, we are not changing the full year guidance, which would be reviewed at the end of September.
The operating profit for the quarter was 1,096 crores, reflecting a 36% increase compared to the same quarter in the previous year, but a 12% decline sequentially. Decline was attributed equally at net revenue level too, due to one -off items like profit on sale of assets, SR recoveries higher in quarter 4 of last year and write -off recoveries, higher opex level on account of AS 15 in the quarter 1 of the current year.
Net interest income has grown by 32% year -on-year, depicting highest growth in the last 5 years and 5% sequentially. The recalibrated asset mix and yield optimization have resulted in net interest income growth in spite of reducti on in the repo rates over last one year.
However, noninterest income for the period stood at 442 crores, down from 616 crores in the previous quarter, so by 28% sequentially, which is a reduction of 174 crores. Now let us look at the breakup of this 174 crores . So for that first thing is the core fee income was down by 38 crores as we had a profit on the sale of assets of 18 crores during last quarter.
Recoveries from written -off accounts amounted to 103 crores compared to 216 crores in the prior quarter, a reduction of 113 crores. So all of you can recollect that during my initial call itself, I have made it clear. So there cannot be any sort of a uniformity in the write -off recovery because many external factors are involved and the legal issues are involved, but our efforts

will continue in the whole process. A few quarters, it can be more, a few quarters, it can be low. We are aiming to have a recovery of 500 crores to 600 crores is what I have mentioned. So that way last quarter was good. This quarter is subdued that way.
Investment trading profit were lower at 38 crores during the quarter. And previous quarter, we had a one -off SR recoveries of 55 crores, which we didn't have this time. All the above have resulted in decrease of net revenue by 6%. Our operating expenses for the quarter stood at 769 crores, representing a sequential increase of 41 crores.
Out of this, establishment costs grew by 58 crores sequentially as provision requirements for retiral benefits AS 15 went up by 47 crores. So our opex increase sequentially is 41 crores and AS 15 increase itself is 47 crores as discount rates fell by more than 40 basis points during the quarter.
Normal salary cost increase was 12 crores. However, reduction in other operating expenses by 17 crores sequentially compensated the higher establishment costs, resulting in 6% overall increase in opex during the quarter. The above factors had an effect on sequential decline in operating prof

it by 12%.
Though there is a sequential drop in the operating profit, the additional gain of last year has more or less been taken care by additional provisioning of 163 crores, which we made during last quarter for war and thus, effect on the net results last quarter also was negated or neutralized or nullified.
Net profit for the quarter this quarter was at 756 crores, an increase of 4% quarter -on-quarter and 45% year -on-year. During the quarter under review, an allocation of 90 crores was made towards NPA migrations, standard assets and restructured assets, resulting in a credit cost of 0.33% annualized.
To recall, we had made a provision of 163 crores towards sectors affected during the ongoing geopolitical tensions during last quarter, and we have retained the same as things still remain the same. With respect to ECL provisioning guidelines, the bank has maintained adequate provisions and buffers through floating and prudential provisions over the past few years.
The total provisions to advances is at 1.7%, which should take care of the transition ideally.
The ROA for the quarter stands at 2.11%, marginally better than 1 basis point from previous quarter. Gross slippages for the quarter amounted to 138 crores, representing 0.13% if we annualize it comes to 0.53% of the loan book sequentially lower from 187 crores slippages during last quarter.
Though with a spike in SMA 30 levels from 0.17% to 0.22% sequentially, we are confident in our ability to maintain the slippage ratio below 1% levels as we have previously indicated through ongoing diligent account monitoring. Owing to reduced slippages, improved recoveries and upgrades as well as write -offs, our gross NPA has declined marginally by 1% to 0.74%.

Our net NPA remains steady at 0.19%, and we are committed to maintaining net NPA levels below 1% of our loan portfolio. The proportion of our standard restructured loan portfolio has further decreased to 0.37% of our total loans and continues to perform satisfactorily.
Notably, a substantial portion is secured by collateral, and we maintain a provision of 41% for this portfolio. Our CRAR Basel III continues to be healthy and is at 18.61%, providing us comfortable headroom for growth. Our liquidity coverage ratio for the quarter is at 123.61%, and we would maintain this in the range of 115% to 120%.
We opened two branches during the first quarter. So though we have planned for opening 50 branches during the first half of the year, so we will be completing 25 branches before the end of this quarter and the balance before the end, though our efforts are very serious and the external factors like availability of proper premises and other logistics and agreement, these things is taking some time, but we are on the job.
The first quarter of the current year has provided a strong start to the financial year. While we remain mindful of the evolving operating environment, our focus on prudent growth, operational efficiency, customer centricity and disciplined risk management gives us confidence in delivering sustainable value to the stakeholders.
I would like to express my sincere gratitude to all the investors, analysts and stakeholders for their continued confidence and ongoing support. We are committed to upholding this trust through continued strong performance in the future. To sum up, our guidance for credit growth of 1% or 2% over the industry growth will continue for the rest of the quarters.
NIMs for the full year will be in the range of 3.7% to 3.8%. Our GNPA is expected to be less

than 1.5%. Net NPA will be less than 1% and slippages to be less than 1% of our loan book.
Just as a word of caution, YTD growth, this first quarter growth should not be considered as an indicator for the full year growth at the same tempo.
So as I said, we plan to front

load in the first quarter and to some extent of the second quarter,
then we will take it forward. So now I'll be glad to respond to your questions. Thank you all.
Moderator: Thank you very much. We will now begin with the question and answer session. Your first question comes from the line of Jai Mundhra with ICICI Securities. Please go ahead.
Jai Mundhra: Yes, hi, good evening and congratulations on a great quarter, sir. Happy to hear from you on maintaining or slightly revising at least Q2 NIM guidance. So good to hear that. Sir, I just wanted to check on growth guidance. You maintained 100 to 200 basis p oints above system level growth?
Just that the system level growth itself has moved from last quarter to now around 18% types.
So that is I wanted to check, sir. And fair to say if system remains here, we will still be higher than system. That is I wanted to check, sir?

B. Ramesh Babu: No, Jai. Thank you for the compliments, agree. So Jai agree because our intention is 1% to 2%, we thought, but system has moved much early. Now we need to look at the texture of the growth of the system. Suppose if the system is growing more in the corporate because earlier, corporates are moving towards the fixed income, that is treasury NCDs and all.
Now that the bank's interest rates have been good and they are moving towards that. So as you know, earlier, our corporate used to be 45%, we have brought it to 14%. So that way, going back to again, corporate for the purpose of our system growth will defeat the purpose of the whole exercise we have done in the last few years.
So that way, we will look at this. If under the RAM, if the system is growing, we will try to be 1% above that. If the system is growing well in the corporate, then we have to be more cautious in looking at that, not to commit our earlier mistake.
Jai Mundhra: That is very clear. So thanks for that. Secondly, sir, on SME loan growth, right? So this quarter, Q -o-Q loan growth has been healthy. But if I look at Y -o-Y loan growth, right? So earlier, we were around 20%, then we moved to 18% and now it has come down to 12%, 13%.
You have sort of made -- seems to have made a course correction when you last quarter, you said that we may possibly look to grow more versus looking too much into rates. So are you seeing any, let us say, disturbance which is constraining the loan growth in SME segment? Or it should again come back to usual 18% type loan growth? That is the question.
B. Ramesh Babu: Good question, Jai. In fact, you see, last quarter, you would have observed our growth was flat in our commercial segment. The reasons were many because we didn't want to grow in the last last few days. And second thing, there was a pricing competition also there. We didn't want to be there in that race.
So now that, that is over, first quarter is again the normal that way, we have gone for that. So other than looking at some sort of a pricing competition here and there, we look at it as it is demand is there. If we look at the NTB and ETB together, the disbursement growth over last year, it has come to 45% in this commercial segment.
So with this few of the accounts where we are not comfortable either quality -wise, asset quality -wise or pricing -wise, we were liberal in allowing them to go. But despite that, we are able to get a growth of 6%. With that, we are reasonably okay that we'll be able to grow at 18% for this year. It should not be a problem. Last year, last quarter was an aberration. If you take out the Q4 of last year, and overall, our growth will be against 16% to 17% last year also.
Jai Mundhra: Right. That is correct. And sir, on this commercial, if you can specify how much would be ECLGS disbursement and how much that we have done so far and how much could be the sanctions?
B. Ramesh Babu: ECL

GS is concerned, we are receiving many requests, but we are just looking at it in such a way. Suppose if a unit is already struggling and if they want to take an ECLGS and all because

not on account of the war and other things and all, then there is no point in further this thing the money may not come back.
So we are looking at those sort of aspects. We have got a number of applications we have got it. But currently, if you look at it, INR75 crores has already been disbursed, and there are many applications in the pending. So this growth what all you have seen in the quarter 4 is nothing much on account of ECLGS, and that will come in the next quarter. So coming to the disbursements also, as you were mentioning, so 2,232 customers have applied -- one second. Our ED will respond on the ECLGS. Yes.
Sankar Balabhadrapatruni : Yes. Jai, under ECLGS in commercial segment, 2,232 customers have applied till now. Now we are screening the applications. And till now during Q2, INR140 crores has been disbursed.
Now under corporate, similarly, we found that 176 units are eligible and we have disbursed till now 6 only, but to the tune of INR80 crores in everything in Q2. So out of this 176, maybe 100 may be eligible. The eligibility has to be seen as to the real requirement as prescribed by the RBI.
Jai Mundhra: Right. And I have, sir, last 2 questions. One is, sir, on gold loan. So if you can specify the, let's say, blended yield for gold loan portfolio, including retail and agri put together, and I j ust wanted -- yes, so that is one?
B. Ramesh Babu: I'll tell you, majority of the portfolio is under agri only. And this retail is a smaller portion. So overall, if you can look at it, you can think of between 11% to 12%, we can think that can be the yield we can get in. That's what we can think. But one more thing you need to keep in mind, agri will also have the benefit of PSL also. Sometimes it may go to 11.25% also, which we have not factored in what I have told.
Jai Mundhra: Right. And last question is, sir, last time you had mentioned that cost of funds will go up and yields, you will als o look at customer requests, et c., cost of funds have gone up, but yields have also gone up, right? So it looks like while delivering 6% growth on a Q -o-Q basis, front - loading business, you still have managed to get higher yields, right?
So either -- I mean, the environment seems a little bit more supportive, right, that you must have thought at the beginning -- at the last quarter. So is that broad understanding correct that you can still charge maybe slightly -- I mean, remunerative yield while still delivering growth? That is the -- that was understanding.
B. Ramesh Babu: I fully agree with you, but it is slowly becoming a tightrope walk in the sense that to retain them, the main talking about the relationship, how long you are there, all these things will work to some extent. And they may give an allowance of 0.5% or something like that. And beyond that, the market is coming down, actually, others are offering.
So it becomes difficult for us. You may have to offer a lower yield. So that way, if you come down from the ticket size, suppose if it comes down to INR50 lakhs, INR40 lakhs, INR60 lakhs and all, your yields will be good. But then you require a lot of labor running, maintenance, monitoring, all these are also required.

Over a period of time, what we try to do when our average ticket size used to be around INR40 lakhs, slowly, we have brought it to INR65 lakhs, INR70 lakhs. So what we thought is instead of adding so many smaller accounts, at least with higher -- bigger ticket size is there, number of accounts will be handful and all we will be able to manage.
So now we

are trying to balance these 2. And accordingly, as I said, accounts we may have to leave or we may have to concede reducing the yield. This quarter, we will see based on that, next quarter, this con call is there. We'll be able to give a clarity on where we are and what we want to do.
Jai Mundhra: Right. That is very helpful, sir. Thank you and all the very best , sir.
B. Ramesh Babu: Thanks, Jai. Thank you.
Moderator: Thank you. The next question comes from the line of Pritesh Bumb with DAM Capital Advisors. Please go ahead.
Pritesh Bumb : Hi, sir. Good evening. Congrats on a great set of numbers. Just a couple of questions. One is on this recovery interest which you have mentioned about INR24 crores. Similar interest was in last quarter, but we had also reported a high recovery from written -off asset or recovery NPA, but this time, it is not there. So anything I am missing because there seems to be not that much of large recovery reported.
Ramshankar : See, it depends on the account to account. It's not something -- see there may be some cases where principal recovery will be more interest recovery may be less, okay? Sometimes it will

be more. So it's not something like which will be common in each of the cases. But anyway, for all our decision purpose, we are excluding that even the NIM of whatever 4 .24%, which you have mentioned is excluding that interest amount only.
Pritesh Bumb : Right. That is clear, yes. But just wanted to check that if anything anywhere included in that. That's very clear. Second was on...
B. Ramesh Babu: Pritesh, what you said is correct. Had it been there reflected in the write -off recovery. So that is a factor which is a difference between the last quarter and this quarter. True. It has come in interest and not in the write -off recovery amount. True.
Pritesh Bumb : Correct. Correct. Sir, second was on credit cost. We've seen another quarter s being a good credit cost. How do you think about credit cost given that we -- our asset quality is quite good, but we are going to face some disruption in terms of ECL. So if you tie up both, how do you see this ongoing credit cost from here on?
B. Ramesh Babu: Agreed if we split this issue into 2 parts, ECL. ECL still working is going on. But as you know, 2 years back itself, we have provided INR25 crores each quarter, INR100 crores we have provided. So that way, we have a safety net as far as that is concerned. If at all something balance here and there, with the numbers what we have, we will be able to manage.

ECL should not majorly hit us for 2 reasons. One is our SMA numbers are good more or less, not only now for the last few years, 4, 5 years, 3, 4 years, if you can look at it, we had a focus on the quality of the book and all. So that way, we feel it should not hit us too much.
Now coming to other credit costs, what you said is correct. Our focus is on the recovery, not only recovery at SMA level and above all slippages, all these things when we look at it, credit cost, though we indicate 1%, I somehow feel it can be much lower than that.
Pritesh Bumb : Correct. Sir, another question was on write -off pool. What we've seen in the last few years that we used to do a decent write -off. But if you look at last year versus FY25 and this year's run rate, which is from Q1, every year, the pool of write -off is shrinking by about 20%, the active write -off pool, which I'm talking about.
So eventually, we'll see a lesser write -off pool going ahead in the years, which actually contributed to about 15% to 20% to profitability. How do you think in that perspective, if I look at the next 2, 3 years, what will replace that 15%, 20% in the income levels ?
B. Ramesh Babu: Correct. So there are 2 aspects here. Suppose if the write -off pool may come down, but the NPA what all is there. If

that is recovered, any upgrade will support us, though not up to PPOP, it will be coming up below PPOP and the provisioning will be released. And even provisioning is released, the need for further provisioning may not be there, and it may go into credit.
So that way, it may reflect either above PPOP or below PPOP. And finally, it will reflect in the ROA, first thing. And second thing, all along, people may have certain apprehension saying that write -off with the write -off only, we'll be able to cross 1.6%. If this quarter, the difference between last quarter and this quarter is INR113 crores on account of write -off lower.
But despite that, we are able to get an ROA of 2% plus. So which gives us some sort of a confidence to us. Even if write -off recovery is not there over a period of time this much, in a dew point, if you look at it, even if 25 basis points, it comes rather than 40, 45 basis points, then your ROA will not come down by 1.8%, 1.9%. That is one part.
Second part, if you look at it, there are a few levers which are available to us. One is we have been mentioning that our non -fund business, so we have been trying for the last 1 year. If you can look at it, the numbers for the non -fund business, the income started showing. First quarter also compared to last year quarter, the guarantee business income is up.
So though the first quarter this time, the TPP income is not as expected, we need to work on that. If the TPP income also works and this non -fund also works, these we can slowly take over this quarter, we are going to have a reduction in the write -off.
In addition to that, if you look at it, we are trying to work on the CASA also. CASA, if we had to seriously work on that, there at least 10, 15 basis points if they get the benefit in the cost of deposits, 10 basis points there and 10 basis points in the other income, these 20 basis points will offset this reduction in the write -off recovery.

So that way, on a steady -state basis, that plus provisions, what all are going to be released after the PPOP, altogether, there should not be much shocks on the ROA is concerned.
Pritesh Bumb : Sure, sir. Sure. And very last question. I think last quarter, you had announced your desire to step down with a 2 -year period. Any discussions from the Board for the next -- I mean, too early, but a lot of banks have also been transitioning management. So any discussions on that point?
B. Ramesh Babu: Yes, yes. Absolutely. Board is already abreast of this. They are looking at it. At the appropriate time, call will be taken, and there will be sufficient time for the transition and for the handholding and for grooming also. You need not worry on that count. Board is equally aware, they are serious about this.
Pritesh Bumb : Sure, sir. Thank you so much and all the best, sir.
B. Ramesh Babu: Thank you. Thank you, Pritesh. Thank you.
Moderator: Thank you. Your next question comes from the line of Suraj Das with Sundaram Mutual Fund. Please go ahead.
Suraj Das : Yes. Hi. Am I audible?
B. Ramesh Babu: Yes, audible.
Suraj Das : Yes. Hi, sir. Thank you for the opportunity. I have 4 questions. First, on the CA growth. I think CA growth has picked up pace over the last couple of quarters to double -digit. And this quarter, it was 15%, 16%.
Just wanted to check if there is anything lumpy here, which is probably driving this incremental growth and hence may not be sustainable going ahead? Or do you think that the CA share can continue to go up? That is question 1.
B. Ramesh Babu: Okay. Now I agree. So in my inaugural address also, I have mentioned clearly, agree, there are different types of these things have come up. But this quarter end flows have also supported there in that. And every quarter, whether that will be coming or not, we will not be knowing.

That is the reason, as I said that on a steady -state basis, what we have planned, it will come up. There can be a few up flows which have come into the account, which may go out also. But overall, our focus will be there on the CA to maintain this CASA ratio. So at least what all we have over and above that.
Suraj Das : Okay. Okay. So you would like to maintain this double -digit kind of a growth in CASA? In CA specifically? Do you think...
B. Ramesh Babu: Our aim is to be that only because then only we will be able to reduce our cost of deposits by 5 to 10 basis points. Our intention is to do something on the CA, as well as SA both. We are absolutely serious as far as deposits are concerned, now that we have front -loaded the time

deposits after getting some sort of higher pricing and FCNR also when we are working on this. Now the serious focus for us, all of us in the bank is CA and SA. We'll work on that this year.
Suraj Das : Sure. Sir, last quarter, you have also tweaked some of the TD rates, specifically, I think greater than INR3 crore s bucket. And also , there is FCNR that you were highlighting. So , can this lead to, let us say, higher cost of deposit in coming quarter? Because this quarter, there is some Q-o-Q uptick in cost of deposit. So , what is your view?
B. Ramesh Babu: That is the reason I have mentioned that some sort of a hike will be there in the cost of deposits because the further repricing, what all are happening in the next few quarters also, a few of them are lower bucket also are there. They also get repriced. But what we thought -- so either CA, SA or TD.
Overall, if we are able to make money, intention is to get in CA and SA, priority is CA, next is SA and next is TD. But if we are unable to get CA and SA to the extent possible , declining TD and dissuading the growth of TD is suicidal. The reason is if we are able to make money out of that also, we should not miss the opportunity.
You would have seen our overall yield on advances has come to 10%. With this TD growth also, we are able to maintain 4% plus on the NIM front. That's why we thought saying that. So , we will mobilize the TD and we'll focus still on CA and SA. This pricing what you said, that may have some sort of a bearing for next few quarters, and we need to live with that.
That is the reason still I mentioned that in second quarter, I cannot give any sort of a commitment on the finally, the ROA -- sorry, NIM, 3.7%, 3.8%, what I have mentioned. On this quarter, we will see we'll have a clarity, then we will take a call on that.
Suraj Das : Okay. Sure. Sir, third question is on MCLR tweaks that you were doing. I wanted to know, is it

applicable for the -- only for the incremental loans? Or is it also applicable on the existing loan as well?
B. Ramesh Babu: MCLR loans. Okay. Understood, yes.
Suraj Das The MCLR treatment that you are doing on the card rate basis side?
B. Ramesh Babu: Correct. But at the time of repricing only that gets affected, whereas in respect of EBLR, which are linked to repo, so our cash credit, if few of the loans get immediately cash credit loans next day, it will be implemented in whereas term loans will be implemented at the time of repricing, whereas MCLR, when the interest reset date is there, at that time, the revised rate will come up, not immediately.
Suraj Das : Okay. Sure. And sir, last question on the retail loan growth side, I think after many quarters, at least there is some positive traction on the BNPL segment this quarter. So, I think -- I mean, are you now comfortable with the overall environment on the BNPL side? Will this growth now catch up with the overall growth?

B. Ramesh Babu: No, I understand. For th

e last 6 to 8 months or 1 year also, we are comfortable. The reason is simple. At any point of time, the cohort loss when we see with the partner, though they have given an FLDG of 5%, the cohort loss has not crossed 3.5% at any point of time. So how we are mindful of the fact that the risk and the guardrails and all, our partner, Axio is also equally interested in maintaining these things. Then there was a small organizational change in Axio. Axio was taken over by Amazon. Amazon was taking -- having a small share in the Axio. Then they found value in Axio of seeing all these arrangements what we have. Now Amazon has fully taken over Axio. Now that it 100% owned, those sort of internal adjustments are happening.
Once all these things are over, then we will be back to business. We have not reduced this business on account of any discomfort. It is because the organization structure is undergoing in Axio. That's why we laid low. Any time with the season, this Dussehra, Diwali coming up and all, we can be back to the normal.
Mod erator : Thank you. Your next question comes from the line of M.B. Mahesh with Kotak Securities.
M.B. Mahesh : Just a few questions. One, on the provision line, can we have a breakup of that number.
B. Ramesh Babu: On the provision.
M.B. Mahesh : Sir, while we get the answer for that. Just wanted your feedback on the decision to increase the fixed rate portfolio in your book. If you were seeing cost of funds kind of rising, just trying to understand why are you pushing for a higher fixed rate?
B. Ramesh Babu: Yes. I agree with you. The point is the fixed rate loan is such a high rate. Suppose 11% we are charging and 15% we are charging even if 20, 30 basis points is happening here, we need not worry on that.
Next thing is these rates may not continue like that. And tomorrow, when this FCNR funding comes up and OFCB comes and the market is awash with liquidity, and then automatic rates come down, then you cannot reduce when we are giving a loan of 1 year and the next 3 months for any reason, the rates come down, you are insulated for the next 1 year with this rate. Okay. Coming to provision...
Ramshankar R. : In fact, we have given the breakup in Page 24 of our presentation Mahesh. The INR90 crores provisions what we have made during the quarter comprise NPA provisions of INR68 crores for standard assets provision Rs 22 cr .
M.B. Mahesh : The last question, there has been a decent pickup in the LAP portfolio, but lack of pickup in the housing loan portfolio. So just trying to understand in the LAP portfolio, these are commercial real estate, what kind of properties are you seeing -- are you getting more success in this product.
B. Ramesh Babu: Yes, I agree with you. First of all, for the housing. So , there is a huge demand for the housing, no doubt in it. But the pricing is still not supporting us 7.5%, these sort of rates they ask or

even if because we wanted to process it faster, even if someone is paying 8.5%, because there is no foreclosure charges, within 6 to 8 months, we started seeing straight away, we're getting

an RTGS money from other banks. So , there we are helpless.
Then we understood we are putting in the whole labor, but we are unable to reap the benefit for the next 5 years or 10 years. So , when we cannot offer at that 7.5% that's one thing. And second thing, if we do not have any other avenue to deploy the money, then naturally, we need to go for that.
Then on the other side, resources, there's a constraint and you are raising TD and all. There is no logical sense for going in for 7.5%, 8%. With that reason, still we are not going ahead with this one. But still, if you can recollect this quarter, INR160 crores, wherever we find yields are above 8.25%, 8.5%, still we are growing, but we wanted to lie low on the housin

g because
there's a huge competition with the public sector banks who are offering the finest pricing.
Now coming to the LAP portfolio is concerned, it is a combination. It's the person also is there, but majority will be commercial. So then here also, we have created 4 years, 5 years back itself, a technical evaluation cell in the bank first time in 100 years. Then the sell even if the lower level someone takes a property and the valuer views it and a centralized value is created, it will come here. They will look at the marketability of this particular property.
If they feel that is marketable, then only it will be considered. Likewise, they'll also look at similar locality, what is the pricing going on for this. If for any reason, any valuer has given a higher pricing than this, we have a provision for a haircut at centralized level. They will reduce it, and that only we will turn for the purpose of our LTV norms.
So that way many measures we have taken. And not only that, last few years and the properties against which we have financed, if we look at them, the disposal of that is relatively better compared to the 5 years, 10 years back, what we have got the properties. So, our focus is on two-pronged? now. One is on the cash flows and second thing is on the property, both we are addressing so that the future is safe.
M.B. Mahesh : Okay. Just one clarification. These are running in crores, lakhs or they are running in tens of crores. What is the sweet spot of this portfolio?
B. Ramesh Babu: On an average, you can say because wherever branches, many of them are doing, it comes into lakhs and below INR1 crore. But I can say, on an average, the ticket size comes between INR2 crores to INR3 crores.
M.B. Mahesh: Okay got it. Perfect sir thank you.
B. Ramesh Babu: Thank you.
Moderator: Thank you. Your next question comes fro m the line of Parth Gu tka with 360 ONE Capital. Please go ahead.

Parth Gutka: Hi sir. Thanks a lot for the opportunity. So you mentioned that we would be opening aroun d 50 branches this year. In FY 26, we opened around 13 branches. So how are we thinking in terms of opex growth or cost -to-income or cost -to-assets? Yes.
B. Ramesh Babu: Yes, agree d, cost -to-income, the cost side, it may go up. But if you can recollect at a point of time, o ur cost -to-income used to be 50 plus. And progressively, w e have brought it to between 45 to 50 . And last few quarters, you can look at it between 40 to 45 , though one quarter is below 40 , that 's an aberration. So between 40 to 45 .
Now if we look at the cost, something is going to come up, if I had to defer this one, then it will be an injustice because the future, we are going to stunt the total growth what all bank is going to have. So it may have a bearing of 0.5% to 1%. But -- so it gets normalized over a period of a few years, that's two years once the br anch starts becoming breakeven.
So that way, even if these things are there, it may not cross our 45% to 50% usually the bracket what we indicate for the cost -to-income ratio, 41.74 may become 42.5 or 43 , something like that. So it will not have much issues as far as cost is concerned.
But one more thing also you need to understand, 32% increase in the net interest income. If other side, the income is going up, our cost is concerned, it has not gone up by 32% even this year, this quarter also. If disproportionately to some extent, income is growing, so it will also support us in maintaining a proper cost -to-income ratio.
Parth Gutka: Okay sir. Thanks a lot.
B. Ramesh Babu: Thank you. Yes.
Moderator: Thank you. The next question comes from the line of Anand Dama with Nuvama. Please go ahead.
Anand Dama : Yes. Thank you for the opportunity and c ongrats for the great set of results. Sir, on gold loans, I have a question.

One is like how do you see the growth in that segment? We have seen the
prices moving up and down. And secondly, any signs of asset quality concerns building up
around in that portfolio, either for you or for any peer set s that you can see?
B. Ramesh Babu: Yes. Thank you, Anand. First thing is regarding the jewel loans . I agree. Because we are,
again, careful about this particular point of the LTV, that is the reason we look at not going
overboard as far as LTV is concerned. We have totally strengthened our margin call
mechanism within the bank and the team has been formed. Whenever these things are there
immediately, we are working with the people and all we are trying to get that.
So that way with our 60%, 65% overall, what all LTV is there. Currently, we didn't find much
issues. Though as you said, the gold loan prices have oscillated here and there. As and when
we are approaching for the margin and we are getting it either they are close because simple
point is it is not a gold biscuit. It is the ornament at home where some sort of an attachment for
the family is there. That also a cts as a hook for getting it re leased .

Currently, if you look at it, the asset quality -wise, so what we had earlier 1 year, 1.5 years
back, more or less, it is going at the same level and nothing much to worry on discount
because we have totally strengthened on -boarding as well as monitoring mechanism. So, above
all, the growth numbers when you ask, so we have earlier indicated saying that our internal
indication is between 30% to 35% of the overall portfolio or 32%, if you can say, of the ove rall
advances gold loan can be.
Even this quarter also, if you look at it, it is coming to around 30%. So that way still, we have
a 2% provision is there to grow. So though provision is there, we are not g ung-ho and going
overboard. We are trying to grow in various verticals.
This perfect example is this quarter, literally, you would have seen every vertical has grown by
6%. Only agriculture has grown by 5%. So that way earlier, corporate used to be 1% or 2%. So
we have diversified other verticals, other products, everything is coming up. No
overdependence on gold loan. Even if that is there, we will ensure that 32% or 35% what we
have mentioned, we are well within that always.
Anand Dama : And secondly, you have increased the MCLR rates just today. Your cost of funds or cost of
deposits also has gone up. So then how should we look at margins for the full year? I mean
you keep guiding about 3.7%, 3.8%, but then certainly you are clocking far higher margins. So
what's the realistic margins that we should basically look at for next nine months?
B. Ramesh Babu: That's why the near -term visibility for MD is per quarter. That is the reason I have mentioned
saying that next quarter, it will be 4% plus, though we have initially mentioned 3.7%, 3.8%
that way. So let us complete the second quarter because two months back only we gave the
sort of a guidance. And another quarter, if you look at it, then we'll have a clarity then after the
second quarter, I'll be able to come back with some more numbers.
But one thing you need to keep in mind, Mr. Anand, that the downside is minimum and upside
is there. So that way, if we are going to move to 3.6% and 3.5%, that's a cause of concern. But
we are not on the trajectory, and we are trying our level best to manage the portfolio, product
mix, all these things and all. So that way, let us see this quarter, give us this quarter, at the end
of the quarter, we'll come back what can be there for the next quarter.
Anand Dama : Sure, sir. Sir, lastly, have you shared the FCNR B deposit mobilization guidance? And what is
the kind of ECL Gs that you have disbursing now and what's the target that you have?
B. Ramesh Babu: Coming to ECLGS, o ur ED has already s

hared, he'll share it. Coming to FCNR B, as you
know, we do not have a branch in the GIFT City or any foreign office. So the handicap to
some extent is there on the leverage front. So that way, big ticket, we may not be able to get
that. That's the reason we are focusing on the smaller ticket cases, below USD 1 million or
below USD 50,000 sort of things.
And also, you would have seen our pricing is at 7%, which is a decent pricing that way. So
now that we cannot have those sort of benefits and all, we started giving this 7% and we are
actively activating all the branches. and all the connections what we have to get that. So we

will see our current base before this launch of the scheme is around USD 130 million under

FCNR.
So we will try to either double it or triple it what all is possible because it's a great occasion for us to increase the number of NRI customers. These customers will stay with us for the rest of the business also. That's why we are taking it as a positively, and we are trying to push that to get the maximum benefit out of this. Coming to ECLGS, our ED will respond, yes.
Sankar Balabhadrapatruni : Yes. ECLGS, in fact, during the Q1, nothing much happened, just INR10 crores disbursement that also is to a few people only. Now total, we have got 2,232 applications who have applied in JanSamarth portal for the commercial group. Now out of which till now we have disbursed around INR140 crores remaining are under screening.
Here, as far as the eligibility is concerned, as per the RBI directives, we'll have to screen and only those who are eligible can be given. The corporate business also, there are some eligible accounts we have taken out, but applied numbers are only 54 and disbursement of INR80 crores has happened till now.
The eligibility amount will be seen and then disbursement will be made. Overall, whoever is eligible and whoever is in requirement due to the temporary mismatch in their working capital due to the West Asia disturbances, they will be definitely given. This is what our approach is regarding ECLGS strictly as per the RBI directives.
Moderator: Your next question comes from the line of Gaurav Jani with PL Capital.
Gaurav Jani : Thank you sir. First question, sir, on your corporate and SME, so that makes up for about 49%. I just wanted your detailed kind of comments as to how are we looking at the impact of the overall conflict on the SME space and basically our exposure of commercial plus corporate, which is about 50% ? Because for the system, what has happened is that's not kind of visible as of now. Probably, if any, that could come through in Q2 or Q3. So just wanted to kind of pick your brains on this.
B. Ramesh Babu: Sir, I fully agree with you , because we were also equally worried about this particular fact saying that which may hit us a lot on the war front, the sort of a thing. But when we seriously look at the sort of a thing, like a few sectors , where actually we are deeply involved that is a textile sector, we can say. And that is overall 5% of our total portfolio is under the textile, and that may be hit. That's what we thought because exports will have an impact on that.
In addition to that, the ceramics also will have some sort of a problem and the logistics also will have a problem. And under the textile, if you look at it, different sub -segments are there like ginning and spinning, weaving and dying , processing, manmade, all these things we have seen that.
So, when we look at these things, overall, when we speak to them, they feel the number of orders has come down to some extent, agreed, but they feel , it will not hamper them a lot. And many of them when we were trying for any additional requirement you require, you come , and

they said that no, we may not require much on account of this. So that is the reason they have not come for additional funding also. That gives us some sort of a confidence saying that the problem is not much on account of textiles.
So, they are equally hopeful of few things like the UK and other -- sorry, EU FTAs what they are expecting. So that may create some sort of a scope for them for moving forward. So, US is concerned, some orders are coming, but the flow has come down. So rather than this, the major problem what textile sector is facing now is the shortage of labor. Those who used to come from other states like Bengal and Bihar, those states, it has slowly started coming down because those states are moving well.
So that way, we need to look at it. And in addition to that, other sectors are also there like pharma, fertilizers, chemicals, automobiles and hotel and restaurants and gas and fuel distributors. These cases also, we have seen that our exposure is not that great into those sectors other than the textile, which may have a material impact on the overall book.
So, having seen all these things, last quarter, what did we do? We have assessed where we can have some sort of a hit over a period of time. And accordingly, we have provided INR163 crores upfronted provision last quarter itself. So that way, if at all, any sort of a shock unforeseen and unknown, unknown comes, we are safely insulated.
But as on date, if you look at it, nothing is reflecting in our SMA numbers also, both in the sentiment of the people as well as in the numbers that is good. And another factor also, I'll tell you, we were a bit equally worried. The working capital utilizations may go up because out of desperation when the orders are not there, they need money. It can be for maintaining a show or whatever it is.

Surprisingly, our working capital utilization is running between 77% to 80% only. There is no spike in that. No spike in that. So, any other pointers when we look at it, which may give some sort of a feel to us that some stress is creeping in, we didn't find as yet anything on those lines.
Gaurav Jani : Very helpful, sir. Secondly, I also wanted your thoughts on if any impact could be there on your gold portfolio because of the impending risk of an El Nino given the rainfall deficit. So how should we kind of think of that?
B. Ramesh Babu: Agree d. Suppose if the agriculture gold loan is a clean loan you have given a Kisan Credit Card. Then to some extent, because we cannot blame the farmer also, there is a postponement of this thing, they may try to postpone.
Whereas in respect of the gold loan, two factors play. One is the sentimental value for the gold attached because the family , and all these things will be there. That's why they will try to redeem the gold loan and take it back. For any reason, if they are unable to do that also, you have a backing of the gold.
And our average, if you look at it, the LTV is around less than 65%. You have some sort of a cushion 35%. And even if there is a reduction in the gold prices by 10% to 15%, we feel

sufficiently we are insulated. That way, 92% of our portfolio agriculture is backed by gold. If you look at it, the effect of El Nino will be minimum on the bank.
Gaurav Jani : Okay. Sir, also, just taking your point forward, so what you meant, I think, was from an asset quality standpoint. What I also wanted to ask is, would gold loan growth also be impacted by El Nino?
B. Ramesh Babu: I'll tell you, suppose that is impacted, it is not only for KVB, it is for the whole industry. So, we'll be -- because the guidance what we have given is 1% over the industry. If whole industry is coming down, KVB also will come down, still we will be 1% above that. So that way, we will be in line with the industry. I

t is not -- El Nino is not specific only for KVB. So that way, we are insulated.
Gaurav Jani : No, sir. The reason I ask you, sir, because about -- almost about 1/3 of our book is gold, which is why -- but you...
B. Ramesh Babu: And I agree with you. Now not only 1/3, if many of the banks, if you look at in the South, the growth is like this only. It may have an impact. I'm not disputing. But one solace is -- the overall tonnage of many of the banks, including NBFCs, if you look at it, the tonnage has come down over a period, last two years, if you look at it, because the gold prices have gone up. If earlier someone has given two ornaments, now with onr ornament, what all amount he wants, if he's able to get second ornament, he took it back.
And the tonnage, what was released last two years back, that may be helpful for them to bring it back to acquire a fresh loan now. And next crop, something going on well and all, they may redeem and they may close this loan. So that way, they have some sort of a gold, which was redeemed from the banks earlier, it is there with them.
Gaurav Jani : Understood. Sir, just last two questions from my end. One is just going back to the point on opex, right? So, I mean, safe to assume that your opex growth versus your loan growth, the significant differential that we saw in the previous year, that is FY26, that differential will sustain in the coming years or how should we look at it?
B. Ramesh Babu: Agree, but you see opex last year, we have opened 13 branches. Next this year, 50 branches we open -- was to open. And a few more, maybe spending on the IT also may be required, which you cannot postpone. IS is also required information security. These things where you need to mention, you need to do that. But growth -wise, we will not compromise on that.
You must be seeing our yields what all are there and the NIM, what all is there for the last two to three years trajectory, if you see, more or less, we are trying to maintain the sort of thing. So that way, I feel that the parity what you have seen, here and there, there can be a gap, but we'll be able to maintain a higher trajectory for the income compared to the expenses.
Gaurav Jani : Okay. Sir, what I meant to ask you was '25, '26 -- I mean, '24 to '26, the loan CAGR was about 15% versus opex CAGR was only about 6%. So that gap is what I wanted to kind of check you check with you for the next year ?

B. Ramesh Babu: No, no, I agree with you what you're saying. Last year, so the spike in the staff strength, which used to be 7,000, it has reached 9,500. And last year, it was more or less stagnant. The numbers didn't change. because we thought one year, let us focus on the productivity of the existing staff and then take it forward. And this year, because there's a limitation beyond which you may not be able to get the productivity from them, you may have to take some manpower. So that way, the costs can go up. Even if all this goes up also, it will be, as we said that between 45% to 50%, we have indicated the cost -to-income ratio and the ROA. So, with all these things, don't worry on discount. Finally, the ROA, what we said, we will try to deliver and we'll be within those limits. All this will go into that front. If this is going up, where else -- what else we need to do, we will see that, and we will try to get the ROA what we have planned.
Gaurav Jani : Sure. Just last question, sir, from my end. You did mention about the likely onetime impact of ECL. On a sustainable basis, how do you see this impact coming through over the next one year?
Ramshankar R .: Yes. I can explain , sufficient buffers have been created over the last two years, either through way of floating provisions or through accelerated provisions. In fact, all these total provisions also to around 1.7% of our adva

nces . So given these buffers and strong asset quality of the bank, we expect the transaction to have a limited aspect.
But if you talk about on a steady -state basis, see, it depends on various factors like the eventual portfolio mix, including how much is the share of gold loans, how much will be unsecured lending, how much will be CRE. So, what are the asset classes where the expected loss rates and regulatory floors also differ . And what I say like , it will be premature at this stage to indicate any normalized credit cost under the new region. But we have got time till another 10 - 11 months are there, we'll let you know.
Gaurav Jani : Okay. Thanks. That is it f rom side. Thank you so much .
Moderator: The next question comes from the line of Subramanian with Itus Capital . Please go ahead.
Subramanian: Congrats for the good set of numbers. My question is on the macro. So currently, the daily banking liquidity is at comfortable level in the range of INR1.7 lakh crores. In the last six quarters, it is at comfortable level. So, if it stays same, so does it help in easing cost of funds, which you mentioned like you are going to look for deposits. But in the system level, if the liquidity is comfortable, does it going to help in easing cost of funds?
B. Ramesh Babu: No, we cannot say that way. The reason is cost of funds have two components. One is the deposits, what we are taking. The second one is the borrowing. There's a limitation for you to borrow. So, because LCR also, we need to see CD ratio to some extent, we will see. With all these things, the focus on deposits will continue. Though the liquidity is there in the market, if it is not translating into deposits and not coming into the banking system, still you will find some sort of a difficulty.

And the borrowing because there's a limitation beyond that you cannot borrow, borrow in the sense that wholesale, you can borrow. The CDs suppose a bank like ours; I had to borrow INR10,000 crores is a limit. So, the market may be awash with liquidity, but I may not be able to borrow that money. So that way, liquidity per se will not transfer into the deposits, and it is the mindset of the customer.
If you prefer there are some other avenues are available to them other than a bank deposit to get a higher yield, the money may go there. Whereas suppose if the money is going into the capital market, you may say that has to come back to the banking system only, but that may go into a few banks where who are actually dealing with the capital markets, the accounts and all maintaining and all that may go.
But we are concerned 72% of our depositors are household. We may not get the benefit of the capital market inflows, what are coming. We need to get our retail. We will still focus on the retail only. Though liquidity in the market is there, it may support us. But to the extent what you want as a deposit, it may not work out.
Subramanian: Okay, sir. Thank you.
Moderator: Ladies and gentlemen, we will take that as our last question for today. I now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, for closing comments.
B. Ramesh Babu: So, thank you all for your patience and for asking the questions and going through our numbers and that shows the interest what you have. So, we will raise our expectations and will sustain the performance what we are doing. Thank you very much once again to all of you.

Thank you.
Moderator: Thank you, members of the management. On behalf of The Karur Vysya Bank, that concludes this conference. Thank you, everyone, for joining us, and you may now disconnect your lines.
Thank you.